

Options

Borderline Suitability Hypotheticals

90 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Borderline Scenario 1

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements);

Fact Pattern

Margaret Dalton, age 74, is a retired pharmaceutical executive who left her career in 2016 after 30 years in the industry. She has a net worth of approximately \$3.8 million, consisting of \$1.4 million in a brokerage account, \$1.6 million in retirement accounts, a \$650,000 home (paid off), and roughly \$150,000 in savings. Her annual income from Social Security, a corporate pension, and required minimum distributions totals approximately \$135,000. She has no debt. On her new account form opened at Prestige Wealth Partners in January 2023, her stated investment objective was "growth with income" and her risk tolerance was marked as "moderate to aggressive." Her investment experience section noted she had traded equities actively for 18 years, had experience with covered calls and cash-secured puts dating back to 2009, and had previously maintained an options-approved account at her prior brokerage for over a decade with Level 3 approval (spreads). She told her new advisor, Daniel Kershaw, age 38, that she wanted to "put her money to work harder" and was frustrated with low yields on her bond allocation. Kershaw recommended a strategy involving selling credit spreads on broad market ETFs (SPY and QQQ) using approximately 15-20% of her brokerage account, roughly \$210,000-\$280,000 in notional risk exposure. He also recommended she begin selling weekly iron condors on individual large-cap technology stocks she already held, such as Apple, Microsoft, and Nvidia. Over the following nine months, Margaret executed approximately 175 options trades. Her account generated approximately \$47,000 in premium income but also suffered \$31,000 in realized losses during a volatile August-September period, netting roughly \$16,000 in profit. Commissions and fees totaled approximately \$5,800 over this period. Her account value at the end of September 2023 was approximately \$1.42 million, up modestly from \$1.4 million. In October 2023, Margaret's daughter, who holds a CPA license, reviewed her mother's statements and filed a complaint with the firm, alleging that Kershaw placed her elderly mother in unsuitable, speculative options strategies. The daughter stated Margaret had mentioned feeling "overwhelmed" by the frequency of trades and had difficulty understanding the iron condor positions when they moved against her. Margaret herself, when contacted by the firm's compliance department, gave mixed signals - she said she understood the general concept of selling premium, had signed the options agreement and received the options disclosure document, but admitted she sometimes "wasn't sure what was happening" when multiple legs of a spread were assigned or exercised simultaneously. She also stated she trusted Daniel and felt the strategy was "mostly working." Kershaw's notes from the initial meeting reference Margaret's long history with covered calls and puts, her expressed desire for enhanced income, and a discussion about the risks of spread strategies including maximum loss scenarios. His notes indicate he showed her a hypothetical P&L chart. However, there is no documentation of any follow-up education sessions, and Kershaw did not re-evaluate

the strategy after the August-September drawdown period. The firm's options approval committee had approved Margaret for Level 3 options (spreads) based on her stated experience and financial profile, conducting the review electronically with no phone call or in-person interview. The approval took approximately four minutes from submission to approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents arguments on both sides. In favor of finding a violation: Margaret is 74 years old, placing her squarely in the category of senior investors who receive heightened regulatory scrutiny. The volume of trading (175 trades in nine months) is substantial and may suggest an activity level beyond what is appropriate for a retiree, even one with experience. Her daughter's complaint and Margaret's own admission of feeling 'overwhelmed' and not fully understanding assignment mechanics on multi-leg positions suggest a gap between her stated experience and her actual comprehension of the strategies being employed. The firm's options approval process - four minutes, electronic only, no interview - raises serious questions about whether meaningful diligence was performed under FINRA Rule 2360(b)(16), which requires a firm to exercise due diligence to ascertain essential facts about a customer before approving options trading. FINRA Regulatory Notice 21-15 specifically highlighted concerns about automated, frictionless approval processes that fail to meaningfully evaluate customer sophistication. The lack of follow-up education or strategy reassessment after a \$31,000 drawdown period could be viewed as a supervision failure. Against finding a violation: Margaret is not a typical vulnerable senior. She is a former pharmaceutical executive with an 18-year track record of active equity trading and over a decade of options experience, including Level 3 approval at her prior firm. Her net worth of \$3.8 million and income of \$135,000 mean the \$210,000-\$280,000 notional exposure represented a manageable portion of her overall wealth. The strategy was not naked options or speculative directional bets - credit spreads and iron condors on broad ETFs and blue-chip stocks she already owned are defined-risk strategies commonly used for income generation. The account ended modestly profitable, and the \$5,800 in commissions on 175 trades is not excessive on its face. Margaret signed the options agreement, received the OCC Options Disclosure Document, and Kershaw's initial meeting notes document a discussion of risks including maximum loss. Her mixed signals - expressing trust in the advisor and acknowledging the strategy was 'mostly working' while also admitting confusion about assignment mechanics - complicate the narrative. Under Reg BI's care obligation, the recommendation must be in the customer's best interest considering her profile; Margaret's profile genuinely supports a more aggressive income strategy than vanilla bonds. The question is whether the specific implementation (weekly iron condors, 175 trades) exceeded what was appropriate even for this experienced senior.

Why Borderline

This case sits in genuine tension between respecting a sophisticated senior investor's autonomy and documented experience versus the heightened protective obligations firms owe to elderly customers. Margaret is not a naive investor - she has real options experience and substantial wealth - but her age, her expressed confusion about complex position mechanics, and the rapid-fire automated approval process all create legitimate regulatory concern. The strategy itself (defined-risk spreads) is not inherently unsuitable for someone of her profile, but the execution frequency and lack of ongoing monitoring push toward a finding that the advisor and firm fell short. Reasonable practitioners could disagree on whether Margaret's

long track record and financial cushion make this appropriate, or whether the combination of her age, admitted confusion, and perfunctory approval process tips the scales.

Borderline Factors

- Senior investor (74) with genuinely extensive prior options trading experience spanning over a decade
- Defined-risk strategies (credit spreads, iron condors) rather than naked or speculative positions
- Account notional exposure of 15-20% of brokerage assets is significant but not reckless given total net worth
- 175 trades in 9 months is high-frequency for a retiree but within range for active premium-selling strategies
- Customer gave mixed signals - trusted advisor and acknowledged profitability but admitted confusion about mechanics
- Options approval process took 4 minutes with no phone interview, raising FINRA RN 21-15 concerns about automated approvals
- No documented follow-up education or strategy reassessment after \$31,000 drawdown
- Net positive account performance (\$16,000 gain after fees) undercuts harm argument but does not eliminate suitability concerns
- Daughter filed complaint but customer herself did not independently raise concerns with the firm

Likely Outcome

A regulator would most likely find a partial violation, focusing primarily on the firm's deficient options approval process and the advisor's failure to conduct ongoing due diligence and strategy reassessment, rather than on the fundamental unsuitability of defined-risk options strategies for this particular customer. The four-minute electronic approval without any meaningful interview would likely be cited as a failure under FINRA Rule 2360(b)(16)'s requirement for due diligence in approving options accounts, consistent with the concerns raised in FINRA RN 21-15 about frictionless digital approval processes. The lack of documented follow-up after the drawdown period and the absence of ongoing suitability monitoring would also be cited. However, a regulator might stop short of finding that credit spreads and iron condors were categorically unsuitable for a wealthy, experienced former executive. The likely resolution would involve supervisory deficiency findings against the firm, a requirement for enhanced options approval procedures for senior investors, potential restitution of commissions (\$5,800), and possible individual sanctions against Kershaw for failure to adequately monitor the account. The firm would likely face a fine in the range of \$50,000-\$150,000 depending on whether this was an isolated case or part of a pattern.

Borderline Scenario 2

Topic: options_unsuitable | Standard: FINRA Rule 2360 (Options) establishes specific requirements for options account approval, in

Fact Pattern

Margaret Ellison, age 62, is a retired school administrator with a \$1.4 million portfolio consisting primarily of municipal bonds, blue-chip dividend stocks, and a small allocation to index ETFs. She receives a \$48,000 annual pension and \$22,000 in Social Security benefits. Her brokerage account application from 2019 lists her investment objective as 'income with moderate growth,' risk tolerance as 'moderate,' annual income as \$70,000, liquid net worth of \$1.6 million, and investment experience of 22 years, including 'limited' options

experience described as selling covered calls on individual stock positions she held in the early 2000s. In March 2023, her financial advisor, Derek Haynes, suggested she begin a systematic covered call writing program on approximately \$400,000 worth of her individual equity holdings - names like Johnson & Johnson, Procter & Gamble, Microsoft, and Coca-Cola - to generate additional monthly income of roughly \$2,500 to \$4,000. Derek explained that the strategy would cap her upside on those positions but would generate premium income and provide a small downside cushion. He submitted an options account application requesting Level 2 approval (covered calls and cash-secured puts). The firm's options principal approved the account after a phone conversation with Margaret in which she confirmed she understood that covered calls limit upside potential and that she wanted additional income. Over the following 14 months, Margaret wrote 68 covered call contracts across her four core holdings, generating approximately \$41,000 in premium income. However, during a sharp rally in Microsoft from May through December 2023, three of her call positions were assigned, resulting in the forced sale of 300 shares of Microsoft at strike prices well below the market price at expiration. She missed approximately \$27,000 in unrealized gains she would have captured had she simply held the shares. Margaret did not complain at the time of assignment, and Derek sent her written summaries after each expiration cycle. In January 2024, after reviewing her year-end tax documents and realizing the full picture of the called-away gains, Margaret filed a complaint alleging the options strategy was unsuitable for her retirement account and that she was never told she could lose significant upside. She also noted that Derek earned approximately \$5,400 in commissions on the options trades over 14 months, whereas her prior annual commissions on the equity portfolio had averaged \$1,100. Derek counters that Margaret was fully informed, had prior options experience, signed the Options Disclosure Document, confirmed her understanding to the options principal, and that the \$41,000 in premium income substantially exceeded the \$27,000 in forgone gains. The firm's compliance records show the options principal's notes from the approval phone call state: 'Client understands covered calls, wants income, has done this before. Approved Level 2.' No written follow-up summary of the phone call was sent to Margaret. Margaret's account also held \$180,000 in an IRA at the same firm, which was not involved in the options strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the advisor acted appropriately: Covered call writing is widely considered one of the most conservative options strategies available and is frequently recommended for income-oriented investors. Margaret had prior, albeit limited, experience with covered calls. Her stated objective was income with moderate growth, and the strategy directly addressed the income component. The \$41,000 in premium income over 14 months materially supplemented her \$70,000 annual income. She signed the OCC Options Disclosure Document, which explicitly describes the risk of assignment and forfeiture of upside. The options principal conducted a phone approval and documented the conversation, and the account was appropriately approved at Level 2 - the lowest level that permits covered calls. Margaret did not object at the time shares were called away, suggesting contemporaneous understanding. The \$400,000 notional exposure represented roughly 29% of her total portfolio, leaving the majority in bonds and other conservative holdings.

Arguments that a violation occurred: The increase in commissions from \$1,100 to \$5,400 annually - nearly a fivefold increase - raises questions about whether the strategy was driven by the advisor's economic

interest rather than the client's needs. While Margaret had 'limited' experience with covered calls two decades earlier, that does not necessarily constitute meaningful current knowledge. The options principal's approval process was cursory: a single phone call with minimal documentation and no written follow-up confirmation sent to the client. The 68 contracts over 14 months on only four positions suggests active, repeated trading that may have exceeded what was necessary to meet her income needs, particularly given her pension and Social Security already covered basic expenses. The forced sale of long-held, appreciating positions in a retirement-focused portfolio could be viewed as fundamentally inconsistent with a 'moderate growth' objective. Additionally, the advisor did not document any analysis of whether the strike prices and expirations selected were appropriate for Margaret's specific circumstances, nor whether alternative income strategies (such as bond laddering or dividend reinvestment) were considered. The absence of a written summary of the options principal's approval conversation is a supervisory gap that some examiners would flag. Finally, the fact that Margaret is 62 and approaching a phase of life where capital preservation and growth to fund longevity risk matter significantly may weigh against a strategy that systematically caps upside on core equity holdings.

Why Borderline

This scenario is genuinely ambiguous because covered call writing is, by design, an income-enhancement strategy for equity holders and is commonly approved for moderate-risk, income-oriented accounts. The client had some prior experience, signed the disclosure document, and verbally confirmed understanding to a principal. The strategy produced net positive economic results (\$41,000 premium vs. \$27,000 forgone gains). However, the significant commission increase, the cursory nature of the approval documentation, the client's age and retirement status, and the repeated trading pattern across a concentrated set of positions all create legitimate questions about whether the recommendation truly served the client's overall interests or primarily benefited the advisor. Reasonable compliance professionals could disagree on whether this crosses the line.

Borderline Factors

- Covered calls are among the most conservative options strategies, yet the commission increase was nearly fivefold
- Client had prior covered call experience, but it was over 20 years old and described as 'limited'
- Net economic outcome was positive (\$41,000 premium vs. \$27,000 forgone gains), but the forgone gains were on core retirement holdings
- Options principal conducted an approval phone call, but documentation was minimal and no written confirmation was sent to the client
- Strategy aligned with the 'income' component of the client's objective but potentially conflicted with the 'moderate growth' component
- 68 contracts over 14 months on four positions suggests active management that could be viewed as either diligent income generation or excessive trading
- Client did not complain contemporaneously when shares were assigned, suggesting real-time understanding
- Client's pension and Social Security already covered basic living expenses, raising the question of whether the additional income was truly needed at the cost of capped upside

Likely Outcome

A regulator would most likely find a partial violation focused on supervisory and documentation deficiencies

rather than a fundamental unsuitability finding. The covered call strategy itself is likely defensible for this client profile, but the options principal's cursory approval process - a single phone call with sparse notes and no written confirmation to the client - would likely be cited as a failure to maintain adequate supervisory procedures for options account approval. The commission increase would draw scrutiny and could support a finding that the quantity and frequency of trades were not fully justified. However, given the net positive income outcome, the client's prior experience, the signed disclosure document, and the conservative nature of the strategy, an outright unsuitability finding is less probable. The firm would likely face a supervisory deficiency citation and potentially be required to enhance its options approval and documentation procedures. The advisor might face a cautionary action or fine related to the volume of trading relative to the client's demonstrated need.

Borderline Scenario 3

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation prohibiting excessive trading

Fact Pattern

Margaret Kowalski, age 58, is a retired school administrator with a \$620,000 IRA rollover and a \$180,000 taxable brokerage account. She has 12 years of investment experience, mostly in mutual funds and blue-chip equities, but she completed an options education course in 2020 and was approved for Level 3 options trading (spreads, covered calls, and cash-secured puts). Her stated objectives on her account documents are 'growth and income' with a 'moderate' risk tolerance, and she listed a 10-year investment time horizon.

Her advisor, Kevin Bartlett, age 34, began managing her accounts in January 2022. Bartlett recommended an active covered call writing strategy on her existing equity positions in the taxable account, telling Margaret that it would generate \$2,000-\$3,000 per month in premium income to supplement her pension. Over the next 18 months (January 2022 through June 2023), Bartlett executed 247 options trades in the taxable account. The vast majority were covered calls and cash-secured puts on positions Margaret already owned or had sufficient cash to cover. The annualized turnover ratio on the options portion of the account was approximately 14.2, though the turnover on the underlying equity positions was only 2.1. The cost-to-equity ratio on the overall account was 9.8%.

Margaret's taxable account generated \$41,200 in gross options premium income over the period. However, total commissions and fees on the options trades were \$19,750, and she incurred \$6,400 in assignment-related transaction costs when positions were called away. Her net gain from the strategy after all costs was approximately \$15,050, representing a roughly 8.4% cumulative return over 18 months on the taxable account. During the same period, a buy-and-hold strategy on her underlying positions (without options overlay) would have returned approximately 11.2%, largely due to several stocks being called away before capturing their full upside.

Bartlett earned \$26,150 in total compensation from commissions and ticket charges on Margaret's options activity. Margaret never complained during the 18-month period and regularly thanked Bartlett for the monthly income deposits. She signed quarterly account review letters acknowledging the trading activity. In

July 2023, Margaret's daughter, a CPA, reviewed the account and filed a complaint alleging that the volume of trading was excessive and that Bartlett was churning the account to generate commissions. Bartlett's firm conducted an internal review and noted that each individual trade was consistent with Margaret's approved options level and that no single trade was unsuitable. The firm also noted that the strategy was Margaret's preferred approach and that she was informed about the activity at every step.

Notably, Bartlett had proposed moving the account to an advisory fee-based model at 1.25% annually in mid-2022, which would have cost Margaret approximately \$2,250 per year instead of the roughly \$13,100 per year in commissions she was paying. Margaret declined the switch, stating she preferred paying per-trade because she 'liked to see what she was paying for each transaction.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between quantitative churning indicators and qualitative factors that support the advisor's conduct.

****Arguments that Bartlett violated applicable standards:****

1. ****Quantitative indicators are elevated.**** The annualized turnover ratio of 14.2 on the options portion significantly exceeds the traditional threshold of 6.0 that regulators and arbitration panels have historically treated as presumptive evidence of excessive trading. The cost-to-equity ratio of 9.8% is also above the 5-8% range that many panels consider problematic. Under FINRA Rule 2111 (Quantitative Suitability) and Reg BI's care obligation, an advisor must have a reasonable basis to believe that the frequency and volume of transactions are not excessive in light of the customer's profile.
2. ****Opportunity cost.**** Margaret would have earned more (11.2% vs. 8.4%) with a passive buy-and-hold strategy. The options overlay, after costs, actually detracted from performance. This undercuts any argument that the trading volume served Margaret's interests.
3. ****Commission disparity.**** Bartlett earned \$26,150 from the strategy while Margaret netted only \$15,050. When the advisor earns more than the client, it raises a strong inference of self-interested motivation, a key factor under both traditional suitability analysis and the Reg BI care obligation.
4. ****Failure to adequately recommend fee-based pricing.**** While Bartlett did propose a fee-based model, some would argue he had an ongoing obligation under Reg BI to more forcefully recommend the cost-effective structure, particularly after it became apparent how high the commission burden was becoming.

****Arguments that Bartlett did NOT violate applicable standards:****

1. ****Nature of the strategy matters.**** Covered calls and cash-secured puts are fundamentally different from speculative directional trades. Each individual trade was a defined-risk, income-generating transaction consistent with Margaret's approved options level and stated income objective. The high turnover ratio is

partially an artifact of the short duration of options contracts (typically 30-45 day expirations), which naturally generate high numerical turnover without the same risk implications as equity churning. FINRA Regulatory Notice 21-15 acknowledges that options account supervision requires nuance beyond mechanical turnover metrics.

2. ****Customer direction and informed consent.**** Margaret was an educated investor who completed options coursework, was approved at the appropriate level, signed quarterly review letters, and affirmatively declined the fee-based alternative. Under FINRA Rule 2360, the firm conducted appropriate account approval. The customer's active, informed participation weakens a churning claim, which traditionally requires evidence that the advisor exercised de facto control.

3. ****The strategy delivered what was promised.**** Margaret received consistent monthly income of \$2,000-\$3,000, exactly as described. Her stated preference was income generation, not total return maximization. Comparing to a buy-and-hold benchmark may not be the correct frame when the client's goal was cash flow.

4. ****De facto control is questionable.**** Churning requires that the advisor exercised control over the account. Margaret's active engagement, regular acknowledgment, and independent decision to reject the fee-based model suggest she maintained meaningful control. Without control, the excessive trading element of a churning claim is harder to establish.

5. ****The cost-to-equity ratio, while elevated, includes assignment costs**** that are inherent to covered call writing and not purely discretionary advisor-driven expenses.

Why Borderline

The quantitative metrics (14.2 turnover, 9.8% cost-to-equity) clearly exceed traditional churning thresholds, and the advisor earned more than the client netted. However, the nature of covered call writing inherently generates high turnover figures that may not carry the same significance as equity churning. The client was informed, educated, approved for the strategy level, actively declined a cheaper fee structure, and received the income stream she requested. Reasonable regulators could disagree about whether mechanical turnover thresholds should apply differently to repetitive, defined-risk options income strategies versus speculative equity trading.

Borderline Factors

- Annualized options turnover ratio of 14.2 far exceeds the traditional 6.0 threshold, but covered call/cash-secured put strategies inherently generate high numerical turnover due to short contract durations
- Cost-to-equity ratio of 9.8% is elevated but partially reflects unavoidable assignment costs inherent to the strategy rather than purely discretionary trading
- Advisor compensation (\$26,150) exceeded client net gain (\$15,050), creating an adverse inference, but the client's stated goal was income generation rather than total return
- Client was educated on options, approved at appropriate level, signed quarterly reviews, and affirmatively rejected a cheaper fee-based alternative
- Opportunity cost analysis shows buy-and-hold would have outperformed, but hindsight comparison may not be appropriate for an income-focused strategy
- Question of de facto control is genuinely ambiguous given client's active engagement but reliance on

advisor's trade-by-trade recommendations

- Advisor did propose the fee-based model, potentially satisfying cost-disclosure obligations, but the ongoing commission burden raises questions about whether the proposal was sufficiently emphasized

Likely Outcome

A regulator would likely find a borderline violation or impose a cautionary outcome rather than a clear-cut churning finding. The quantitative metrics are too elevated to ignore entirely, and the compensation disparity is troubling. However, the mitigating factors - customer sophistication, informed consent, quarterly acknowledgments, the inherent turnover characteristics of options income strategies, and the client's rejection of cheaper pricing - would likely reduce the severity of any finding. The most probable regulatory outcome would be enhanced supervisory requirements for the firm, a potential fine for inadequate supervision of options activity under FINRA Rules 2360 and 3110, and possibly a requirement that the firm implement automated alerts calibrated specifically for options income strategies rather than applying generic equity turnover thresholds. Bartlett himself might face a cautionary letter or modest fine rather than a suspension, given the absence of clear de facto control and the presence of genuine (if imperfect) client communication. An arbitration panel could go either way, with the outcome likely hinging on how much weight is given to Margaret's active participation versus the raw numbers.

Borderline Scenario 4

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); F

Fact Pattern

Marcus Webb, age 34, opened an account at Pinnacle Securities in March 2022. On his new account form, Marcus listed his occupation as "software engineer" at a mid-size tech company earning \$185,000 annually. He indicated liquid net worth of \$320,000, total net worth of \$610,000 (including home equity), and listed his investment objective as "growth." Under investment experience, Marcus checked "limited" for options (1-2 years), "good" for equities (5+ years), and "none" for futures. His risk tolerance was marked "moderate to aggressive." He stated his investment time horizon was 10+ years.

Marcus's assigned advisor, Diane Kowalski, had a 15-minute phone conversation with Marcus during account opening. Marcus mentioned he had been trading options on a self-directed mobile platform for about 18 months, primarily buying calls and puts on large-cap tech stocks. He told Diane he wanted to "move to a full-service firm to get access to more sophisticated strategies" and said he had watched "hundreds of hours" of YouTube tutorials on options Greeks, volatility trading, and spread strategies. Diane noted in her CRM system: "Client is self-educated on options, wants multi-leg strategies, tech background suggests analytical aptitude."

Diane approved Marcus for Level 3 options trading, which at Pinnacle Securities permits buying and selling calls and puts, covered writing, and all spread strategies including credit spreads, iron condors, and calendar spreads. Level 4 (uncovered/naked writing) was not approved. Pinnacle's internal guidelines state that Level 3 requires "moderate" options experience and at least \$100,000 in liquid net worth, both of which Marcus met on paper.

Over the next four months, Diane recommended a series of iron condor positions on high-volatility tech earnings plays, including positions on Tesla, Amazon, and Nvidia timed around quarterly earnings announcements. She also recommended several bull put credit spreads on semiconductor ETFs. The maximum defined risk on any single position ranged from \$4,500 to \$12,000, and Marcus typically had 3-5 positions open simultaneously, representing aggregate maximum risk exposure of \$25,000 to \$45,000 at any given time, or roughly 8-14% of his liquid net worth.

Between March and October 2022, Marcus experienced net losses of approximately \$67,000 across these recommended strategies. Several iron condors were breached during volatile earnings announcements, and multiple credit spreads moved against him during the broad tech selloff in mid-2022.

Marcus filed a complaint in January 2023 alleging that Diane never truly assessed whether he understood the risks of multi-leg options strategies, that his "limited" experience designation should have precluded Level 3 approval, and that she relied on his self-reported YouTube education rather than conducting any meaningful evaluation of his actual knowledge. He also alleged that the concentration of earnings-linked volatility plays was inappropriate given that he had never actually traded spreads before - only single-leg calls and puts on his prior mobile platform.

Diane's supervisor, who co-signed the options approval, stated that Marcus's income, net worth, and stated analytical background were consistent with Level 3 approval and that the firm's written criteria were satisfied. Diane maintained that Marcus was enthusiastic, asked sophisticated questions during their calls, and that she explained the risk/reward profile of each trade before execution. Phone recordings confirm that Diane did provide brief verbal explanations of max loss on each trade, and Marcus acknowledged understanding on each call. However, there is no record of any written or structured assessment of Marcus's actual options knowledge, no quiz or proficiency test, and no documentation that Diane probed the difference between his prior single-leg experience and the multi-leg strategies she was recommending. Pinnacle's compliance manual states that advisors "should" assess customer knowledge but does not mandate a specific testing protocol.

Marcus acknowledges he approved every trade verbally and never expressed concern about position sizes until after the losses accumulated. His prior mobile platform records show he made approximately 40 single-leg options trades over 18 months with an average position size of \$800, generating cumulative losses of about \$6,200.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents a genuine tension between box-checking compliance and substantive know-your-customer obligations in the options context.

Arguments that Diane violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain essential facts about a customer before approving options trading, including investment experience and knowledge,

financial situation, and investment objectives. The rule requires firms to obtain information about the customer's options trading experience specifically. Marcus's new account form indicated only "limited" options experience, and his actual trading history consisted exclusively of single-leg purchases - a fundamentally different risk profile from multi-leg spread strategies. Diane's reliance on self-reported YouTube education, without any structured verification, arguably falls short of the due diligence required.

2. FINRA Regulatory Notice 21-15 specifically addresses concerns arising from the expansion of options trading among retail investors, particularly those migrating from mobile-first platforms. The Notice emphasizes that firms must have robust account approval processes and cannot simply rely on customer self-assessments of knowledge. It highlights that options experience should be verified, not merely accepted at face value, and that the distinction between simple and complex strategies must be meaningfully evaluated.

3. Under Regulation BI's Care Obligation, Diane was required to exercise reasonable diligence, care, and skill in making recommendations. Recommending earnings-linked iron condors - which involve heightened gamma and volatility risk - to a customer whose entire prior experience was buying calls and puts on a mobile app for small dollar amounts represents a significant escalation. The jump from average \$800 single-leg positions to \$4,500-\$12,000 max-risk multi-leg positions is substantial, and Diane's 15-minute onboarding call may not constitute reasonable diligence to understand Marcus's actual comprehension.

4. The aggregate risk exposure of 8-14% of liquid net worth across correlated tech/semiconductor positions around binary earnings events raises concentration risk concerns, particularly for a customer with no demonstrated track record in these strategies.

Arguments that Diane acted appropriately:

1. Marcus met all of Pinnacle's written quantitative criteria for Level 3 approval - income, liquid net worth, and experience thresholds. The firm's internal standards were followed, and the options approval was co-signed by a supervisor. FINRA Rule 2360(b)(16)(B) lists specific factors for consideration, and Diane documented her assessment in the CRM.

2. Marcus was a 34-year-old software engineer with strong income, substantial liquid assets, a long time horizon, and a self-described moderate-to-aggressive risk tolerance. He affirmatively sought out multi-leg strategies and articulated analytical interest. All trades involved defined-risk strategies (no naked options), and the maximum loss on any single position never exceeded 3.75% of his liquid net worth.

3. Phone recordings confirm Diane verbally explained the max-loss profile of each trade and Marcus acknowledged understanding. Marcus approved every trade and never raised concerns until after losses accumulated. Under the OCC Options Disclosure Document framework, clients are expected to review the ODD and understand that options trading involves risk of loss.

4. The \$67,000 in losses, while significant, occurred during one of the most volatile market environments in recent years (2022 tech selloff). Losses alone do not establish unsuitability - the strategies themselves were rational approaches that simply encountered adverse market conditions. Iron condors and credit

spreads are standard Level 3 strategies, not exotic instruments.

5. Pinnacle's compliance manual used "should" rather than "shall" regarding knowledge assessment, giving Diane discretion in her evaluation methodology. Her CRM notes indicate she made a qualitative judgment about Marcus's aptitude based on their conversations.

Why Borderline

This case sits at the intersection of formal compliance (all quantitative criteria were met, trades were defined-risk, and client consented) and substantive know-your-customer obligations (the advisor arguably never verified whether the client truly understood the strategies being recommended). The shift from single-leg mobile trading to advisor-recommended multi-leg earnings plays represents a meaningful escalation, but the client actively sought this escalation, had the financial capacity to absorb the losses, and confirmed understanding on recorded calls. Reasonable regulators could disagree on whether a 15-minute onboarding conversation plus ongoing verbal trade explanations satisfy the due diligence requirement, especially in the post-Robinhood enforcement environment where regulators have signaled heightened scrutiny of options approvals - but Marcus was not a novice investor, and his losses stemmed from market conditions rather than strategy misunderstanding.

Borderline Factors

- Customer's self-reported 'limited' options experience consisted entirely of single-leg trades, but firm's Level 3 threshold only required 'moderate' experience without distinguishing single-leg from multi-leg
- Advisor relied on customer's self-described YouTube education rather than conducting any formal knowledge assessment, but firm policy used permissive 'should' language rather than mandatory testing
- Jump from average \$800 positions to \$4,500-\$12,000 max-risk positions is significant, but all positions were defined-risk and within standard Level 3 parameters
- Aggregate exposure of 8-14% of liquid net worth in correlated positions around binary events is arguably concentrated, but client had a 10+ year time horizon and moderate-to-aggressive risk tolerance
- Phone recordings confirm verbal consent and brief explanations, but no documentation of probing whether client understood Greeks, assignment risk, or spread mechanics
- Losses of \$67,000 (~21% of liquid net worth) occurred in historically volatile markets, making it difficult to separate strategy unsuitability from adverse market conditions
- Client affirmatively sought sophisticated strategies and demonstrated analytical background through his profession, but professional aptitude does not equal options trading competence
- Post-2021 regulatory environment signals heightened scrutiny of options approvals, but enforcement actions have primarily targeted firms with systemic approval failures rather than individual advisor judgment calls

Likely Outcome

A regulator would most likely find a violation, though a relatively minor one warranting supervisory rather than severe disciplinary consequences. The core issue is the gap between Marcus's actual experience (small single-leg trades) and the strategies approved and recommended (multi-leg earnings plays at 5-15x his historical position size). While Diane met the firm's formal quantitative criteria, regulators in the post-Robinhood enforcement era have consistently emphasized that options account approval requires meaningful assessment of actual customer knowledge, not merely checking boxes. The absence of any documented knowledge verification - no quiz, no structured conversation notes probing spread mechanics,

no acknowledgment that the client had never traded a spread - would likely be viewed as insufficient due diligence under FINRA Rule 2360's know-your-customer requirements. However, mitigating factors (defined-risk strategies, client consent, adequate financial resources, supervisor co-approval) would likely result in enhanced supervisory requirements and possible fine rather than suspension or bar.

Borderline Scenario 5

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval requirements including assessment)

Fact Pattern

Margaret Holloway, age 74, is a retired aerospace engineer with a PhD in physics who spent 35 years at a major defense contractor before retiring in 2018 with a \$2.8 million portfolio. She receives \$4,200/month in Social Security and a \$3,100/month pension, giving her stable income that covers her living expenses. She has no dependents, owns her home outright, and has \$180,000 in a separate savings account for emergencies. Margaret has traded equities actively since 1992 and began trading covered calls in 2005 through a previous brokerage. In March 2023, she opened an account with a digital-first brokerage and was assigned to advisor Kevin Marsh, age 31. During the account opening process, Margaret completed a questionnaire indicating 30+ years of investing experience, a 'growth' objective, 'aggressive' risk tolerance, a 10+ year time horizon, and annual income of \$87,600. She checked boxes indicating prior experience with stocks, mutual funds, ETFs, and options (covered calls only). Kevin approved Margaret for Level 3 options trading, which at his firm permits covered calls, cash-secured puts, spreads (vertical, calendar, diagonal), and straddles/strangles, but not naked calls or uncovered index options. Kevin discussed with Margaret that spreads could enhance her income strategy while capping both gains and losses, and she expressed enthusiasm, saying she had 'always wanted to learn spreads but my old broker wouldn't let me.' Over the next 14 months, Margaret executed 47 vertical spread trades (bull put spreads and bear call spreads) on large-cap stocks she had researched, with position sizes ranging from \$3,000 to \$18,000 in maximum risk per trade. She generated approximately \$41,000 in net premium income during this period, with realized losses on 11 trades totaling \$23,500, for a net gain of roughly \$17,500 before commissions of \$2,100. No single losing trade exceeded \$4,800. Margaret's total account value grew from \$2.8 million to \$3.04 million during the period, and spreads never represented more than 6.2% of her total portfolio at any one time. In September 2024, Margaret's daughter, Linda, contacted the firm's compliance department after discovering the trading activity during a visit. Linda stated that her mother 'has no business trading options at her age' and that 'the advisor took advantage of an elderly woman.' Linda also mentioned that Margaret had been diagnosed with early-stage mild cognitive impairment in January 2024, though Margaret's neurologist noted in medical records that she retained 'full capacity for financial decision-making' at that time and recommended a reassessment in 12 months. Margaret herself called the firm the following week, expressed frustration at her daughter's complaint, stated she was 'perfectly capable of managing my own money,' and asked that the complaint be dismissed. Kevin Marsh stated he had no knowledge of any cognitive diagnosis until the daughter's complaint and that Margaret had never shown signs of confusion or impairment during their interactions. Internal call recordings confirm Margaret asked detailed, technically sophisticated questions about implied volatility, delta, and probability of profit on multiple occasions between January and August 2024. The firm's account approval system flagged Margaret's age (over 65) at account opening but the flag was cleared by a principal after reviewing her experience, income, net worth,

and stated risk tolerance. No follow-up review was conducted after the initial approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the advisor violated applicable standards: (1) Approving a 74-year-old for Level 3 options trading-which includes multi-leg strategies she had never previously executed-raises significant concerns under FINRA Rule 2360(b)(16), which requires that options accounts be approved based on the customer's investment objectives, financial situation, trading experience, and the nature of the proposed options transactions. Margaret's prior experience was limited exclusively to covered calls, a fundamentally different risk profile than vertical spreads, straddles, and strangles. (2) FINRA Regulatory Notice 21-15 specifically highlights concerns about account approval processes that are overly automated or rely too heavily on customer self-reported information without adequate verification, especially in the context of digital-first platforms. The advisor's firm cleared an age-related flag after a single principal review with no follow-up, which could be seen as a deficient supervisory process. (3) After the mild cognitive impairment diagnosis in January 2024, Margaret continued executing spread trades for eight months. While the advisor was unaware of the diagnosis, the question is whether the firm's supervisory system should have included periodic reassessment mechanisms for senior investors, and whether the advisor had a continuing obligation to monitor for signs of diminished capacity. (4) Under Regulation BI's care obligation (17 CFR 240.15l-1), the advisor must consider reasonably available alternatives and ensure the recommendation is in the customer's best interest at the time it is made. One could argue that approving an entirely new category of options strategies for a senior investor, rather than keeping her at the covered call level she had decades of experience with, was not in her best interest. Arguments that the advisor acted appropriately: (1) Margaret was extraordinarily well-qualified by education, professional background, and investing experience. Her PhD in physics, 30+ years of active equity trading, and nearly two decades of covered call experience demonstrate genuine sophistication. FINRA Rule 2360(b)(16)(B) considers the customer's 'knowledge and experience in financial matters' as a key factor, and Margaret's profile is objectively strong. (2) The trading results were positive-\$17,500 net gain over 14 months with modest position sizing (never exceeding 6.2% of portfolio), no outsized losses, and commissions of only \$2,100 on a \$3 million portfolio. The OCC Options Disclosure Document contemplates that options can be appropriate for sophisticated investors seeking income enhancement. (3) Margaret's stated objectives (growth, aggressive risk tolerance, 10+ year horizon) are consistent with spread strategies. She was not forced into these trades; she actively researched the underlying stocks, asked technically sophisticated questions demonstrating genuine understanding, and expressed a desire to expand her options knowledge. (4) The neurologist's January 2024 assessment explicitly confirmed Margaret retained full financial decision-making capacity. The advisor had no knowledge of the diagnosis, and recorded calls show no signs of diminished capacity through August 2024. (5) Margaret herself objected to the complaint and affirmed her competence. Regulatory guidance on senior investors emphasizes protecting vulnerable adults but also respecting the autonomy of competent seniors who make informed decisions. (6) The firm's principal reviewed and cleared the age flag at account opening based on substantive factors, not rubber-stamping. Level 3 approval excluded the most dangerous strategies (naked calls, uncovered index options), representing a measured approach.

Why Borderline

This scenario sits at the intersection of senior investor protection and investor autonomy. Margaret is

objectively sophisticated and profitable, but she was approved for strategies she had never traded before at age 74, and she subsequently received a cognitive impairment diagnosis the advisor didn't know about. The daughter's complaint raises legitimate concerns about whether the approval process was sufficiently rigorous, but the objective evidence-recorded calls, trading performance, neurological assessment, Margaret's own advocacy-strongly supports the advisor's position. Reasonable regulators could disagree about whether Level 3 approval for a first-time spread trader over age 70 requires enhanced due diligence beyond what was performed, and whether the absence of a periodic reassessment protocol for senior options traders constitutes a supervisory failure.

Borderline Factors

- Margaret had 30+ years of equity and covered call experience but had never executed spread trades before this account-raising the question of whether Level 3 approval was appropriate despite her overall sophistication
- The mild cognitive impairment diagnosis occurred during the trading period, but the neurologist confirmed full financial decision-making capacity and the advisor had no knowledge of the diagnosis
- Margaret's position sizing was conservative (max 6.2% of portfolio) and she was net profitable, cutting against a finding of harm
- The firm's age flag was cleared after principal review but no periodic reassessment was scheduled, which FINRA RN 21-15 and senior investor guidance would suggest is a best practice if not a requirement
- Margaret actively and articulately opposed her daughter's complaint, raising autonomy considerations that regulators must weigh against paternalistic protection
- The digital-first platform model raises questions about whether the approval process was sufficiently personalized despite the principal review
- Covered calls and vertical spreads have meaningfully different risk characteristics, but the maximum risk per spread trade was small relative to Margaret's total wealth

Likely Outcome

A regulator would most likely find no substantive suitability violation by the individual advisor but would likely cite supervisory deficiencies in the firm's options account approval and ongoing monitoring processes. The key factors favoring the advisor are Margaret's exceptional qualifications, conservative position sizing, profitable results, confirmed decision-making capacity, and her own testimony. However, the firm's failure to implement any periodic reassessment protocol for senior options traders-particularly after clearing an age flag-would likely draw criticism under FINRA's heightened expectations for senior investor protections articulated in RN 21-15 and related guidance. The approval for Level 3 without any documented assessment of Margaret's understanding of spread-specific risks (as opposed to general options experience) would likely be flagged as a process weakness. The most probable regulatory outcome is a cautionary letter or minor fine directed at the firm's supervisory procedures rather than a finding of individual advisor misconduct.

Borderline Scenario 6

Topic: *inappropriate_risk_profile* | Standard: FINRA Rule 2360 (Options) and Rule 2361 (Options Account Approval) govern the app

Fact Pattern

Marcus Ellison, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000, including \$410,000 in retirement accounts and \$210,000 in a taxable brokerage account at Ridgepoint Securities. In January 2023, Ellison completed an options account application in which he listed three years of active stock trading experience and six months of options experience limited to selling covered calls on positions he already owned. He described his investment objective as 'growth' and his risk tolerance as 'moderate to aggressive.' His stated liquid net worth outside retirement accounts was \$210,000 and he had no dependents. His financial advisor, Janet Cormier, approved him for Level 3 options trading, which at Ridgepoint permits selling naked puts, trading spreads, and trading short-dated options including those expiring the same day. Cormier noted in her approval memo that Ellison was 'technically sophisticated, familiar with Greeks and probability modeling, and understood the mechanics of short options positions.' She also documented a 45-minute phone conversation in which she walked Ellison through various risk scenarios including maximum loss calculations. Ellison signed and acknowledged receipt of the standard options disclosure document provided by the clearinghouse. Over the next four months, Ellison executed approximately 140 trades, predominantly selling put credit spreads on the S&P 500 index with expirations of zero to two days. His average position size risked roughly \$3,500 per trade, with a maximum defined loss per spread of \$5,000. In late March, a sharp intraday market selloff resulted in seven of his open positions expiring in-the-money on the same day, producing combined losses of \$31,400 - approximately 15% of his taxable account. Ellison continued trading after this event without complaint. By May 2023, Ellison's cumulative net result was a loss of \$12,600. In June, during a routine branch audit, the firm's compliance department flagged the account, noting that Ellison's six months of options experience was below the firm's informal guideline of twelve months for Level 3 approval, that the volume of zero-days-to-expiration trades was high relative to account size, and that the single-day loss event of \$31,400 seemed inconsistent with a 'moderate to aggressive' risk profile. Cormier responded that all positions were defined-risk spreads with capped maximum losses, that Ellison never had aggregate open risk exceeding \$25,000 at any one time (roughly 12% of his taxable account), that she had provided thorough verbal and written disclosure, and that Ellison's technical background made him well-equipped to understand these strategies. She also pointed out that Ellison had never complained and had affirmatively chosen to continue trading after his largest loss. Ellison himself, when contacted by compliance, confirmed he understood the risks and had no grievances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Cormier violated applicable standards: Ellison had only six months of options experience, and that experience was limited to covered calls - a fundamentally different and far less risky strategy than selling put credit spreads on a major index with same-day expirations. Approving a customer for Level 3 options privileges - which includes naked short puts and ultra-short-dated options - based on such limited experience raises serious questions about whether the advisor conducted a reasonable diligence inquiry into the customer's actual knowledge and experience. The firm's own informal twelve-month experience guideline was not met, suggesting even the firm's internal risk framework would not have supported this approval. Additionally, ODTE options carry unique risks including extreme gamma exposure near expiration, wide bid-ask spreads during volatility events, and the potential for rapid, concentrated losses - risks that may not be adequately captured by a general options disclosure document designed for longer-dated instruments. The single-day \$31,400 loss (15% of taxable assets) could be viewed as evidence that the

strategy's actual risk profile exceeded what a 'moderate to aggressive' investor would reasonably tolerate. The high trade frequency (140 trades in four months) also suggests the account was being used almost like a day-trading vehicle, which was not part of Ellison's stated objectives.

Arguments that Cormier acted appropriately: Every position Ellison entered was a defined-risk spread with a known maximum loss, distinguishing this activity from truly naked or undefined-risk options selling. Cormier documented a substantive 45-minute discussion of risks including worst-case scenarios. Ellison's technical background as a software engineer, his familiarity with options Greeks and probability modeling, and his prior (albeit limited) options experience collectively suggest a level of sophistication beyond what the raw months of experience might indicate. His aggregate open risk never exceeded 12% of his taxable account, which is within reasonable bounds for a moderate-to-aggressive investor with no dependents, high income, and substantial retirement savings as a backstop. Ellison received and acknowledged the clearinghouse options disclosure document. He suffered a significant single-day loss but chose to continue trading, and his cumulative net loss of \$12,600 represents only about 6% of his taxable account - a magnitude consistent with growth-oriented risk-taking. Ellison himself expressed no complaints and affirmed his understanding. The firm's twelve-month experience guideline was informal, not a hard policy, and the advisor used professional judgment to determine that qualitative factors compensated for the shorter quantitative track record.

Why Borderline

This scenario sits in a genuine gray zone because the customer's quantitative experience metrics fall short of typical standards for the approved trading level, yet his qualitative sophistication, the defined-risk nature of every trade, the advisor's documented diligence, and the customer's informed consent and lack of complaint all weigh against a finding of unsuitability. The emergence of ODTE options as a popular retail strategy further complicates matters because existing disclosure frameworks and experience benchmarks were not designed with these instruments specifically in mind, making it unclear whether traditional approval criteria adequately capture the relevant risks or whether additional scrutiny is warranted.

Borderline Factors

- Customer's options experience (6 months of covered calls only) fell below the firm's informal 12-month guideline for Level 3 approval
- All positions were defined-risk spreads with capped maximum losses, not naked or undefined-risk strategies
- Advisor documented a thorough 45-minute risk discussion and customer acknowledged the options disclosure document
- Customer's technical background as a software engineer with knowledge of Greeks and probability modeling suggests qualitative sophistication beyond raw experience metrics
- ODTE options carry unique risks (extreme gamma, rapid time decay, intraday liquidity gaps) not fully addressed by standard options disclosure documents
- Single-day loss of \$31,400 (15% of taxable account) is significant but aggregate open risk was managed to ~12% of account
- Cumulative net loss of \$12,600 (~6% of taxable account) is not catastrophic for a high-income investor with no dependents
- Customer continued trading voluntarily after largest loss and never filed a complaint
- 140 trades in four months suggests near-day-trading activity that was not part of stated 'growth'

investment objective

- Firm's internal guideline was informal rather than a codified policy

Likely Outcome

A regulator would most likely find a technical deficiency in the account approval process - specifically, that the advisor did not have a reasonable basis to approve Level 3 options trading for a customer with only six months of covered call experience, regardless of the customer's intellectual sophistication. However, the defined-risk nature of the trades, the documented risk discussion, the customer's informed continuation, and the relatively modest cumulative losses would likely mitigate any sanctions. The most probable outcome would be a supervisory deficiency finding against the firm for failing to enforce its own experience guidelines, a potential letter of caution or minor fine for the advisor for inadequate account approval documentation, but not a full-blown suitability violation finding given the totality of circumstances. If the customer had suffered catastrophic losses or complained, the outcome would tilt more heavily toward a violation.

Borderline Scenario 7

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence)

Fact Pattern

Marcus Whitfield, age 34, works as a warehouse supervisor earning \$62,000 per year. He has a brokerage account with approximately \$47,000 in assets, mostly in index ETFs accumulated over five years of regular contributions. He has no formal financial education but describes himself as an 'active learner' who watches YouTube investing channels daily and has completed two free online courses on options basics offered by the brokerage platform. His account application lists his investment experience as '1-2 years' for equities and 'less than 1 year' for options. His stated objectives are 'growth' and 'speculation,' and his risk tolerance is marked as 'aggressive.' He has no outstanding debts other than a modest car payment and has three months of expenses in a separate savings account.

In March 2023, Whitfield's advisor, Dana Reeves, approved his account for Level 3 options trading, which permits covered calls, cash-secured puts, vertical spreads (both debit and credit), and calendar spreads. Reeves conducted a 25-minute phone conversation with Whitfield before approval, during which Whitfield correctly explained the mechanics of a bull call spread and articulated that selling a credit spread involves defined but real risk of maximum loss at expiration. Reeves documented the call in her notes and also confirmed that Whitfield had received and acknowledged the Options Disclosure Document through the firm's electronic delivery system.

Over the following four months, Whitfield executed 38 options trades, predominantly bull call debit spreads and short put spreads on large-cap technology names. His win rate was roughly 55%, and he realized a net gain of \$3,800 during this period. However, in August 2023, Whitfield placed a series of five short put spread positions on a single earnings week, concentrating roughly \$18,000 of maximum risk exposure into one sector over a three-day window. Three of the five positions expired worthless in his favor, but two resulted in maximum losses totaling \$6,200. Whitfield did not contact Reeves before placing these trades; they were all self-directed through the online platform.

Whitfield subsequently complained to the firm, arguing that he should never have been approved for credit spread trading given his limited experience, and that the account approval process was inadequate. He contended that the 25-minute phone call was insufficient diligence for someone with less than a year of options experience and that the firm should have started him at Level 1 (covered calls only) and required a track record before upgrading. The firm countered that Whitfield demonstrated functional knowledge of spread mechanics, had appropriate risk tolerance and financial capacity, voluntarily selected aggressive objectives, and that all trades were self-directed without any advisor recommendation. The firm also noted that Whitfield's losses represented approximately 13% of his portfolio - painful but not catastrophic - and that his earlier months of profitable trading demonstrated he understood the strategy. Reeves's branch manager reviewed the approval file and found the documentation to be consistent with the firm's internal guidelines for Level 3 approval, which require stated aggressive risk tolerance, demonstrated knowledge of spread strategies, and a minimum account balance of \$25,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario involves the intersection of options account approval standards, customer knowledge verification, and the distinction between recommended and self-directed transactions.

Arguments that Reeves violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain essential facts about a customer before approving options trading, including investment experience, financial situation, and investment objectives. Whitfield had less than one year of options experience at the time of approval, and a single 25-minute phone call - while documented - may be viewed as insufficient diligence for approving credit spread authority, which involves the risk of assignment and can produce rapid losses.
2. FINRA Regulatory Notice 21-15 specifically addresses concerns about the approval of options accounts for customers with limited experience, particularly in the context of online platforms that enable rapid self-directed trading. The Notice emphasizes that firms should not rely solely on customer self-reported information and should have robust supervisory systems. The fact that Whitfield could articulate spread mechanics during a phone call does not necessarily mean he understood portfolio-level concentration risk, earnings volatility, or the behavioral dimensions of managing multiple simultaneous positions.
3. The OCC Options Disclosure Document is meant to be a floor, not a ceiling, for customer education. Simply confirming electronic delivery does not establish that the customer read, understood, and internalized the risks - particularly the compounding effect of multiple simultaneous positions in correlated assets.
4. A regulator might argue that approving Level 3 (credit spreads) rather than starting at Level 1 (covered calls) for a customer with under one year of experience reflects an insufficient graduated approach to options approval, even if the customer's financial profile technically qualifies.

Arguments that Reeves did NOT violate applicable standards:

1. Under Regulation Best Interest, the obligation to act in a customer's best interest applies to recommendations. Whitfield's 38 trades were entirely self-directed; Reeves did not recommend any specific options position. Account approval is a distinct function from trade recommendation, and the applicable standard for approval under FINRA Rule 2360 is whether the firm exercised reasonable diligence - not whether the firm guaranteed profitable outcomes.
2. Whitfield's financial profile supports Level 3 approval: \$47,000 in assets, no significant debt, emergency savings, stated aggressive risk tolerance, and growth/speculation objectives. His maximum risk exposure of \$18,000 in the concentrated earnings-week trades, while aggressive, did not exceed the mathematical limits of his account and represented a self-directed allocation decision.
3. Whitfield demonstrated functional knowledge of spread strategies during the approval conversation, correctly explaining mechanics and articulating risk of loss. The firm's internal guidelines for Level 3 approval were met. Reeves documented the conversation and the electronic delivery of the ODD.
4. Whitfield's four-month track record of 38 trades with a net gain before his concentrated earnings-week loss suggests he did, in fact, understand how spreads work and was capable of executing them profitably. His August losses resulted from a self-directed decision to concentrate risk around earnings - a timing and position-sizing error, not a knowledge gap about the instrument itself.
5. The losses of \$6,200, while significant, represented approximately 13% of his portfolio - within the range of expected aggressive portfolio drawdowns and not the kind of catastrophic wipeout that typically indicates a fundamental mismatch between customer and product.

The core tension is whether the approval itself - as opposed to any specific trade recommendation - constitutes a violation when the customer met the firm's internal criteria, demonstrated basic knowledge, and made self-directed decisions that led to losses stemming from concentration rather than product misunderstanding.

Why Borderline

This case sits in a genuine gray zone because the customer met the firm's objective criteria for Level 3 options approval, demonstrated functional knowledge, had appropriate financial capacity and risk tolerance, and all trades were self-directed. However, less than one year of options experience for credit spread authority is aggressive, the diligence consisted of a single phone call, and the customer's subsequent concentration of risk during earnings season raises questions about whether his understanding extended beyond mechanics to risk management. Regulators post-2021 have heightened scrutiny on options account approvals for relatively inexperienced retail investors, but the traditional framework distinguishes between approval and recommendation, and the customer's profile was not obviously unsuitable.

Borderline Factors

- Customer had less than one year of options experience but demonstrated functional knowledge of spread mechanics during a documented phone call
- All 38 trades were self-directed with no advisor recommendation, complicating application of

best-interest or suitability standards to the approval decision itself

- Customer's financial profile (income, assets, risk tolerance, objectives) met the firm's internal Level 3 approval criteria
 - Losses stemmed from self-directed concentration of risk during earnings week, not from misunderstanding the product
- Total losses of \$6,200 (~13% of portfolio) were painful but not catastrophic or indicative of fundamental unsuitability
- Post-2021 regulatory guidance emphasizes enhanced scrutiny of options approvals for inexperienced retail investors, but does not categorically prohibit spread approval with limited experience
- Firm could have adopted a graduated approval approach (Level 1 first) but was not explicitly required to do so under its existing policies
- 25-minute phone conversation is more diligence than many online platforms perform but arguably less than the complexity of credit spreads warrants for a novice

Likely Outcome

A regulator would most likely find this to be a close call but would probably not sustain a violation, particularly if the firm's internal approval criteria were consistently applied across similarly situated customers. The documented phone conversation, the customer's demonstrated knowledge, appropriate financial profile, and the self-directed nature of all trades would weigh heavily in the firm's favor. However, the regulator might issue a cautionary finding or recommend the firm enhance its graduated approval framework, require a minimum track record at lower option levels before upgrading, and implement automated concentration alerts for customers with limited experience. If the regulator did find a violation, it would likely be framed as a supervisory deficiency in the approval process rather than a suitability violation tied to any specific trade.

Borderline Scenario 8

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability), including the quantitative suitability obligation prohibiting exces

Fact Pattern

Marcus Aldridge, age 42, is a senior software engineer earning \$285,000 annually with a net worth of approximately \$1.8 million. He opened an options-approved brokerage account in March 2022 with an initial deposit of \$175,000, requesting Level 3 options approval (which included covered calls, protective puts, spreads, and short puts secured by cash). On his account application, he indicated 8 years of trading experience, a "speculative" investment objective, a high risk tolerance, and stated that options would represent roughly 30% of his liquid net worth. His advisor, Danielle Kovac, a 12-year industry veteran at a mid-size broker-dealer, approved the account for Level 3 after a 45-minute phone consultation where Marcus described his experience running a personal account at another firm for several years using vertical spreads and iron condors. Kovac's branch manager co-signed the approval.

Over the next 14 months (March 2022 through May 2023), the account executed 387 round-trip options trades. The annualized turnover ratio for the account was approximately 5.8, and the cost-to-equity ratio was roughly 24%. The account generated \$41,200 in total commissions and fees for the firm over this period. However, the account's structure was not a traditional commission-based arrangement - Marcus

had negotiated a hybrid fee model where he paid \$0.50 per options contract (below the firm's standard \$0.65) plus a reduced quarterly advisory fee of 0.15% on assets, which Kovac's firm offered to active traders. The net account value declined from \$175,000 to \$138,000 during this period, a loss of approximately \$37,000 or 21%, while the S&P 500 rose roughly 5% over the same timeframe.

Kovac generated most of the trade ideas, which she communicated through a shared watchlist and morning email with suggested strikes and expirations. Marcus testified that he reviewed each email, modified about 25% of the trades (adjusting strike prices or changing expiration dates), and rejected roughly 10-15% of Kovac's suggestions outright. He executed the remaining trades himself through the firm's online platform. Kovac did not have discretionary authority over the account.

Of the 387 round-trips, approximately 220 were short-duration trades (opened and closed within 10 trading days), predominantly involving weekly SPX and QQQ spreads. Many positions were rolled - closed at a loss and immediately reopened at a different strike - with 68 identified roll transactions. The average holding period across all trades was 7.2 trading days.

Marcus filed a complaint in August 2023 alleging that Kovac churned his account by recommending excessive short-term options trades that primarily generated commissions for the firm and eroded his capital. He noted that despite being an experienced trader, he relied heavily on Kovac's daily recommendations and felt implicit pressure to trade actively because she framed inactivity as "leaving money on the table" during volatile markets.

Kovac's firm responded that Marcus was a sophisticated, high-income investor who specifically sought active options trading, voluntarily chose a hybrid pricing model designed for frequent traders, maintained full execution control, and independently rejected or modified a significant percentage of recommendations. The firm also noted that Marcus's losses were broadly consistent with the performance of short volatility strategies during the 2022 market downturn and that the cost-to-equity ratio, while elevated, reflected the inherent transaction intensity of weekly options strategies rather than unnecessary trading. The firm produced internal supervision logs showing the branch manager reviewed the account's activity quarterly and flagged it once in November 2022 for elevated trading frequency, after which Kovac documented a call with Marcus where he confirmed he wished to continue the same strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between quantitative red flags suggesting churning and qualitative factors suggesting informed, voluntary active trading by a sophisticated client.

Arguments supporting a violation:

- The annualized turnover ratio of 5.8 exceeds the threshold of 6 that many regulators and arbitration panels have historically treated as presumptive churning, though it falls just below it. Some panels have found churning at ratios as low as 4 depending on the account type and customer profile.
- The cost-to-equity ratio of approximately 24% means the account needed to generate returns of 24% annually just to break even after costs - a very high bar even for speculative strategies. Under FINRA Rule

2111 and Reg BI's care obligation, an advisor must have a reasonable basis to believe the series of recommended transactions is not excessive.

- Kovac exercised de facto control over the account: she generated the vast majority of trade ideas, sent daily actionable recommendations with specific strikes and expirations, and used psychological framing ('leaving money on the table') that could constitute implicit pressure. De facto control does not require formal discretionary authority; it can be established through a pattern of the customer routinely following advisor recommendations.
- The 68 roll transactions are particularly concerning because rolling options positions - closing at a loss and immediately reopening - can be a hallmark of churning, generating new commissions without meaningful strategic change.
- FINRA Regulatory Notice 21-15 specifically addresses options account opening and supervision, emphasizing that firms must exercise due diligence in approving accounts and supervising options trading activity. The quarterly review that flagged the account only once, with the resolution being a single documented phone call, may constitute inadequate supervision.

Arguments against a violation:

- Marcus's profile - high income, substantial net worth, stated speculative objective, high risk tolerance, 8 years of self-reported options experience - aligns with active short-term options trading. He specifically sought Level 3 approval for spread strategies.
- Marcus retained full execution control and demonstrably exercised independent judgment by modifying 25% of trades and rejecting 10-15% of suggestions. This undermines the de facto control argument, as a customer who independently evaluates, modifies, and rejects recommendations is exercising meaningful autonomy.
- The hybrid pricing model with reduced per-contract fees was specifically negotiated for active trading. The \$0.50/contract rate is below standard, suggesting the fee structure was designed to accommodate (not exploit) high-frequency options trading.
- Weekly options strategies on SPX and QQQ inherently involve high turnover and short holding periods. A 7.2-day average holding period is normal for weekly spreads. The turnover ratio and cost-to-equity ratio must be evaluated in the context of the specific strategy type. FINRA Rule 2360 contemplates that options trading involves frequent transactions.
- The 21% loss during a period of significant market volatility (2022 included sharp equity drawdowns) is not inconsistent with the performance of short premium/volatility strategies, which can suffer outsized losses during market dislocations.
- The OCC Options Disclosure Document, which Marcus would have received and acknowledged, explicitly warns of the risks of frequent options trading and potential total loss of premium.

The quantitative churning analysis under FINRA Rule 2111 (supplemented by Reg BI for recommendations made after June 30, 2020) examines three elements: (1) excessive trading activity, (2) the advisor's control over the account, and (3) intent to defraud or reckless disregard. The turnover ratio of 5.8 is high but falls just below the conventional presumptive threshold. The cost-to-equity ratio of 24% is clearly elevated. Control is genuinely disputed. Scierter may be difficult to establish given the negotiated fee structure and the client's sophistication.

Why Borderline

The turnover ratio falls just below the traditional presumptive churning threshold, the customer is genuinely sophisticated and exercised demonstrable independent judgment over trade execution, and the high transaction frequency is arguably inherent to the weekly options strategy the customer specifically requested. However, the advisor's de facto influence over trade selection, the psychologically pressuring language, the elevated cost-to-equity ratio, and the pattern of rolling losing positions create legitimate quantitative and qualitative churning indicators. The hybrid fee model cuts both ways - it was designed for active traders but still generated over \$41,000 in fees against a \$37,000 account loss.

Borderline Factors

- Turnover ratio of 5.8 is elevated but falls just below the conventional 6.0 presumptive churning threshold
- Cost-to-equity ratio of 24% is high but must be contextualized within weekly options strategies that inherently generate frequent transactions
- Customer modified 25% and rejected 10-15% of recommendations, demonstrating genuine independent judgment but still following the majority of advisor suggestions
- No formal discretionary authority, but advisor generated nearly all trade ideas with specific actionable parameters and used psychologically pressuring language
- 68 roll transactions could reflect legitimate position management or unnecessary commission-generating activity depending on whether the new positions had materially different risk/reward profiles
- Negotiated below-standard per-contract pricing suggests the arrangement was designed for active trading, not to exploit the customer
- Quarterly supervisory review flagged the account once but resolved it with minimal follow-up, raising questions about supervision adequacy under options-specific oversight requirements
- Customer losses of 21% during 2022 market volatility may reflect strategy risk rather than churning damage

Likely Outcome

A regulator or arbitration panel would likely find this a close case but would probably conclude there was a violation, albeit potentially with reduced damages. The cost-to-equity ratio of 24% is the strongest quantitative indicator - regardless of whether the turnover ratio crosses the presumptive threshold, an account that must earn 24% to break even raises serious questions about whether the frequency of trading served the customer's interest. The pattern of daily emailed recommendations with specific parameters, combined with the 'leaving money on the table' framing, would likely be found to establish de facto influence if not outright control. The 68 roll transactions would receive particular scrutiny. However, the customer's sophistication, demonstrated independence (rejecting and modifying trades), negotiated discount pricing, and the inherent nature of weekly options strategies would likely mitigate damages and could support a finding of comparative fault. A FINRA arbitration panel might award partial damages - perhaps 50-60% of the net losses plus excess commissions - while acknowledging the customer's contributory role.

Borderline Scenario 9

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); FINRA R

Fact Pattern

Marcus Trenton, age 34, is a software engineer earning \$185,000 annually with a net worth of

approximately \$620,000, including \$410,000 in retirement accounts and \$210,000 in a taxable brokerage account at Ridgeline Securities. Marcus has been actively trading equities for six years with approximately 300 trades per year, primarily in technology stocks. He has no formal finance education but has completed several online courses on options trading, including a 40-hour certificate program from a well-known trading education platform. He has traded covered calls and cash-secured puts for roughly 18 months with no significant losses.

In March 2023, Marcus requested that his account be upgraded from Level 2 (covered calls, cash-secured puts, long calls and puts) to Level 4 options approval, which would allow him to sell uncovered (naked) index puts and engage in multi-leg spread strategies including iron condors and ratio spreads. His financial advisor, Diana Chowdhury, reviewed his application. Marcus listed his investment objective as 'speculation' for the options portion of his account, his risk tolerance as 'aggressive,' and his liquid net worth as \$210,000. He stated his investment time horizon was 5-7 years and that he understood he could lose his entire options investment.

Diana approved the Level 4 upgrade after a 15-minute phone conversation in which Marcus described his understanding of naked put risk, margin requirements, and assignment mechanics. Diana did not use a standardized questionnaire beyond the firm's online application form, nor did she administer any written knowledge assessment. She noted in her file that Marcus was 'knowledgeable and experienced with options concepts' and that he had 'demonstrated consistent profitability in Level 2 strategies.' The firm's written supervisory procedures required that Level 4 approvals include a 'documented assessment of the customer's options knowledge and experience' but did not specify the format of that assessment.

Over the next four months, Marcus executed 47 multi-leg options trades, mostly iron condors on the S&P 500 index, generating approximately \$38,000 in premium income. In August 2023, a sharp market correction caused three of his short put positions to move deep in-the-money. Marcus received margin calls totaling \$87,000, which he met by liquidating a significant portion of his equity holdings at a loss. His net loss for the period was approximately \$52,000, representing roughly 25% of his liquid net worth.

Marcus subsequently complained to Ridgeline Securities, arguing that Diana should never have approved him for Level 4 trading given that his only prior options experience was in Level 2 strategies, that naked put selling exposed him to theoretically unlimited losses that were disproportionate to his liquid net worth, and that the 15-minute phone call was insufficient diligence for such a significant account upgrade. Diana countered that Marcus had 18 months of profitable options experience, clearly articulated his understanding of the risks, voluntarily selected aggressive/speculative objectives, met the firm's minimum financial thresholds for Level 4 (\$100,000 liquid net worth), and that his losses resulted from a market event rather than a lack of understanding. The firm's compliance department noted that the Options Disclosure Document had been delivered to Marcus electronically when he first opened the options account and again when the Level 4 upgrade was processed, with electronic acknowledgment timestamps.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make the outcome genuinely uncertain.

Arguments that Diana violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a member must exercise due diligence to ascertain essential facts about a customer before approving options trading, including investment experience, financial situation, and investment objectives. The leap from Level 2 (defined-risk strategies like covered calls and cash-secured puts) to Level 4 (naked/uncovered options with potentially unlimited risk) is substantial. Marcus had zero experience with undefined-risk strategies, and 18 months of covered call and cash-secured put trading does not demonstrate competence in naked options selling, which involves fundamentally different risk dynamics.
2. FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms using automated or cursory approval processes for options accounts, noting that firms must have reasonable procedures to assess whether customers have sufficient knowledge and experience for the options strategies they are approved to trade. A 15-minute phone conversation without a standardized assessment tool, written quiz, or structured evaluation may fall short of what regulators expect as a 'documented assessment,' particularly for the highest approval levels.
3. Under Regulation Best Interest's care obligation, Diana was required to exercise reasonable diligence, care, and skill in making the recommendation (here, the account approval effectively functions as a recommendation to engage in Level 4 strategies). The risk-reward profile of naked put selling relative to Marcus's \$210,000 liquid net worth raises questions. A single adverse market event wiped out 25% of his liquid assets, suggesting the strategy concentration was potentially unsuitable even for an aggressive investor.
4. The OCC Options Disclosure Document explicitly warns about the risks of uncovered option writing, and mere delivery of the document does not substitute for the firm's independent obligation to determine that the customer is suitable for the approved strategies.

Arguments that Diana did not violate applicable standards:

1. Marcus was a 34-year-old high-income professional with six years of active trading experience and 18 months of profitable options trading. He voluntarily self-identified as aggressive with speculative objectives. He exceeded the firm's financial minimums for Level 4 approval. Under FINRA Rule 2360, the firm must consider the customer's investment experience, financial situation, and objectives - all of which facially supported the approval.
2. The firm's written supervisory procedures required a 'documented assessment' but did not mandate a specific format. Diana conducted a phone conversation and documented her conclusions. Courts and arbitration panels have generally held that firms have discretion in how they implement their supervisory procedures, provided the substance is reasonable.
3. Marcus's losses were attributable to a broad market correction - a known risk that he acknowledged understanding. His trades (iron condors, primarily) are actually defined-risk strategies, and only the naked

put positions created the outsized exposure. The fact that he was able to meet \$87,000 in margin calls (albeit by liquidating other holdings) suggests his financial resources were not entirely inadequate.

4. Under Regulation Best Interest, the approval of an account level is distinguishable from a specific product recommendation. Diana did not direct Marcus to make particular trades; she approved his access to a category of strategies. Marcus exercised independent judgment in sizing and timing his positions. The argument that position sizing, not account approval, caused the harm has merit.

5. FINRA Rule 2360(b)(16)(B) requires that a Registered Options Principal (or branch manager with appropriate qualifications) approve the account. If the firm's supervisory structure approved the account upgrade through its normal process, liability may rest more with the firm's systems than with Diana individually.

Why Borderline

The scenario sits at the intersection of several genuinely contested questions: (1) whether 18 months of defined-risk options experience provides a reasonable basis for approving undefined-risk strategies; (2) whether a verbal assessment satisfies documentation requirements when the firm's WSPs are ambiguous on format; (3) whether account-level approval triggers the same duty as a specific trade recommendation under Reg BI; and (4) whether the customer's self-reported knowledge, financial profile, and stated objectives can justify the approval even when the experience gap is significant. Reasonable practitioners disagree on each of these points.

Borderline Factors

- Marcus had 18 months of profitable but exclusively defined-risk options experience - meaningful but arguably insufficient for naked strategies
- The firm's WSPs required 'documented assessment' without specifying format, making the 15-minute phone call potentially compliant in letter but questionable in spirit
- Marcus's liquid net worth of \$210,000 exceeded the firm's \$100,000 minimum but a single adverse event consumed 25% of it, raising proportionality questions
- Marcus self-selected aggressive/speculative objectives and affirmatively represented his understanding of risks
- Most of Marcus's trades (iron condors) were actually defined-risk; the harm came from a subset of naked put positions, blurring the line between account approval failure and position sizing failure
- The OCC Options Disclosure Document was properly delivered and acknowledged, but delivery alone does not cure an unsuitable approval
- FINRA RN 21-15 raised concerns about cursory approval processes, but did not establish bright-line requirements for what constitutes adequate assessment
- Marcus's age, income, and overall net worth suggest he could absorb losses over time, even though the short-term impact was significant

Likely Outcome

A regulator would most likely find a technical violation of the firm's supervisory obligations under FINRA Rules 2360(b)(16) and the firm's own WSPs, but with significant mitigating factors. The 15-minute phone conversation without a structured assessment - for a customer jumping from defined-risk to undefined-risk strategies - would likely be viewed as insufficient documentation of the customer's knowledge, particularly

in light of FINRA RN 21-15's emphasis on robust options account approval processes. However, given Marcus's income, liquid net worth, trading experience, self-reported risk tolerance, and the fact that he independently directed his trades after approval, sanctions would likely be modest - perhaps a supervisory deficiency finding with enhanced procedural requirements rather than disgorgement or significant monetary penalties. Under Reg BI, the care obligation analysis is closer, as Diana had a reasonable (if thin) basis for the approval. The outcome might differ in customer arbitration versus a regulatory examination context, with arbitrators potentially more sympathetic to the customer's losses.

Borderline Scenario 10

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) requires member firms to exercise due diligence

Fact Pattern

Marcus Pellegrini, age 34, works as a dental hygienist earning \$72,000 annually with a net worth of approximately \$185,000, most of which is in his 401(k). He has a taxable brokerage account with \$41,000 in it, consisting mostly of broad market ETFs he accumulated over three years of regular contributions. Marcus has no formal financial education but has been an active member of several online investing communities for about 18 months and frequently discusses options strategies in those forums. He told his financial advisor, Danielle Reeves, that he had been paper-trading options for six months and had completed an online options education course offered by a major brokerage platform, receiving a certificate of completion. He also showed Danielle screenshots of approximately 15 paper trades, most of which were profitable, involving covered calls and cash-secured puts on large-cap stocks.

In March 2024, Marcus requested that Danielle approve his account for Level 3 options trading, which at their firm permits vertical spreads (both debit and credit), in addition to covered calls and cash-secured puts already available at Levels 1 and 2. On his options application, Marcus listed his investment objective as "growth" with a "moderate" risk tolerance, a time horizon of 5-10 years, and three years of investing experience but zero years of actual options trading experience. Danielle reviewed the application and approved him for Level 3 after a 25-minute phone conversation in which Marcus articulated a reasonable understanding of how vertical spreads work, including maximum loss scenarios.

Over the following four months, Marcus executed 47 options trades. Approximately 30 of these were bull call spreads and bear put spreads on large-cap technology stocks, often timed around analyst price target announcements he tracked in his online communities. His typical position size was \$800 to \$1,500 per spread, representing roughly 2-4% of his account per trade. Fourteen of these trades were profitable, and the rest expired worthless or were closed at losses. By July 2024, his account had declined from \$41,000 to \$29,200 - a loss of approximately \$11,800, or 28.8% of his original account value.

Marcus filed a complaint alleging that Danielle should never have approved him for spread trading given that he had zero actual options trading experience, that his moderate risk tolerance was inconsistent with a strategy that resulted in frequent total loss of premium, and that the frequency of trading was excessive. Danielle responded that Marcus demonstrated adequate knowledge during their conversation, that defined-risk spreads are among the more conservative multi-leg strategies, that each individual position

was small relative to his account, and that Marcus independently selected every trade without any recommendation from her. She also noted that she had sent Marcus the standardized options disclosure document before approval and that he acknowledged reading it. The firm's compliance records confirm that the disclosure document was emailed and that Marcus clicked a link confirming receipt, though there is no record of how long he spent reviewing it.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Danielle violated applicable standards: Marcus had literally zero actual options trading experience at the time of approval, despite the application clearly reflecting this. Paper trading, while educational, does not expose a client to the psychological and financial realities of losing real money, and regulators have historically viewed actual experience as a critical factor in options account approval. His income and net worth are modest, and the \$41,000 taxable account represented a meaningful portion of his liquid assets. A 28.8% decline over four months could suggest the approved strategy level was inconsistent with his stated moderate risk tolerance. The high frequency of trades - 47 in four months - may also indicate a pattern inconsistent with a moderate-risk, growth-oriented investment objective. The fact that the disclosure document acknowledgment was a simple click-through with no measurement of actual engagement weakens the argument that Marcus was adequately informed. Regulators have increasingly scrutinized digital acknowledgment processes as insufficient, particularly for retail customers new to complex products.

Arguments that Danielle acted appropriately: Vertical spreads are defined-risk strategies where maximum loss is known and capped at the time of entry. Marcus's position sizing of 2-4% per trade is well within commonly accepted risk management guidelines and suggests disciplined allocation even if individual trades lost money. Marcus actively sought out options education, completed a course, paper-traded for six months, and demonstrated articulable knowledge during a substantive 25-minute conversation - this is more preparation than many retail options traders undertake. Danielle did not recommend any specific trades; Marcus independently identified and executed all 47 positions. The approval was for Level 3, not the highest level, meaning Marcus could not sell naked options or engage in undefined-risk strategies. Losses alone do not establish unsuitability - markets involve risk, and Marcus's stated growth objective and moderate risk tolerance are not inherently incompatible with defined-risk spread strategies. Finally, Marcus's age (34) and long time horizon (5-10 years) provide ample time to recover from short-term losses.

Why Borderline

This case sits in genuine tension because the customer had zero real options experience but demonstrated meaningful self-education, the strategy approved was defined-risk with capped losses, position sizing was conservative, and the advisor made no specific trade recommendations. However, the rapid account decline, high trade frequency, modest financial profile, and stated moderate risk tolerance all create plausible arguments that the approval itself was premature. The digital-only disclosure acknowledgment process further complicates the analysis. Reasonable compliance professionals could disagree on whether paper trading and an online course substitute for actual experience in the approval calculus, and whether the advisor had a duty to impose guardrails even on a self-directed customer.

Borderline Factors

- Zero actual options trading experience versus six months of paper trading and course completion
- Defined-risk spread strategies with capped maximum loss versus 28.8% overall account decline
- Conservative 2-4% position sizing per trade versus 47 trades in four months
- Customer self-directed all trades with no advisor recommendations versus advisor's gatekeeper role in account approval
- Moderate stated risk tolerance versus strategy involving frequent total loss of premium on individual positions
- Click-through disclosure acknowledgment with no verification of comprehension
- Modest financial profile (\$72K income, \$41K liquid account) but young age with long time horizon
- Customer actively sought approval and demonstrated articulable knowledge in conversation

Likely Outcome

A regulator would most likely find a technical violation of the account approval process, focusing on the zero actual options trading experience and the insufficiency of the disclosure acknowledgment procedure, but would likely view the violation as moderate rather than egregious. The defined-risk nature of vertical spreads, conservative position sizing, customer-initiated trades, and Marcus's demonstrated self-education would serve as significant mitigating factors. The most probable outcome would be a finding that the firm's approval procedures were deficient - particularly the reliance on a click-through disclosure and the approval of a customer with no live trading history - with remedial measures such as enhanced supervisory procedures rather than severe sanctions. Individual liability for Danielle would depend heavily on whether her firm's written supervisory procedures explicitly required actual (not simulated) trading experience for Level 3 approval, or whether she exercised reasonable judgment within ambiguous guidelines.

Borderline Scenario 11

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) governs options account approval and requ

Fact Pattern

Marcus Redfield, age 34, works as a restaurant general manager earning \$72,000 per year. He has a liquid net worth of approximately \$145,000, most of which sits in a brokerage account he opened in 2020 during the pandemic. Marcus has no formal financial education but has been actively trading stocks for roughly two years, executing approximately 180 equity trades during that period, mostly in large-cap technology names. He describes his investment objective as 'growth' and his risk tolerance as 'aggressive' on his new account form. In February 2023, Marcus contacted his financial advisor, Dina Castillo, requesting approval for options trading. He told Dina he had been watching YouTube tutorials on options for about six months and had paper-traded spreads using a simulator app, logging roughly 40 simulated spread trades. He said he wanted to generate additional income through selling covered calls on his existing stock positions and also wanted approval to trade vertical spreads (both credit and debit spreads), which are defined-risk strategies. Dina reviewed his account application, spoke with him for approximately 25 minutes on the phone about options mechanics, and noted in her file that Marcus could explain the difference between puts and calls, understood maximum loss on vertical spreads, and knew that covered calls cap upside in exchange for premium. Dina approved Marcus for Level 3 options trading, which at her firm permits covered calls, cash-secured puts, and defined-risk spreads (verticals, iron condors, iron butterflies), but does NOT permit naked short options or undefined-risk strategies. Over the following eight months, Marcus

executed 52 options trades. Forty-one of these were covered calls and vertical spreads with defined risk. However, eleven trades were iron condors on high-volatility meme stocks and biotech names where the underlying moved sharply, resulting in losses totaling \$18,400. His overall options P&L for the period was negative \$6,200 (he made \$12,200 on covered calls and verticals). His total account value declined from \$145,000 to \$128,500 during this period, though approximately \$9,800 of that decline was attributable to drops in his underlying equity positions unrelated to options. Marcus did not complain to Dina during this period and in fact sent her an email in June 2023 saying he appreciated 'finally being able to trade real strategies.' In November 2023, after a particularly painful iron condor loss of \$5,100 on a biotech earnings play, Marcus filed a complaint alleging that Dina should never have approved him for options trading because he had no prior real-money options experience and was not sophisticated enough to understand multi-leg strategies. He stated that paper trading was inadequate preparation and that Dina failed to properly evaluate whether he truly understood the risks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dina violated applicable standards: Marcus had zero real-money options experience at the time of approval. His income of \$72,000 and liquid net worth of \$145,000 are moderate, meaning the \$18,400 in options losses represents a material percentage of his annual income. Watching YouTube videos and paper trading for six months, while showing initiative, may not constitute the kind of genuine experience and knowledge that rigorous options account approval processes are meant to verify. Multi-leg strategies like iron condors on volatile meme stocks and biotech names carry significant complexity - even with defined risk - because the probability of maximum loss is elevated in high-volatility underlyings, and the margin between profit and loss is narrow. A 25-minute phone conversation may be insufficient due diligence to verify genuine comprehension. Some would argue that Dina had an obligation to start Marcus at a lower approval level (covered calls only) and require a track record before upgrading to spreads and iron condors.

Arguments that Dina acted appropriately: Marcus was approved only for defined-risk strategies; naked options and unlimited-risk trades were explicitly excluded. Covered calls and vertical spreads are widely considered appropriate entry-level options strategies for retail investors. Marcus demonstrated initiative by paper trading 40 spread trades over six months, which is more preparation than many retail applicants show. He self-identified as aggressive with a growth objective. Dina documented the approval conversation and noted that Marcus could articulate key options concepts. The overall loss of \$6,200 attributable to options over eight months - roughly 4.3% of his starting account - is not catastrophic and falls within the range of normal trading outcomes for an aggressive investor. Forty-one of 52 trades were in the strategies Marcus originally requested (covered calls and verticals). The iron condor losses were concentrated in high-volatility names, which reflects a strategic choice by Marcus rather than a structural failure of the approval process. Marcus's own contemporaneous email expressing satisfaction undercuts the claim that he didn't understand what he was doing. The losses were driven primarily by his selection of volatile underlyings rather than by the complexity of the strategy itself.

Why Borderline

This case sits in genuine gray territory because the approval level was limited to defined-risk strategies (not

naked options), the customer showed meaningful self-education and paper-trading experience, and the losses were moderate relative to account size. However, the customer had literally zero real-money options experience, his knowledge was self-taught from informal sources, and the approval conversation was brief. Reasonable practitioners disagree about whether paper trading and YouTube education constitute adequate 'knowledge and experience' for multi-leg options strategies, and whether a 25-minute conversation is sufficient due diligence for a first-time options applicant. The fact that most of the losses came from iron condors on high-volatility names - a subset of the approved strategies that carries higher practical risk - adds nuance about whether the approval tier was too broad even if each individual strategy had defined risk.

Borderline Factors

- Customer had zero real-money options experience but demonstrated six months of paper trading and self-education
- Approval was limited to defined-risk strategies only, excluding naked/undefined-risk positions
- Total options losses of \$6,200 represent approximately 4.3% of starting account value - material but not devastating
- 25-minute phone conversation for approval documentation - potentially thin but not absent
- Customer's own contemporaneous email expressed satisfaction with trading access
- Iron condors on meme stocks and biotech are defined-risk but carry elevated probability of maximum loss
- Customer self-identified as aggressive with growth objectives
- Moderate income (\$72,000) relative to losses (\$18,400 gross options losses) raises proportionality concerns
- 41 of 52 trades were in the originally-requested simpler strategies (covered calls and verticals)
- Complaint filed only after a single large loss, suggesting possible hindsight bias

Likely Outcome

A regulator would likely find this to be a close call but would probably not sustain a violation, provided Dina's documentation adequately memorializes the approval rationale. The limiting of approval to defined-risk strategies, combined with the customer's demonstrated self-education, paper-trading record, aggressive risk profile, contemporaneous satisfaction, and moderate overall losses, likely provides sufficient defense. However, a regulator might issue a cautionary finding or require enhanced procedures, particularly around the adequacy of the 25-minute approval conversation and the lack of any follow-up review after the customer began trading iron condors on high-volatility names. If Dina's documentation were thin or if the firm lacked a structured options education or acknowledgment process, the outcome could tip toward a finding of inadequate account approval procedures.

Borderline Scenario 12

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) - Options Account Approval and Due Diligence; FINRA Rule 23

Fact Pattern

Marcus Delgado, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000, including \$290,000 in a 401(k), \$95,000 in a savings account, and \$235,000 in a

brokerage account at Trident Financial. In March 2023, Delgado applied for options trading through Trident's online platform. On his application, he listed his investment objective as "growth" and his risk tolerance as "moderate to aggressive." He reported two years of stock trading experience and stated he had "some knowledge" of options from online courses and paper trading on a simulator platform for approximately six months. He did not report any prior live options trading experience. Delgado's account was reviewed by Sandra Chen, a registered representative and branch supervisor at Trident. Chen approved Delgado for Level 3 options trading, which at Trident permits buying and selling calls and puts, covered writing, cash-secured puts, and multi-leg spread strategies including vertical spreads, iron condors, and calendar spreads. Level 3 does not permit naked short calls or uncovered index writing. Chen noted in her approval memo that Delgado's income, liquid net worth, and age profile supported the approval, and that the simulated trading history he described suggested functional familiarity with spread mechanics. She did not request documentation of the paper trading results or verify his completion of any educational coursework. Over the following four months, Delgado executed 47 options trades, predominantly iron condors and vertical credit spreads on large-cap technology stocks. His win rate was approximately 60%, and he generated a net profit of \$8,200. However, in August 2023, Delgado sold a series of put credit spreads on a semiconductor ETF just before a significant sector downturn. He lost \$41,000 in approximately ten days - roughly 17.5% of his brokerage account value. Delgado filed a complaint alleging that he should never have been approved for Level 3 trading, that his stated experience was insufficient, and that the firm failed to verify his actual knowledge before granting access to complex multi-leg strategies. Trident responded that Delgado's financial profile, stated risk tolerance, and self-reported familiarity with options supported the approval, that he traded profitably for months before the loss, that the strategies he used had defined and limited risk, and that no recommendation was made - all trades were self-directed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario sits at the intersection of account approval diligence and the scope of obligations owed to self-directed customers trading options. Under FINRA Rule 2360(b)(16), a member must exercise due diligence to learn the essential facts about a customer before approving an options account, including investment experience, financial situation, investment objectives, and the types of options transactions the customer wishes to employ. The firm must have a reasonable basis for believing the customer has sufficient knowledge and experience to engage in the approved level of options trading. Here, several factors support the firm's position: Delgado was a high-income professional in his mid-30s with substantial liquid net worth; he self-reported moderate-to-aggressive risk tolerance and a growth objective consistent with options strategies; the strategies he was approved for (spreads and iron condors) carry defined, limited risk with maximum losses known at entry; and he traded profitably for four months before the loss event, suggesting functional competence. On the other hand, the customer had zero live options trading experience at the time of approval - only self-reported paper trading and online coursework. The supervisor did not verify or document any of the claimed educational background or simulated results. FINRA RN 21-15 specifically reminds firms that they must perform meaningful due diligence regardless of whether the account is self-directed, and that self-reported information alone may be insufficient - particularly where the firm has reason to question its reliability or where the customer seeks approval for complex strategies. Two years of stock trading and unverified simulator experience could be viewed as a thin basis for Level 3

multi-leg approval. The OCC Options Disclosure Document must be provided before approval and serves as a baseline, but providing it does not substitute for an independent assessment of customer knowledge. The \$41,000 loss, while significant in absolute terms, represented a defined-risk outcome on strategies with known maximum loss - which arguably demonstrates that the strategies functioned as designed. The loss was triggered by market conditions, not by an inherently unsuitable strategy structure. Under Reg BI's Care Obligation, when a recommendation is made, the broker must have a reasonable basis to believe it is in the customer's best interest. However, Trident argues no recommendation occurred - all trades were self-directed. The dispute therefore centers primarily on the account approval decision, not trade-level suitability. The key regulatory question is whether Chen's approval memo, relying on self-reported and unverified experience for Level 3 multi-leg strategies, constituted adequate due diligence under the options account approval framework.

Why Borderline

The customer had a strong financial profile and appropriate stated risk tolerance for defined-risk options strategies, but had no verified live trading experience. The supervisor relied entirely on unverified self-reported information - a practice that was common industry-wide before heightened scrutiny following the 2020-2021 retail options boom but that regulators have since flagged as potentially insufficient. The strategies approved all had defined risk with known maximum losses, which mitigates the concern about a novice being exposed to catastrophic or unlimited losses. The loss that triggered the complaint was within the expected parameters of the approved strategies and resulted from adverse market movement, not from misuse or misunderstanding of the products. Reasonable professionals could disagree on whether paper trading plus online coursework constitutes 'sufficient knowledge and experience' for multi-leg spreads, and whether the firm's failure to verify that background crosses the line from imperfect practice to a violation.

Borderline Factors

- Customer had zero live options trading experience but claimed six months of paper trading and online education - unverified by the firm
- Level 3 approval included complex multi-leg strategies (iron condors, vertical spreads), but all had defined and limited maximum risk
- Customer's financial profile (age 34, \$185K income, \$235K liquid brokerage assets) objectively supported moderate-to-aggressive risk strategies
- Supervisor documented rationale for approval but did not independently verify educational claims or paper trading history
- Customer traded profitably and apparently competently for four months before the loss, suggesting functional understanding of the strategies
- The \$41,000 loss was within the mathematically defined risk parameters of the positions - not evidence of strategy misunderstanding
- All trades were self-directed with no recommendation from the firm, limiting the applicability of trade-level suitability or best interest analysis
- Regulatory guidance issued in 2021 raised the bar for options approval diligence, but did not create bright-line requirements for verification of self-reported experience

Likely Outcome

A regulator would likely find a supervisory deficiency in the account approval process - specifically the failure to verify or document the customer's claimed options knowledge - but would be unlikely to find that

the approval itself was unreasonable given the customer's overall financial profile and the defined-risk nature of the approved strategies. The most probable outcome is a cautionary finding or minor supervisory violation related to documentation and verification practices, rather than a finding that the account should not have been approved at all. The absence of any recommendation and the customer's demonstrated trading competence over several months would weigh against a finding of substantive harm caused by the approval. If the firm had a pattern of similarly unverified approvals across many accounts, the supervisory failure finding would be significantly stronger.

Borderline Scenario 13

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2361

Fact Pattern

Margaret Holloway, age 58, is a semi-retired school administrator who receives a \$62,000 annual pension and has approximately \$1.1 million in liquid investable assets split across three brokerage accounts. In 2023, she opened an options trading account with Eastpoint Wealth Advisors after meeting with her financial advisor, Derek Paulson. On her new account application, Holloway listed her investment objective as 'growth with income,' her risk tolerance as 'moderate,' and her investment experience as 'limited - stocks and mutual funds only.' She had no prior options trading experience.

During their initial meeting, Paulson spent approximately 90 minutes explaining options strategies to Holloway. He showed her historical backtested returns for covered call writing and cash-secured put selling on large-cap dividend-paying stocks. Holloway expressed interest in generating additional income from her existing stock portfolio, which consisted primarily of blue-chip equities she had accumulated over 20 years. Paulson noted in his file that Holloway was 'eager to learn income-generating strategies' and 'understood the mechanics after our discussion.'

Paulson approved Holloway for Level 2 options trading, which at Eastpoint permitted covered calls, protective puts, cash-secured puts, and long calls and puts. He did not approve her for spreads, naked options, or any margin-based options strategies. Holloway signed the options agreement and acknowledged receipt of the options disclosure document, though she later stated in a complaint that she 'skimmed it' and 'found it very technical.'

Over the next 14 months, Paulson recommended and Holloway executed 47 covered call trades and 12 cash-secured put trades on stocks she already owned or was willing to own, including Johnson & Johnson, Procter & Gamble, Coca-Cola, and Microsoft. The covered calls were typically written 5-10% out of the money with 30-45 day expirations. The cash-secured puts were written on stocks trading near 52-week lows that Holloway said she would be comfortable purchasing. Holloway earned approximately \$38,500 in premium income during this period, and her total portfolio appreciated 7.2%. Three of the cash-secured puts were assigned, resulting in Holloway purchasing shares she continued to hold.

However, during month 11, Paulson also recommended four long call option positions on earnings announcements - two on Tesla and two on Nvidia - totaling \$14,200 in premium paid. Paulson told

Holloway these were 'asymmetric opportunities' where she could lose only the premium but potentially earn significant gains. Three of the four expired worthless, costing Holloway \$11,800. The fourth earned \$3,100.

Holloway filed a complaint alleging that her account should never have been approved for options at all given her age, moderate risk tolerance, and lack of experience, and that the speculative long call trades were completely inconsistent with her stated investment objectives. She also argued that a 90-minute conversation was insufficient education for someone with zero options knowledge.

Paulson's firm countered that the vast majority of the options activity - covered calls and cash-secured puts on blue-chip holdings - was entirely consistent with a moderate-risk income objective, that Holloway was sophisticated enough to understand these conservative strategies, that the long call positions represented only 1.3% of her total portfolio, and that Holloway had enthusiastically participated in every trade decision and could have declined the earnings plays.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario requires analyzing two distinct issues: (1) whether the account should have been approved for options trading at all, and (2) whether the specific speculative long call trades were suitable.

Regarding account approval, FINRA Rule 2360(b)(16) requires firms to assess a customer's investment objectives, financial situation, investment experience, and other relevant factors before approving options trading. Here, Holloway had zero options experience and a moderate risk profile. However, the firm approved her only for Level 2 - the most conservative options tier that includes covered calls and cash-secured puts, which are widely regarded as among the least risky options strategies available. Covered call writing on existing stock holdings is frequently recommended as appropriate for moderate-risk, income-oriented investors and is often compared in risk profile to a limit sell order. Cash-secured puts on stocks a client is willing to own at lower prices similarly have a risk profile comparable to placing a limit buy order. FINRA Regulatory Notice 21-15 emphasizes that firms must have robust account approval processes, but it also recognizes that not all options strategies carry the same risk. Paulson's 90-minute educational session, while potentially insufficient for complex strategies, may have been adequate for these basic income strategies.

Regarding the speculative long calls, the analysis shifts. Four speculative earnings plays totaling \$14,200 are directional bets with a high probability of total loss. These are inconsistent with Holloway's stated 'growth with income' objective and 'moderate' risk tolerance. The fact that these represented only 1.3% of her total portfolio arguably limits the harm and could be viewed as a minor allocation to speculative positions that many moderate portfolios include. However, under Regulation BI's care obligation, the advisor must have a reasonable basis to believe each recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile. Speculative directional options on highly volatile tech stocks before earnings do not align with a moderate income-seeking profile, regardless of position size.

The OCC Options Disclosure Document explicitly warns that purchasing options carries the risk of losing

the entire premium, and speculative options buying is identified as a high-risk activity. However, Holloway signed the disclosure document and participated willingly.

Counterarguments for the advisor: the core strategy was demonstrably conservative and profitable; the speculative positions were de minimis relative to portfolio size; Holloway was informed and consenting; covered calls and cash-secured puts are routinely approved for moderate-risk investors; and the overall account performance was positive.

Counterarguments against the advisor: Holloway had zero options experience and her application clearly stated limited experience; a 90-minute session does not transform a novice into a knowledgeable options trader; the speculative trades were facially inconsistent with her profile; and the advisor had an obligation to ensure each recommendation - not just the overall strategy - was appropriate.

Why Borderline

The core options strategy (covered calls and cash-secured puts on blue-chip stocks) is widely considered conservative and income-appropriate, making the account approval itself defensible. The genuine gray area arises from the small allocation to speculative long calls - a reasonable person could argue that 1.3% of a portfolio in speculative positions is immaterial and within normal portfolio management discretion, while another could argue that any speculative options recommendation to a moderate-risk client with no options experience is per se unsuitable regardless of size. Additionally, there is a legitimate debate about whether a client with no options experience should be approved even for conservative options strategies, or whether the conservative nature of those strategies sufficiently mitigates the experience gap.

Borderline Factors

- Client had zero options experience but was approved only for the most conservative options tier
- The vast majority of trades (59 of 63) were conservative income-generating strategies fully consistent with stated objectives
- The speculative long call positions represented only 1.3% of total portfolio value - de minimis by many standards
- Client actively participated in all trading decisions and could have declined speculative trades
- A 90-minute educational session is arguably adequate for covered calls but inadequate for speculative options trading
- Overall portfolio performance was positive and the income strategy was working as described
- The four speculative trades were facially inconsistent with the client's stated moderate risk tolerance and growth-with-income objective
- Client signed but admittedly did not carefully read the options disclosure document
- The firm's account approval and the conservative strategy are defensible, but the advisor arguably drifted from the approved use case

Likely Outcome

A regulator would most likely find no violation regarding the account approval itself or the covered call and cash-secured put strategy, as these are widely accepted as appropriate for moderate-risk income-oriented investors even with limited options experience, particularly at the most conservative approval level. However, a regulator would likely find a violation with respect to the four speculative long call trades on Tesla and Nvidia earnings, concluding that these specific recommendations were inconsistent with

Holloway's documented investment profile under Regulation BI's care obligation. The likely sanction would be relatively modest - perhaps a fine and requirement to pay restitution of the \$8,700 net loss on the speculative trades - with a supervisory finding that the firm should have had better controls to flag when an advisor's recommendations deviated from the client's approved risk profile and stated objectives. The account approval and the 59 conservative trades would likely be upheld as appropriate.

Borderline Scenario 14

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability, including quantitative suitability/churning prohibition); FINRA Ru

Fact Pattern

Marcus Reinholdt, age 44, is a senior software engineer at a large tech firm earning \$310,000 annually with a net worth of approximately \$2.1 million, including \$680,000 in his brokerage account at Trident Securities. Marcus has been trading options since 2017, initially self-directed on a mobile platform where he executed roughly 15-20 options trades per month, mostly buying calls and puts on tech stocks. In January 2022, Marcus opened a managed options account with Trident advisor Danielle Foss after attending a webinar she hosted on 'generating consistent income through active options management.' Marcus's account application listed his investment objective as 'speculation/aggressive growth,' his risk tolerance as 'high,' his time horizon as '3-5 years,' and his experience level as 'extensive' in options trading. He was approved for Level 4 options trading, which included uncovered writing.

Over the next 18 months (January 2022 through June 2023), Danielle executed 847 options trades in Marcus's account. The strategies included frequent opening and closing of iron condors, vertical spreads, and calendar spreads on a rotating basket of approximately 25 large-cap equities and three major ETFs. The account's annualized turnover ratio was 14.2, and the cost-to-equity ratio was 31.4%. The account generated \$213,600 in total commissions and fees for Trident during this period. Marcus's account value declined from \$680,000 to \$491,000—a loss of \$189,000, or roughly 27.8%.

However, several complicating factors exist. First, during this same period, the S&P 500 declined approximately 8% before recovering, and options-heavy strategies broadly underperformed. Second, Marcus received monthly account statements and trade confirmations for every transaction and never objected to the trading frequency. Third, Marcus had two in-person meetings and seven phone calls with Danielle during this period, during which trade strategy was discussed; Danielle's notes reflect that Marcus frequently suggested specific tickers and expressed enthusiasm about the frequency of trades, stating in one documented call that he 'liked the active approach because it felt like his account was always working.' Fourth, approximately 290 of the 847 trades were initiated at Marcus's direct suggestion, according to Danielle's notes. Fifth, many of the iron condors and spreads were rolled forward near expiration rather than allowed to expire, which Danielle characterized as 'risk management' but which generated additional round-trip commissions each time. Sixth, Marcus filed a complaint only after a colleague at his firm who was a CFA charterholder reviewed his statements and told him the trading volume seemed excessive. In his complaint, Marcus stated he trusted Danielle's expertise and believed the volume of trading was necessary for the strategy she described, and that he did not fully understand the cumulative impact of commissions on his returns until it was explained to him. Danielle's supervisor conducted two quarterly

reviews of the account during this period and flagged no concerns, noting that the client was Level 4 approved with high risk tolerance and that the strategies were consistent with the stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between quantitative churning indicators that appear to exceed common enforcement thresholds and qualitative factors that suggest meaningful client participation and awareness.

Arguments that a violation occurred: The quantitative metrics are significant. An annualized turnover ratio of 14.2 substantially exceeds the threshold of 6 that regulators and courts have historically treated as presumptively excessive. The cost-to-equity ratio of 31.4% means the account needed to generate returns exceeding 31% annually just to break even after costs—an extraordinarily high hurdle for any strategy. The \$213,600 in commissions over 18 months on a \$680,000 account is facially disproportionate. Under FINRA Rule 2111 (and now Reg BI's care obligation), an advisor exercising de facto control over an account has an obligation not to engage in excessive trading regardless of the client's stated risk tolerance or speculation objective. The practice of routinely rolling options positions near expiration, while characterized as risk management, systematically generated additional commissions with each roll. FINRA Rule 2360 requires that options recommendations be suitable considering the customer's financial situation, and a strategy requiring 31%+ annual returns to break even is arguably unsuitable for any retail customer regardless of sophistication. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the need for firms to have robust supervisory systems; the supervisor's failure to flag an account with these metrics suggests a supervisory failure under FINRA Rules 3110 and 2360(b)(16).

Arguments against finding a violation: Marcus was a sophisticated, high-income individual with seven years of prior options trading experience who self-selected an aggressive/speculative investment objective and was approved at the highest options trading level. He actively participated in trade selection, initiating roughly 34% of trades himself. He received all trade confirmations and monthly statements, never objected to trading frequency over 18 months, and affirmatively expressed satisfaction with the active approach in documented communications. The question of 'control' is genuinely contested—where a client is actively involved in strategy discussions, suggests specific trades, and has independent options experience, the advisor may not have exercised the de facto control necessary to establish churning. The account losses must also be contextualized against broad market conditions that were unfavorable for options-heavy strategies. Additionally, the specific strategies employed (iron condors, vertical spreads, calendar spreads) are legitimate income-generation and risk-defined approaches, not naked speculative bets, and rolling positions is a standard practice in options management.

The OCC Options Disclosure Document, which Marcus would have received and acknowledged, explicitly warns about the risks of active options trading and the impact of transaction costs. His acknowledgment of this document cuts against claims of inadequate disclosure, though it does not immunize the advisor from churning claims.

Why Borderline

This is genuinely borderline because the quantitative churning indicators clearly exceed traditional enforcement thresholds, yet the client's active participation, sophistication, documented enthusiasm, and direct involvement in trade initiation create a meaningful factual dispute about control and awareness. Churning requires not only excessive trading and intent to generate commissions, but also that the advisor exercised control over the account. Here, the client's behavior suggests shared control at minimum. Additionally, the individual strategies employed were each arguably reasonable in isolation-it is their cumulative frequency and cost impact that creates the problem, making it harder to identify a single 'unsuitable recommendation.' The supervisor's failure to flag the account adds a firm-level dimension but also suggests internal ambiguity about when active options trading crosses the line for a sophisticated, high-risk-tolerance client.

Borderline Factors

- Turnover ratio of 14.2 far exceeds the presumptive threshold of 6, but client actively participated in approximately one-third of trade initiations
- Cost-to-equity ratio of 31.4% is extremely high, but client was approved for Level 4 options with speculative objectives
- Client had 7 years of prior self-directed options trading experience, suggesting genuine sophistication, but had never used a managed account before
- Client received all trade confirmations and statements without objection for 18 months and expressed documented enthusiasm for the active approach
- Rolling options positions near expiration is a standard practice but systematically increased commission generation
- Individual strategies (iron condors, spreads) were each risk-defined and arguably appropriate, but their aggregate frequency and cost was arguably excessive
- Market conditions during the period were unfavorable for options strategies generally, making it harder to isolate churning-caused losses from market losses
- Supervisor reviewed the account twice and found no issues, suggesting either supervisory failure or genuine internal disagreement about appropriateness
- Client only complained after a third party reviewed his statements, raising questions about whether he truly understood the cost impact despite his experience

Likely Outcome

A regulator would most likely find a violation, though the sanctions might be moderated by the client's participation. The quantitative indicators are simply too far above accepted thresholds for any panel to dismiss. A turnover ratio of 14.2 is more than double the presumptive excessive threshold, and a cost-to-equity ratio of 31.4% is nearly impossible to justify for any retail client. While client participation is a mitigating factor, regulators have consistently held that client acquiescence-even enthusiastic acquiescence-does not excuse an advisor from the independent obligation not to churn an account. The advisor's commission motivation is inferable from the pattern of systematic rolling and the sheer volume of transactions. The firm would likely face additional sanctions for supervisory failures in failing to detect and flag these metrics during quarterly reviews. However, the client's sophistication and active participation would likely reduce any damages award or restitution calculation, and a FINRA panel might find comparative responsibility.

Borderline Scenario 15

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2360(b)(16) (options account approval requirements inc*

Fact Pattern

Marcus Webb, age 34, works as a sous chef at a restaurant in Austin, Texas, earning approximately \$52,000 per year. He has a brokerage account with \$41,000 in savings, representing roughly 80% of his liquid net worth. Marcus has no college degree but has been actively trading stocks on his phone for about two years, mostly buying and holding tech companies and a few ETFs. His account application lists his investment experience as 'some experience' with equities and 'limited' with options. His stated objectives are 'growth' and 'speculation,' and his risk tolerance is marked as 'aggressive.' He has watched approximately 40 hours of YouTube videos on options trading and completed a broker-dealer's internal educational module on options basics, scoring 85% on the quiz.

In March 2023, Marcus's financial advisor, Derek Hollis, approved Marcus for Level 3 options trading, which at this firm permits covered calls, cash-secured puts, vertical spreads (both debit and credit), and iron condors. Derek reviewed Marcus's application and noted the completed education module, the two years of equity trading, and the aggressive risk tolerance. Derek did not conduct a phone call or in-person meeting with Marcus but exchanged three emails in which Marcus described his understanding of max loss on spreads and expressed enthusiasm about generating income through premium collection.

Over the following five months, Marcus executed 74 options trades. Most were vertical credit spreads on large-cap tech stocks with defined risk ranging from \$200 to \$1,500 per position. He also placed 11 iron condor trades on an index ETF. His account fluctuated but by August 2023, he was down roughly \$6,800, or about 16.5% of his original account value. None of his individual positions exceeded 10% of his portfolio at the time of entry. Marcus never contacted Derek to complain and in fact sent an email in June saying he was 'learning a lot and enjoying the process.'

However, in September 2023, Marcus placed a series of four aggressive short put spreads on a biotech stock ahead of an FDA announcement, each risking approximately \$3,000. The stock dropped sharply, and Marcus lost \$11,200 in a single week, bringing his total account losses to approximately \$18,000 - about 44% of his original balance. Marcus then filed a complaint alleging that he should never have been approved for Level 3 options trading given his income, limited formal education, and the fact that no one had ever spoken to him by phone or in person about the risks involved. He also claimed that the educational module was superficial and that the approval process was essentially 'rubber-stamped.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between customer autonomy and firm gatekeeping responsibilities for options account approval.

Arguments that Derek violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a registered options principal (ROP) must approve each options account based on specific background and financial information, including income, net worth, investment experience, and investment objectives. Marcus's \$52,000 annual income and relatively modest \$41,000 account-representing 80% of his liquid net worth-raise questions about whether Level 3 options trading was appropriate. Losing the account would have a material impact on his financial situation.
2. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approval processes that are overly automated or fail to incorporate meaningful diligence. The fact that Derek relied solely on email exchanges and an internal quiz-without any real-time conversation-could be viewed as insufficient for assessing whether Marcus genuinely understood the risks of multi-leg options strategies.
3. The OCC Options Disclosure Document is required to be delivered prior to account approval, but mere delivery is a baseline. The question is whether Derek took reasonable steps to assess comprehension. YouTube self-education, while showing initiative, is not a substitute for a supervised assessment of understanding.
4. Under Regulation Best Interest, the Care Obligation requires that the recommendation (here, the account approval level itself can be considered a recommendation or at minimum a gatekeeping function) be in the customer's best interest. Approving a restaurant worker with limited options experience for credit spreads and iron condors, strategies that can produce rapid, concentrated losses, deserves scrutiny.

Arguments that Derek acted within acceptable bounds:

1. Marcus's stated objectives (growth and speculation) and aggressive risk tolerance align with options trading. He self-selected these designations, and advisors are generally entitled to rely on customer representations absent red flags.
2. Marcus completed the firm's educational module with a strong score (85%) and demonstrated in writing that he understood maximum loss on spread positions. The three-email exchange, while not a phone call, did constitute a documented dialogue about risk.
3. The strategies Marcus primarily used-vertical spreads and iron condors-are defined-risk strategies. Level 3 did not include naked options. The position sizing was reasonable (no single trade exceeding 10% of portfolio). For five months, Marcus traded within reasonable bounds and even expressed satisfaction.
4. The catastrophic loss resulted from Marcus's own decision to concentrate in speculative biotech trades ahead of a binary event-a behavioral choice that arguably falls outside the scope of what the advisor could have prevented through the approval process. Marcus had the tools and knowledge; he chose to deviate from his prior disciplined approach.
5. Age 34 with an aggressive risk tolerance and a long time horizon provides some justification for higher-risk strategies. The losses, while painful, are recoverable over time.
6. Two years of active equity trading, while not extensive, is not negligible. Many options traders begin with

similar experience levels.

The critical question is whether the approval process itself was deficient versus whether the losses stemmed from the customer's own post-approval trading decisions. Regulators increasingly scrutinize the approval process as a distinct point of potential failure, separate from individual trade suitability.

Why Borderline

This is genuinely ambiguous because Marcus had several attributes supporting approval-aggressive stated risk tolerance, completed education, defined-risk strategies, reasonable position sizing, and documented communication showing understanding. However, his modest income, the fact that the account represented 80% of his liquidity, and the absence of any synchronous conversation raise legitimate concerns about the depth of the due diligence. The eventual catastrophic loss was driven by the customer's own deviation from his prior trading pattern, not by the strategies the approval level permitted in the abstract. Reasonable compliance officers could disagree on whether the email-only approval process was sufficient and whether the financial profile warranted a lower approval level.

Borderline Factors

- Customer's income (\$52,000) and account representing 80% of liquid net worth vs. stated aggressive risk tolerance and growth/speculation objectives
- Completion of educational module with 85% score and email-based risk discussion vs. no synchronous phone or in-person conversation
- Defined-risk strategies (vertical spreads, iron condors) approved vs. customer's limited formal options experience
- Disciplined position sizing for five months vs. sudden concentrated biotech speculation causing the bulk of losses
- Customer's own contemporaneous email expressing satisfaction and learning vs. subsequent complaint alleging rubber-stamp approval
- Two years of active equity trading as partial foundation vs. zero prior options execution experience
- Age 34 with long recovery horizon vs. potential loss of nearly half of total liquid savings

Likely Outcome

A regulator would most likely find a partial violation focused on the adequacy of the approval process rather than the individual trades. Specifically, the lack of any real-time or synchronous conversation to assess comprehension, combined with the customer's modest financial profile and the account representing the vast majority of his liquidity, would likely be deemed an insufficient basis for Level 3 approval under current regulatory expectations articulated in FINRA RN 21-15. However, mitigating factors-defined-risk strategies, completed education, documented email exchanges, reasonable position sizing for months, and the customer's own role in the concentrated biotech trades-would likely reduce sanctions significantly. The firm might face a deficiency letter or modest fine related to its options approval procedures rather than a finding of fraud or egregious misconduct. Derek might receive a cautionary action or be required to enhance his approval procedures. Full customer restitution would be unlikely given the customer's contributory role.

Borderline Scenario 16

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) - Options account approval and supervision requirements, including a

Fact Pattern

Marcus Delgado, age 34, works as a senior software engineer at a publicly traded tech company earning \$195,000 annually. He has a liquid net worth of approximately \$410,000, most of which is in index funds and his company's stock. He opened a brokerage account at Falcon Financial in March 2022 and requested options trading approval. On his new account application, he reported three years of self-directed options trading experience on another platform, where he stated he had primarily traded covered calls and cash-secured puts. He listed his investment objective as 'growth' and his risk tolerance as 'moderate to aggressive.' He indicated he understood that options could expire worthless and that losses could exceed his initial investment in certain strategies.

Falcon Financial's options department approved Marcus for Level 3 options trading, which permits multi-leg spread strategies including vertical spreads, iron condors, and calendar spreads, but not naked calls or naked puts. The approval was processed through an automated system that scored applicants based on self-reported experience, income, net worth, and stated risk tolerance. No phone interview or follow-up verification was conducted. The branch manager electronically signed off on the approval the same day.

Over the next eight months, Marcus executed approximately 145 options trades, the vast majority of which were short-duration weekly iron condors on the S&P 500 ETF and on three mega-cap tech stocks. His average position size was roughly \$4,500 in maximum risk per trade. He generally held four to six open iron condor positions simultaneously, representing aggregate maximum risk exposure of \$18,000 to \$27,000 at any given time - roughly 4.5% to 6.5% of his liquid net worth. Through October 2022, Marcus earned a net profit of approximately \$11,200 from these trades.

In November 2022, during a period of elevated market volatility, Marcus shifted his approach. He began selling wider iron condors with higher premium but significantly greater maximum loss potential per position. He also increased his position sizing, with individual trades carrying maximum risk of \$8,000 to \$12,000 and aggregate open risk reaching \$55,000 to \$65,000 - approximately 13% to 16% of his liquid net worth. No alerts were triggered by Falcon Financial's surveillance systems because the positions were within his approved strategy level and did not breach the firm's 20% concentration threshold. His advisor, Janet Liu, saw the trades populating in his account and sent Marcus an email noting that volatility was 'running hot' and suggesting he 'keep position sizes manageable,' but she did not restrict trading or escalate the matter.

Between November 14 and December 9, 2022, Marcus suffered cumulative losses of \$43,800 across twelve iron condor positions that were breached during sharp intraday moves. He filed a complaint alleging that Falcon Financial should never have approved him for Level 3 trading based solely on self-reported experience, that Janet Liu failed to intervene when his risk exposure escalated significantly, and that the firm's automated approval process was inadequate for retail customers trading complex multi-leg strategies. He also argued that his actual experience on his prior platform consisted of only 22 total options trades over three years, mostly simple covered calls on his company stock, and that this did not constitute meaningful experience with spread strategies.

Falcon Financial responded that Marcus affirmatively represented his experience and risk tolerance on a signed application, that iron condors are a defined-risk strategy with capped maximum losses, that his losses never exceeded his stated risk tolerance parameters, and that his aggregate exposure remained

well below firm concentration limits. The firm also noted that Marcus traded profitably for eight months before voluntarily choosing to increase his position sizing, which they characterize as a personal trading decision by a self-directed customer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents competing considerations on both the account approval process and ongoing supervision.

****Arguments that a violation occurred:****

1. ****Account Approval Process Deficiencies:**** Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to ascertain the essential facts relative to a customer before approving an options account. The rule specifically requires consideration of investment experience and knowledge sufficient to evaluate the risks of options transactions. An automated approval system relying solely on self-reported data, with no verification or follow-up interview, may fall short of this standard - particularly for complex multi-leg strategies. FINRA Regulatory Notice 21-15 specifically raised concerns about firms using automated, algorithm-driven approval processes for options accounts, noting that firms cannot satisfy their obligations merely by collecting self-reported information without reasonable efforts to verify or probe that information.
2. ****Gap Between Reported and Actual Experience:**** Marcus reported three years of options experience, but his actual trading history consisted of 22 simple covered call and cash-secured put transactions. Iron condors involve simultaneous management of four options legs with different strike prices and require understanding of gamma risk, early assignment, and volatility dynamics that are materially different from covered calls. A reasonable inquiry - even a brief phone call - might have revealed this gap and resulted in a lower approval level or additional education requirements.
3. ****Supervision Failures During Escalation:**** Janet Liu observed a material change in Marcus's trading behavior - wider spreads, doubled position sizes, significantly increased aggregate risk - during a period of elevated volatility. Under FINRA Rule 2360(b)(16)(B), the branch office manager or designated options principal must review accounts to detect and prevent irregularities or abuses. Sending a casual email suggesting he 'keep position sizes manageable' without any substantive follow-up, restriction, or escalation may not satisfy supervisory obligations. Under Reg BI's Care Obligation (17 CFR 240.15l-1), the firm and advisor have an obligation that extends to monitoring recommendations and account activity.
4. ****OCC Options Disclosure Document Requirements:**** The ODD must be delivered prior to account approval. While delivery likely occurred, the question is whether the firm ensured the customer had a reasonable understanding of the specific strategies being approved, not just options generally.

****Arguments against a violation:****

1. ****Defined-Risk Strategy:**** Iron condors are inherently defined-risk - the maximum loss is known at the time of trade entry. Unlike naked options, the customer cannot lose more than the calculated maximum risk

per position. This is precisely the type of strategy Level 3 approval is designed to permit, and the approval was consistent with the customer's stated risk tolerance.

2. ****Self-Directed Customer Choice:**** Marcus was a self-directed trader who independently chose to widen his spreads and increase sizing. The firm did not recommend these trades. The advisor's email demonstrates awareness and an attempt at guidance without overstepping into the territory of controlling a self-directed account.

3. ****Reasonable Reliance on Customer Representations:**** Firms are generally entitled to rely on customer-provided information on account applications unless red flags suggest the information is inaccurate. Marcus signed the application affirming his experience level. No obvious red flags were present at the time of approval.

4. ****Proportional Risk Exposure:**** Even at its peak, Marcus's aggregate exposure of \$55,000-\$65,000 represented only 13-16% of his liquid net worth. His cumulative loss of \$43,800 (approximately 10.7% of liquid net worth), while painful, is not catastrophic and falls within the range of outcomes a 'moderate to aggressive' investor should be prepared to accept.

5. ****Eight Months of Profitable Trading:**** Marcus successfully traded iron condors for eight months, suggesting he did in fact understand the mechanics of the strategy. His losses stemmed from a voluntary decision to increase risk, not from a fundamental misunderstanding of the product.

Why Borderline

This is genuinely ambiguous because it involves a relatively sophisticated retail customer trading a defined-risk options strategy within approved parameters, but the approval process itself may not have met the heightened scrutiny standards regulators have been articulating for options accounts - particularly in the post-2020 era of increased retail options participation. The customer's losses, while significant, were proportional to his stated risk tolerance and net worth, and the strategy itself was not inherently unsuitable. The central tension is between the firm's reliance on self-reported information and automated approval versus the regulatory expectation of meaningful diligence, and between respecting self-directed customer autonomy and the duty to supervise when observable risk escalation occurs.

Borderline Factors

- Automated options approval process with no verification interview versus customer's signed representations of experience
- Discrepancy between self-reported experience (three years) and actual trading history (22 simple trades) that was discoverable but not discovered
- Iron condors are defined-risk strategies with capped losses, arguably appropriate for the approved level
- Aggregate risk exposure of 13-16% of liquid net worth is elevated but below the firm's 20% concentration threshold
- Advisor observed escalating risk behavior and communicated concern via email but did not restrict or escalate
- Customer traded profitably for eight months before voluntarily increasing position sizes during volatile conditions
- Customer's income and net worth were sufficient to absorb the actual losses without financial hardship

- Regulatory trend post-2020 favors more rigorous options approval processes, but the specific requirements remain somewhat principles-based
- The losses occurred due to voluntary risk-taking rather than a misunderstanding of the strategy mechanics

Likely Outcome

A regulator would most likely find a partial violation focused primarily on the account approval process rather than the individual trades themselves. The automated approval without any verification of self-reported experience - particularly where the gap between reported and actual experience was substantial - would likely be viewed as inconsistent with the diligence requirements articulated in FINRA RN 21-15 and FINRA Rule 2360(b)(16). However, the finding would likely be mitigated by the fact that the customer did trade successfully for an extended period, the strategy was defined-risk, and the losses were proportional to the customer's financial profile. The supervision issue with Janet Liu is closer to a toss-up: the email shows awareness but the lack of escalation or meaningful follow-through is problematic. A panel might impose a modest fine and require enhanced options approval procedures rather than ordering full restitution, reasoning that while the process was deficient, the customer bore significant responsibility for his own trading decisions and the causal connection between the approval deficiency and the ultimate losses is attenuated by eight months of successful trading.

Borderline Scenario 17

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360 (Options Account Approval and Suitability) - requires that firms app

Fact Pattern

Margaret Holloway, age 74, is a retired aerospace engineer with a \$2.1 million portfolio split between a brokerage account (\$1.4 million) and an IRA (\$700,000). She receives \$4,200/month in Social Security and a \$3,800/month pension. Her annual living expenses are approximately \$72,000, fully covered by these income streams. She has no debt, owns her home outright, and lists her risk tolerance as 'moderate' on her new account form. Her investment experience section notes '35 years of equity investing' and 'limited options experience - covered calls only.' She has a stated investment objective of 'growth and income' and a time horizon of '10+ years,' explaining she wants to leave a substantial estate for her two grandchildren's education.

Her financial advisor, Derek Campos, age 38, has been working with Margaret for three years. In early 2023, Derek recommended that Margaret apply for Level 3 options approval on her brokerage account, which would permit spreads including vertical spreads, iron condors, and calendar spreads. Margaret's prior options activity consisted solely of writing covered calls on her large-cap equity holdings roughly six to eight times per year, generating approximately \$18,000 annually in premium income. Derek explained that by implementing defined-risk spread strategies - primarily iron condors on the S&P 500 index and bull put spreads on blue-chip stocks - Margaret could potentially increase her premium income to \$40,000-\$55,000 per year while maintaining defined maximum losses on each position. He prepared a written presentation showing backtested results of these strategies over a five-year period.

The firm's options approval committee initially flagged Margaret's application due to her age and limited

options experience beyond covered calls. Derek submitted a written justification memo arguing that Margaret's engineering background made her analytically capable, that her expenses were fully covered by pension and Social Security, that the strategies were all defined-risk with maximum losses capped at 3-5% of her portfolio per position, and that the incremental income supported her estate-planning goals. The committee approved Level 3 access after a 15-minute phone interview with Margaret in which she correctly described the mechanics of a vertical spread and articulated that she understood maximum loss scenarios.

Over the next 11 months, Derek placed 47 spread trades in Margaret's account. Thirty-one were profitable, generating \$38,200 in net premium income after commissions. The remaining 16 trades resulted in losses totaling \$22,400. Margaret's net gain from the spread activity was \$15,800, and commissions totaled \$6,100. Her portfolio value grew from \$1.4 million to \$1.52 million during this period, though the broader market (S&P 500) returned approximately 12% over the same timeframe, suggesting her equity holdings alone would have appreciated similarly. Margaret did not complain and expressed satisfaction with the additional income in quarterly review meetings.

However, on two occasions - once in June and once in October - individual iron condor positions hit their maximum loss, resulting in single-trade losses of \$8,200 and \$7,100 respectively. Margaret called Derek after the October loss and said she was 'a little shaken' but agreed to continue the strategy after Derek walked her through the overall profit-and-loss picture. Margaret's daughter, who has power of attorney, later contacted the firm's compliance department expressing concern that her mother was being encouraged to engage in 'gambling with retirement money' and that the advisor was churning the account with complex options trades to generate commissions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: Margaret is a 74-year-old retiree whose documented options experience was limited to covered calls, one of the simplest options strategies. Elevating her to Level 3 approval introduced meaningfully more complex multi-leg strategies. The 47 trades in 11 months represent a significant increase in trading frequency compared to her historical 6-8 covered call trades per year, which could suggest an activity level misaligned with her profile. The \$6,100 in commissions, while modest relative to her portfolio, exceeded what she would have paid under her prior covered-call-only approach. Two individual losses exceeding \$7,000 each caused her emotional distress, and her comment about being 'shaken' suggests the risk profile may have exceeded her genuine tolerance despite her stated 'moderate' classification. Regulators have increasingly scrutinized firms that approve senior investors for complex options strategies, particularly where the approval process is cursory - a 15-minute phone call may not constitute a thorough evaluation. The backtested presentation could be viewed as misleading, as backtested results do not guarantee future performance and may have created unreasonable expectations. Furthermore, the incremental net benefit of \$15,800 over 11 months may not justify the complexity and risk introduced, especially when her income needs were already fully met.

Arguments that Derek acted appropriately: Margaret is a highly educated former engineer with 35 years of investing experience, suggesting analytical sophistication beyond the average retail investor. Her living expenses are entirely covered by guaranteed income streams (pension and Social Security), meaning the

brokerage account is truly discretionary capital earmarked for estate growth. The strategies employed were all defined-risk - iron condors and vertical spreads cap maximum loss by design - distinguishing them from naked options writing or other unlimited-risk strategies. The maximum per-position risk of 3-5% of portfolio value is within commonly accepted risk management parameters. The account was profitable on net, generating \$15,800 in additional income aligned with her stated growth-and-income objective. Margaret demonstrated understanding of the strategies during her approval interview and expressed satisfaction in quarterly reviews. The approval committee did flag the application and conducted additional review before granting access, showing the firm's supervisory process functioned. The complaint originated from Margaret's daughter, not Margaret herself, and Margaret chose to continue trading after the October loss. The commission-to-portfolio ratio is well below thresholds typically associated with churning (roughly 0.4% of account value over 11 months). Under Reg BI's care obligation, the recommendation must be in the customer's best interest considering her full financial profile - and given her surplus income, analytical capability, and estate-planning goals, a reasonable advisor could conclude these strategies were appropriate.

Why Borderline

This scenario sits in genuine gray territory because it involves a senior investor with objectively limited options experience being approved for complex strategies, which raises red flags under heightened scrutiny standards for senior investors - yet the client possesses unusual analytical sophistication, has no reliance on the account for living expenses, used only defined-risk strategies, and was net profitable. The firm's approval process showed some diligence but could be criticized as insufficient. The complaint came from a family member rather than the client, and the trading frequency, while elevated, did not produce excessive commissions relative to the account size. Reasonable regulators could disagree on whether the totality of circumstances represents a genuine best-interest failure or an appropriately tailored strategy for an atypical senior investor.

Borderline Factors

- Client is 74 years old, triggering heightened scrutiny standards for senior investors, but has an engineering background and 35 years of investment experience
- Prior options experience was limited to covered calls, but client demonstrated comprehension of spread mechanics during approval interview
- 47 trades in 11 months is a significant increase in activity, but commissions were only 0.4% of portfolio value, well below churning thresholds
- Two individual losses caused emotional distress, but all strategies were defined-risk with capped maximum losses
- Living expenses fully covered by pension and Social Security, making the brokerage account genuinely discretionary surplus capital
- Complaint originated from daughter with POA rather than from the client herself, who expressed satisfaction
- Firm's approval committee flagged the application but ultimately approved after a relatively brief phone interview
- Backtested performance presentation could be seen as misleading, but the actual results were net positive
- Net incremental income of \$15,800 is modest and may not justify the added complexity, but aligns with stated estate-planning objectives

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a full suitability or best-interest violation, though the firm might receive a deficiency letter or cautionary action regarding its options approval process for senior investors. The defined-risk nature of all strategies, the client's financial self-sufficiency, her analytical background, the net profitability of the account, and the modest commission levels all weigh against a finding of harm. However, the regulator would likely criticize the brevity of the approval interview, the lack of ongoing enhanced supervision protocols for a senior account with elevated options approval, and the potential inadequacy of the backtested presentation's disclosures. If this arose in a FINRA examination context, the most probable result would be a supervisory finding against the firm's options approval and monitoring procedures rather than an individual violation against the advisor, unless additional evidence showed Derek prioritized commissions over Margaret's interests.

Borderline Scenario 18

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and ongoing supervision by regis

Fact Pattern

Margaret Ellison, age 74, is a retired aerospace engineer with a \$2.1 million portfolio held at a regional broker-dealer. She receives \$4,200/month from Social Security and \$3,100/month from a defined benefit pension. Her portfolio is allocated roughly 60% equities, 25% fixed income, and 15% cash/money market. She has owned individual stocks for over 30 years and has a documented history of trading covered calls on her equity positions going back to 2016. Her account was approved for Level 2 options (covered calls and cash-secured puts) in 2019 after completing the firm's options questionnaire, in which she reported 8 years of options experience, a moderate risk tolerance, and income generation as her primary investment objective. In March 2024, Margaret's financial advisor, Kevin Royce, age 38, began discussing with her the idea of selling cash-secured puts on high-quality dividend-paying stocks she already wanted to own, such as Johnson & Johnson, Procter & Gamble, and Coca-Cola. Kevin explained that if the puts expired worthless, she would keep the premium income, and if she was assigned, she would acquire shares she intended to buy anyway at a lower effective cost basis. Between March and November 2024, Margaret sold 47 cash-secured put contracts across these three names, generating approximately \$38,400 in premium income. The put strikes were typically 5-8% below the market price at the time of sale, and expiration dates ranged from 30 to 60 days out. During this period, she was assigned on 6 contracts totaling \$87,000 in stock purchases, all of which she held and which subsequently appreciated. Her overall portfolio remained within its historical risk parameters, and her cash position never dropped below \$180,000. In December 2024, Margaret's adult son, Craig, discovered the options activity while reviewing her year-end statements. Craig, a former bank branch manager, filed a written complaint with the firm alleging that his mother was cognitively declining, that Kevin had taken advantage of her by introducing increasingly complex trading strategies, and that a 74-year-old retiree should never have been permitted to engage in dozens of options trades in a single year. Craig provided a note from Margaret's primary care physician dated January 2025 stating that Margaret had been diagnosed with 'mild cognitive impairment' in August 2024, though the physician noted she remained 'independent in all activities of daily living and capable of managing her own financial affairs with appropriate support.' Margaret herself submitted a written statement to the firm's compliance department insisting the trades were her idea as much as Kevin's, that she understood the

strategy completely, and that she was 'insulted' by the suggestion she could not manage her own money. Internal firm emails show Kevin had flagged Margaret's account for the firm's senior investor protocols in June 2024 after she repeated a question during a phone call, but compliance responded that no further action was required because she had a valid options agreement and no formal diminished capacity finding. The firm's options principal approved all 47 trades through the normal supervisory review process. Kevin earned approximately \$4,100 in commissions on the options activity over the nine-month period, compared to roughly \$11,000 in total commissions on the account for the full year 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuinely competing considerations. Arguments that Kevin acted appropriately: (1) Margaret had extensive documented investment experience, including 8 years of options trading and decades of equity investing; (2) cash-secured puts on blue-chip dividend stocks are among the most conservative options strategies available and are functionally equivalent to limit orders with premium income; (3) her account was properly approved at Level 2, which specifically encompasses cash-secured puts; (4) the strategy aligned with her stated objective of income generation; (5) her portfolio risk profile did not materially change; (6) her cash reserves remained substantial, maintaining over \$180,000 in liquidity against total retirement income of \$7,300/month; (7) the options principal reviewed and approved all trades; (8) Kevin proactively flagged concerns through the firm's senior investor protocols; (9) the physician's note confirms she remained capable of managing her finances; and (10) Margaret herself affirmed her understanding and consent. Arguments that Kevin may have violated his obligations: (1) the mild cognitive impairment diagnosis in August 2024 means roughly half the trades occurred after a documented cognitive decline; (2) Kevin noticed potential signs of impairment in June 2024 but continued recommending trades after compliance gave a cursory all-clear; (3) 47 options transactions in 9 months represents a significant escalation in trading frequency for a 74-year-old retiree, even one with experience; (4) while individual cash-secured puts are conservative, the cumulative exposure and frequency of trading may constitute an unsuitable pattern; (5) the firm's senior investor protocols may have been inadequately applied - a single compliance response to a flagged concern without further investigation could constitute a supervisory failure under FINRA Rule 2360(b)(16) and FINRA RN 21-15 guidance on senior account protections; and (6) the timing of the escalation in put-selling activity coinciding with the period of emerging cognitive decline raises questions about whether Margaret was truly driving the strategy or simply agreeing to Kevin's recommendations. The supervisory dimension under FINRA Rule 2360(b)(16) is also significant: the registered options principal must review options activity and ensure ongoing suitability. The question is whether 47 cash-secured puts on blue-chip stocks over 9 months, all within an approved options level, should have triggered enhanced review given the customer's age and the advisor's own flagged concern about a repeated question. Under Reg BI's Care Obligation, the analysis focuses on whether Kevin had a reasonable basis to believe the recommendation was in Margaret's best interest at the time each trade was made. The OCC Options Disclosure Document emphasizes that customers must understand the risks, and the mild cognitive impairment diagnosis complicates the question of whether Margaret maintained sufficient comprehension throughout the trading period.

Why Borderline

The strategy itself - cash-secured puts on blue-chip stocks within an approved options level - is objectively

conservative and aligned with Margaret's stated goals and experience. The complicating factor is the intersection of a senior investor with an emerging cognitive impairment diagnosis, an advisor who noticed potential signs but continued trading after receiving compliance clearance, and a customer who insists she understood and wanted the trades. Reasonable practitioners disagree sharply about where the line falls between respecting an elderly client's autonomy and financial sophistication versus paternalistic protection. The physician's own note creates ambiguity by simultaneously confirming cognitive decline and affirming financial decision-making capacity. The fact that the advisor flagged concerns but was cleared by compliance raises the question of whether the advisor or the firm bears responsibility for any shortfall, and whether a shortfall exists at all given the strategy's conservatism and profitability.

Borderline Factors

- Cash-secured puts on blue-chip stocks are among the most conservative options strategies and aligned with the client's income-generation objective
- Client had 8+ years of documented options experience and decades of equity investing
- Mild cognitive impairment was diagnosed mid-way through the trading period, but physician confirmed client remained capable of managing finances
- Advisor proactively flagged concerns through the firm's senior investor protocols but was told by compliance no action was needed
- 47 options trades in 9 months is a notable escalation in frequency for any 74-year-old retiree, regardless of experience
- Client herself vigorously denies exploitation and affirms understanding of the strategy
- All trades were reviewed and approved by the firm's registered options principal
- The advisor's commissions on the options activity were modest (\$4,100) and not disproportionate to overall account compensation
- The son's complaint is motivated partly by his own views about age-appropriate investing rather than documented harm
- Portfolio risk parameters remained within historical norms and client's liquidity was preserved

Likely Outcome

A regulator would most likely find no individual trade-level suitability violation but would likely issue findings or criticism regarding the firm's supervisory response to Kevin's June 2024 flag. The combination of a senior investor, a documented concern raised by the advisor himself, and a subsequent MCI diagnosis suggests the firm's compliance department should have conducted a more thorough review rather than summarily clearing the account. A regulator might also require the firm to enhance its senior investor options review procedures. Kevin himself would likely not face personal liability given that he followed firm protocols, the strategy was conservative and profitable, the client affirmed her consent, and a physician confirmed her capacity. However, if the regulator applies a hindsight lens to the trades occurring after August 2024 (post-MCI diagnosis), there is some risk of a finding that ongoing suitability review was insufficient. The most probable outcome is a supervisory deficiency finding against the firm, with no personal violation finding against Kevin, and no customer restitution given the absence of financial harm.

Borderline Scenario 19

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2360(b)(16) (options account approval and due diligence)*

Fact Pattern

Marcus Webb, age 34, is a warehouse supervisor earning \$72,000 per year with a net worth of approximately \$185,000, most of which is in a 401(k) from his employer. He opened a brokerage account in January 2022 with \$28,000 in savings and listed his investment experience as 'limited - mostly index funds in my retirement account.' On his options account application, he stated his investment objective was 'growth' and his risk tolerance was 'moderate to aggressive.' He indicated he had watched approximately 40 hours of online options education videos on YouTube and had paper-traded options for about three months using a simulator app, executing roughly 200 simulated trades. His application noted zero years of actual options trading experience.

His financial advisor, Denise Calvert, a 12-year veteran at a mid-sized broker-dealer, reviewed the application and approved Marcus for Level 3 options trading, which at their firm permits buying and selling calls and puts, covered writing, and multi-leg spread strategies including iron condors, vertical spreads, and calendar spreads. Levels 4 and 5 - which permit naked writing and uncovered index options - were not approved. Denise noted in her internal memo that Marcus demonstrated 'strong conceptual understanding of defined-risk spread strategies' during their 45-minute phone consultation, and that his maximum loss on any approved spread trade would be capped and defined at order entry.

Over the next eight months, Marcus placed 47 multi-leg options trades, primarily iron condors and vertical spreads on large-cap stocks, many timed around earnings announcements. His average holding period was 2.5 days. By September 2022, Marcus had lost \$19,400 of his original \$28,000 - a 69% loss. Twenty-two of his 47 trades were earnings plays, and those 22 trades accounted for \$14,200 of his losses. Marcus never contacted Denise to discuss strategy or seek guidance during this period; all trades were self-directed. Denise's firm sent Marcus the required options disclosure document at account opening, and Marcus signed an acknowledgment.

Marcus filed a complaint alleging that he should never have been approved for multi-leg options trading given his lack of real-world experience, that the approval was reckless, and that Denise should have monitored his account and intervened when losses mounted. Denise's firm responded that the account was self-directed, that Marcus's defined-risk strategies were appropriate for the approval level granted, that his simulated trading experience and demonstrated knowledge justified Level 3 access, and that ongoing monitoring obligations do not apply to unsolicited self-directed trades.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises genuinely competing considerations on both sides.

Arguments that Denise violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a member must exercise due diligence to ascertain essential facts about a customer before approving an options account, including investment experience, financial situation, and investment objectives. Marcus had zero actual options trading experience. Paper trading on a simulator, regardless of volume, does not expose a customer to the psychological and financial realities of live trading,

particularly around volatile events like earnings.

2. FINRA Regulatory Notice 21-15 specifically highlights concerns about firms approving customers for complex options strategies based on self-reported information without meaningful vetting. The notice emphasizes that firms should consider whether customers truly understand the risks of multi-leg strategies, not merely whether they can articulate the mechanics in a phone call.

3. The OCC Options Disclosure Document, which Marcus received, warns about the risks of complex strategies but is not a substitute for the firm's independent obligation to evaluate whether the customer should be approved. Delivery of the document alone does not satisfy the account approval obligation.

4. Reg BI's care obligation applies at the point of recommendation. While individual trades were self-directed, the account approval itself - granting Level 3 access - can be viewed as an implicit recommendation that the customer is suitable for these strategies. Some regulators have taken the position that account-level approvals carry their own suitability or best-interest dimension.

5. Marcus's concentration of trades around earnings announcements is a pattern associated with significant retail losses, as academic research has consistently shown. A reasonable supervisory system might flag this pattern.

Arguments that Denise acted appropriately:

1. Level 3 approval at this firm only permits defined-risk strategies. Marcus could never lose more than the defined maximum on any single trade. This is materially different from naked options writing, where losses are theoretically unlimited. The approval level was calibrated to limit catastrophic risk.

2. Marcus represented himself as moderate-to-aggressive in risk tolerance, with a growth objective. He had \$28,000 in discretionary savings outside his retirement account, meaning the money at risk was not his core retirement savings or emergency fund.

3. The 200 simulated trades over three months, combined with 40 hours of self-education and a 45-minute consultation where Denise assessed his knowledge, represent more due diligence than many firms perform. Denise documented her assessment.

4. All 47 trades were self-directed and unsolicited. Under FINRA Rule 2111 and Reg BI, the suitability and best interest obligations apply to recommendations, not to unsolicited customer-initiated trades. Denise did not recommend any specific trade or strategy.

5. The firm has no explicit ongoing duty to monitor and intervene in a non-discretionary, self-directed account where no recommendations are being made. The losses, while significant in percentage terms, resulted from Marcus's own choices.

6. FINRA Rule 2360(b)(16)(B) requires firms to obtain background and financial information and specifically approve or disapprove the account, but it grants firms discretion in how they weigh the factors. Denise

weighed the factors and made a documented judgment.

The key tension is whether the account approval decision itself carries best-interest obligations, and whether simulated experience can substitute for actual experience when evaluating a customer for complex multi-leg strategies.

Why Borderline

This is a genuine gray area because: (1) the advisor conducted a documented evaluation and made a defensible judgment call to approve defined-risk strategies, which are meaningfully less dangerous than naked options; (2) all trades were self-directed with no advisor recommendation on individual positions; (3) however, the customer had zero real-world options experience, and regulators have increasingly scrutinized account approval processes themselves - particularly post-2020 when retail options trading surged - as carrying independent obligations beyond individual trade suitability; (4) the pattern of earnings-concentrated losses raises questions about whether the approval process adequately assessed the customer's understanding of practical risks versus theoretical knowledge; (5) reasonable practitioners disagree about whether paper trading constitutes meaningful experience for approval purposes.

Borderline Factors

- Zero actual options trading experience offset by extensive simulated trading and demonstrated conceptual knowledge
- Level 3 approval limited to defined-risk strategies, meaning maximum loss was always known at order entry
- All trades were self-directed and unsolicited - no advisor recommendations on individual trades
- Account approval itself may carry independent suitability/best interest obligations under current regulatory guidance
- 69% account loss is severe but resulted entirely from customer's autonomous decisions
- Concentration of trades around earnings announcements - a pattern known to produce losses - was not flagged
- Advisor conducted and documented a 45-minute knowledge assessment but firm had no post-approval monitoring protocol
- Funds at risk were discretionary savings, not retirement or essential assets
- FINRA RN 21-15 raised specific concerns about complex options approval for inexperienced retail investors but did not establish bright-line rules

Likely Outcome

A regulator would likely find a partial violation. The account approval itself would probably be scrutinized and potentially found deficient under the heightened standards signaled by FINRA RN 21-15, which emphasizes that firms should not rely primarily on self-reported information and should consider whether simulated experience truly prepares a customer for complex strategies. The lack of any real-world trading experience is a significant gap that a 45-minute phone call may not adequately bridge. However, the self-directed nature of the trades would significantly limit the advisor's liability for the specific losses incurred. The most likely outcome is a finding that the firm's approval process was inadequate - particularly the absence of any post-approval monitoring triggers - but with reduced damages given that the customer independently chose every trade. A fine against the firm for supervisory deficiencies in the approval process is more probable than a finding of individual advisor liability.

Borderline Scenario 20

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2360(b)(16) (options account approval and supervision requirements); FINRA*

Fact Pattern

Marcus Whitfield, age 58, is a semi-retired mechanical engineer who receives a \$7,200/month pension and has \$1.4 million in total liquid assets across three brokerage accounts. He has traded equities actively for 22 years, averaging roughly 80 stock trades per year, and holds a concentrated portfolio weighted heavily in energy and industrial names. In March 2023, he applied for options trading approval at a mid-sized broker-dealer. On his new account application, Marcus indicated his investment objective as 'growth,' his risk tolerance as 'moderate,' his annual income as \$130,000 (pension plus consulting), and his liquid net worth as \$1.4 million. He had no prior options trading experience listed on the form, though he told his advisor, Dana Pelletier, verbally that he had 'dabbled in covered calls years ago at another firm' and had read several books on options strategies. Dana approved Marcus for Level 3 options trading, which at this firm permitted covered calls, cash-secured puts, long calls and puts, spreads (both debit and credit), and straddles/strangles. The firm's written supervisory procedures stated that Level 3 required either (a) two or more years of documented options experience or (b) a supervisor override with written justification. Dana's branch manager, Roy Hutchins, signed off on the Level 3 approval with a one-sentence note: 'Client is highly experienced equity trader with decades of market knowledge; verbal confirmation of prior covered call experience.' No independent verification of Marcus's prior options activity was sought from his former firm. Over the following nine months, Marcus executed 47 options trades. The first 30 trades were relatively conservative - covered calls on his existing energy holdings and a handful of protective puts. These trades were generally profitable or resulted in minor losses. Beginning in month six, Marcus shifted strategy and began selling weekly credit spreads on the S&P 500 index, typically collecting \$800-\$1,500 in premium per spread with maximum defined risk of \$3,500-\$5,000 per position. He occasionally stacked two or three positions simultaneously, bringing his aggregate maximum options risk exposure to approximately \$12,000-\$15,000 at any given time - roughly 1% of his liquid net worth. In month eight, a sharp market downturn caused Marcus to realize \$23,000 in losses over two weeks on his credit spreads. He called Dana to complain, saying he 'didn't fully understand how quickly index spreads could move against him' and that he 'thought the risk was limited to the premium collected.' Dana reminded him of the risk disclosures he had signed and the defined-risk nature of the spreads. Marcus continued trading for another month, lost an additional \$9,400, and then filed a complaint alleging that his options approval level was inappropriate for someone with no documented options experience and a moderate risk tolerance, and that Dana failed to ensure he understood the mechanics of credit spreads before he began trading them. Marcus's total net loss from all options activity over the nine-month period was approximately \$14,600, after accounting for gains on his earlier covered call and protective put positions. His overall portfolio declined roughly 3.2% during the same period, partly attributable to broader market losses in his equity holdings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tension between several factors. On one side, the approval process arguably fell short: Marcus had no documented options experience, his application listed no prior options trading, and the firm's own written supervisory procedures required either two years of documented experience or a

justified supervisor override. The supervisor override consisted of a single sentence referencing unverified verbal claims about covered calls - a strategy far simpler than the credit spreads Marcus eventually traded. His stated risk tolerance was 'moderate,' which arguably conflicts with selling weekly credit spreads on index options, even if the individual position risk was defined. The OCC Options Disclosure Document is supposed to be delivered and reviewed before approval, and there is a question of whether Marcus truly absorbed the risk characteristics of spread strategies. His own statement that he believed risk was 'limited to the premium collected' suggests a fundamental misunderstanding of credit spread mechanics, where maximum loss equals the width of the spread minus premium received.

On the other side, several factors favor the advisor and firm. Marcus was a highly experienced equity trader with over two decades of active market participation and substantial liquid assets. His options losses of \$14,600 represented roughly 1% of his liquid net worth - a financially immaterial amount for someone in his position. His maximum aggregate exposure at any time was also approximately 1% of liquid assets. He successfully executed 30 conservative trades before independently escalating to credit spreads, suggesting he was not blindly following advisor recommendations but making autonomous decisions. The supervisor override provision in the firm's WSPs existed precisely for situations like this, where a client's broader financial sophistication might compensate for limited documented options-specific experience. Credit spreads are defined-risk strategies and are generally considered intermediate rather than advanced. Marcus also continued trading after his initial losses and complaint, undermining the argument that he was a vulnerable investor who didn't understand the risks.

Under Reg BI's care obligation and FINRA Rules 2360(b)(16) and 2361, firms must exercise due diligence in approving options accounts, considering the customer's investment objectives, financial situation, trading experience, and the nature of the options strategies permitted. FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms using automated or insufficiently rigorous processes to approve customers for complex options strategies without adequate assessment of their knowledge and experience. The question is whether the totality of circumstances - experienced equity trader, substantial assets, defined-risk strategies, relatively small losses - makes the Level 3 approval reasonable despite the procedural shortcomings in documentation and verification.

Why Borderline

The case sits at the intersection of procedural deficiency and substantive reasonableness. The firm's approval process was clearly imperfect - relying on unverified verbal claims and a cursory supervisor override. However, the substantive outcome and the customer's actual profile suggest the approval may have been appropriate in substance if not perfectly documented in form. Marcus's losses were modest relative to his wealth, the strategies were defined-risk, and his extensive equity experience suggests genuine market sophistication. Reasonable regulators could disagree about whether the documentation failures constitute a material violation or a technical deficiency, and whether a 'moderate' risk tolerance is genuinely incompatible with small-scale defined-risk credit spreads for a millionaire investor.

Borderline Factors

- No documented options experience on the application, but over 22 years of active equity trading and verbal claims of prior covered call activity
- Supervisor override existed in the WSPs but the written justification was minimal and no independent verification was conducted

- Stated 'moderate' risk tolerance arguably conflicts with credit spread selling, but actual dollar exposure was approximately 1% of liquid net worth
- Customer's complaint that he didn't understand credit spread mechanics suggests inadequate education, but he successfully traded conservative options for months before independently escalating
- Total net losses of \$14,600 on a \$1.4 million portfolio are financially immaterial but the complaint raises process-based rather than harm-based concerns
- Customer continued trading after initial losses and complaint, suggesting agency and autonomy rather than victimization
- FINRA's post-Robinhood focus on options approval rigor creates heightened scrutiny even where substantive harm is minimal

Likely Outcome

A regulator would most likely find a procedural violation in the options account approval process but would view the substantive harm as limited. The firm would likely face a finding that it failed to adequately document the basis for the Level 3 approval and did not independently verify the customer's claimed options experience, in tension with the firm's own written supervisory procedures and the heightened standards articulated in recent regulatory guidance. However, given the customer's substantial assets, long trading history, defined-risk nature of the strategies, and relatively modest losses, the remedial outcome would likely involve a censure and possible fine for supervisory deficiencies rather than a finding of substantive unsuitability. The advisor might receive a cautionary letter or minor sanction. Disgorgement or restitution would be difficult to justify given the small losses and the customer's contributory role in escalating his own strategy.

Borderline Scenario 21

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360 (Options Account Approval and Supervision) requires

Fact Pattern

Marcus Tremblay, age 34, works as a warehouse supervisor earning \$62,000 per year. He has a \$47,000 brokerage account, which represents roughly 60% of his liquid net worth, with the remainder in a savings account. Marcus has no formal financial education but has been actively trading stocks for approximately 18 months, executing roughly 120 equity trades during that period, mostly in large-cap technology names. He told his advisor, Danielle Reeves, that he had been 'studying options on YouTube for months' and wanted to begin selling covered calls on his existing equity positions to generate income. He said his goal was to earn an extra \$300-\$500 per month to help pay down \$22,000 in student loan debt faster. Danielle reviewed his account and saw that his portfolio was concentrated in five technology stocks, each position ranging from \$7,000 to \$12,000. She assessed that covered call writing on positions he already held was a conservative, income-generating strategy and approved his account for Level 2 options trading, which at her firm permits covered call writing and cash-secured put selling. She provided him the standard options disclosure document, which he signed, acknowledging he received and reviewed it. Over the next four months, Marcus successfully wrote covered calls on three of his positions, generating approximately \$1,800 in premium income. However, during month five, Marcus called Danielle and asked her to also approve him for Level 3 trading, which would allow multi-leg spread strategies. He explained that he had watched additional tutorial content and joined an online trading community where members frequently discussed iron

condors and vertical spreads. Danielle asked him a series of questions about his understanding of defined-risk spreads and he correctly described the mechanics of a bull call spread and an iron condor, including maximum loss scenarios. She noted his answers in her file. She approved his account for Level 3 and, over the next three months, Marcus executed approximately 25 spread trades. Most were profitable or resulted in small losses. Then, during a period of elevated market volatility, Marcus placed a series of five iron condors on earnings announcements in a single week. Three of the positions were breached, and he lost approximately \$8,400 in total—roughly 18% of his account value. Marcus filed a complaint alleging that Danielle should never have approved him for Level 3 options trading given his limited experience, his lack of formal education in finance, and the fact that most of his net worth was in the brokerage account. Danielle's firm responded that Marcus demonstrated adequate knowledge during the approval conversation, that defined-risk spread strategies have capped losses by design, that Marcus had a successful track record at Level 2, and that the losses resulted from his own decision to concentrate trades around earnings events—a risk she had not recommended he take. The firm also noted that Marcus's stated objective of income generation and debt payoff was not inherently inconsistent with spread trading, which can generate premium income with defined risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Danielle violated applicable standards: Marcus had only 18 months of equity trading experience and just five months of options experience limited to covered calls before being approved for multi-leg strategies. His financial education came entirely from YouTube videos and an online trading community, not any structured coursework. Approximately 60% of his liquid net worth was in the account, creating meaningful concentration risk if options losses occurred. Regulators have emphasized that self-reported knowledge obtained through informal channels may not constitute genuine understanding of complex derivatives strategies, particularly under stress conditions. The rapid escalation from Level 2 to Level 3 within five months could suggest insufficient seasoning. Additionally, his stated goal—generating \$300-\$500 per month to pay down student loans—arguably did not require the complexity or risk of multi-leg spreads when covered calls were already achieving that objective. Some regulators would view the earnings-week iron condor losses as a foreseeable consequence of approving a relatively inexperienced investor for strategies he did not fully appreciate in volatile conditions.

Arguments that Danielle acted appropriately: Covered calls and defined-risk spreads are materially different from naked options or unlimited-risk strategies. Level 3 approval at this firm specifically limited Marcus to strategies where maximum loss was defined at entry—iron condors and vertical spreads cap losses by construction. Danielle conducted a knowledge assessment and documented that Marcus could correctly articulate the mechanics, structure, and maximum loss of the strategies he intended to use. Marcus had a demonstrated track record of disciplined trading at Level 2, suggesting he was progressing naturally. The losses Marcus suffered (\$8,400) were within the defined-risk parameters of the trades he placed; the strategies functioned exactly as designed. The decision to stack five iron condors on earnings announcements in a single week was Marcus's independent choice, not a recommendation from Danielle. Danielle provided the required options disclosure document and obtained proper acknowledgment. Moreover, at 34 with earned income and a long time horizon, Marcus had capacity to recover from an 18% drawdown. The firm could reasonably argue that denying access to defined-risk spread strategies to a

motivated, self-directed investor with demonstrated competence would be paternalistic and inconsistent with the principle of investor access.

Why Borderline

This case sits in a genuine gray area because the product complexity (multi-leg options) typically triggers heightened scrutiny for retail investors, yet the specific strategies approved were defined-risk with capped losses. The investor demonstrated informal but apparently functional knowledge, passed a verbal assessment, and had a short but successful track record. The losses were not caused by a strategy malfunction or misunderstanding of mechanics—they resulted from a concentration of trades around high-volatility events, which is more of a risk management failure than a suitability failure. Reasonable people can disagree about whether five months of covered call experience is sufficient seasoning before spread approval, and whether informal online education should carry the same weight as formal training in the approval process.

Borderline Factors

- Investor had only 5 months of Level 2 options experience before escalation to Level 3
- All options education was self-directed through YouTube and online communities rather than formal training
- Approximately 60% of liquid net worth was in the trading account
- Level 3 strategies approved were defined-risk with capped maximum losses
- Advisor conducted and documented a verbal knowledge assessment that the investor passed
- Losses resulted from investor's independent decision to concentrate trades around earnings events, not from advisor recommendations
- The stated investment objective (income generation for debt payoff) was arguably achievable with Level 2 strategies alone
- Investor had a successful 5-month track record at Level 2 before requesting upgrade
- The 18% account loss, while significant, was within the defined-risk parameters of the trades

Likely Outcome

A regulator would likely view this as a close call but would probably find a minor supervisory deficiency rather than a clear-cut violation. The key vulnerability for Danielle is the rapid escalation timeline (five months from first option trade to multi-leg spread approval) and the reliance on informal self-education for a client with most of his liquid assets in the account. However, the defined-risk nature of the approved strategies, the documented knowledge assessment, and the fact that the losses stemmed from the investor's own unsupervised trading decisions (not from advisor recommendations) would significantly mitigate the finding. A likely outcome is a cautionary letter or minor fine focused on the adequacy of the approval process documentation and the firm's options account supervision procedures, rather than a finding of substantive unsuitability. If the firm had a written policy requiring minimum time at each options level before advancement, and Danielle deviated from it, the outcome would tilt more firmly toward a violation.

Borderline Scenario 22

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) requires member firms to exercise due dilig

Fact Pattern

Marcus Webb, age 34, works as a warehouse logistics coordinator earning \$62,000 per year. He has a brokerage account with \$47,000, representing nearly all of his liquid savings aside from a \$4,200 emergency fund in a savings account. Marcus has no formal financial education but has been actively trading stocks for approximately 18 months, executing roughly 120 equity trades during that period, most of them in large-cap technology names. His account application indicates moderate risk tolerance, a five-to-ten-year investment horizon, and a growth objective. He has no prior options trading experience.

In January 2023, Marcus contacted his financial advisor, Danielle Pratt, and expressed interest in generating additional income from his existing stock positions. He told Danielle he had been watching YouTube videos about covered calls and wanted to start writing them against his concentrated position in a well-known mega-cap technology stock, which comprised about \$31,000 of his portfolio. Danielle reviewed his account and had a 40-minute phone conversation with Marcus, during which she explained that covered calls involve selling call options against shares he already owns, that he would collect premium income but cap his upside, and that his maximum loss on the strategy was the decline in the underlying shares (which he already held). She walked through a hypothetical example showing how assignment works and what happens if the stock rises above the strike price. She also emailed him the standard options risk disclosure booklet and confirmed via email that he received it.

Danielle approved Marcus for Level 1 options trading, which at her firm permits only covered call writing and cash-secured put selling. She did not approve him for any higher-level strategies involving spreads, uncovered options, or leveraged positions. Over the next seven months, Marcus wrote covered calls on his technology holding approximately once per month, collecting a cumulative \$3,400 in premium income. Two of the calls were assigned, and Marcus sold shares at the strike price, missing approximately \$2,800 in additional upside he would have captured had he not written the calls. He repurchased the shares afterward at slightly higher prices.

In September 2023, Marcus called Danielle to complain. He said he felt he was not fully informed that assignment could force him out of a stock position he wanted to hold long-term, and that the repurchase costs and tax implications of the assignments had largely wiped out his premium income. He said the strategy was presented to him as 'basically free money' and that Danielle never explained the tax consequences of short-term capital gains on the assigned shares. Marcus's account records show he initialed a written acknowledgment at account opening that options involve risk and that he should consult a tax professional regarding tax treatment. Danielle's notes from the January call reference her explanation of assignment mechanics but do not specifically mention tax consequences. Marcus has since filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Danielle violated applicable standards: Marcus had zero options experience prior to approval, and his liquid net worth was modest (\$47,000 account plus \$4,200 emergency fund). Approving even a basic options strategy for someone whose brokerage account constitutes essentially all of his investable assets raises concentration and liquidity risk concerns. His complaint alleges the strategy was

characterized as 'basically free money,' which, if true, would represent a materially misleading characterization that downplays the economic trade-offs of covered call writing, including assignment risk and adverse tax consequences. The advisor's contemporaneous notes do not document any discussion of tax implications, which are a foreseeable and material consequence of assignment on a position the client intended to hold long-term. Given that Marcus explicitly told Danielle he wanted to hold the stock long-term, a covered call strategy that risked forced sales through assignment could be viewed as inconsistent with his stated objective. Additionally, while Level 1 options are the most conservative tier, the standard requires that the firm conduct a meaningful inquiry into whether even this level is appropriate for the specific customer, not merely whether the strategy is conservative in the abstract.

Arguments that Danielle acted appropriately: Covered call writing is widely regarded as the most conservative options strategy available and is frequently recommended as an entry point for clients seeking income enhancement on existing equity positions. Danielle limited Marcus to Level 1 only, excluding all higher-risk strategies. She spent 40 minutes explaining the strategy, provided the options disclosure booklet, confirmed receipt, and documented the call. Marcus himself initiated the request after self-educating on the strategy, demonstrating at least a baseline understanding of the concept. He had 18 months of active equity trading experience with over 100 trades, suggesting a degree of market sophistication beyond a truly novice investor. The \$3,400 in premium collected over seven months represented a meaningful income enhancement relative to his portfolio size. His complaint centers on missing \$2,800 in upside and tax consequences - the upside cap is an inherent, well-disclosed feature of covered calls, and the signed acknowledgment explicitly directed him to consult a tax advisor. Advisors are generally not expected to provide specific tax advice, and the tax consequences of assignment, while relevant, are not unique to options and arise in any stock sale. Marcus's dissatisfaction appears driven by hindsight - the stock rose more than expected - rather than a fundamental unsuitability of the strategy itself.

Why Borderline

This scenario is genuinely ambiguous because the strategy itself (covered calls) is the most conservative options approach and was initiated at the client's request, yet the client had zero options experience, limited wealth, and a stated long-term holding objective that arguably conflicted with a strategy that creates assignment risk. The adequacy of the disclosure - particularly the omission of tax consequence discussion from the documented conversation - creates a factual dispute about whether the advisor's explanation was materially complete, even though the client signed a general risk acknowledgment. Reasonable practitioners could disagree on whether Level 1 approval for covered calls requires the same depth of suitability analysis as more complex strategies, and whether the advisor's 40-minute explanation and written disclosure delivery constituted a reasonable basis for proceeding.

Borderline Factors

- Client-initiated request for a specific strategy he had self-researched, suggesting informed interest but not necessarily informed consent
- Covered calls are the most conservative options strategy, yet client had literally zero prior options experience
- Client's brokerage account represented nearly all liquid savings, raising the question of whether any options strategy is suitable regardless of conservatism
- Advisor documented a 40-minute explanation of mechanics including assignment, but notes are silent on tax consequences of assignment

- Client signed acknowledgment directing him to consult a tax professional, potentially shifting responsibility for tax-related complaints
- Client's stated long-term holding objective arguably conflicts with a strategy that creates periodic forced-sale risk through assignment
- Complaint driven partly by hindsight - stock outperformed the strike price - rather than realized losses
- The \$2,800 in missed upside and repurchase costs roughly offset the \$3,400 in premium, making the economic harm modest but real

Likely Outcome

A regulator would most likely find no violation, but could issue a cautionary letter or require enhanced supervisory procedures. The strategy was conservative, client-initiated, and accompanied by meaningful (if imperfect) disclosure. The primary weakness in Danielle's position is the lack of documented discussion about tax consequences and the potential tension between covered call writing and the client's expressed long-term holding objective. However, the firm's written acknowledgment shifting tax consultation responsibility to the client, the delivery of the options disclosure booklet, and the inherently conservative nature of Level 1 covered calls would likely tip the balance in the advisor's favor. A regulator might note that the firm's options approval process should incorporate more explicit documentation of how assignment risk aligns with the client's stated investment objectives, particularly for clients with concentrated positions they wish to hold indefinitely.

Borderline Scenario 23

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2360(b)(17) (options account supervision)

Fact Pattern

Margaret Ellison, age 74, is a retired former CFO of a mid-size manufacturing company. She has a net worth of approximately \$3.2 million, with \$1.8 million in her brokerage account at Ridgeline Securities. She receives \$4,200 per month in Social Security and a \$3,100 monthly pension. Her stated investment objective on her account application is 'growth and income,' with a risk tolerance marked as 'moderate.' She has checked the box indicating 25+ years of investing experience, including prior experience with options dating back to the 1990s when she personally managed a covered call strategy on her employer's stock. In March 2023, her financial advisor, Kevin Draper, age 38, conducted a phone call with Mrs. Ellison in which she expressed frustration that her portfolio was only generating about 4.5% annually and that she had read online about using options to 'juice' her income. She specifically mentioned wanting to sell cash-secured puts on blue-chip stocks like Apple and Johnson & Johnson to collect premium income, and referenced a popular YouTube channel that had explained the strategy. Draper reviewed her account and, after a 45-minute conversation, approved her for Level 3 options trading, which at Ridgeline permits covered calls, cash-secured puts, spreads, and the purchase of protective puts. Draper documented the conversation in his notes, including Mrs. Ellison's stated experience and her specific request. Over the following 14 months, Mrs. Ellison executed approximately 55 options trades, almost all cash-secured puts and covered calls on large-cap stocks, generating roughly \$78,000 in premium income. However, in late 2024, she sold cash-secured puts on three semiconductor stocks-NVIDIA, AMD, and Broadcom-during a period of elevated volatility. She was assigned on all three positions, resulting in a \$142,000 unrealized loss as the stocks declined sharply. She also began executing vertical put spreads in September 2024, a strategy she

had not previously used, after watching additional online tutorials. Two of these spread positions resulted in maximum losses totaling \$31,000. Mrs. Ellison's daughter, who holds power of attorney, contacted Ridgeline's compliance department in January 2025, alleging that her mother had been showing signs of early cognitive decline since mid-2024 and that Draper should never have approved a 74-year-old retiree for Level 3 options. The daughter also noted that her mother had begun calling Draper 2-3 times per week asking for help understanding her positions, and that in one recorded call from October 2024, Mrs. Ellison appeared confused about the difference between a cash-secured put and a vertical spread. Draper maintains that Mrs. Ellison was sharp, knowledgeable, and self-directed throughout their interactions, that he recommended she limit positions to 10% of her portfolio per underlying, and that the semiconductor trades were her own unsolicited choices. Ridgeline's options principal approved the Level 3 designation based on Mrs. Ellison's stated experience and financial profile without conducting a separate interview.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuinely difficult suitability question at the intersection of options account approval, senior investor protection, and self-directed account obligations. Arguments that Draper did NOT violate applicable standards: (1) Mrs. Ellison had legitimate, documented options experience spanning decades, including specific prior use of covered calls. Under FINRA Rule 2360(b)(16), the firm must consider the customer's investment experience, financial situation, and investment objectives when approving options accounts. Mrs. Ellison's profile-\$3.2 million net worth, \$7,300/month in guaranteed income, 25+ years of experience, and a growth-and-income objective-is facially consistent with Level 3 approval. (2) Her initial strategy (covered calls and cash-secured puts on blue chips) was conservative and income-oriented, aligning with her stated objectives. The \$78,000 in premium income over 14 months demonstrates the strategy was working as intended. (3) Draper documented the conversation, advised position limits, and the customer was self-directing her own trades. Under the self-directed account framework, the advisor's obligation is different from that of a full-service advisor making recommendations. (4) Mrs. Ellison proactively requested the strategy and demonstrated specific knowledge of it. Arguments that Draper DID violate applicable standards: (1) Under FINRA Regulatory Notice 21-15, firms have heightened obligations around options account approval and ongoing supervision regardless of self-directed status. The approval of Level 3 (which includes spreads) went beyond what Mrs. Ellison initially requested (covered calls and cash-secured puts). (2) Under Reg BI's care obligation, even when a customer requests a product, the broker must have a reasonable basis to believe the recommendation (or in this case, the account approval that facilitates trading) is in the customer's best interest. Approving spread capability for a 74-year-old retiree who only asked about simpler strategies raises questions. (3) The Options Disclosure Document requires that customers receive and acknowledge the OCC risk disclosure; there is no indication Draper confirmed Mrs. Ellison understood the specific risks of spreads versus the simpler strategies she initially discussed. (4) The escalation in complexity (from covered calls to vertical spreads) and the shift from blue-chip to volatile semiconductor names represents a material change in strategy that arguably should have triggered a supervisory review under FINRA Rule 2360(b)(16)(B), which requires ongoing diligence. (5) The recorded call showing confusion in October 2024 and the increased frequency of calls for help understanding positions suggest possible cognitive decline, raising the question of whether Draper should have escalated concerns under the firm's vulnerable adult policies. (6) Ridgeline's options principal approved Level 3 without conducting a separate interview with the customer, which some

regulators would view as a supervisory failure given her age, notwithstanding her experience. The semiconductor concentrated put-selling and the spread trades are the core problem. The initial approval and early trading appear defensible, but the failure to reassess as the customer's behavior and capabilities appeared to change is the vulnerability.

Why Borderline

This is genuinely ambiguous because Mrs. Ellison has a financial profile and experience history that facially supports options approval, and her initial strategy was conservative and income-appropriate. The tension arises from: (1) the gap between what she initially requested and what she was approved for (Level 3 includes spreads she did not initially seek); (2) the evolution in her trading toward riskier positions without documented reassessment; (3) the emerging signs of cognitive decline that are only apparent in retrospect; and (4) the self-directed nature of the account, which shifts responsibility toward the customer but does not eliminate the firm's approval and supervision obligations. Reasonable practitioners disagree about how proactively a firm must monitor a self-directed senior's options activity after initial approval, and whether a single recorded call showing confusion is sufficient to trigger an obligation to restrict the account.

Borderline Factors

- Customer had legitimate, decades-long options experience including prior covered call use
- Net worth and income were sufficient to absorb losses without jeopardizing basic financial security
- Level 3 approval included spread capability the customer did not initially request
- Initial trading strategy was conservative and aligned with stated objectives
- Shift to concentrated semiconductor positions and spreads occurred without documented reassessment
- Signs of cognitive decline were emerging but not formally diagnosed at time of trading
- Single recorded call showing confusion could reflect a bad day or genuine cognitive impairment
- Account was self-directed, limiting but not eliminating firm obligations
- Options principal approved without independent interview despite customer's age
- Advisor documented conversations and recommended position limits

Likely Outcome

A regulator would most likely find a partial violation focused on two areas: (1) the options principal's failure to conduct a direct interview or enhanced due diligence given Mrs. Ellison's age at the time of Level 3 approval, which is increasingly expected under post-2021 options supervisory guidance; and (2) the failure to conduct any supervisory reassessment when trading patterns shifted materially (from blue-chip covered calls to semiconductor spread trades) and when red flags of potential cognitive decline emerged (frequent confused calls). The initial approval and the first year of conservative trading would likely be viewed as defensible. The semiconductor losses and spread losses would likely be viewed as a supervisory failure rather than a suitability violation per se, since the trades were unsolicited. The firm rather than Draper individually would likely bear primary responsibility for inadequate options supervision protocols for senior investors. Monetary sanctions or restitution for the spread losses (\$31,000) would be more likely than for the put assignment losses, since the spreads fell outside the customer's original stated strategy and experience.

Borderline Scenario 24

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2360(b)(16) requires member firms to exercise due diligence to ascertain e*

Fact Pattern

Marcus Whitfield, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000, including \$290,000 in a brokerage account and \$210,000 in retirement accounts. He has traded equities actively for six years and has executed approximately 40 single-leg options trades (mostly covered calls and cash-secured puts) over the past two years. In January 2023, Marcus applied for Level 3 options approval at his brokerage firm, Baxter-Leeds Financial, requesting the ability to trade vertical spreads, calendar spreads, and naked puts. His registered representative, Diana Chou, reviewed his application and approved Level 3 access after a 15-minute phone conversation in which Marcus described his understanding of spread mechanics and margin requirements. Diana documented that Marcus had 'intermediate' options knowledge and noted his prior covered call experience. She did not administer any written assessment or quiz, nor did she ask Marcus to describe maximum loss scenarios for the requested strategies. Diana's branch manager co-signed the approval.

Over the following four months, Marcus executed 28 vertical spread trades (bull call spreads and bear put spreads) with defined risk, generating modest profits totaling \$4,200. In May 2023, Marcus began selling naked puts on three mid-cap technology stocks, allocating roughly \$95,000 in margin to these positions. He told Diana during a routine check-in call that he was 'following analyst price target upgrades' on these names and believed selling puts was a way to collect premium while waiting for entry points. Diana noted the conversation but did not discuss the risks of concentrated naked put selling in a single sector, nor did she review whether the positions were consistent with Marcus's stated investment objective of 'growth with moderate risk.' In late June 2023, one of the three stocks dropped 38% after missing earnings, and Marcus suffered a \$47,000 loss on his naked put positions in that name alone. His total account value declined from \$290,000 to \$228,000 over six weeks.

Marcus filed a complaint alleging that Diana should never have approved him for naked put writing given his limited options history, and that she failed to flag the concentration risk in his positions. Diana and Baxter-Leeds responded that Marcus met reasonable financial thresholds for the strategies, had demonstrated sufficient knowledge during the approval call, successfully traded defined-risk spreads for months before escalating to naked puts, and that the concentrated positions were his own unsolicited choices. They also noted that Marcus had been provided the standardized options risk disclosure document at account opening and again at the time of his Level 3 approval, and that he signed acknowledgments both times. Baxter-Leeds's written supervisory procedures required a phone interview and branch manager sign-off for Level 3 approval, both of which were completed. The firm did not have a specific policy requiring written testing or assessment of options knowledge beyond the interview.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents tension between procedural compliance and substantive adequacy of the options approval process. On one hand, Diana followed her firm's internal written supervisory procedures: she conducted a phone interview, documented Marcus's experience level, obtained branch manager co-approval, and ensured the OCC Options Disclosure Document was delivered twice. Marcus had real trading experience-six years of equity trading and two years of options trading including approximately 40 single-leg trades. He met reasonable income and net worth thresholds, and he successfully traded

defined-risk spreads for four months before moving to naked puts. His losses arose from a concentrated, unsolicited position driven by his own investment thesis based on analyst price targets.

On the other hand, several factors weigh against the advisor and firm. First, the approval process may have been insufficient in substance even if it checked procedural boxes. A 15-minute phone call without any structured assessment of Marcus's understanding of naked option risk-particularly maximum loss scenarios, margin calls, and assignment risk-may not constitute the 'reasonable diligence' expected when approving a customer for uncovered options writing. Covered calls and cash-secured puts are fundamentally different risk profiles from naked puts, and Marcus's 40 prior trades were all in those more conservative strategies. Second, the jump from Level 3 defined-risk spreads to naked put writing represents a material escalation in risk, and some firms treat uncovered writing as requiring a separate, higher approval level (Level 4 or equivalent). The fact that Baxter-Leeds bundled naked puts with spreads under a single Level 3 designation may reflect inadequate tiering. Third, Diana had an ongoing duty to monitor the account and flag concerns. When Marcus disclosed during the check-in call that he was concentrating naked puts in a single sector based on analyst price targets-a strategy that academic research suggests is associated with naive retail behavior and negative expected returns-Diana arguably should have provided more robust counseling about concentration risk and the speculative nature of his approach, especially given his stated objective of 'growth with moderate risk.' Naked put selling concentrated in one sector is arguably inconsistent with a moderate risk tolerance. Fourth, the absence of written testing, while compliant with the firm's internal procedures, may fall short of industry best practices and regulatory expectations that firms conduct meaningful due diligence into a customer's actual knowledge rather than relying on self-reported experience.

The unsolicited nature of the trades and Marcus's own agency as an experienced, high-income professional cut in the advisor's favor. The question is whether the approval itself was deficient, and whether the ongoing monitoring obligation required Diana to intervene more forcefully when the account activity deviated from stated objectives.

Why Borderline

This scenario is genuinely ambiguous because the advisor followed her firm's documented procedures, the client had meaningful (if not extensive) options experience, met financial thresholds, and made his own unsolicited trading decisions. Yet the approval process arguably lacked substantive rigor for the specific strategy approved, the client's prior experience did not include the materially riskier strategy he was approved for, and the advisor's ongoing monitoring may have been inadequate when the client's actual trading diverged from his stated risk profile. Reasonable practitioners could disagree about whether the procedural compliance was sufficient or whether the substantive gaps in the approval and monitoring process constituted a violation.

Borderline Factors

- Marcus had options trading experience but exclusively in covered calls and cash-secured puts, which are fundamentally different in risk from naked put writing
- The firm's WSPs were followed, but those procedures may themselves be inadequate for uncovered options approval
- A 15-minute phone interview without structured assessment of knowledge about naked options risks may or may not meet the reasonable diligence standard

- Marcus's stated objective of 'growth with moderate risk' is arguably inconsistent with concentrated naked put selling, but could also encompass put selling as an income/entry strategy
- The positions were unsolicited and Marcus articulated a specific investment thesis
- Diana noted the check-in conversation about concentrated sector positions but did not counsel against concentration or document why it was consistent with his profile
- Marcus is a high-income professional in a technical field, suggesting capacity to understand complex strategies, but actual demonstrated knowledge of naked options risk was never formally assessed
- The OCC disclosure document was delivered twice, but delivery alone may not satisfy the obligation to ensure the customer understands strategy-specific risks

Likely Outcome

A regulator would likely find at least a partial violation, primarily in the account approval process rather than in the individual trade recommendations. The key issue is that the firm's approval framework did not adequately distinguish between defined-risk strategies (spreads) and undefined-risk strategies (naked puts), and the advisor's assessment of Marcus's knowledge was not sufficiently rigorous to support approval for uncovered writing given his lack of any prior experience with that strategy type. The ongoing monitoring failure-failing to address the inconsistency between the stated moderate risk objective and concentrated naked sector exposure-would likely be cited as an aggravating factor. However, the sanctions might be moderate given that Marcus had genuine trading experience, met financial thresholds, was provided risk disclosures, and made unsolicited decisions. The firm's WSPs themselves would likely be criticized as deficient for not requiring more granular assessment at the uncovered writing approval level.

Borderline Scenario 25

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2360(b)(16) (options account approval by registered opt*

Fact Pattern

Marcus Delgado, age 34, opened a brokerage account in February 2023 with Ridgeline Financial, a mid-sized online broker-dealer. Marcus works as a warehouse logistics coordinator earning \$62,000 annually. He listed his liquid net worth as \$85,000 (mostly in a savings account and a small index fund position), his total net worth as \$140,000 (including a used vehicle and modest personal property), and his investment objective as 'growth.' He indicated on his new account form that he had 'some' investment experience, specifically two years of buying and holding individual stocks and ETFs. He checked a box indicating he had 'limited' knowledge of options but expressed interest in learning. His stated risk tolerance was 'moderate to aggressive,' and he wrote in the free-text field: 'I've been paper trading options for about 8 months and feel ready to use real capital. I want to generate extra income and occasionally speculate on earnings plays.'

Ridgeline's options approval system uses a four-tier structure. Tier 1 permits covered calls and cash-secured puts. Tier 2 adds long calls and long puts. Tier 3 permits spreads (verticals, calendars, diagonals). Tier 4 permits naked short options and uncovered strategies. Marcus applied for Tier 3 approval. The automated system initially flagged his application for manual review because his income and liquid net worth fell below the firm's suggested thresholds for Tier 3 (\$75,000 income or \$150,000 liquid net worth). A registered options principal, Sandra Choi, reviewed the application. She conducted a 12-minute

phone call with Marcus, during which he correctly described the mechanics of a bull call spread and an iron condor, explained that his maximum loss on a defined-risk spread is limited to the net debit paid, and stated he understood that multi-leg strategies could be difficult to close in illiquid markets. Sandra noted in her file that Marcus was 'articulate about spread mechanics and risk parameters' and approved him for Tier 3.

Over the next five months (March through July 2023), Marcus executed 47 options trades, predominantly vertical spreads and iron condors on large-cap, highly liquid names like Apple, Tesla, and Amazon. His average position size was approximately \$1,200 in maximum risk per trade. His cumulative realized losses over this period totaled \$8,400 against realized gains of \$5,100, for a net loss of \$3,300. He also had \$2,900 in open unrealized losses at the end of July. His total options losses therefore represented roughly 7.3% of his stated liquid net worth.

In August 2023, Marcus placed a series of four short iron condors on Tesla ahead of its earnings announcement, each with maximum risk of approximately \$3,500, for a combined maximum exposure of \$14,000 - about 16.5% of his liquid net worth concentrated in a single underlying over a binary event. Tesla's post-earnings move breached one wing of each condor, and Marcus lost \$9,800 on these four trades alone. His cumulative net loss on all options activity since account opening reached approximately \$13,100, or 15.4% of his liquid net worth.

Marcus filed a complaint in October 2023, alleging that Ridgeline should never have approved him for Tier 3 options trading given his income, net worth, and limited real-money experience, and that the firm failed to supervise the concentration of risk in his August Tesla earnings trades. He argues that paper trading should not have counted as meaningful experience and that the phone interview was superficial. Ridgeline counters that Marcus demonstrated genuine understanding of defined-risk strategies, that all of his trades were within approved strategy types with capped maximum losses, that no single trade exceeded 4% of his liquid net worth until the August cluster, and that the firm has no policy requiring per-position concentration limits for Tier 3 defined-risk strategies. Ridgeline also notes that Marcus independently selected every trade without any recommendation from a representative and that the platform provided pop-up risk disclosures including maximum loss calculations before each order confirmation. Sandra Choi's supervisor states that the manual override of the automated flag was within Sandra's discretionary authority and was documented appropriately.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises several intertwined questions about options account approval, ongoing supervision, and the distinction between recommendations and self-directed trading.

****Arguments that the firm violated applicable standards:****

1. ****Account Approval Deficiencies:**** Under FINRA Rule 2360(b)(16), a registered options principal must approve each options account and must consider the customer's investment objectives, employment status, estimated annual income, net worth, investment experience, and other relevant factors. Marcus's income of \$62,000 and liquid net worth of \$85,000 fell below the firm's own automated thresholds for Tier 3 approval.

While firms may exercise discretion, overriding internal guidelines creates heightened scrutiny. A 12-minute phone call, while documented, could be viewed as insufficient diligence for a customer whose only real-money experience was buying and holding stocks and ETFs for two years. Paper trading, while informative, does not replicate the psychological and financial pressures of real capital at risk.

2. **OCC Options Disclosure Document Delivery and Comprehension:** The OCC's Characteristics and Risks of Standardized Options document must be provided at or before account approval. While Ridgeline presumably delivered this document, the question is whether Marcus genuinely understood the risks of multi-leg strategies in volatile conditions. His August behavior - concentrating four iron condors on a single stock ahead of earnings - suggests he may not have fully internalized tail risk and correlation risk within a concentrated position.

3. **Supervision of Account Activity:** FINRA RN 21-15 specifically highlighted concerns about options account approvals and ongoing supervision, particularly in the context of app-based and online brokers that approve options trading with minimal human review. The regulatory notice emphasized that firms must have robust supervisory systems to monitor not just individual trade suitability but patterns of trading activity that may indicate the account approval was inappropriate. Marcus's escalating losses and the August concentration could trigger supervisory review obligations.

4. **Concentration Risk:** Even though each individual trade had defined risk, the simultaneous placement of four iron condors on Tesla ahead of earnings created a correlated exposure of \$14,000 - roughly 16.5% of liquid net worth - on a single binary event. This pattern of risk-taking might suggest that the original approval was not appropriate for someone of Marcus's financial profile, or that the firm's supervisory systems should have flagged the concentration.

Arguments that the firm acted appropriately:

1. **Self-Directed Trading and No Recommendation:** A critical threshold question is whether any 'recommendation' was made. Marcus selected every trade independently through the firm's online platform. Under Regulation Best Interest, the obligation to act in the customer's best interest is triggered by a recommendation. If no recommendation was made, the analysis shifts primarily to the account approval and supervision framework rather than trade-level suitability. FINRA Rule 2360 governs account-level approval but does not transform every self-directed trade into a supervised recommendation.

2. **Defined-Risk Strategies:** All of Marcus's trades were defined-risk strategies (vertical spreads and iron condors), meaning his maximum loss on each trade was known and capped at order entry. This is materially different from naked options or undefined-risk strategies. Tier 3 approval for spreads is specifically designed for investors who want exposure management with known worst-case outcomes. Marcus's losses, while painful, never exceeded the maximum risk he accepted at the time of each trade.

3. **Documented Approval Process:** Sandra Choi conducted a phone interview, documented Marcus's demonstrated knowledge of spread mechanics and risk parameters, and exercised her discretionary authority as a registered options principal to approve the account. The override of the automated flag was within her authority and was not a rubber stamp - she probed his understanding and recorded her findings.

FINRA Rule 2360(b)(16)(B) vests approval authority in the ROP, and Sandra exercised that authority with documentation.

4. **Losses in Context:** Marcus's cumulative net loss of \$13,100 represents 15.4% of his liquid net worth, which is significant but not catastrophic for someone with a 'moderate to aggressive' risk tolerance and a 'growth' objective. His pre-August losses of \$3,300 represented only 3.9% of liquid net worth, well within normal trading losses for an active options trader. The August concentration was unusual but not outside the bounds of what a self-directed trader with Tier 3 approval might reasonably do.

5. **Platform Safeguards:** Ridgeline provided pop-up risk disclosures showing maximum loss on each trade before execution. Marcus affirmatively acknowledged these disclosures 47 times. The platform did not encourage, recommend, or gamify the concentrated Tesla earnings trades.

6. **Paper Trading as Relevant Experience:** While not equivalent to real-money trading, eight months of paper trading options is not meaningless. Combined with two years of stock investing and demonstrated verbal fluency in options mechanics, the totality of Marcus's experience profile was not unreasonable for defined-risk spread approval.

Why Borderline

This scenario sits at the intersection of several genuinely contested issues in modern options regulation: (1) how much weight paper trading experience should carry in account approval decisions; (2) whether a firm's internal automated thresholds create a de facto standard that makes overrides presumptively suspect; (3) the extent to which firms must monitor self-directed options activity for concentration risk even when no recommendation is made; and (4) whether post-hoc losses that are within the defined-risk parameters accepted by the customer at trade entry can retroactively render the original account approval deficient. Reasonable practitioners disagree on each of these points, and the regulatory framework intentionally grants discretion to registered options principals while simultaneously demanding robust supervisory systems.

Borderline Factors

- Customer's income and liquid net worth fell below the firm's own automated thresholds for Tier 3, but the manual override was documented and within the ROP's authority
- Paper trading for 8 months demonstrated knowledge but not real-capital risk tolerance or emotional discipline
- A 12-minute phone call is more than many online brokers conduct but arguably insufficient for a full assessment of a below-threshold applicant
- All trades were defined-risk strategies with capped maximum losses, distinguishing this from naked options or unlimited-risk scenarios
- No recommendation was made - all trades were self-directed, which may limit the firm's obligation under recommendation-based frameworks
- The August concentration of \$14,000 in correlated Tesla earnings exposure was a sharp departure from prior \$1,200 average position sizes but was not prohibited by any stated firm policy
- Cumulative losses of 15.4% of liquid net worth are significant but not ruinous for a moderate-to-aggressive growth investor
- FINRA RN 21-15 specifically flagged concerns about online broker options approval practices but did not

establish bright-line rules for approval thresholds

- The customer's own statements about risk tolerance and objectives supported the approval, but his actual behavior pattern (escalating concentration, earnings gambling) may suggest the stated profile was aspirational rather than accurate

Likely Outcome

A regulator would likely find partial fault with the firm but stop short of concluding that the initial Tier 3 approval itself was a clear violation. The stronger regulatory argument focuses on the firm's failure to have supervisory systems that would detect and flag the dramatic increase in concentration and position sizing in August 2023, particularly the clustering of four correlated positions on a single stock ahead of a binary earnings event. While the initial approval was a close call, Sandra Choi's documentation of Marcus's demonstrated knowledge and the defined-risk nature of Tier 3 strategies provides a reasonable defense. However, FINRA examiners reviewing this under the framework articulated in Regulatory Notice 21-15 would likely conclude that the firm's supervisory system was deficient in not having concentration alerts or position-sizing guardrails relative to stated liquid net worth for options accounts that were approved via manual override of automated flags. The most probable outcome is a supervisory deficiency finding rather than a suitability violation, potentially resulting in a Letter of Caution or a fine in the low five figures, with a requirement to enhance automated surveillance for options accounts approved through manual override.

Borderline Scenario 26

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) requires that a firm approve a customer's ac

Fact Pattern

Marcus Delgado, age 34, works as a warehouse logistics coordinator earning \$62,000 per year. He has a brokerage account with \$47,000 in savings, approximately \$15,000 in a 401(k), and no other liquid investments. He has no formal financial education but has been trading stocks on a mobile brokerage app for approximately 18 months, during which he made roughly 85 equity trades, mostly in large-cap tech names. In March 2025, Marcus contacted his financial advisor, Heather Yamamoto, at a mid-sized broker-dealer and asked to be approved for options trading. He told Heather he had been watching YouTube tutorials on options strategies for several months, had paper-traded covered calls and cash-secured puts using a simulator for about four weeks, and wanted to generate additional monthly income from his existing stock holdings. He stated his investment objective was 'growth with income,' his risk tolerance was 'moderate to aggressive,' and his time horizon was 7-10 years. He specifically said he did not want to trade naked options or use margin. Heather reviewed his account application, noted his limited but non-trivial trading history, and approved him for Level 2 options trading, which at her firm permits covered calls, protective puts, cash-secured puts, and long calls and puts, but does not permit spreads, naked writing, or uncovered strategies. Heather provided him the standard options disclosure document and confirmed he acknowledged receiving it. She also spent approximately 20 minutes on a recorded phone call walking him through the mechanics of covered calls and the risk of assignment. Over the following five months, Marcus executed 22 options trades: 14 covered calls on positions he already owned (primarily Apple, Microsoft, and Nvidia), 5 cash-secured puts on stocks he was willing to own at lower prices, and 3 long put purchases as hedges before earnings announcements. His net options P&L over this period was approximately +\$3,800, representing roughly an 8% return on the capital involved. He did not

experience any margin calls or assignments he could not cover. In September 2025, however, Marcus's branch compliance officer flagged the account during a quarterly review, noting that Marcus's annual income and net worth placed him in a demographic category the firm's internal guidance characterized as 'elevated supervision required' for options accounts. The compliance officer also noted that Marcus's original account opening documents listed his investment experience as 'limited' (a category below 'moderate' on the firm's scale), and that while Marcus had updated his profile verbally with Heather before options approval, the formal written profile update was not completed until two weeks after the first options trade was executed. The compliance officer questioned whether the approval was premature and whether Marcus had sufficient knowledge and financial cushion to absorb potential losses from options trading, even at Level 2.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Heather violated applicable standards: Marcus's original account documents listed his experience as 'limited,' and the formal profile update was not completed until after he had already begun trading options. This sequencing issue suggests the approval process was not fully completed before trading commenced, which could be viewed as a procedural failure in the account approval process. His income of \$62,000 and total liquid assets of \$47,000 mean that a significant adverse options event could materially impact his financial situation. The firm's own internal guidance flagged his demographic category as requiring elevated supervision, which arguably should have triggered additional scrutiny before approval rather than after. Additionally, his options 'education' consisted solely of YouTube videos and four weeks of paper trading, which some regulators might view as insufficient grounding in the complexities of options, even for Level 2 strategies.

Arguments that Heather acted appropriately: The strategies Marcus was approved for - covered calls, cash-secured puts, protective puts, and long options - are among the most conservative and well-understood options strategies available. Covered calls and cash-secured puts are frequently characterized by industry professionals as income-enhancing strategies suitable for moderately experienced investors. Marcus had 18 months of active equity trading experience with 85 trades, demonstrating meaningful engagement with the markets. He proactively sought out options education, completed paper trading, and specifically disclaimed any interest in naked or margin-based strategies. Heather limited his approval to Level 2, which is the lowest tier permitting any options activity at many firms, and she took time on a recorded call to explain mechanics and risks. The options disclosure document was provided. Marcus's actual trading over five months was disciplined, profitable, and well within his financial capacity - he never faced a margin call or an assignment he couldn't handle. The profile update delay of two weeks, while procedurally imperfect, reflected information Heather had already gathered verbally and documented on the recorded call. His stated risk tolerance of 'moderate to aggressive' and 7-10 year time horizon are consistent with the strategies employed. The firm's internal 'elevated supervision' flag is a guideline, not a prohibition, and elevated supervision was arguably provided through the subsequent quarterly review that identified the account.

Why Borderline

This scenario sits in a genuine gray zone because the substantive outcome - conservative options

strategies yielding positive returns for a client who sought them out and demonstrated initiative in self-education - conflicts with procedural shortcomings in the approval process (delayed written profile update, original 'limited' experience designation). The client's income and net worth are modest but not disqualifying, and the strategies approved carry defined and limited risk. Reasonable practitioners could disagree about whether YouTube-based education and four weeks of paper trading constitute adequate knowledge for options approval, and whether the two-week documentation gap represents a material failure or a minor administrative delay in a process where the substance was sound.

Borderline Factors

- Client's original experience level was documented as 'limited' and the formal written update occurred after the first options trade
- Income of \$62,000 and liquid assets of \$47,000 are modest but not clearly insufficient for Level 2 options strategies with defined risk
- Client's self-directed education via YouTube and only four weeks of paper trading may or may not constitute adequate options knowledge
- Firm's internal guidance flagged the demographic for elevated supervision but did not prohibit options approval
- Strategies actually traded (covered calls, cash-secured puts, protective puts) are among the most conservative options strategies
- Five months of disciplined, profitable trading with no margin calls or adverse events occurred before the compliance flag
- Client initiated the request and specifically limited himself to non-margin, non-naked strategies
- Advisor did provide the disclosure document and conducted a recorded educational phone call

Likely Outcome

A regulator would most likely find a procedural violation related to the documentation sequencing - specifically, that the written customer profile should have been formally updated before options trading was approved and commenced, consistent with account approval requirements. However, a regulator would likely view this as a supervisory and documentation deficiency rather than a substantive suitability violation, given that the strategies were conservative, the client's profile (once properly documented) supported Level 2 approval, and no customer harm resulted. The firm would likely face a finding related to its supervisory procedures for options account approval and potentially a modest fine, but Heather herself would likely receive a cautionary letter or minor sanction rather than a significant disciplinary action. If the client had suffered losses, the outcome could shift significantly toward a more serious finding.

Borderline Scenario 27

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and ongoing suitability); FINRA R

Fact Pattern

Margaret Hollis, age 74, is a retired hospital administrator with a \$1.85 million portfolio split between a traditional brokerage account (\$1.2 million in blue-chip equities and bonds) and a separate options-approved account (\$650,000) at Pinnacle Securities. She receives a pension of \$6,200/month and Social Security of \$2,800/month. Her annual living expenses are approximately \$78,000, meaning her

pension and Social Security cover her needs with a modest surplus. She has no mortgage and no dependents. On her account opening documents in 2019, she listed her investment objective as 'growth and income,' risk tolerance as 'moderate,' liquid net worth of \$2.1 million, and investment experience of '15+ years in equities, 8 years in options.' Her options account was approved for Level 3 trading, which at Pinnacle includes covered calls, cash-secured puts, vertical spreads, and calendar spreads - but not naked options or uncovered index writing.

Her advisor, Derek Fanning, age 41, has been her advisor since 2017. Between January 2022 and September 2024, Fanning recommended and executed a recurring strategy of selling cash-secured puts on large-cap technology stocks (Apple, Microsoft, Nvidia) and covered calls against her existing equity positions. The put strikes were generally 8-15% below the market price at time of sale, with 30-45 day expirations. Over this period, the options strategy generated approximately \$127,000 in premium income. During the same period, she was assigned on puts eleven times, resulting in stock purchases totaling approximately \$410,000; she subsequently sold or wrote calls against most of these positions. Her realized losses from assigned positions that later declined totaled approximately \$38,000, and her unrealized gains on positions still held were approximately \$52,000. Net of commissions (\$14,200 total over 33 months), her options activity produced a net gain of roughly \$74,800.

In March 2023, Fanning recommended she increase the cash allocation in her options account from \$200,000 to \$350,000 to support larger cash-secured put positions, which she did by liquidating intermediate-term Treasury bonds from her brokerage account. In August 2024, her daughter, Karen, discovered the scope of the options trading during a routine review of her mother's statements. Karen filed a complaint alleging that Fanning had placed her elderly mother in an unsuitable and overly complex options strategy, that the frequency of trading was excessive, and that the shift from Treasury bonds to cash to support options selling exposed her mother to unnecessary risk. Karen also noted that in June 2024, her mother had been diagnosed with mild cognitive impairment, although her mother's physician indicated the onset was likely gradual over the preceding 12-18 months.

Fanning responded that Mrs. Hollis was a financially sophisticated retiree who had traded options on her own before becoming his client, that the strategies used were among the most conservative options strategies available, that cash-secured puts on blue-chip stocks are functionally equivalent to limit buy orders with income, that Mrs. Hollis understood every trade and verbally confirmed each one before execution, that the net result was profitable and supplemented her income as she desired, and that the Treasury-to-cash reallocation did not change her overall risk profile because cash-secured puts on large-cap stocks carry risk similar to simply owning those stocks - which she already did in her other account. He produced email correspondence from Mrs. Hollis as recently as February 2024 asking him to 'keep the puts rolling on the tech names' and a handwritten note from December 2023 thanking him for 'the extra income from the options.' Pinnacle's options principal had reviewed and approved the account annually, most recently in January 2024, and found no issues.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents a genuine tension between investor protection concerns for a senior with emerging

cognitive decline and the evidence that the strategies employed were conservative, profitable, and apparently well-understood by the client.

Arguments that Fanning violated applicable standards:

1. Under FINRA Rule 2360(b)(16), firms must exercise due diligence to determine that options transactions are suitable for the customer. The ongoing obligations include reassessing suitability as circumstances change. A 74-year-old client developing cognitive impairment arguably should have triggered heightened scrutiny. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approval processes and ongoing suitability monitoring, particularly emphasizing that firms must have robust supervisory systems.
2. Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), Fanning had an obligation to exercise reasonable diligence, care, and skill in making recommendations. The reallocation from Treasury bonds to cash to support larger put-selling positions represents a material shift in portfolio composition that increased the client's effective equity exposure. While cash-secured puts are often described as conservative, the client's maximum loss exposure at any given time could equal the full notional value of the puts sold minus premium received - potentially hundreds of thousands of dollars.
3. The frequency of trading (generating \$14,200 in commissions over 33 months across what appears to be a high volume of transactions) raises quantitative suitability concerns under FINRA Rule 2111.05. While the net result was profitable, regulators have noted that profitability alone does not establish suitability.
4. The gradual onset of cognitive impairment (estimated to have begun between December 2022 and June 2023) overlaps with the period of active trading. FINRA has repeatedly emphasized through guidance and enforcement that advisors interacting regularly with senior clients bear heightened responsibility to detect signs of diminished capacity. The OCC Options Disclosure Document explicitly warns about the complexity and risks of options, and a client with diminishing cognitive function may not meaningfully understand rolling options positions even if she could articulate a preference.
5. The concentration of the options activity in technology stocks created sector-specific risk that may not have been appropriate for a retiree whose primary need was capital preservation and income.

Arguments that Fanning acted appropriately:

1. Cash-secured puts and covered calls are Level 3 strategies at most firms precisely because they are considered among the most conservative options strategies. The OCC Disclosure Document describes covered call writing and cash-secured puts as strategies with defined, limited risk profiles. Mrs. Hollis was not writing naked options or engaging in complex multi-leg speculative strategies.
2. Mrs. Hollis had 8 years of prior options experience and had independently traded options before engaging Fanning. Her account documentation, email correspondence, and handwritten notes demonstrate ongoing engagement and understanding through at least early 2024.

3. The strategy was net profitable (\$74,800 after commissions), supplemented her income as desired, and the realized losses (\$38,000) were modest relative to her portfolio size (approximately 2% of total assets). The annualized return on the options capital was approximately 4.3% net, which is reasonable for a conservative income-enhancement strategy.

4. The reallocation from Treasuries to cash did not introduce new risk categories - it shifted from fixed income to an equity-linked income strategy. Given that she already held \$1.2 million in equities, the effective increase in equity exposure was incremental rather than transformational.

5. The cognitive impairment diagnosis came in June 2024, and the physician noted gradual onset. There is no evidence Fanning was aware of or should have detected cognitive decline during the relevant period. Mrs. Hollis's February 2024 email demonstrates articulate, specific investment preferences. Pinnacle's options principal reviewed and approved the account in January 2024.

6. FINRA RN 21-15 focuses primarily on firms' approval processes and supervisory systems rather than individual representative conduct. Pinnacle appears to have conducted annual reviews as required under Rule 2360(b)(16)(B).

Why Borderline

The case sits at the intersection of several genuinely debatable issues: (1) whether conservative options strategies can ever be unsuitable for a knowledgeable senior investor who specifically requests them; (2) the retroactive effect of a cognitive impairment diagnosis on the suitability of recommendations made during the estimated onset period; (3) whether reallocating from bonds to cash to support put-selling materially changes risk profile; and (4) whether a profitable strategy that generates moderate commissions can constitute excessive trading. The client's documented engagement and expressed preferences cut strongly against a finding of unsuitability, while the cognitive decline timeline and the shift from Treasuries create legitimate regulatory concern.

Borderline Factors

- Client had 8 years of documented options experience and actively requested continuation of the strategy in writing
- Cognitive impairment was diagnosed after most of the trading occurred, with uncertain onset timing overlapping the trading period
- Strategies used (covered calls and cash-secured puts) are among the most conservative options strategies and were within the approved account level
- The reallocation from Treasury bonds to cash to support put-selling arguably increased equity market exposure for a 74-year-old retiree
- The strategy was net profitable and commissions, while not trivial, were not clearly excessive relative to account size and time period
- Pinnacle's options principal conducted annual reviews and found no issues, suggesting the firm's supervisory system functioned as designed
- The daughter - not the client - filed the complaint, raising questions about whether Mrs. Hollis herself viewed the activity as problematic
- The concentration in technology sector puts created specific risk beyond general market exposure

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a full suitability violation against Fanning individually, while potentially citing Pinnacle for supervisory deficiencies. The documented client sophistication, written client directives, conservative strategy selection, and profitable outcomes provide strong defenses. However, the regulator would likely criticize the failure to implement enhanced due diligence protocols once Mrs. Hollis reached her mid-70s, the lack of any documented capacity assessment, and the reallocation from Treasuries without a documented rationale tied to the client's overall financial plan. The firm might face a finding related to inadequate senior investor protections under its supervisory procedures rather than a substantive suitability violation. If the cognitive impairment onset is established through medical records as beginning before mid-2023, the calculus shifts significantly toward a violation, as a substantial portion of the trading would have occurred while the client arguably lacked full capacity to consent to complex financial transactions.

Borderline Scenario 28

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability, including quantitative suitability); Regulation Best Interest (17 C.F.R. 2010-39)

Fact Pattern

Marcus Delgado, age 41, is a software engineer earning \$185,000 per year with a net worth of approximately \$1.2 million, including his home equity. He opened an options-approved brokerage account in January 2022 with an initial deposit of \$140,000. On his new account form, he listed his investment objective as "speculation" and his risk tolerance as "aggressive." He indicated 4 years of options trading experience through a prior self-directed account at another broker and was approved for Level 3 options trading, which included covered calls, cash-secured puts, spreads, and naked put writing. His registered representative, Angela Chen, had been his advisor for roughly 18 months on a separate long-equity account before the options account was opened.

Over the next 14 months (January 2022 through February 2023), Chen executed 327 options trades in Delgado's account. The account had an annualized turnover ratio of approximately 6.8, and the cost-to-equity ratio was roughly 31%. The vast majority of the trades were short-dated (weekly and bi-weekly expiration) vertical spreads on a handful of large-cap technology stocks - names Delgado specifically flagged as companies he followed closely through his work in the sector. Roughly 80% of the trades were initiated based on text message conversations where Delgado would send Chen a directional view on a stock (e.g., "AMZN looks weak heading into earnings, let's put on a bear call spread") and Chen would structure and execute the trade, sometimes adjusting strike selection or expiration. The remaining 20% were trades Chen proactively suggested to Delgado, generally in the same names and using the same strategies.

The account lost approximately \$38,000 over the 14-month period, a 27% drawdown from the initial deposit. Delgado did not complain during this period; in fact, he increased his deposit by \$25,000 in August 2022, and in multiple emails thanked Chen for "keeping things moving" and "staying aggressive like we discussed." Chen earned approximately \$43,500 in commissions from the account. Delgado's separate long-equity account with Chen, valued at around \$220,000, remained largely static with a buy-and-hold

allocation in index funds.

In March 2023, following a particularly bad stretch of losses, Delgado filed a complaint alleging that Chen churned his options account, noting the high number of trades and that the commissions exceeded his losses. Chen's branch manager reviewed the account at the six-month mark and again at 12 months, noting the high activity but documenting that the client was "highly engaged and directing the majority of activity" and that the strategy was consistent with the stated aggressive/speculative objective. No flags were raised during either review, though the branch manager did not independently verify the text message records until after the complaint was filed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuinely difficult churning analysis because the quantitative indicators suggest excessive trading while the qualitative evidence cuts strongly in the other direction.

Arguments that the account was churned:

- The annualized turnover ratio of 6.8 exceeds the traditional threshold of 6.0 that regulators and arbitration panels have frequently used as a presumptive indicator of churning. While not dispositive, it places the account in the zone courts and regulators have historically scrutinized.
- The cost-to-equity ratio of 31% means the account needed to generate a 31% annual return just to break even after commissions - a very high hurdle even for an aggressive options strategy. FINRA has indicated that cost-to-equity ratios above 20% are often considered excessive.
- Total commissions of \$43,500 exceeded the client's total losses of \$38,000, meaning the advisor profited more than the account lost, which is a red flag regulators take seriously.
- Under FINRA Rule 2111 and Regulation Best Interest, the advisor has a quantitative suitability obligation. Even when a client is active and engaged, the advisor who exercises de facto control - for example, by structuring trade parameters, selecting strikes, and timing execution - may bear responsibility for the volume of activity.
- The 20% of trades that Chen proactively recommended demonstrate she was not merely a passive order-taker.

Arguments against a churning finding:

- Churning requires the advisor to have exercised control over the account. Here, 80% of trades were initiated by the client's own directional views communicated via text. Delgado chose the stocks, the direction, and often the timing. Chen's role in adjusting strikes and expirations is arguably the normal function of an advisor structuring a client's expressed trade idea.
- The account was non-discretionary. Delgado approved every trade. Multiple emails show active enthusiasm and gratitude, and he voluntarily added \$25,000 in capital mid-period.
- Delgado's profile - a 41-year-old high-income tech professional with stated speculative objectives, aggressive risk tolerance, and 4 years of prior self-directed options experience - is precisely the type of client for whom high-frequency short-dated options strategies may be suitable.
- The strategy employed (vertical spreads on familiar large-cap names) is a defined-risk approach, not recklessly speculative naked options writing. Each trade had bounded maximum loss.

- The turnover ratio of 6.8, while above the 6.0 threshold, is only modestly above it, and courts have recognized that active options accounts can legitimately generate higher turnover ratios than equity accounts because of the shorter holding periods inherent in the product.
- The branch manager conducted periodic reviews and documented the client's engagement, though the failure to verify text messages until after the complaint weakens this defense somewhat.

Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), Chen had an obligation to act in the customer's best interest at the time each recommendation was made, which includes not placing her interest in generating commissions ahead of the client's interest. The 20% of trades she initiated would clearly fall under this obligation. For the 80% the client directed, the question is whether Chen had a duty to decline or discourage trades that were individually reasonable but collectively generating unsustainable friction costs.

Under FINRA Rule 2360(b)(19), the firm had specific options supervision obligations, including ensuring the options activity was suitable given the customer's financial situation and objectives. The branch reviews occurred but may be criticized as superficial.

FINRA Regulatory Notice 21-15 emphasized firms' obligations around options account approval and ongoing supervision, particularly in the context of increased retail options activity. The notice reinforced that firms must have robust procedures for monitoring options accounts for excessive activity.

Why Borderline

This is a genuine gray area because the quantitative churning indicators (turnover ratio just above the presumptive threshold, high cost-to-equity ratio, commissions exceeding losses) conflict sharply with the qualitative evidence (client-initiated majority of trades, non-discretionary account, client's active engagement and sophistication, defined-risk strategies, speculative objectives, and contemporaneous expressions of satisfaction). Reasonable regulators could disagree about whether a client who is this actively involved in directing trading can be considered a churning victim, or whether the advisor had a duty to pump the brakes despite the client's enthusiasm.

Borderline Factors

- Turnover ratio of 6.8 is only modestly above the traditional 6.0 presumptive threshold and may be arguably normal for short-dated options strategies
- 80% of trades were client-initiated via documented text messages, undermining the 'control' element of churning
- Account was non-discretionary with contemporaneous client emails expressing enthusiasm and adding capital
- Client had prior self-directed options experience, high income, speculative stated objectives, and aggressive risk tolerance
- Cost-to-equity ratio of 31% and commissions exceeding losses are strong quantitative red flags regardless of client engagement
- The 20% of advisor-initiated trades blur the line between order-taking and de facto control
- Branch manager reviews were documented but did not independently verify the client's level of trade initiation until after the complaint
- Strategies used (vertical spreads) were defined-risk, not the most aggressive available at the client's

approval level

Likely Outcome

A regulator would likely find this a close case but would probably conclude there was at least a supervisory deficiency, if not a substantive violation. While the client's active involvement and sophisticated profile significantly undercut the churning claim, the quantitative metrics exceed recognized thresholds, and the cost-to-equity ratio of 31% is particularly damaging. Regulators have increasingly taken the position that even in client-directed scenarios, the advisor retains an obligation to flag unsustainable commission drag. The most likely outcome is a finding of insufficient supervision by the firm (failure to escalate or take action during periodic reviews despite clear quantitative red flags) and potentially a finding against the advisor for the 20% of trades she proactively recommended without adequate consideration of the cumulative cost burden. A full churning finding with scienter against Chen is less likely given the documented client engagement, but possible if the regulator views the text message dynamic as Chen encouraging the client's overtrading rather than passively receiving directions. Damages would likely be reduced significantly by comparative fault or the client's contributory role.

Borderline Scenario 29

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2361

Fact Pattern

Marcus Ellison, age 58, is a senior logistics manager earning \$145,000 annually with a net worth of approximately \$1.2 million, of which \$410,000 is in a brokerage account at Pinecrest Securities. He has 14 years of experience trading equities and has made occasional covered call trades over the past three years—roughly 20 covered call transactions total—generating modest premium income. In January 2024, Ellison told his advisor, Dana Whitfield, that he was interested in generating more income from his portfolio ahead of retirement in approximately five years. He mentioned reading about options strategies in online forums and expressed interest in selling cash-secured puts on blue-chip stocks he would be comfortable owning. Whitfield reviewed Ellison's account profile, which listed his risk tolerance as 'moderate' and his investment objective as 'income with moderate growth.' Whitfield upgraded Ellison's options approval level from Level 1 (covered calls only) to Level 3, which at Pinecrest permits covered calls, cash-secured puts, long calls and puts, and vertical spreads (both credit and debit). Whitfield documented a brief note stating that Ellison's experience with covered calls, his expressed interest in expanding options strategies, and his comfort with equity ownership supported the upgrade. No formal updated options agreement or new risk disclosure specific to spreads was provided beyond the standard OCC disclosure booklet that had been delivered when the account was initially approved for options. Over the next eight months, Ellison executed 15 cash-secured put trades on large-cap dividend stocks, all of which expired worthless or were closed at modest profits, netting approximately \$18,500 in premium income. He also, on his own initiative through the firm's online platform, entered four short vertical put spreads on technology ETFs, which were within his Level 3 approval. Two of the spreads resulted in losses totaling \$6,200. The other two were profitable. Ellison's total options P&L for the period was a net gain of approximately \$14,800. In October 2024, Ellison filed a complaint alleging that Whitfield had approved him for options strategies beyond what was appropriate for someone in his situation, specifically that Level 3 approval exposed him to spread strategies he did not fully understand and that were inconsistent with his moderate risk profile and pre-retirement

timeline. He stated that while Whitfield discussed cash-secured puts, she never specifically explained the mechanics or risks of vertical spreads before upgrading his account. Whitfield responded that Ellison was a knowledgeable investor who proactively sought expanded options capabilities, that the strategies available at Level 3 are defined-risk strategies with capped losses, that the OCC disclosure document had been provided, and that Ellison self-directed the spread trades without any recommendation from her. Pinecrest's options principal, who approved the upgrade, reviewed only the brief note from Whitfield and Ellison's existing account profile before signing off. The firm's written supervisory procedures require that options account upgrades include a 'meaningful conversation' about the risks of newly available strategies but do not mandate a separate written acknowledgment for each strategy type.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises questions on multiple levels. First, regarding the account approval itself: FINRA Rule 2360(b)(16) requires that a firm or its designated Registered Options Principal (ROP) approve each customer's account for options trading based on specific factors including investment objectives, financial situation, investment experience, and the nature of the options transactions to be permitted. The jump from Level 1 to Level 3 is notable because it moved Ellison from a single defined strategy (covered calls) to a category that includes vertical spreads-strategies with different risk mechanics than the covered calls and cash-secured puts he discussed with his advisor. Under FINRA RN 21-15, firms are reminded that account approval processes must be robust and not rubber-stamp exercises, and that options approval levels should correspond to demonstrated knowledge and experience with the specific types of strategies permitted. Whitfield's argument has genuine merit. Level 3 strategies at Pinecrest are all defined-risk: covered calls, cash-secured puts, and vertical spreads each have capped maximum losses. Ellison's net worth and income are substantial, and the \$410,000 account could absorb losses from defined-risk strategies. His 14 years of equity trading and three years of covered call experience suggest a baseline sophistication. Cash-secured puts are conceptually close to covered calls in their risk profile-both involve obligation to buy or sell shares at known prices-so approving that strategy seems reasonable. Moreover, Ellison self-directed the spread trades without a recommendation; under Reg BI, the recommendation trigger for the best interest standard may not have been activated for the self-directed spread trades. However, the counterarguments are also strong. The account approval itself is a gatekeeping function distinct from individual trade recommendations. The firm's duty under FINRA Rule 2360 to ensure the customer is appropriate for the approved level is independent of whether the advisor recommends specific trades. Whitfield's documentation was cursory-a brief note rather than a substantive analysis of whether Ellison understood spread mechanics. The firm's own WSPs required a 'meaningful conversation' about newly available strategies, and Whitfield apparently discussed only cash-secured puts, not vertical spreads. The OCC disclosure document, while comprehensive, is a generic booklet; delivery alone may not satisfy the firm's obligation to ensure the customer understands the specific strategies being approved. Ellison's stated risk tolerance of 'moderate' and his five-year retirement horizon create additional tension. While defined-risk spread strategies are not inherently aggressive, they involve simultaneous long and short positions, margin requirements, and the possibility of assignment-concepts that may exceed what a moderate-risk, income-oriented pre-retiree needs or understands. The ROP's cursory review compounds the issue: the options principal apparently did not independently assess whether Level 3 was appropriate or whether the conversation requirement had been met. On the other hand, the actual outcomes-net

profitability and no catastrophic losses-suggest the strategies were within Ellison's practical capabilities. And Ellison's own initiative in executing the spread trades without prompting from Whitfield suggests a level of self-directed sophistication that arguably validates the approval decision.

Why Borderline

The case sits at the intersection of several genuinely contested issues: whether Level 3 approval was a meaningful escalation given that all permitted strategies are defined-risk; whether the advisor's duty extends to ensuring comprehension of every strategy within an approval level even when the customer only discussed a subset; whether a self-directed customer's independent decision to trade spreads retroactively validates or undermines the approval; and whether a moderate risk profile is inherently incompatible with defined-risk options strategies. The customer suffered only modest losses on the contested trades and was net profitable overall, making harm arguments weak-but the approval process deficiencies are real.

Borderline Factors

- Level 3 strategies are all defined-risk with capped losses, arguably appropriate even for moderate risk tolerance
- Ellison had 14 years of equity experience and 3 years of covered call experience but no demonstrated knowledge of spread mechanics
- The advisor discussed cash-secured puts but apparently did not discuss vertical spreads before the upgrade
- The firm's WSPs required a 'meaningful conversation' about newly available strategies, which may not have been fully satisfied
- The spread trades were self-directed by the customer without any advisor recommendation
- The customer's moderate risk tolerance and 5-year pre-retirement timeline create tension with expanded options access
- The ROP approval was cursory, based on a brief advisor note rather than independent assessment
- The customer was net profitable overall, undermining claims of material harm
- The OCC disclosure booklet was previously delivered but no strategy-specific education was provided at upgrade

Likely Outcome

A regulator would likely find a supervisory deficiency in the account approval process rather than a clear-cut suitability violation. The failure to document a meaningful conversation about spread strategies before upgrading approval, combined with the ROP's perfunctory review, would likely draw criticism under FINRA's options supervision framework. However, given that all Level 3 strategies are defined-risk, the customer had meaningful investment experience, the account size and income were sufficient, and the customer self-directed the contested trades with net profitability, a regulator would likely stop short of finding a substantive suitability violation. The most probable outcome is a finding of procedural deficiency with a requirement for enhanced supervisory procedures, possibly a modest fine for the firm, and a cautionary letter rather than formal disciplinary action against the advisor personally.

Borderline Scenario 30

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2360(b)(1)

Fact Pattern

Margaret Dawson, age 74, is a retired aerospace engineer with a PhD in physics. She has a net worth of approximately \$3.2 million, of which \$1.8 million is in brokerage accounts and \$900,000 in an IRA. She receives \$4,200/month in Social Security and a \$3,100/month pension. Her annual income from all sources is approximately \$135,000 including dividends and interest. She has been trading stocks actively for over 25 years and previously held Series 7 and Series 63 licenses in the 1990s when she briefly worked at a regional broker-dealer before returning to engineering.

In February 2024, Margaret opened an account with Greystone Wealth Partners and was assigned to advisor Kevin Purcell. During onboarding, Margaret requested Level 4 options approval, which at Greystone includes selling uncovered puts and calls, multi-leg spreads, and index options. She told Kevin she had been trading covered calls and vertical spreads for over a decade at her prior brokerage, TD Ameritrade, and wanted to expand into selling cash-secured puts and iron condors on index ETFs to generate monthly income.

Kevin reviewed Margaret's prior account statements from TD Ameritrade, which showed approximately 140 options trades over the prior three years, mostly covered calls and a handful of bull put spreads. Her options trading had generated net profits of roughly \$47,000 over that period. Kevin noted that Margaret had no history of trading uncovered options or iron condors specifically, though she had experience with the individual legs of those strategies.

The Greystone options approval committee initially denied Level 4 access, citing Margaret's age (74) and the fact that she had no documented experience with uncovered positions. Kevin advocated on Margaret's behalf, submitting a detailed memo noting her advanced education, former industry licenses, decades of trading experience, and the fact that her requested strategies (cash-secured puts and iron condors) were defined-risk strategies despite technically falling under the Level 4 category. The committee reversed its decision and granted Level 4 approval in March 2024.

Between March 2024 and January 2025, Margaret executed approximately 85 options trades, predominantly iron condors on SPY and QQQ, and cash-secured puts on blue-chip stocks like Apple and Microsoft. Her account was profitable, generating approximately \$62,000 in premium income. She had three losing months but no single trade lost more than \$4,800. She maintained roughly \$400,000 in cash or cash equivalents as collateral at all times.

In February 2025, Margaret suffered a mild stroke. Her daughter, Lisa, obtained power of attorney and began reviewing the account. Lisa filed a complaint alleging that Kevin and Greystone had improperly approved her elderly mother for high-risk options trading, that the 85 trades in 10 months constituted churning, and that Kevin had exploited her mother's cognitive vulnerabilities. Lisa noted that her mother had been diagnosed with mild cognitive impairment in November 2023 - three months before opening the Greystone account - though Margaret had not disclosed this to Kevin or on her account application.

Kevin's commission on the options trades totaled approximately \$6,400 over the 10-month period (Greystone charges \$0.65 per options contract). Margaret's account showed a cost-to-equity ratio of approximately 1.9% annualized and a turnover ratio of 0.8. Margaret had initiated the vast majority of trades

herself through the online platform, with Kevin involved in approximately 12 of the 85 trades via phone consultation. Margaret never complained during the period and sent Kevin an email in October 2024 thanking him for helping her get approved, saying 'these iron condors are the best income strategy I've found in 25 years of trading.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that pull in opposite directions.

Arguments that Kevin and Greystone violated applicable standards:

1. Age-based heightened scrutiny: FINRA has repeatedly emphasized that firms must apply heightened scrutiny to accounts of senior investors (generally 65+). Margaret was 74 at account opening, which should have triggered enhanced diligence under FINRA Rule 2165 and FINRA RN 21-15 regarding options account approval for retail investors.
2. Options approval process concerns: Under FINRA Rule 2360(b)(16), firms must exercise due diligence in approving options accounts by examining the customer's investment objectives, financial situation, employment status, investment experience, and other relevant factors. The initial denial by the committee suggests the approval was borderline, and Kevin's advocacy could be seen as overriding institutional risk controls designed to protect vulnerable customers.
3. Cognitive impairment: Although undisclosed, the November 2023 MCI diagnosis raises questions about whether Margaret had diminished capacity when opening the account. Under FINRA Rule 2165, firms have tools to place temporary holds when exploitation of seniors is suspected. However, Kevin had no knowledge of the diagnosis.
4. Experience gap: Margaret had no documented experience with iron condors or uncovered positions. Approving Level 4 based on experience with covered calls and simple spreads arguably represented a leap in risk profile, even though iron condors are technically defined-risk.

Arguments that Kevin and Greystone acted appropriately:

1. Sophisticated investor profile: Margaret held a PhD in physics, had former securities licenses, 25+ years of trading experience, and demonstrated profitable options trading over three years. Under FINRA Rule 2360's account approval factors, her education, experience, and financial resources all supported the approval.
2. Defined-risk strategies: Despite Level 4 categorization, iron condors and cash-secured puts are defined-risk strategies. The maximum loss on each trade was known in advance. Margaret maintained substantial cash collateral (\$400,000) and her losses were modest relative to her portfolio.
3. No churning indicators: The cost-to-equity ratio of 1.9% annualized and turnover ratio of 0.8 are well

below traditional churning thresholds (typically 6%+ cost-to-equity and 6+ turnover). Kevin's commissions of \$6,400 over 10 months on a \$1.8 million account do not suggest commission-driven motivation.

4. Customer-directed trading: Margaret initiated 73 of 85 trades herself through the online platform. Under Reg BI's care obligation (17 CFR 240.15l-1), the advisor's obligation is most acute when making recommendations. Self-directed trades by the customer carry a different analytical framework.

5. Profitable outcome: While not dispositive, the \$62,000 in income generation aligned with Margaret's stated objective of monthly income and suggests the strategies were functioning as intended.

6. No knowledge of cognitive impairment: Kevin had no actual or constructive knowledge of the MCI diagnosis. Margaret did not disclose it, and nothing in the record suggests Kevin observed signs of diminished capacity. The October 2024 email demonstrates articulate, coherent communication.

7. The OCC Options Disclosure Document requires delivery and acknowledgment but does not itself create suitability obligations - those flow from FINRA Rules 2360/2361 and Reg BI. Margaret received and acknowledged the ODD.

Why Borderline

This is genuinely ambiguous because it pits a robust set of sophistication indicators and profitable, self-directed trading against the powerful regulatory concern about senior investor protection and options suitability. The undisclosed cognitive impairment diagnosis creates an information asymmetry that is not clearly attributable to advisor fault. The firm's own initial denial - later reversed - suggests the approval was at the boundary of institutional risk tolerance. Reasonable regulators could disagree on whether the committee reversal represented appropriate individualized assessment or an inappropriate weakening of guardrails for a senior investor.

Borderline Factors

- Customer's age (74) triggers heightened scrutiny obligations, but her sophistication profile is exceptionally strong for a retail investor
- Undisclosed MCI diagnosis predates account opening, but advisor had no knowledge or observable red flags
- Initial committee denial was reversed after advisor advocacy - could be seen as appropriate escalation or as circumventing protective controls
- Level 4 approval encompasses uncovered options, but customer only traded defined-risk strategies (iron condors, cash-secured puts)
- Experience gap between prior trading (covered calls, simple spreads) and approved strategies (iron condors) - though the component legs overlap significantly
- Trading was overwhelmingly self-directed with minimal advisor involvement
- Cost-to-equity and turnover ratios are far below churning thresholds
- Account was profitable and aligned with stated income objective
- Daughter's complaint is filed after a medical event, potentially retrospectively reframing appropriate activity as exploitation

Likely Outcome

A regulator would most likely find no churning violation given the extremely low cost-to-equity ratio and turnover, and would likely find no exploitation given the absence of knowledge of cognitive impairment and the self-directed nature of trading. However, the regulator might find a deficiency in the options approval process - specifically, that the committee's initial denial should not have been reversed for a 74-year-old customer without documented experience in the specific strategies approved, and that Kevin's advocacy memo, while well-intentioned, effectively circumvented age-based risk controls. The most probable outcome is a supervisory deficiency finding against Greystone for the approval process, with no personal liability for Kevin on the trading activity itself. A fine in the \$50,000-\$150,000 range against the firm for options approval supervisory failures is plausible, with no customer restitution ordered given the profitable account performance.

Borderline Scenario 31

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16)(A)-(B) (options account approval requiring registered options principal review)

Fact Pattern

Marcus Ellison, age 24, opened a brokerage account with Ridgeline Securities in March 2022. During the online account opening process, Marcus completed a digital questionnaire in which he reported annual income of \$62,000 from his job as a software developer, liquid net worth of \$45,000, total net worth of \$52,000 (including a used car), and no dependents. Under investment experience, Marcus selected 'moderate' experience with stocks (3 years), 'limited' experience with options (less than 1 year), and indicated he had completed an online options trading course offered by a popular YouTuber. He listed his investment objective as 'growth' and his risk tolerance as 'aggressive.' He requested approval for options trading at Level 3 - which at Ridgeline includes the ability to trade spreads, covered calls, cash-secured puts, and also naked put writing.

Marcus's application was reviewed by Sandra Chu, a registered options principal at Ridgeline. Sandra noticed the mismatch between Marcus's limited options experience and the Level 3 request but also noted his software development background, his self-reported completion of an educational course, and his stated aggressive risk tolerance. She reviewed his account balances, which showed \$38,000 in cash recently deposited. Sandra approved Marcus at Level 3 but added an internal note: 'Applicant is young professional in tech with quantitative background. Comfortable with aggressive risk. Limited but growing options experience supplemented by self-education. Approved with plan to monitor first 90 days of trading activity.'

Over the following five months, Marcus executed 47 options trades. Most were vertical credit spreads on large-cap tech stocks with defined risk, generating modest premium income. However, in August 2022, Marcus began writing naked puts on a mid-cap biotech stock, ZYNARA Inc., which was awaiting an FDA decision. He sold 15 naked put contracts at a \$40 strike when the stock was trading at \$48. When the FDA rejected ZYNARA's drug application, the stock dropped to \$19 per share. Marcus was assigned on all 15 contracts, obligating him to purchase 1,500 shares at \$40 each - a \$60,000 commitment against his \$38,000 account - resulting in a margin call and ultimately a \$27,400 realized loss after forced liquidation.

Marcus filed a complaint alleging that Ridgeline never should have approved him for Level 3 options given his limited experience, that Sandra Chu failed to adequately understand his actual knowledge of options risk, and that the online questionnaire was insufficient to capture his true understanding of naked put writing. Ridgeline responded that Marcus affirmatively represented his risk tolerance, completed educational materials, and that his early trading demonstrated competence with spread strategies. Ridgeline also noted that Marcus never contacted the firm to ask questions about naked put mechanics and that the OCC disclosure document was provided to him electronically at account opening, with a click-through acknowledgment. Marcus's attorney countered that the YouTube course Marcus referenced was a 45-minute video focused on covered calls and had nothing to do with naked options, and that Sandra never verified the content or quality of Marcus's claimed education.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises a genuine tension between a firm's obligation to know its customer before approving options trading privileges and the reality that modern account opening - particularly at firms catering to younger, self-directed investors - often relies heavily on customer self-reported information.

Arguments that Sandra Chu and Ridgeline violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a registered options principal must approve each options account based on a determination that the customer has sufficient knowledge, experience, and financial resources for the level of options trading requested. Marcus had less than one year of options experience and had never traded naked options. Approving Level 3 - which includes naked put writing, one of the riskiest retail options strategies - for someone with 'limited' self-reported experience arguably fails this standard.
2. FINRA Regulatory Notice 21-15 specifically highlights concerns about account approval processes at firms serving younger, less experienced investors who may overstate their experience or risk tolerance during digital onboarding. The notice reminds firms that they cannot simply rely on customer self-reporting without reasonable diligence, especially when red flags exist - as they did here (limited experience paired with a high-level approval request).
3. Sandra's approval note references Marcus's 'quantitative background' as a software developer, but expertise in software development does not equate to understanding options Greeks, assignment risk, or the specific dangers of writing naked puts on volatile biotech stocks. This inference may not satisfy the 'reasonable basis' component of the know-your-customer obligation.
4. The OCC Options Disclosure Document was provided via click-through, but there is no evidence Marcus read or understood it. While electronic delivery is permissible, the click-through acknowledgment alone may not demonstrate that the firm took adequate steps to ensure customer understanding, particularly for higher-risk approval levels.
5. Sandra never verified the content or rigor of Marcus's claimed educational course. A 45-minute YouTube video on covered calls is materially different from education on naked options writing. The failure to ask

even basic follow-up questions about the nature of the education is a meaningful gap.

Arguments that no violation occurred:

1. Ridgeline relied on Marcus's own representations - aggressive risk tolerance, growth objective, completion of an options course, and moderate stock experience. Firms are generally entitled to rely on customer-provided information unless red flags suggest the information is inaccurate. Marcus was a legal adult making affirmative representations about his own profile.
2. Marcus's early trading (47 trades, mostly defined-risk vertical spreads) demonstrated actual competence and suggested he understood basic options mechanics. Sandra's plan to monitor the first 90 days was a reasonable supervisory measure, and the early evidence supported the approval decision.
3. Under Regulation Best Interest's care obligation, the analysis centers on whether the recommendation (or in this case, the account approval) was in the customer's interest at the time it was made. At the time of approval, Marcus had cash, stated aggressive risk tolerance, and a quantitative professional background. The subsequent loss on ZYNARA was driven by Marcus's own trading decision - a concentrated bet on a binary FDA event - which the firm did not recommend.
4. The loss was caused by Marcus's own autonomous decision to write naked puts on a volatile biotech ahead of a binary catalyst. This was not a recommendation by Sandra or any Ridgeline advisor. The question of account-level approval is distinct from trade-level suitability, and Marcus chose this trade himself.
5. Many firms approve Level 3 options for customers with similar profiles. Industry practice, while not dispositive, provides context. The approval was not wildly outside the norm for a young professional with some experience and aggressive stated objectives.

The Reg BI framework applies because this involves a broker-dealer account and implicit recommendations embedded in the account approval process. FINRA Rule 2360(b)(16)(B) requires that the options principal specifically approve the account based on background and financial information, and FINRA has increasingly treated account-type approvals as carrying recommendation-like obligations.

Why Borderline

This is genuinely borderline because the customer made affirmative representations about his risk tolerance and experience, completed (some) education, and demonstrated initial competence through defined-risk trades. The options principal documented her reasoning and added a monitoring plan. However, the principal arguably failed to probe the quality of the customer's self-reported education, drew questionable inferences from his career background, and approved a level that included naked writing for someone with less than a year of any options experience. The eventual loss was driven entirely by the customer's own autonomous trading decision, not a firm recommendation, which complicates the causal chain. Reasonable regulators could disagree on whether the approval process was adequate or whether the firm should have limited Marcus to Level 2 (spreads only) until he demonstrated more experience.

Borderline Factors

- Customer self-reported aggressive risk tolerance and growth objectives, which facially support the approval
- Less than one year of options experience paired with Level 3 approval including naked writing - a significant mismatch
- Options principal documented rationale and added 90-day monitoring plan, showing some diligence
- Self-reported education was a 45-minute YouTube video on covered calls, not verified by the firm and not relevant to naked options
- Customer's initial 47 trades were competent defined-risk strategies, arguably validating the approval in hindsight until the ZYNARA trade
- The catastrophic loss resulted from the customer's own autonomous trading decision, not a firm recommendation
- OCC disclosure document was delivered electronically with click-through acknowledgment but no evidence of actual review
- Inference from software development background to options competence is questionable but not unreasonable
- Industry trend of digital onboarding with lighter-touch approval processes complicates the standard of care analysis
- Customer's liquid net worth (\$45,000) was barely sufficient to cover the margin requirements for naked put writing at this scale

Likely Outcome

A regulator would most likely find a violation, though potentially a moderate one. The approval of naked put writing privileges for a customer with less than one year of options experience, unverified and irrelevant self-education, and limited financial resources to absorb the risks of naked writing would likely be viewed as a failure to exercise reasonable diligence in knowing the customer before approving the account level. However, the sanctions might be mitigated by Sandra's documentation, the monitoring plan, and the fact that Marcus's own autonomous and concentrated bet on a binary event was the proximate cause of the loss. The most likely regulatory conclusion would be that Ridgeline should have approved Marcus at Level 2 (spreads and covered strategies only) and required additional experience or education before upgrading to Level 3. The firm might face a fine and be required to enhance its options approval procedures, but restitution could be contested given Marcus's own role in the loss.

Borderline Scenario 32

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); FINRA R

Fact Pattern

Marcus Whitfield, age 34, is a software engineer earning \$185,000 annually with approximately \$410,000 in liquid assets, including a \$290,000 brokerage account at Pinnacle Securities. He has no dependents, rents his apartment, and lists his investment objective as 'growth with speculation' on his new account form. Marcus has traded equities actively for six years, executing roughly 40-60 stock trades per year, and describes himself as comfortable with high-risk investments. He has read multiple books on options strategies and completed an online options education course offered by a third-party platform, though he has never executed an options trade in a live brokerage account.

In February 2023, Marcus applied for Level 3 options approval at Pinnacle Securities, which would permit him to sell uncovered (naked) puts and calls, in addition to covered calls, spreads, and long options. His application disclosed a net worth of \$440,000 (excluding primary residence, which he does not own), annual income of \$185,000, and stated five years of options experience - though a subsequent review revealed this was based on paper-trading (simulated) accounts and educational exercises rather than actual market transactions.

Marcus's registered representative, Dana Okafor, reviewed the application and noted Marcus's strong income, high risk tolerance, substantial liquid net worth relative to his age, and his stated familiarity with options concepts. Dana asked Marcus during a phone call whether he understood the risks of naked option writing, including the potential for theoretically unlimited losses on uncovered calls. Marcus responded affirmatively and described several specific risk scenarios accurately, including assignment risk and margin calls. Dana documented this conversation in her notes. She approved the application and forwarded it to the branch manager, who signed off the same day.

Over the following four months, Marcus sold 14 uncovered put contracts on three large-cap technology stocks and two uncovered call contracts on a mid-cap biotech company. The put positions generated approximately \$18,200 in premium income, and most expired worthless or were closed at a profit. However, the two naked calls on the biotech stock resulted in a \$47,000 loss when the stock surged 65% following an FDA approval announcement. Marcus's account declined from \$290,000 to approximately \$243,000 - a 16.2% drawdown.

Marcus did not complain at the time of the loss and continued trading options for another two months, during which he recovered approximately \$11,000. Seven months later, after reading a news article about regulatory scrutiny of options account approvals, Marcus filed a complaint alleging that Pinnacle Securities should never have approved him for Level 3 options trading given his lack of actual options trading experience, and that Dana Okafor failed to adequately assess whether naked option writing was appropriate for him. He argues that paper-trading experience should not count as real experience and that a 16% portfolio loss on a single strategy demonstrates the approval was improper.

Pinnacle Securities responds that Marcus met all financial thresholds for Level 3 approval, demonstrated strong conceptual knowledge of options risks during a documented conversation, had six years of active equity trading experience showing market sophistication, and voluntarily continued trading options after the loss - indicating he understood and accepted the risks. The firm also notes that his overall portfolio impact, while significant, did not threaten his financial stability given his income and remaining assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between the customer's financial qualifications and demonstrated knowledge on one hand, and his complete lack of live options trading experience on the other.

Arguments that the approval was improper:

Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn the essential facts about a customer before approving options trading, including the customer's investment experience and knowledge. FINRA Regulatory Notice 21-15 specifically emphasized that firms should strengthen their account approval processes for options and not rely solely on customer self-reported experience. Paper trading and simulated exercises, while educational, do not expose a trader to the psychological and financial pressures of real market risk - margin calls, slippage, liquidity gaps, and the stress of actual capital at risk. Marcus had zero live options trades before receiving approval for the most aggressive options trading level. The OCC Options Disclosure Document specifically warns about the risks of uncovered option writing and the potential for losses exceeding the account value. A regulator could argue that approving a customer with no actual options experience for naked writing - the highest risk category - skipped necessary intermediate steps. Many firms require customers to demonstrate proficiency at lower levels before advancing. Additionally, under Regulation Best Interest's Care Obligation, Dana had a duty to evaluate not just whether Marcus could afford losses but whether the specific level of approval matched his actual (not theoretical) experience.

Arguments that the approval was appropriate:

Marcus's financial profile - \$185,000 income, \$440,000 net worth, \$290,000 in liquid brokerage assets, age 34 with no dependents - places him well within the parameters firms typically require for advanced options approval. His six years of active equity trading demonstrates market literacy and comfort with volatility. During the documented phone conversation, Marcus articulated specific risk scenarios for naked options with accuracy, suggesting genuine understanding rather than superficial awareness. His stated investment objective included speculation. The 16.2% drawdown, while painful, did not render him unable to meet financial obligations or devastate his overall financial position. Notably, he continued trading options after the loss and partially recovered, which undermines the claim that he was an unsophisticated investor who didn't understand what he was doing. FINRA Rule 2360 does not explicitly require live trading experience at lower levels before approval at higher levels - it requires the firm to consider experience and knowledge, which can come from multiple sources. The fact that Marcus later filed a complaint after reading a news article, rather than at the time of the loss, suggests the complaint may be motivated by hindsight rather than a genuine failure in the approval process.

Regulation Best Interest requires that recommendations (and account-type recommendations, which options approval arguably constitutes) be in the customer's best interest at the time they are made, considering the customer's investment profile. The analysis here turns on whether paper-trading experience plus strong conceptual knowledge is a reasonable substitute for live trading experience when approving the highest-risk options level.

FINRA Rule 2361 further requires firms to have written procedures for options approval, and the adequacy of Pinnacle's procedures - particularly whether they distinguish between simulated and live experience - is relevant. If the firm's written procedures accepted paper trading as qualifying experience, the branch-level approval may have been procedurally compliant even if substantively questionable.

Why Borderline

The customer was financially qualified, articulate about risks, and had substantial equity trading experience, but had never placed a single live options trade before being approved for the most aggressive options level (naked writing). Reasonable practitioners disagree about whether conceptual knowledge from education and simulation can substitute for live trading experience, especially at Level 3. The relatively moderate loss (16%) and the customer's continued voluntary trading cut against a finding of unsuitability, but the complete absence of live experience before naked writing approval cuts in the other direction. The post-loss complaint timing adds further ambiguity about whether this represents a genuine approval failure or hindsight regret.

Borderline Factors

- Zero live options trading experience despite applying for the highest approval level (naked writing)
- Strong financial profile that comfortably exceeds typical thresholds for advanced options approval
- Demonstrated accurate conceptual understanding of naked options risks during documented phone call
- Paper-trading and educational completion versus actual market execution experience
- Customer voluntarily continued options trading after the loss, partially recovering
- 16.2% portfolio drawdown is significant but did not threaten financial stability
- Customer's stated objective included speculation, consistent with high-risk strategies
- Complaint filed seven months after the loss, prompted by a news article rather than immediate concern
- No intermediate options level experience (e.g., spreads, covered calls) before advancing to naked writing
- Firm's written procedures may or may not have distinguished between simulated and live experience

Likely Outcome

A regulator would most likely find a technical deficiency in the account approval process but stop short of a major suitability violation. The most probable outcome is that the firm would be cited for inadequate due diligence in the options approval process - specifically for treating paper-trading as equivalent to actual trading experience when approving the highest-risk options level - and potentially for failing to require intermediate-level experience before granting Level 3 access. However, given Marcus's financial qualifications, demonstrated knowledge, continued voluntary trading, and moderate overall loss, a regulator would likely view this as a supervisory and procedural deficiency rather than a case of clear customer harm through unsuitable recommendations. The firm might face a fine and be required to enhance its options approval procedures, but individual liability for Dana Okafor would be less certain given her documented efforts to assess Marcus's knowledge. FINRA's heightened post-2021 scrutiny of options approvals (per RN 21-15) makes this more likely to draw an adverse finding than it would have in prior years.

Borderline Scenario 33

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) requires that options accounts be approved by a Registered Options

Fact Pattern

Marcus Webb, age 34, is a software engineer earning \$185,000 per year with a net worth of approximately \$620,000, including \$340,000 in his brokerage account at Pinnacle Securities. He has been actively trading equities for six years, executing roughly 80-120 trades per year, and has a self-reported investment objective of 'growth with speculation.' In March 2023, Marcus applied for options trading approval through Pinnacle's online platform. On his application, he indicated two years of options trading experience, which

consisted of buying calls and puts on a personal account at another broker, with an estimated 40-50 options trades total. He listed his risk tolerance as 'aggressive' and stated he understood he could lose his entire investment. Pinnacle's automated approval system granted him Level 3 options privileges, which at the firm permitted naked put writing, credit spreads, and debit spreads in addition to covered calls and long options. Marcus's registered representative, Dana Choi, received an automated notification of the approval but did not separately review the application or speak with Marcus before the approval was processed. Over the following four months, Marcus primarily sold cash-secured puts on large-cap technology stocks, collecting approximately \$18,400 in premium income. He maintained cash reserves sufficient to cover assignment on all positions. In August 2023, Marcus began selling naked puts on three mid-cap biotech stocks ahead of FDA announcements, sizing his positions such that full assignment would have required approximately \$290,000 - roughly 85% of his account value. Two of the three stocks dropped sharply after negative FDA decisions, and Marcus was assigned on positions resulting in \$74,000 in losses over a two-week period. Marcus filed a complaint alleging that he should never have been approved for Level 3 options, that his actual options experience was too limited for naked put writing, and that Dana Choi failed to have any conversation with him about the risks of his strategy or his experience level before approval was granted. Pinnacle responded that Marcus's income, net worth, self-reported experience, and stated aggressive risk tolerance met the firm's documented criteria for Level 3 approval, that his initial four months of successful cash-secured put selling demonstrated competence, and that the biotech trades were a departure from his established pattern that he initiated independently without any recommendation from Dana Choi. Pinnacle also noted that Marcus received and acknowledged the firm's options disclosure document at the time of account approval. Dana Choi stated in her written response that she reviewed Marcus's account quarterly and that nothing in his first four months of activity suggested he was trading beyond his competence, and that the concentrated biotech positions developed between her scheduled review periods.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises several contested issues at the intersection of options account approval, ongoing supervision, and the boundary between solicited and unsolicited activity.

Arguments that a violation occurred:

1. Marcus's actual options experience - approximately 40-50 trades consisting solely of long calls and puts - arguably did not support approval for naked put writing, which carries substantially different risk characteristics including theoretically large downside exposure. The firm's automated approval system may have failed to meaningfully distinguish between types of options experience.
2. FINRA Rule 2360(b)(16) requires that a registered options principal (or designated supervisor) approve each options account based on specific background and financial information, including investment experience. The fact that Dana Choi received only an automated notification and did not independently review the application or speak with Marcus before approval suggests a potential failure in the diligence required for account approval. A reasonable reading of the rules requires human judgment, not merely algorithmic box-checking.
3. FINRA Regulatory Notice 21-15 specifically addressed concerns about firms' options account approval processes, emphasizing that automated approval workflows must still satisfy supervisory obligations and

that firms should not rely solely on customer self-reported information without reasonable verification or follow-up.

4. The absence of any conversation between Dana Choi and Marcus about his experience, knowledge of naked writing risks, or position-sizing discipline could be viewed as a supervisory failure even if the trades were unsolicited.

Arguments against a violation:

1. Marcus is a high-earning, relatively young professional with substantial assets, an aggressive stated risk tolerance, and six years of active trading experience. His profile is not that of a vulnerable or unsophisticated investor.

2. His self-reported information met the firm's documented, objective criteria for Level 3 approval. Firms are generally entitled to rely on customer-provided information absent red flags.

3. The initial four months of disciplined cash-secured put selling - a conservative use of Level 3 privileges - demonstrated practical competence and did not trigger supervisory concern.

4. The concentrated biotech positions were entirely unsolicited. Dana Choi made no recommendation regarding these trades. Under a suitability framework, unsolicited trades traditionally receive less scrutiny regarding the recommendation itself, though account-level suitability and supervision obligations remain.

5. Marcus acknowledged receipt of the options disclosure document, which explains the risks of options writing including naked positions.

6. The OCC Options Disclosure Document, which Marcus received, explicitly warns about the risks of writing options and the potential for losses exceeding the premium received.

The key tension is between the adequacy of the automated approval process (which may have been procedurally deficient even if the outcome was defensible) and the question of whether ongoing supervision obligations required Dana Choi to intervene when Marcus's trading pattern shifted dramatically.

Why Borderline

This case sits in a genuine gray zone because Marcus's overall financial profile and risk tolerance arguably support Level 3 approval, yet his specific options experience was limited to long positions - a meaningfully different risk profile from naked writing. The automated approval process may have technically satisfied the firm's written criteria while arguably failing the spirit of supervisory review requirements. Additionally, the shift from conservative cash-secured puts to concentrated naked puts on volatile biotech stocks occurred between supervision review cycles, raising the question of whether quarterly review is adequate supervision for an options account, especially one recently approved. The unsolicited nature of the trades complicates the analysis because no recommendation was made, yet account approval itself carries an implicit judgment about the customer's capability. Reasonable practitioners disagree about whether automated approval processes satisfy supervisory requirements when the algorithm applies objective criteria that the customer meets on paper.

Borderline Factors

- Customer's self-reported information met the firm's objective criteria for Level 3 approval, but his actual options experience was limited to long positions with no writing experience
- Automated approval system processed the account without individualized human review by the registered representative or an options principal
- Four months of disciplined, profitable cash-secured put writing preceded the problematic trades,

arguably demonstrating competence

- The concentrated biotech positions represented a dramatic and sudden departure from established trading patterns, occurring between scheduled supervision reviews
- All trades were unsolicited - no recommendation was made by the advisor regarding the specific positions
- Customer is relatively young, high-income, and self-identified as aggressive, cutting against a finding of unsuitability based on customer profile alone
- The gap between receiving automated notification and conducting meaningful supervisory review raises questions about the adequacy of the firm's approval workflow
- Quarterly review cadence may or may not constitute reasonable supervision for a recently approved Level 3 options account

Likely Outcome

A regulator would most likely find a procedural violation in the account approval process rather than a substantive suitability violation regarding the specific trades. The lack of individualized supervisory review before granting Level 3 privileges - particularly the absence of any conversation between the representative and the customer about naked writing risks and the customer's actual (as opposed to self-reported) experience level - would likely be cited as a deficiency in the firm's options approval procedures. However, a finding that the specific biotech trades were unsuitable is less certain given Marcus's financial profile, aggressive risk tolerance, and the unsolicited nature of the trades. The firm would likely face a moderate fine and be required to enhance its options approval procedures to include mandatory representative contact for elevated approval levels. Dana Choi might receive a cautionary letter or minor sanction for failing to conduct pre-approval diligence, though a significant individual sanction is less likely given the firm's automated workflow arguably placed the supervisory burden on the system rather than the individual representative.

Borderline Scenario 34

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) governs options account approval and requ

Fact Pattern

Marcus Delgado, age 34, works as a delivery driver earning approximately \$52,000 per year. He has a brokerage account with \$47,000 in savings, most of which he accumulated over six years. He has no formal financial education but has been actively trading stocks through a mobile brokerage app for roughly 18 months, executing over 200 equity trades during that period with mixed results - his account value fluctuated between \$38,000 and \$55,000. In March 2024, Delgado contacted his assigned financial advisor, Priya Narayan, at a mid-sized broker-dealer and asked about options trading. He told Narayan he had been watching YouTube videos about options strategies for several months, had completed the broker-dealer's own online options education module (a 45-minute interactive course with a quiz, which he passed on his second attempt with a score of 78%), and had paper-traded options on a simulator app for about three weeks, during which he executed approximately 30 simulated trades, mostly buying calls and puts on large-cap tech stocks. Delgado told Narayan he wanted to generate extra income by selling covered calls on stocks he already owned, and also wanted approval to buy protective puts. Narayan reviewed Delgado's account application, which listed his investment objective as 'growth,' his risk tolerance as 'moderate to

aggressive,' his liquid net worth as \$51,000, and his annual income as \$52,000. Narayan approved Delgado for Level 2 options trading, which at the firm permits covered call writing, long calls, long puts, and cash-secured puts. During the approval conversation, which lasted approximately 25 minutes by phone, Narayan walked Delgado through the key risks of each strategy, confirmed he had received and acknowledged the standardized options disclosure document, and noted in her file that Delgado demonstrated a 'basic but functional understanding of options mechanics.' Over the next four months, Delgado executed 14 covered call trades and 6 long put trades without incident, generating approximately \$3,200 in premium income while his underlying positions remained relatively stable. In July 2024, however, Delgado called Narayan and asked to be upgraded to Level 3, which would permit naked put selling and multi-leg spread strategies. Narayan asked him why, and Delgado explained that he had been learning about credit spreads and believed he could generate consistent monthly income of \$800-\$1,200 using bull put spreads on index ETFs. Narayan asked Delgado several questions about his understanding of spread mechanics, margin requirements, and maximum loss scenarios. Delgado answered most questions correctly but was uncertain about assignment risk on short legs and could not clearly explain what would happen if one leg of a spread was exercised while the other expired. Narayan noted this gap but also observed that Delgado's four months of Level 2 trading had been disciplined, with position sizes never exceeding 8% of his portfolio value and no margin calls. Narayan approved the Level 3 upgrade, noting in her file that Delgado had 'demonstrated responsible trading behavior and improving knowledge, though some gaps in understanding of assignment mechanics remain.' She recommended he start with small positions and emailed him two additional educational articles about spread strategies. Over the following three months, Delgado executed 11 bull put spread trades. Nine were profitable or expired worthless, generating roughly \$4,100. Two resulted in losses totaling \$6,800, which occurred during a sharp market downturn in October 2024 when Delgado's short puts on a semiconductor ETF were assigned and he was forced to buy shares at prices significantly above market value. The losses represented approximately 14% of his account value at the time. Delgado filed a complaint alleging that Narayan should never have approved him for Level 3 options trading given his limited income, lack of formal financial training, and insufficient understanding of assignment risk, which she herself documented.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Narayan violated applicable standards: Narayan's own notes documented that Delgado had gaps in understanding assignment risk on short spread legs - the very risk that ultimately caused his losses. Approving a customer for a higher options level while simultaneously documenting knowledge deficiencies creates a strong inference that the approval was premature. Delgado's liquid net worth of \$51,000, with \$47,000 in the brokerage account, means the account represented the vast majority of his liquid savings. His \$52,000 annual income provides limited capacity to absorb losses. Multi-leg spread strategies, while defined-risk, still involve complexities around assignment, margin, and early exercise that a customer who cannot articulate these risks may not fully appreciate. The OCC Options Disclosure Document specifically highlights these risks, and the firm's options approval process exists precisely to screen out customers who lack sufficient knowledge. Narayan's approval could be seen as prioritizing the customer's enthusiasm and recent trading discipline over a sober assessment of his actual knowledge gaps. Additionally, the 45-minute online education module and three weeks of paper trading represent minimal preparation for strategies involving short options positions.

Arguments that Narayan acted appropriately: Delgado was a self-directed, motivated customer who specifically requested options access and demonstrated initiative through self-education, paper trading, and completion of the firm's education module. His four months of Level 2 trading showed discipline and responsibility - no outsized positions, no margin calls, and profitable outcomes. The Level 3 strategies he was approved for (credit spreads) are defined-risk strategies with known maximum losses, unlike naked calls or other unlimited-risk strategies. Narayan conducted a substantive evaluation, asked probing questions, documented her findings honestly (including the knowledge gaps), recommended small position sizes, and provided supplementary educational materials. The resulting losses of \$6,800 (14% of account value), while painful, are within the range of normal market risk for an account with a 'moderate to aggressive' risk tolerance and 'growth' objective. Delgado was 34 years old with a long time horizon to recover. Narayan could reasonably have concluded that the knowledge gap about assignment mechanics, while worth noting, did not disqualify Delgado from defined-risk spread strategies where the maximum loss is calculable at trade entry. Furthermore, denying a customer's request for a higher options level based on income alone could be seen as paternalistic when the customer has demonstrated competence at the prior level.

Why Borderline

This is a genuine gray area because the advisor conducted a meaningful - but imperfect - evaluation process. She documented knowledge gaps but also documented mitigating factors (trading discipline, defined-risk strategies, supplementary education). The customer's profile sits at the boundary: he has limited income and no formal finance background, but he is young, motivated, self-educating, and demonstrated responsible Level 2 trading. The losses he suffered were the direct manifestation of the specific risk the advisor identified as a knowledge gap, which strengthens the customer's complaint. However, the losses were within the defined risk parameters of the trades and within the tolerance range of his stated risk profile. Reasonable compliance professionals could disagree on whether the documented knowledge gap was disqualifying or merely a factor to manage through position sizing guidance and education.

Borderline Factors

- Advisor's own documentation noted specific knowledge gaps in the exact risk (assignment) that caused the customer's losses
- Customer's liquid net worth was almost entirely in the brokerage account, but defined-risk spreads limit maximum loss per trade
- Four months of disciplined Level 2 trading provides evidence of competence but is a relatively short track record
 - Customer self-selected into options trading and actively requested each level upgrade - not advisor-driven
 - Level 3 credit spreads are defined-risk strategies, meaningfully different from unlimited-risk naked options
 - Losses of 14% of account value during a market downturn may be within normal parameters for moderate-aggressive risk tolerance
 - Advisor provided supplementary education and recommended small position sizes, showing ongoing diligence
- Customer's \$52,000 income and \$51,000 liquid net worth are modest for options strategies involving

margin

Likely Outcome

A regulator would likely view this as a close call but would probably find a deficiency in the options approval process rather than a clear-cut violation. The key issue is the advisor's own contemporaneous documentation of the customer's inability to explain assignment risk on short spread legs - the precise risk that materialized. Regulators tend to hold firms to their own documented findings, and approving a level upgrade while noting the customer cannot explain the core risk of that level's strategies undermines the adequacy of the approval. However, the mitigating factors - defined-risk strategies, customer initiative, disciplined prior trading, supplementary education - would likely reduce the severity of any finding. The most probable outcome is a supervisory deficiency finding against the firm's options approval process rather than a personal suitability violation against the advisor, potentially resulting in enhanced supervisory requirements, a modest fine, and a directive to strengthen options knowledge verification procedures before level upgrades.

Borderline Scenario 35

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); F

Fact Pattern

Marcus Pellegrini, age 29, opened a brokerage account with Apex Capital Partners in January 2023. On his new account form, Marcus listed his occupation as 'software engineer' with an annual income of \$185,000, liquid net worth of \$320,000, and total net worth of \$590,000 (including a condo he purchased in 2021). His stated investment objective was 'growth' and his risk tolerance was marked as 'aggressive.' He had three years of stock trading experience and indicated 'limited' options experience, specifying he had executed approximately 15 covered call trades in a prior account at another firm over the preceding 18 months. He checked a box acknowledging he had received the options disclosure document.

Marcus's assigned advisor, Dana Whitfield, had a brief phone conversation with Marcus lasting approximately twelve minutes during the onboarding process. During the call, Dana asked Marcus about his financial goals, and Marcus said he wanted to 'accelerate wealth building' and had been 'studying options strategies on YouTube and through an online course for about six months.' Dana noted in her CRM that Marcus seemed knowledgeable about basic options concepts and referenced specific Greeks (delta, theta) during the conversation. Dana approved Marcus for Level 3 options trading, which at Apex permitted buying and selling calls and puts, spreads (vertical, calendar, diagonal), and covered writes, but did not permit naked short options or uncovered index strategies.

Over the next four months, Marcus executed 47 options trades, mostly vertical spreads and a handful of long straddles around earnings announcements. His win rate was roughly 55%, and his account fluctuated between \$280,000 and \$350,000. In May 2023, Marcus began trading iron condors and butterfly spreads - strategies technically within his Level 3 approval - but with increasing position sizes. By July 2023, he was allocating approximately 60% of his liquid net worth to open options positions at any given time.

In August 2023, a cluster of trades around three biotech earnings announcements resulted in losses

totaling \$74,000 over a ten-day window. Marcus's account dropped to \$218,000. He called Dana and expressed frustration, saying he 'didn't fully understand how the iron condors could lose that much' when the stocks 'only moved a little more than expected.' Dana reviewed the account and noted that Marcus's positions had been sized aggressively but were within approved strategy types.

Marcus subsequently filed a complaint alleging that Dana never adequately assessed his true options knowledge, that a twelve-minute phone call was insufficient to determine whether Level 3 approval was appropriate, and that his self-reported 'limited' experience with only covered calls should not have qualified him for multi-leg spread strategies. He also claimed Dana never followed up as his position sizes grew substantially.

Apex's internal records show that their options approval matrix permits Level 3 for clients with at least one year of options experience, income above \$100,000, and liquid net worth above \$200,000 - all thresholds Marcus met. Dana's CRM notes reference Marcus's self-study and his conversational familiarity with options terminology. However, there is no record of Dana administering any quiz, requesting documentation of his prior trading history, or conducting any follow-up assessment after the initial onboarding call. Apex's written supervisory procedures state that advisors 'should' - but do not say 'must' - conduct periodic reviews of options accounts where position concentrations exceed 40% of account value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dana violated applicable standards: The customer's self-reported experience was explicitly 'limited' and consisted solely of covered calls - one of the most basic and conservative options strategies. Approving this customer for Level 3, which encompasses complex multi-leg strategies like iron condors and butterflies, represents a significant leap in complexity. A twelve-minute phone conversation, even one where the client used options terminology, may not constitute a diligent inquiry into the customer's actual knowledge and ability to evaluate the risks of multi-leg strategies. Under FINRA Rule 2360(b)(16), a member must exercise due diligence to ascertain essential facts about a customer before approving an options account, including investment experience and knowledge sufficient to evaluate the risks. The fact that Marcus referenced 'delta' and 'theta' in casual conversation does not necessarily demonstrate an understanding of how simultaneous legs of a spread interact during volatile market conditions - which is precisely the knowledge gap his complaint describes. Furthermore, FINRA Regulatory Notice 21-15 emphasizes that account approval processes for options must be robust and cannot rely predominantly on customer self-reporting, particularly in the post-Robinhood enforcement environment where regulators have scrutinized automated or cursory approval mechanisms. Dana's failure to document any substantive assessment beyond brief CRM notes is a potential deficiency.

Additionally, as Marcus's concentration in options positions grew to 60% of liquid net worth - well above the 40% threshold flagged in Apex's own supervisory procedures - the absence of any follow-up contact or review by Dana could be seen as a failure of ongoing diligence. The Reg BI care obligation requires consideration of reasonably available alternatives and whether costs and risks are appropriate, and the escalation in position sizing arguably triggered a duty to re-evaluate.

Arguments that Dana did not violate applicable standards: Marcus met every quantitative threshold in Apex's options approval matrix - income, net worth, and minimum experience duration. He self-reported as aggressive, his investment objective was growth, and he was a 29-year-old software engineer with meaningful disposable income and earning capacity. His six months of self-study and demonstrated conversational fluency with options concepts could reasonably lead an advisor to conclude he had sufficient foundational knowledge for spread strategies. Level 3 at Apex notably excluded the most dangerous strategies (naked options, uncovered index writing). The strategies Marcus traded - vertical spreads, iron condors, butterflies - are defined-risk strategies where maximum loss is known at entry. His losses, while significant in dollar terms, were within the risk parameters inherent to the approved strategy types and resulted from concentrated earnings bets, not from a strategy malfunction he couldn't have anticipated with reasonable study.

Moreover, Apex's written supervisory procedures used the word 'should' rather than 'must' regarding periodic reviews of concentrated positions, creating ambiguity about whether the 40% threshold triggered a mandatory obligation. Marcus was an autonomous, self-directed trader who chose his own positions and sizing. He acknowledged receipt of the options disclosure document. The losses represented approximately 23% of his starting liquid net worth - painful but not catastrophic for someone with his income and age profile. Regulators have historically been reluctant to second-guess approvals where quantitative criteria are met and the customer is actively self-directing trades in defined-risk strategies.

Why Borderline

This case sits in genuine gray territory because the customer met all quantitative approval criteria and traded only defined-risk strategies within his approved level, yet the qualitative assessment of his knowledge was arguably superficial - a twelve-minute call with no structured evaluation or documentation beyond informal CRM notes. The gap between covered call experience and multi-leg spread strategies is real but debatable in significance, especially for a technically-minded professional who had been actively self-educating. The concentration issue is complicated by the firm's own permissive supervisory language ('should' vs. 'must'). Reasonable compliance professionals could disagree on whether the initial approval was adequate, whether ongoing monitoring was required, and whether the customer's own agency in directing trades shifts responsibility.

Borderline Factors

- Customer met all quantitative thresholds in the firm's options approval matrix
- Self-reported experience was explicitly 'limited' and confined to covered calls, creating tension with Level 3 multi-leg strategy approval
- Twelve-minute phone call is brief but did include substantive discussion of options concepts
- No formal knowledge assessment, quiz, or documentation of prior trading records was conducted
- All strategies traded were defined-risk with known maximum loss at entry
 - Position concentration grew to 60% of liquid net worth, exceeding the firm's 40% internal review threshold, but the threshold language was precatory ('should') not mandatory ('must')
- Customer was self-directed, young, high-income, and had actively self-educated for six months
- Customer's own complaint reveals he did not fully understand iron condor risk profiles despite having traded them repeatedly
- Post-Robinhood regulatory environment has heightened scrutiny of options approval processes but enforcement has focused primarily on fully automated approvals with no human review at all

Likely Outcome

A regulator would most likely find a partial violation focused on the inadequacy of the initial knowledge assessment rather than the approval itself. The twelve-minute call with no structured evaluation or documentation, combined with the customer's explicit self-report of 'limited' experience restricted to covered calls, would likely be deemed insufficient due diligence under the account approval requirements - particularly in the current enforcement climate emphasizing robust options onboarding. However, the defined-risk nature of the approved strategies, the customer's met quantitative criteria, and his self-directed trading would likely mitigate sanctions. The concentration monitoring gap would likely draw a supervisory deficiency finding against the firm rather than a personal violation against Dana, given the permissive language in the WSPs. The regulator would likely impose a modest fine and require enhanced options approval documentation procedures, rather than finding the approval itself was categorically unsuitable.

Borderline Scenario 36

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) - options account approval and due diligence requirements; F

Fact Pattern

Marcus Delgado, age 34, opened a brokerage account with Ridgeway Financial in March 2022. On his new account application, Marcus listed his occupation as 'software engineer' with an annual income of \$185,000, liquid net worth of \$420,000, and total net worth of \$780,000 (including his home equity). His stated investment objective was 'growth,' his risk tolerance was marked as 'aggressive,' and his time horizon was listed as '10+ years.' Under investment experience, Marcus checked boxes indicating '3-5 years' of stock trading experience and '1-3 years' of options experience. He wrote on a supplemental form that he had 'traded covered calls and cash-secured puts in a prior brokerage account' and understood 'the basics of how options contracts work.'

Marcus's assigned advisor, Jennifer Kowalski, reviewed the application and approved him for Level 3 options trading, which at Ridgeway permitted buying calls and puts, writing covered calls, writing cash-secured puts, and also permitted multi-leg spread strategies including vertical spreads, iron condors, and calendar spreads. Jennifer conducted a 12-minute phone call with Marcus during which she asked about his prior trading, confirmed his income and net worth figures verbally, and discussed his interest in 'generating income and hedging' his existing \$310,000 equity portfolio. She did not ask for brokerage statements from his prior account to verify his claimed options experience. She noted in her CRM that Marcus 'appears knowledgeable about basic and intermediate options strategies' and that his financial profile supported Level 3 approval.

Over the next four months, Marcus executed 47 spread trades, most of them iron condors and vertical put spreads on large-cap tech stocks. His win rate was approximately 60%, and he generated a net gain of roughly \$14,200. In August 2022, however, Marcus began trading short strangles - a strategy not explicitly listed in Level 3 permissions but which Ridgeway's trading platform did not block because the system only restricted naked calls at Level 4 and above, and short strangles were flagged ambiguously in the platform's risk engine. Over six weeks, Marcus placed 11 short strangle positions. On September 13, 2022, a sharp market selloff resulted in assignment on three of these positions, generating a combined loss of \$87,400.

Marcus's account equity dropped from \$346,000 to \$258,600.

Marcus filed a complaint alleging that Jennifer failed to adequately understand his actual level of options knowledge, that she should not have approved him for Level 3 without verifying his claimed experience, and that the firm's failure to block short strangles at his approval level constituted a supervisory breakdown. He noted that while he had traded covered calls and cash-secured puts at his prior broker, he had never executed a multi-leg spread before opening the Ridgeway account, and his self-described '1-3 years of options experience' referred exclusively to those simpler strategies.

Jennifer and Ridgeway respond that Marcus's application clearly indicated options experience, his financial profile was robust enough to absorb losses associated with Level 3 strategies, his four months of successful spread trading demonstrated actual competence, and that the short strangle trades were outside his approved level and thus Marcus bore responsibility for executing unauthorized strategy types that the platform should have but failed to restrict. They also note that Marcus never contacted Jennifer to ask about short strangles before executing them, and that he had signed the options agreement and received the options disclosure document, which described the risks of all strategy types including uncovered positions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises two intertwined issues: (1) whether Jennifer's initial Level 3 approval was adequate given her failure to verify Marcus's claimed options experience, and (2) whether responsibility for the short strangle losses falls on the advisor/firm or on the customer.

Arguments that Jennifer violated applicable standards:

- Under FINRA Rule 2360(b)(16), a firm approving options accounts must exercise due diligence to learn essential facts about the customer, including investment experience and knowledge sufficient for the strategies being approved. Jennifer relied on self-reported checkbox experience without requesting prior account statements or conducting a meaningful assessment of Marcus's actual knowledge of multi-leg strategies. His stated '1-3 years' of options experience in covered calls and cash-secured puts does not necessarily translate to competence in iron condors, vertical spreads, or other Level 3 strategies.
- FINRA Regulatory Notice 21-15 specifically emphasizes that firms must have robust account approval processes for options, including meaningful diligence beyond customer self-reporting, particularly in the wake of increased retail options trading. A 12-minute phone call with no follow-up verification could be viewed as insufficient.
- Under Reg BI's Care Obligation (17 CFR 240.15l-1), the advisor must have a reasonable basis for believing the recommendation (here, the approval level itself, which implicitly recommends the customer is suitable for those strategies) is in the customer's best interest. Approving someone for complex multi-leg strategies based solely on self-reported experience with basic strategies may fail this standard.
- The firm's platform failure to block short strangles at Level 3 represents a supervisory deficiency under

FINRA Rule 2360(b)(16)(B), which requires firms to establish specific procedures for approval and monitoring of options accounts.

Arguments that Jennifer acted reasonably:

- Marcus affirmatively represented options experience on his application and signed documents confirming his understanding of options risks. The OCC Options Disclosure Document, which he acknowledged receiving, describes the risks of all strategy types. Advisors are generally entitled to rely on customer representations absent red flags.
- Marcus's financial profile - \$185,000 income, \$420,000 liquid net worth, aggressive risk tolerance, 10+ year horizon - is consistent with Level 3 approval. The \$87,400 loss, while significant, represents approximately 21% of his liquid net worth, which is painful but not catastrophic for an aggressive-growth investor.
- Marcus's successful execution of 47 spread trades over four months demonstrated actual competence with Level 3 strategies, arguably validating Jennifer's initial assessment.
- The short strangle trades that caused the losses were outside Marcus's approved level. Marcus bears personal responsibility for executing strategies beyond his authorization, particularly without consulting his advisor. The platform's failure to block these trades is a systems/supervision issue distinct from Jennifer's individual approval decision.
- There is no indication Jennifer recommended the short strangles or any specific trades; Marcus was self-directing his options activity within (and ultimately beyond) his approved level.

The interplay between these factors creates genuine ambiguity. The initial approval may have been marginally deficient in diligence, but the actual losses arose from unauthorized trading that the customer initiated independently.

Why Borderline

The core tension is between the advisor's arguably insufficient verification of the customer's experience at the approval stage versus the customer's own misrepresentations about his experience level and his independent decision to trade beyond his approved strategies. The initial Level 3 approval is debatable - Marcus's financial profile supported it, but his actual experience arguably did not. However, the losses stemmed not from Level 3 strategies (which Marcus traded profitably) but from unauthorized Level 4+ strategies. Attributing the losses to the initial approval failure requires a causal chain that passes through both a platform deficiency and the customer's own unauthorized conduct, making the advisor's individual liability genuinely uncertain.

Borderline Factors

- Advisor relied on self-reported experience without independent verification, but customer affirmatively misrepresented scope of his options knowledge
- Customer's financial profile objectively supported Level 3 approval even if experience verification was thin

- Customer successfully traded Level 3 strategies for four months before losses occurred, arguably validating the approval
- Actual losses arose from trades outside the approved level, raising contributory fault questions
 - The 12-minute phone call may or may not constitute adequate due diligence depending on the substance of the conversation
- Firm's platform failed to restrict unauthorized strategies, blurring the line between individual advisor failure and supervisory system failure
- Customer signed options agreement and received disclosure document describing risks of uncovered strategies
- Post-Robinhood regulatory environment has heightened expectations for options account approvals but standards for what constitutes adequate diligence remain somewhat subjective

Likely Outcome

A regulator would most likely find a partial violation. Jennifer's failure to verify Marcus's claimed options experience beyond a brief phone call and self-reported checkboxes falls short of evolving expectations for options account due diligence, particularly under the heightened scrutiny outlined in FINRA RN 21-15. However, the losses from short strangles - an unauthorized strategy - significantly complicates the damages analysis. A regulator would likely cite the firm for supervisory failures (inadequate platform controls and insufficient verification procedures) rather than holding Jennifer solely liable. Any damages award would likely be reduced substantially due to Marcus's contributory conduct in executing unauthorized trades. The most probable outcome is a finding of deficient account approval procedures with shared responsibility, potentially resulting in modest sanctions against the firm and advisor but with recognition that Marcus's own actions were a significant contributing cause of his losses.

Borderline Scenario 37

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360 (Options Accounts) requires that options recommen

Fact Pattern

Margaret Hollis, age 58, is a retired school librarian living in suburban Phoenix with an annual pension income of \$52,000 and a \$410,000 IRA account that represents her primary retirement savings. She has no prior options trading experience and lists her investment objective as 'income with moderate growth' on her new account form. Her liquid net worth outside the IRA is approximately \$85,000 in a savings account. In February 2023, she opens a brokerage account with Ridgeline Financial and is assigned to advisor Derek Pham. During their first meeting, Pham explains that in the current interest rate environment, she could meaningfully boost her retirement income by selling covered calls on blue-chip dividend stocks she already wants to own. He walks her through a 45-minute educational session, provides her the standard options risk disclosure booklet, and she signs the acknowledgment that she received and read it. Pham recommends she purchase 500 shares each of three large-cap dividend-paying stocks (approximate total cost: \$195,000) and simultaneously write near-the-money covered calls with 30-45 day expirations on each position, collecting roughly \$2,800 in total premium per month. Ridgeline's options compliance principal reviews Hollis's application and approves her for Level 1 options trading (covered calls and cash-secured puts only). Over the next ten months, Hollis executes approximately 30 covered call trades, generating \$26,500 in cumulative premium income. Her three underlying stock positions decline modestly, losing about

\$11,000 in unrealized value, and she pays \$4,200 in total commissions across the covered call transactions. Hollis is called away (shares assigned) on seven occasions, and each time Pham recommends she repurchase the same or similar stocks and resume writing calls. In December 2023, Hollis contacts Ridgeline's compliance department, stating that she never fully understood that her shares could be called away and that she feels the constant rolling of positions and repurchasing of stock has generated excessive fees relative to her account size. She also notes she did not understand the tax implications of short-term capital gains from assigned shares. Pham's notes reflect that he discussed assignment risk during the initial educational session and at two subsequent quarterly reviews, and that Hollis verbally confirmed understanding each time. Ridgeline's account records show Hollis never placed a single options trade on her own—all were advisor-recommended. The annualized turnover rate on the equity portion of the account was approximately 1.8, driven primarily by the assignment-and-repurchase cycle. Hollis's net gain after commissions and unrealized losses is approximately \$11,300 for the ten-month period, representing a roughly 5.8% return on the capital deployed in the strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Pham violated applicable standards: (1) Hollis had zero options experience, was retired with a fixed income, and the IRA represented her primary retirement savings, making even Level 1 options strategies potentially unsuitable given her limited financial sophistication. (2) The 1.8 annualized turnover ratio in the equity positions—driven by repeated assignment and repurchase cycles—suggests a pattern that, while not classic churning in the traditional sense, generated commission revenue that arguably was not in the customer's best interest when lower-cost alternatives (such as simply holding dividend stocks or purchasing a covered call ETF) were available. (3) Hollis's complaint that she did not understand assignment risk or tax consequences raises questions about whether the initial 45-minute session and signed disclosure were sufficient for meaningful informed consent, particularly given that she never independently initiated a trade. (4) Under Reg BI's care obligation, the advisor must consider reasonably available alternatives; a covered call ETF or buy-write index fund could have achieved similar income enhancement with far lower transaction costs and no assignment confusion. Arguments that Pham acted appropriately: (1) Covered calls are widely regarded as the most conservative options strategy and are specifically designed for income-oriented investors; the strategy aligned with Hollis's stated objective of income with moderate growth. (2) The account was approved at the most restrictive options level after review by a registered options principal, and Hollis received and acknowledged the OCC Options Disclosure Document. (3) Pham documented multiple discussions of assignment risk, and Hollis confirmed understanding—an advisor cannot guarantee comprehension but did make reasonable efforts at education. (4) The net result was a positive 5.8% return over ten months, outperforming most fixed-income alternatives in the same period, and the \$4,200 in commissions represented roughly 2.2% of the deployed capital annualized—not egregiously high. (5) The turnover was a mechanical consequence of a legitimate strategy (assignment triggers repurchase), not indicative of intent to generate commissions. (6) Hollis's after-the-fact claim of misunderstanding is contradicted by documented acknowledgments.

Why Borderline

This scenario sits in a genuine gray zone because covered calls are universally considered the most conservative and beginner-friendly options strategy, the account was properly approved at the lowest

options level, disclosures were provided, and the customer ended up profitable. However, the customer had zero prior experience, never independently placed a trade, the rolling assignment-and-repurchase pattern created meaningful transaction costs that could have been avoided through lower-cost alternatives like covered call ETFs, and the customer's post-hoc claim of not understanding assignment risk raises real questions about whether disclosure was truly meaningful versus a paperwork exercise. Reasonable minds could disagree on whether the advisor's educational efforts crossed the threshold from adequate to inadequate, and whether the commission-generating pattern-though a natural byproduct of the strategy-should have prompted the advisor to recommend a more cost-efficient vehicle.

Borderline Factors

- Covered calls are the most conservative options strategy, yet the customer had absolutely zero options experience
- The account was approved by a registered options principal at the lowest permissible level
- Customer signed the OCC disclosure document and verbally confirmed understanding on multiple occasions, yet never placed a single independent trade
- Annualized turnover of 1.8 was mechanically driven by the strategy rather than intentional churning, but lower-cost alternatives existed
- Net positive return of 5.8% over ten months versus customer's stated income objective
- Total commissions of \$4,200 on \$195,000 deployed capital is arguably reasonable but could have been near-zero with a covered call ETF
- Customer's retirement IRA was the primary vehicle, raising the stakes of any strategy misstep
- Tax consequences of short-term gains from assigned shares were apparently not discussed in depth despite being material to an IRA-to-taxable comparison

Likely Outcome

A regulator would most likely find a partial violation, focusing less on the initial recommendation of covered calls (which is defensible) and more on the ongoing duty to monitor and the failure to consider reasonably available lower-cost alternatives. The repeated assignment-repurchase cycle generating \$4,200 in commissions, when a covered call ETF or buy-write fund could have achieved comparable results at a fraction of the cost, would likely be viewed as a failure of the care obligation under Reg BI. However, the documented disclosures, account approval process, and positive net outcome would likely mitigate sanctions significantly. The firm might face a modest fine and be required to enhance its options suitability procedures for inexperienced investors, and the advisor might be required to refund some portion of the commissions, but an outright finding of fraud or egregious misconduct is unlikely.

Borderline Scenario 38

Topic: options_unsuitable | Standard: FINRA Rule 2360 (Options) - particularly subsections (b)(16) regarding ODD delivery requirement

Fact Pattern

Marcus Reilly, age 34, is a software engineer at a publicly traded tech company earning \$215,000 annually. He has a brokerage account with approximately \$180,000 in assets, roughly 60% of which is concentrated in his employer's stock. He also has a 401(k) with \$95,000 and maintains a \$40,000 emergency fund in a high-yield savings account. Reilly applied for Level 3 options approval (which at his firm includes buying

and selling calls and puts, spreads, and covered writing) in March 2023. On his application, he indicated 2 years of options trading experience, described his investment objective as 'growth,' listed his risk tolerance as 'aggressive,' and stated his liquid net worth was \$320,000. His prior options activity over the preceding 18 months consisted of roughly 30 trades - mostly buying single-leg calls on large-cap tech stocks, with mixed results showing a net loss of approximately \$8,200.

His advisor, Christine Dao, approved the Level 3 application after a 20-minute phone conversation during which Reilly explained that he wanted to use vertical spreads to generate income and hedge his concentrated employer stock position. Dao noted in her records that Reilly was 'technically sophisticated, understood multi-leg strategies from self-study, and wanted to reduce concentration risk through collaring and spread strategies.' She did not document whether she provided or confirmed receipt of an options disclosure document. The firm's written supervisory procedures require that the ODD be delivered prior to or at the time of account approval, and Dao's notes are silent on this point, though the firm's automated system shows a digital copy was made available in Reilly's online account portal on the date of approval.

Over the following five months, Reilly executed 47 options trades. Approximately 60% were vertical spreads on broad market ETFs and large-cap tech names, consistent with the stated strategy. However, about 40% were short-term speculative purchases of out-of-the-money calls on meme stocks and small-cap biotech companies, with holding periods averaging under 3 days. Several of these speculative trades resulted in total losses. By August 2023, Reilly had lost approximately \$31,000 on the speculative options trades while his spread strategies had netted a modest \$4,100 gain. Reilly never contacted Dao about the speculative trades, and Dao did not flag or follow up on the shift in trading pattern, though the firm's supervisory system generated no automated alerts because the individual trade sizes (averaging \$1,800) fell below the firm's \$5,000 threshold for options activity review. Reilly subsequently filed a complaint alleging that he should never have been approved for Level 3 options and that Dao failed to supervise his account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: First, the ODD delivery issue is procedurally significant. While the firm's system shows a digital copy was made available in the online portal, Dao's notes do not confirm she actually provided or discussed the document with Reilly, and the firm's own WSPs require delivery at or before the time of approval - passive portal availability may not satisfy the delivery requirement under FINRA Rule 2360(b)(16), which requires that the ODD be furnished at or prior to approval. Second, Reilly's actual options experience was relatively modest - 30 trades over 18 months with net losses - which raises questions about whether two years of experience with demonstrated losses is sufficient to justify Level 3 approval that includes complex multi-leg strategies. Third, Dao approved the account based on Reilly's stated desire to hedge and use spreads, but failed to monitor whether his actual trading conformed to the stated strategy. Under FINRA RN 21-15, firms are expected to exercise diligence in ongoing supervision of options accounts, and the fact that 40% of Reilly's trades were speculative meme-stock bets entirely inconsistent with his stated objectives suggests a supervisory gap. Fourth, the firm's automated surveillance threshold of \$5,000 per trade effectively created a blind spot for frequent small speculative trades that in aggregate produced significant losses.

Arguments against a violation: Reilly is a high-earning, technically sophisticated professional who affirmatively represented aggressive risk tolerance and growth objectives. His \$320,000 liquid net worth means the \$31,000 loss, while painful, represents less than 10% of liquid assets - not a catastrophic or portfolio-destroying outcome. The Level 3 approval itself was reasonable: Reilly had genuine hedging needs given his concentrated employer stock position, and vertical spreads are a defined-risk strategy generally considered more conservative than naked options. Dao conducted a substantive phone conversation, documented Reilly's understanding of multi-leg strategies, and the approval was consistent with his stated objectives and financial profile. The ODD was made available digitally, which many firms and regulators accept as adequate delivery in the electronic age, especially for self-directed online accounts. Regarding the speculative trades, Reilly executed these entirely on his own initiative without any advisor recommendation - they were unsolicited. Under FINRA Rule 2360(b)(19), the account approval and supervisory framework focuses on whether the customer was properly approved and whether recommended transactions are suitable, but purely self-directed speculative trading by an approved customer shifts responsibility significantly toward the customer. The firm's surveillance thresholds, while arguably too high, were applied uniformly and reflected a reasonable risk-based approach.

Why Borderline

This scenario sits at the intersection of several genuinely contested areas: (1) whether digital portal availability constitutes adequate ODD delivery when advisor notes are silent on the point; (2) whether a customer's actual trading pattern diverging from stated objectives triggers a duty to restrict or re-evaluate approval even for self-directed trades; (3) the tension between respecting customer autonomy (a sophisticated high-earner making his own speculative trades) and the firm's ongoing supervisory obligations for options accounts; and (4) whether the aggregate losses from individually small trades that escaped surveillance thresholds constitute a systemic supervisory failure or a reasonable risk-based oversight approach.

Borderline Factors

- ODD delivery technically occurred via portal but was not affirmatively confirmed by the advisor in documentation
- Customer had genuine hedging needs justifying multi-leg approval, but actual trading partially diverged into speculation
- Speculative trades were self-directed and unsolicited, complicating the suitability analysis
- Individual trade sizes were small and below surveillance thresholds, but aggregate losses were material
- Customer's 2 years of experience with net losses is on the margin for Level 3 approval
- Customer's income and liquid net worth suggest financial capacity to absorb the losses even if unsuitable in character
- Advisor documented the approval rationale but failed to conduct any ongoing review of trading activity
- Firm's surveillance system was designed in good faith but had structural blind spots for frequent small options trades

Likely Outcome

A regulator would most likely find a partial violation focused on two specific deficiencies rather than a wholesale finding that the account approval was unsuitable. First, the ODD delivery documentation failure would likely be cited as a procedural violation - passive portal availability without affirmative confirmation falls short of the delivery requirements under FINRA Rule 2360(b)(16), particularly when the advisor's own

notes are silent. Second, the failure to conduct any follow-up review of the account despite the significant shift in trading pattern would likely be cited as a supervisory deficiency under FINRA Rule 2360(b)(19)(C), which requires ongoing diligence in account supervision. However, the initial Level 3 approval itself would likely be found reasonable given Reilly's financial profile, stated objectives, and genuine hedging needs. The speculative losses would likely be attributed primarily to Reilly's own unsolicited trading decisions. The firm might face a modest fine and a requirement to enhance its options surveillance thresholds, while Dao might receive a cautionary letter regarding documentation practices. Full customer restitution would be unlikely given the self-directed nature of the speculative trades.

Borderline Scenario 39

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability, including quantitative suitability); FINRA Rule 2360 (Options ac

Fact Pattern

Gerald Hoffman, age 58, is a semi-retired electrical engineer who took early retirement from a defense contractor in 2021 with a \$1.4 million rollover IRA and a separate \$380,000 taxable brokerage account. Gerald has 12 years of self-directed stock trading experience and began trading covered calls on his own around 2018. He described himself on his new account form as having 'extensive' options knowledge and selected 'speculation' and 'income generation' as his investment objectives for the taxable account. His risk tolerance was marked as 'aggressive' for the taxable account and 'moderate' for the IRA. His annual income from a rental property and Social Security was approximately \$78,000.

In March 2022, Gerald opened his taxable account with registered representative Danielle Pruitt at a mid-sized broker-dealer. Danielle, who held a Series 7 and had completed her firm's options principal training, recommended that Gerald move beyond covered calls into a strategy of selling short put spreads (bull put spreads) on high-beta technology stocks to generate weekly income. Gerald enthusiastically agreed and told Danielle via email that he wanted to 'aggressively harvest premium' and was 'comfortable with assignment risk.'

Over the next 14 months (March 2022 through May 2023), Danielle executed approximately 347 round-trip options trades in Gerald's \$380,000 taxable account. The account generated approximately \$41,200 in commissions and fees to the firm during this period. The annualized turnover ratio for the account, calculated on a cost-to-equity basis, was approximately 5.8. The cost-to-equity ratio was roughly 10.8%. Gerald's account value fluctuated but ended the 14-month period at approximately \$354,000 - a net loss of about \$26,000 after accounting for all commissions and the underlying performance of the positions.

Critically, approximately 60% of the trades were initiated based on Danielle's specific recommendations regarding strike selection and expiration dates, while the remaining 40% were ideas Gerald brought to Danielle, who then executed them. Gerald received electronic confirmations for every trade and reviewed monthly statements. He never complained during the trading period and in fact sent Danielle several emails praising her 'great picks' and asking her to 'keep the momentum going.' Gerald's emails also show him independently researching implied volatility levels and Greeks.

However, Gerald did not fully appreciate the cumulative commission drag on his returns. When he finally reviewed his year-end 1099 and calculated total fees paid, he filed a complaint alleging that Danielle churned his account. He pointed out that the \$41,200 in commissions consumed more than his total account losses, meaning his positions would have been roughly breakeven absent the fees.

Danielle's firm had approved Gerald for Level 3 options trading (which included spreads) after reviewing his application and conducting a phone interview. The firm's supervisory system flagged the account twice during the period for elevated trading frequency, but the branch manager reviewed the flags and cleared them both times, noting Gerald's aggressive objectives, his experience, and his documented enthusiasm for the strategy. The firm did not use a commission-based fee schedule specifically designed for active options traders; Gerald paid standard per-contract rates of \$0.65 per contract plus a \$6.95 ticket charge per trade.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between quantitative churning indicators and qualitative factors suggesting informed customer participation.

****Arguments that a violation occurred:****

1. ****Quantitative Indicators Exceed Traditional Thresholds.**** Under longstanding FINRA enforcement guidance and case law, an annualized turnover ratio above 6 is generally considered presumptive evidence of churning, and a cost-to-equity ratio above 8-10% raises serious concerns. Here, the turnover ratio of 5.8 is just below the traditional threshold, but the cost-to-equity ratio of 10.8% exceeds the commonly cited benchmark. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation, Danielle had an obligation to ensure that the frequency and cumulative cost of her recommendations were in Gerald's interest.
2. ****Commission Drag Exceeded Total Losses.**** The \$41,200 in fees on a \$380,000 account over 14 months is substantial. The fact that the account's positions would have been approximately breakeven absent commissions suggests the trading pattern primarily benefited the advisor and firm, not the customer.
3. ****De Facto Control.**** While Gerald initiated 40% of the trades, Danielle drove 60% of the specific recommendations (strike selection, expiration dates). Under FINRA Rule 2360 and longstanding churning analysis, control can be found where the customer functionally relies on the representative's recommendations even in a non-discretionary account. Gerald's emails praising Danielle's picks and asking her to continue suggest reliance.
4. ****Failure to Recommend Fee Structure Migration.**** Under Reg BI's Care Obligation, Danielle arguably had a duty to consider whether Gerald would be better served by a flat-fee or per-contract capped arrangement given his trading frequency. The firm's standard commission schedule was plainly unsuitable for this volume of short-duration options trading.
5. ****Supervisory Failures.**** The branch manager's two clearances of the activity flags, while documented,

appear cursory. Under FINRA Rule 3110 and the firm's supervisory obligations, the reviews should have included an analysis of cost-to-equity and a conversation with the customer about cumulative fees.

****Arguments against a violation:****

1. ****Turnover Ratio Below Presumptive Threshold.**** At 5.8, the annualized turnover ratio does not reach the level traditionally considered presumptive churning. For active options strategies, particularly weekly expiration premium-selling, high trade counts are inherent to the strategy and do not necessarily indicate churning.
2. ****Customer Sophistication and Active Participation.**** Gerald is an educated professional with over a decade of trading experience and demonstrable knowledge of options Greeks and implied volatility. He independently initiated 40% of the trades and actively researched strategies. This is not a vulnerable, unsophisticated customer being exploited.
3. ****Documented Enthusiasm and Absence of Complaints.**** Gerald's own contemporaneous emails show he understood, endorsed, and actively encouraged the trading strategy throughout the 14-month period. He received and presumably reviewed all confirmations and monthly statements. Under control analysis, genuine customer co-participation weighs against churning.
4. ****Strategy-Appropriate Activity.**** Weekly bull put spread strategies inherently involve frequent position openings and closings. A turnover ratio that might be alarming for a stock portfolio is expected for a short-duration options income strategy. The strategy itself was within Gerald's approved options level and consistent with his stated objectives of speculation and income generation.
5. ****Proper Account Approval.**** The firm followed its procedures: Gerald was interviewed, approved for the appropriate options level, and the strategy matched his stated objectives and risk tolerance. FINRA Rule 2360(b)(16) requires firms to approve options accounts based on customer background, and that process was followed here.
6. ****Losses Relatively Modest.**** A \$26,000 loss (6.8% of account value) over 14 months in a volatile market for an aggressive options trader is not devastating, and the period included significant technology sector drawdowns in 2022.

Why Borderline

The quantitative indicators split: the turnover ratio is elevated but below the traditional presumptive churning threshold, while the cost-to-equity ratio exceeds it. The customer is genuinely sophisticated and actively participated in the strategy, yet 60% of specific trade recommendations came from the advisor. The strategy itself inherently requires frequent trading, making standard churning metrics less applicable, but the cumulative commission burden was never explicitly disclosed or discussed. The firm's supervisory system flagged the account but the flags were cleared through a facially reasonable review process. Reasonable regulators could disagree on whether this represents a violation or an informed aggressive investor bearing the natural costs of an active strategy.

Borderline Factors

- Turnover ratio of 5.8 falls just below the traditional 6.0 presumptive churning threshold but cost-to-equity ratio of 10.8% exceeds commonly cited benchmarks
- Customer initiated 40% of trades and demonstrated genuine options knowledge, complicating the 'control' element of churning
- Weekly premium-selling strategies inherently require high trade frequency, making traditional turnover metrics less reliable as churning indicators
- Customer's contemporaneous emails enthusiastically endorsed the strategy and never raised cost concerns
- Advisor drove 60% of specific recommendations including strike and expiration selection, suggesting functional control despite non-discretionary status
- Firm flagged the account twice through automated surveillance but cleared the flags after review - adequate supervision or rubber-stamping?
- No discussion of alternative fee arrangements that could have reduced the commission drag significantly
- Account losses relatively modest at 6.8% but commissions exceeded total losses, meaning positions would have been breakeven absent fees

Likely Outcome

A FINRA arbitration panel or enforcement proceeding would likely find this a close case but would probably conclude that a violation occurred, albeit a moderate one warranting reduced damages rather than full disgorgement. The cost-to-equity ratio exceeding 10% is a meaningful quantitative signal, and Danielle's failure to recommend a more cost-efficient fee arrangement for this volume of trading would likely be viewed as inconsistent with the customer's best interest under Reg BI. However, Gerald's sophistication, active participation, and enthusiastic endorsement of the strategy would significantly mitigate damages, potentially through contributory fault or failure to mitigate. The supervisory clearances, while documented, would likely be found insufficient given the cumulative cost picture. A regulator would most likely characterize this as a failure to adequately consider the cumulative cost impact of recommendations rather than intentional churning, resulting in moderate sanctions and partial restitution.

Borderline Scenario 40

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence)

Fact Pattern

Marcus Delgado, age 34, is a warehouse logistics coordinator earning \$62,000 per year with a liquid net worth of approximately \$85,000, most of which is in a 401(k) from a prior employer. He opened a brokerage account at Meridian Securities in February 2023 with \$18,500 in cash. On his new account application, he listed his investment experience as 'limited - mostly index funds in retirement account,' his risk tolerance as 'moderate to aggressive,' his time horizon as '3-5 years,' and his investment objective as 'growth.' He indicated he had no prior options trading experience.

His assigned advisor, Danielle Frye, age 29, spent approximately 40 minutes with Marcus in an introductory video call. During the call, she walked him through the mechanics of covered calls and cash-secured puts, using a slide deck the firm provides for options education. She emailed him a copy of the standard options risk disclosure booklet and confirmed via follow-up email that he had received and reviewed it. Marcus

replied, 'Yes, I looked through it. Makes sense to me.'

Frye recommended that Marcus purchase 200 shares of a large-cap technology ETF (trading at approximately \$85/share, totaling roughly \$17,000) and then sell two covered call contracts one month out, slightly out of the money, collecting approximately \$320 in premium. She explained that this strategy would generate additional income on the position but would cap his upside if the ETF rallied past the strike price. Over the following seven months, Frye repeated this covered call strategy on a monthly basis, and Marcus collected approximately \$2,400 in cumulative premium. The ETF shares appreciated modestly, and on two occasions the shares were called away, after which Marcus repurchased them at a similar price and resumed selling calls.

In October 2023, Marcus asked Frye about 'doing something more aggressive.' Frye discussed vertical put spreads - specifically bull put spreads on the same ETF - and Marcus agreed. Over the next three months, Frye recommended four bull put spread trades, each risking approximately \$800-\$1,200 in maximum loss. Two were profitable, one expired worthless (full loss of \$1,100), and one was closed early for a small loss. In total, Marcus lost approximately \$650 net on the spreads.

By January 2024, Marcus's account was worth \$19,800 - a net gain of roughly \$1,300 from his original deposit after accounting for all options activity, commissions, and ETF price movement. Marcus filed a complaint alleging that Frye should never have approved him for options trading given his lack of experience, and that the vertical spreads were too complex for someone with his background. He also claimed the 40-minute video call was insufficient education for options trading.

Meridian Securities' options approval committee had reviewed Marcus's application and approved him for Level 2 options (covered calls, cash-secured puts, and defined-risk spreads). The firm's internal policy requires that customers with no prior options experience complete either a firm-sponsored online options course or receive a documented educational session from the advisor before approval. Frye's 40-minute video session and slide deck were logged in the system as satisfying this requirement, though the firm's standard online course typically takes 2-3 hours. Frye's notes indicate Marcus asked informed questions during the call and 'demonstrated understanding of max loss scenarios.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario requires analysis under multiple overlapping frameworks.

Arguments that Frye violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain essential facts about each customer before approving options trading, including investment experience, financial situation, and investment objectives. Marcus had zero prior options experience and a relatively modest income and liquid net worth. His entire brokerage account was essentially deployed in a single options strategy from inception, leaving no cash cushion.

2. FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms approving customers for complex options strategies without adequate evaluation of the customer's actual knowledge and experience. The Notice emphasized that checking a box or receiving a pro forma acknowledgment of receipt of the OCC Options Disclosure Document is not sufficient due diligence. Marcus's email reply - 'Yes, I looked through it. Makes sense to me' - could be characterized as exactly the kind of superficial confirmation regulators warned about.

3. Under Regulation Best Interest, Frye had an obligation to exercise reasonable diligence, care, and skill in making her recommendation. The progression from covered calls to vertical spreads - a meaningfully more complex strategy - was initiated at the customer's request for 'something more aggressive,' but the advisor still bore the obligation to evaluate whether the escalation was appropriate. A customer's desire for aggression does not relieve the advisor of her independent judgment.

4. The educational shortcut is concerning. The firm's standard online course takes 2-3 hours, while Frye's session was 40 minutes. While the firm accepted it as equivalent, a regulator could view this as a systemic failure in the account approval process, particularly given FINRA's post-Robinhood enforcement focus on firms that use streamlined or abbreviated approval processes for options.

Arguments that Frye acted appropriately:

1. The strategies recommended were among the most conservative options strategies available. Covered calls are widely considered appropriate for moderate-risk investors and are often the first strategy taught to beginners. Cash-secured puts and defined-risk vertical spreads have known maximum losses. At no point did Frye recommend naked options, ratio spreads, or any undefined-risk strategy.

2. Marcus's stated risk tolerance was 'moderate to aggressive' and his objective was 'growth.' A covered call strategy on a large-cap ETF is arguably well-aligned with moderate-to-aggressive growth - it sacrifices some upside for premium income. The vertical spreads risked \$800-\$1,200 per trade against a \$19,000+ account, representing roughly 4-6% risk per trade, which is not unreasonable for someone with his stated tolerance.

3. The educational session, while shorter than the standard course, was personalized and interactive. Frye documented that Marcus asked informed questions and demonstrated understanding. Personalized instruction can be more effective than a longer self-directed course. The firm's own policy was satisfied.

4. The outcomes were positive overall. Marcus ended with a net gain of \$1,300. While outcomes don't determine suitability at the time of recommendation, the fact that the strategies performed within expected parameters suggests they were properly sized and not reckless.

5. The progression to spreads was customer-initiated. While the advisor must still independently evaluate the recommendation, Marcus's expressed desire for more aggressive strategies and his seven months of successful covered call trading gave Frye reasonable basis to believe he had developed practical experience.

6. Under FINRA Rule 2360, Level 2 approval for defined-risk strategies is the lowest level that includes spreads. The approval committee - not just Frye - reviewed and approved Marcus. This was not a case of an advisor unilaterally granting access.

Why Borderline

This is genuinely gray because the strategies recommended were conservative-to-moderate within the options universe, the customer's risk profile arguably supported them, outcomes were positive, and the firm's approval process was followed in form. However, the customer had zero options experience, the educational session was abbreviated compared to the firm's own standard course, and post-2021 regulatory expectations have heightened scrutiny on options approvals for inexperienced retail investors. The complaint also raises the philosophical question of whether defined-risk spreads - which have a known maximum loss - should be treated as 'complex products' unsuitable for newer investors, or whether their defined-risk nature actually makes them appropriate precisely because the worst case is quantifiable.

Borderline Factors

- Customer had zero prior options experience but received some education before approval
- Strategies were among the most conservative in the options universe (covered calls, defined-risk spreads) rather than naked or undefined-risk
- Educational session was 40 minutes vs. firm's standard 2-3 hour online course, but was personalized and interactive
- Customer's stated risk tolerance ('moderate to aggressive') and objective ('growth') arguably aligned with the strategies
- Progression to spreads was customer-initiated after 7 months of successful covered call experience
- Account ended with a net gain, though outcomes do not retroactively validate suitability
- Firm's options approval committee - not just the advisor - approved the account level
- Post-2021 regulatory environment places heightened scrutiny on options approvals for retail investors with limited experience
- Maximum risk per spread trade was 4-6% of account value - aggressive but not reckless
- Customer's liquid net worth outside the brokerage account was mostly illiquid 401(k) funds

Likely Outcome

A regulator would most likely find a technical deficiency in the account approval process - specifically the abbreviated educational session relative to the firm's own standard - and might issue a cautionary action or fine against the firm rather than the individual advisor. However, a finding of substantive unsuitability of the actual recommendations is unlikely given the conservative nature of the strategies, the defined-risk parameters, the customer's stated risk tolerance, and the positive overall outcome. The regulator would likely distinguish between the covered call strategy (clearly suitable) and the vertical spreads (closer call, but still defensible given the customer's accumulated experience and the defined-risk nature). The complaint would most likely result in a modest supervisory finding against the firm's approval procedures rather than a finding that Frye personally violated her obligations in her specific recommendations.

Borderline Scenario 41

Topic: *excessive_churning* | Standard: FINRA Rule 2360 (Options); FINRA Rule 2361 (Suitability for options); Regulation Best Interest

Fact Pattern

Marcus Webb, a registered representative at Pinnacle Securities since 2016, managed a discretionary options account for Dr. Lena Okafor, a 52-year-old orthopedic surgeon earning approximately \$780,000 annually with a liquid net worth of \$3.2 million. Dr. Okafor opened her options account in January 2021, checking boxes on her new account form indicating 15 years of investment experience, 'aggressive growth' as her objective, 'high' risk tolerance, and a 3-to-5-year time horizon. She was approved for Level 4 options trading, which permitted uncovered writing and complex multi-leg strategies. During the onboarding call, Dr. Okafor told Webb she wanted to 'generate supplemental income and actively trade volatility' and referenced several options strategies by name, including iron condors, strangles, and calendar spreads. She said she had previously self-directed options trades on two separate online platforms for approximately three years before seeking professional management.

Over the 18-month period from January 2021 through June 2022, Webb executed 847 options transactions in the account. The account's average monthly equity during this period was approximately \$410,000. Total commissions and fees generated were \$128,600, producing a cost-to-equity ratio of approximately 31.4% annualized. The turnover rate for the account was approximately 9.2 on an annualized basis. Many of the trades involved opening and closing multi-leg spreads within days of one another, with Webb frequently rolling positions-closing an existing spread and immediately opening a new one at different strikes or expirations. Approximately 60% of the trades were rolls of existing positions rather than entirely new directional bets.

The account's net performance over the 18-month period was a loss of \$34,200, representing an approximate 8.3% decline. During the same period, a comparable benchmark-the CBOE S&P 500 BuyWrite Index-returned approximately +4.1%. Webb argued that many of the rolls were defensive adjustments made to manage risk during volatile markets in 2021-2022, particularly around the meme-stock volatility spikes and the broader tech selloff in early 2022. He pointed out that the account never suffered a single-month drawdown exceeding 6%, and that the rolling strategy prevented several positions from expiring at maximum loss. Webb's internal compliance notes documented his rationale for roughly 70% of the rolls, typically citing changing implied volatility levels or approaching earnings dates for underlying securities.

Dr. Okafor received monthly statements and confirmations for every trade. She never objected to any trade during the 18-month period and, in two separate emails, praised Webb for 'staying on top of the positions' and 'keeping the damage manageable during a rough stretch.' However, she later filed a complaint alleging the volume of trading was excessive and that commissions consumed an unreasonable portion of her account value, stating she did not fully appreciate the cumulative cost impact until she reviewed an annual summary provided by her accountant in early 2023. She claimed that while she understood individual options strategies, she had trusted Webb to manage overall trading frequency and cost efficiency.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The analysis turns on whether the volume and frequency of trading in Dr. Okafor's options account was excessive given her profile, objectives, and the nature of the strategies employed.

Arguments supporting a violation: The annualized cost-to-equity ratio of 31.4% and turnover rate of 9.2 are both significantly elevated. FINRA guidance and arbitration precedent have historically treated annualized cost-to-equity ratios above 20% and turnover ratios above 6 as presumptive indicators of excessive trading. The 847 transactions over 18 months in a \$410,000 average equity account produced commissions (\$128,600) that were nearly four times the account's net loss (\$34,200), meaning the account had to generate substantial gross gains merely to offset friction costs. The account underperformed a relevant benchmark by over 12 percentage points. Under Reg BI's quantitative component, a broker exercising discretion must ensure that the cumulative costs of a trading strategy do not effectively eliminate the customer's reasonable prospect of profit. The sheer volume of rolling activity-particularly 60% of trades being rolls-raises the question of whether the strategy was generating economic value for the customer or primarily generating commissions for the representative. Discretionary authority heightens the broker's responsibility, as the customer is not directing individual trades.

Arguments against a violation: Dr. Okafor was a high-income, high-net-worth investor with self-reported options experience spanning several years. She specifically requested aggressive, active volatility trading and demonstrated familiarity with complex strategies. The account represented roughly 12.8% of her liquid net worth, so the losses were not financially devastating. Options accounts inherently generate higher transaction counts than equity accounts because multi-leg strategies count as multiple transactions per position, and rolling is a standard risk management technique-not inherently indicative of churning. Webb documented rationale for 70% of rolls, and many were demonstrably defensive. The account avoided catastrophic drawdowns during a period of exceptional market volatility, which could indicate competent risk management. Dr. Okafor received trade confirmations and monthly statements, never objected, and even sent complimentary emails. The cost-to-equity ratio, while high by equity account standards, may be less meaningful in an active options context where gross notional exposure and premium turnover differ fundamentally from stock trading. Some practitioners and arbitrators have argued that mechanical application of equity-churning metrics to complex options strategies produces misleading results.

The case also raises disclosure and transparency issues: while Dr. Okafor received confirmations, she claims she did not appreciate cumulative costs. Under the care obligation framework, a broker with discretion cannot rely solely on the customer's failure to object, particularly when the customer has delegated decision-making authority. However, the customer's sophistication, expressed preferences, and contemporaneous praise complicate the narrative of a victimized investor.

Why Borderline

This scenario sits in a genuine gray zone because the quantitative churning metrics (cost-to-equity and turnover) are elevated but not extreme, and the nature of an active options account with multi-leg strategies and frequent rolling naturally produces higher transaction counts and costs than traditional equity accounts. Reasonable practitioners disagree sharply about whether equity-account churning benchmarks should apply with the same thresholds to options accounts. Additionally, the customer's sophistication, expressed desire for active trading, contemporaneous approval, and the broker's documented defensive rationale for most rolls create a legitimate counter-narrative. The account lost money but avoided catastrophic losses in a volatile period, making the performance picture ambiguous rather than clearly harmful.

Borderline Factors

- Cost-to-equity ratio of 31.4% exceeds traditional churning thresholds but may be less meaningful for active multi-leg options strategies
- Turnover ratio of 9.2 is high but 60% of trades were defensive rolls with documented rationale rather than new speculative positions
- Customer had self-reported options experience, requested aggressive volatility trading by name, and praised the advisor contemporaneously
- Discretionary account heightens broker responsibility but customer's sophistication and expressed preferences cut the other way
- Account underperformed benchmark by ~12 percentage points, but the chosen benchmark may not perfectly match the strategy's risk-return profile
- 847 transactions over 18 months appears excessive on its face but multi-leg options strategies mechanically inflate transaction counts
- Customer claims she did not appreciate cumulative costs despite receiving all confirmations and statements
- Account represented only ~12.8% of customer's liquid net worth, limiting the argument of financial harm or unsuitability based on concentration

Likely Outcome

A regulator would most likely find a violation, though potentially with mitigated sanctions. While the customer's sophistication and expressed preferences provide some defense, regulators applying FINRA Rule 2111 (superseded by Reg BI for retail recommendations after June 2020) and Reg BI's care obligation have consistently held that quantitative evidence of excessive costs shifts the burden to the broker to justify the trading pattern. The 31.4% annualized cost-to-equity ratio and 9.2 turnover rate exceed recognized thresholds even accounting for the options context. The fact that Webb held discretionary authority undermines reliance on the customer's failure to object. However, Webb's documented trade rationale, the defensive nature of many rolls, and Dr. Okafor's sophistication and contemporaneous satisfaction would likely result in a finding that falls short of egregious churning, potentially leading to disgorgement of a portion of excess commissions rather than severe sanctions. An arbitration panel might split the difference, awarding partial damages reflecting the difference between reasonable options trading costs and the actual costs incurred.

Borderline Scenario 42

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); F

Fact Pattern

Marcus Thornton, age 34, opened a brokerage account in March 2022 with Apex Digital Securities, an online-first broker-dealer. During the electronic account opening process, Thornton completed a digital options application. He reported an annual income of \$145,000 as a software engineer, liquid net worth of \$210,000, total net worth of \$480,000 (including home equity), and listed his investment objective as 'growth with speculation.' He indicated 3 years of stock trading experience and 1 year of options experience, describing that experience as 'self-directed education through YouTube and paper trading simulators.' He checked a box affirming he had received and read the options disclosure document. His registered representative, Diana Kowalski, reviewed the application the same afternoon. Kowalski noted

that Thornton's paper trading history on a well-known simulator showed over 400 simulated multi-leg options trades over 10 months, including iron condors, calendar spreads, and short strangles, with a simulated profit of \$38,000. Thornton also told Kowalski during a 12-minute recorded phone call that he had been 'obsessed with options Greeks for over a year' and felt 'very comfortable managing defined and undefined risk positions.' Kowalski approved Thornton for Level 4 options trading, which at Apex permitted naked call writing, naked put writing, and complex multi-leg strategies. Over the next five months, Thornton executed 87 real trades. His strategies were initially profitable, netting approximately \$14,200 through July. In August 2022, he sold 15 naked call contracts on a mid-cap biotech stock ahead of an FDA decision. The stock surged 47% overnight on an unexpected drug approval, and Thornton suffered a \$162,000 loss, effectively wiping out most of his liquid net worth. He filed a complaint alleging that Kowalski never should have approved him for the highest options level given that his only prior experience was simulated, that the 12-minute phone call was insufficient to truly understand his knowledge, and that a single year of paper trading should not have qualified him for strategies with theoretically unlimited loss. Apex countered that Thornton's demonstrated knowledge of advanced strategies, his income level, his stated comfort with speculation, his 400+ simulated trades showing disciplined strategy execution, and his five months of successful live trading before the loss all supported the approval. They also noted that Thornton never once contacted the firm to ask questions about margin requirements or strategy mechanics, suggesting genuine understanding. Kowalski's branch manager had co-signed the Level 4 approval after reviewing the same application materials and the phone call transcript.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The central question is whether a registered representative exercised reasonable diligence in approving a customer for the highest level of options trading when the customer's entire options experience consisted of simulated (paper) trading rather than actual market experience with real capital at risk.

Arguments that a violation occurred:

- Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving options trading, including the customer's investment experience, financial situation, and investment objectives. Paper trading, regardless of volume, does not replicate the psychological and financial pressures of real trading. A customer who has never experienced an actual margin call or a real loss of capital may not truly understand the risks of undefined-risk strategies.
- FINRA Regulatory Notice 21-15 specifically emphasized the need for firms to consider whether customers have the knowledge and experience to evaluate the risks of complex options strategies, and highlighted concerns about digital account opening processes that may approve customers for high-level options trading based on self-reported data without meaningful verification or deeper inquiry.
- The OCC Options Disclosure Document warns that writing uncovered calls exposes the writer to theoretically unlimited loss. A 12-minute phone conversation, while documented, may be insufficient to probe whether someone who has only paper-traded truly understands the real-world implications of unlimited risk exposure when their liquid net worth could be entirely consumed by a single adverse move.
- The approval for naked call writing effectively exposed the customer to losses exceeding his entire liquid net worth, which raises questions about whether the strategy was suitable given his financial profile, regardless of his stated comfort level.

Arguments that no violation occurred:

- Thornton was a 34-year-old professional earning \$145,000 with \$210,000 in liquid net worth. He was not elderly, unsophisticated, or financially fragile. He explicitly chose 'growth with speculation' as his objective.
- His paper trading record was extensive - 400+ multi-leg trades over 10 months - demonstrating not casual curiosity but sustained, disciplined engagement with complex strategies. He was familiar with iron condors, calendar spreads, and short strangles, which require understanding of Greeks, margin, and risk profiles.
- The phone call, while brief, was recorded and showed the customer articulating specific knowledge of defined vs. undefined risk. He never contacted the firm with basic questions, further supporting genuine comprehension.
- A branch manager independently reviewed and co-approved the application, providing a second layer of supervisory diligence.
- Thornton successfully traded for five months and 87 trades before incurring the loss. The loss itself resulted from a concentrated, speculative bet on a binary event (FDA decision), which reflects poor personal risk management rather than a failure of the approval process.
- FINRA rules do not mandate a minimum period of live trading before a customer can be approved for advanced strategies; simulated experience is not explicitly excluded from consideration.
- Reg BI's care obligation requires a reasonable basis to believe a recommendation is in the customer's best interest, but options account approval is distinct from a specific trade recommendation. The firm approved a level of access; the customer independently chose the specific naked call position.

Why Borderline

This scenario sits in a genuine gray zone because the customer demonstrated significant knowledge and simulated experience that arguably exceeded many retail investors who receive Level 4 approval after years of modest live trading. However, paper trading fundamentally differs from real trading in ways that matter most precisely when losses become catastrophic - the psychological and financial pressure of unlimited-risk positions cannot be simulated. Reasonable practitioners disagree about whether extensive simulated experience should be treated as equivalent to actual trading experience for the purposes of options account approval. Additionally, the five months of successful live trading before the loss complicates the narrative: it suggests the approval initially worked as intended, and the loss stemmed from a specific reckless trade rather than a systemic failure of understanding.

Borderline Factors

- Customer had extensive simulated trading experience (400+ multi-leg trades) but zero real-money options experience at time of approval
- Customer demonstrated articulate, specific knowledge of options Greeks and risk categories during recorded call
- Approval was for the highest tier (naked/uncovered writing) with theoretically unlimited loss potential
- Customer's liquid net worth (\$210,000) could be entirely consumed by a single adverse move in a naked call position
- Five months of successful live trading preceded the catastrophic loss, suggesting the approval was not immediately inappropriate
- The catastrophic loss resulted from a concentrated speculative bet on a binary event, which may reflect poor personal risk management rather than lack of knowledge
- Branch manager independently co-reviewed and approved the application

- 12-minute phone call may or may not constitute sufficient inquiry depending on the depth of information exchanged
- Digital account opening processes inherently rely heavily on self-reported data, raising questions about verification standards

Likely Outcome

A regulator would likely find a partial violation focused on the adequacy of the firm's due diligence process rather than the approval decision itself. The 12-minute phone call, while documented, may be viewed as insufficient to establish genuine understanding of unlimited-risk strategies for someone with no live options experience. However, the customer's strong financial profile, articulated knowledge, extensive simulated track record, and five months of successful real trading would likely mitigate the finding significantly. The most probable outcome is a supervisory deficiency finding against the firm for insufficient depth in the know-your-customer inquiry at the point of Level 4 approval - specifically, the failure to impose any interim restrictions (such as starting at Level 3 and elevating after demonstrated live trading success) - rather than a clear-cut suitability violation attributable to the individual representative. Damages, if awarded, might be reduced substantially due to the customer's contributory conduct in placing a concentrated naked call position ahead of a known binary catalyst.

Borderline Scenario 43

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16)(A)-(B) - Options account approval and ODD

Fact Pattern

Marcus Whitfield, age 34, works as a long-haul truck driver earning approximately \$62,000 per year. He has a brokerage account with \$47,000 in savings, primarily accumulated through years of disciplined saving from his paychecks. He has no college degree but describes himself as a 'self-taught investor' who has watched hundreds of hours of YouTube videos on options trading and has been paper-trading options on a simulator app for roughly 14 months. His paper-trading record shows 287 simulated trades, with a net simulated gain of approximately 22% over that period, primarily using vertical spreads and iron condors. He has approximately two years of experience trading equities in a live account, with modest gains.

In March 2023, Marcus requested Level 3 options approval from his advisor, Janet Simmons, at a mid-sized broker-dealer. Level 3 at this firm permits multi-leg spread strategies including vertical spreads, iron condors, and calendar spreads, but does not permit naked short options. Janet reviewed Marcus's application, which listed his investment objective as 'speculation,' his risk tolerance as 'aggressive,' his liquid net worth as \$47,000 (representing nearly all of his non-retirement savings), and his annual income as \$62,000. Marcus also disclosed \$11,000 in credit card debt.

Janet conducted a 35-minute phone conversation with Marcus in which she discussed the mechanics of the strategies he intended to use, the risk of total loss of premium paid, and the concept of maximum defined loss in spread strategies. Marcus demonstrated a solid conceptual understanding of how iron condors and vertical spreads work, correctly explaining max profit, max loss, and breakeven points for sample trades Janet posed to him. He stated his plan was to allocate no more than \$15,000 of his \$47,000 account to options positions at any given time, with no single trade risking more than \$2,000. Janet noted in her file

that Marcus 'demonstrated above-average understanding of defined-risk spread strategies for a self-taught retail client.'

Janet approved the Level 3 options account. She did not, however, provide Marcus with the standardized options disclosure document prior to approval, instead mailing it to him three business days after the account was opened. The firm's internal procedures required the disclosure document to be delivered 'at or before' the time of account approval. Marcus signed an options agreement acknowledging receipt of the disclosure document, though the timestamp on the electronic signature preceded the mailing date of the document by two days.

Over the following five months, Marcus executed 43 spread trades. His results were mixed: he made money on 26 trades and lost money on 17, with a net loss of \$3,100, or roughly 6.6% of his original account value. None of his individual trades exceeded the \$2,000 risk limit he had described, and his total options allocation never exceeded \$14,500. In August 2023, Marcus filed a complaint alleging that he should never have been approved for options trading given his income level, lack of formal financial education, and the fact that his brokerage account represented substantially all of his liquid savings. He also alleged he never received the options disclosure document before he began trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tension across multiple dimensions.

Arguments that Janet violated applicable standards:

1. ****Disclosure Document Timing****: Under FINRA Rule 2360(b)(16)(B), a broker-dealer must furnish the OCC Options Disclosure Document (ODD) at or before the time of account approval. The fact that Marcus signed an acknowledgment of receipt before the document was actually mailed raises a serious procedural violation. The ODD is considered a foundational investor protection - its purpose is to ensure the customer understands the characteristics and risks of options before beginning to trade. This is a technical but meaningful violation regardless of the customer's sophistication.
2. ****Concentration of Liquid Assets****: Marcus's brokerage account of \$47,000 represents nearly all of his liquid net worth, and he carries \$11,000 in credit card debt. Even though he proposed limiting options exposure to roughly \$15,000, any significant loss would directly impair his financial safety net. FINRA Regulatory Notice 21-15 specifically emphasized that firms must consider whether a customer's financial situation - including total liquid net worth and debts - supports the risks of options trading. Allocating approximately 32% of one's entire liquid savings to speculative options trading while carrying high-interest consumer debt could be considered inappropriate.
3. ****Income Level and Risk Capacity****: At \$62,000 per year with \$11,000 in credit card debt, Marcus has limited ability to replenish losses. His stated objective of 'speculation' and 'aggressive' risk tolerance reflect willingness but not necessarily capacity to bear losses.

Arguments that Janet acted appropriately:

1. ****Demonstrated Knowledge****: Marcus showed meaningful understanding of the specific strategies he intended to employ. He correctly answered Janet's questions about max loss, max profit, and breakeven points. His 14 months of paper trading with nearly 300 simulated trades suggests genuine engagement with learning, not impulsive speculation. Under FINRA Rule 2360(b)(16), firms must evaluate a customer's 'knowledge and experience in financial matters' - and Marcus's demonstrated knowledge was substantial for a self-directed retail client.
2. ****Defined-Risk Strategies Only****: Level 3 approval at this firm does not include naked options. Vertical spreads and iron condors have mathematically defined maximum losses. Marcus's plan to limit individual trade risk to \$2,000 and total allocation to \$15,000 reflects a disciplined risk management framework. His actual trading behavior confirmed adherence to these self-imposed limits.
3. ****Actual Trading Results Within Expectations****: A net loss of \$3,100 (6.6%) over five months is well within the range of normal outcomes for spread trading. Marcus did not experience catastrophic losses, did not deviate from his stated strategy, and did not demonstrate behavioral red flags.
4. ****Customer Autonomy and Self-Direction****: Marcus actively sought out options approval, articulated a specific strategy and risk management plan, and demonstrated competence. Denying approval solely because of income level or lack of formal education could be viewed as paternalistic gatekeeping inconsistent with the principle that informed customers can make their own risk decisions.
5. ****Documentation****: Janet conducted a substantive 35-minute suitability conversation and documented her assessment. This exceeds the perfunctory checkbox approach that regulators have criticized.

The ODD timing issue is the strongest ground for a finding of violation, as it is a clear procedural requirement with a specific timeline that was not met, compounded by a signed acknowledgment that appears to be inaccurate.

Why Borderline

The substantive suitability question is genuinely ambiguous because Marcus demonstrated real knowledge, used only defined-risk strategies, adhered to his own risk limits, and experienced losses within a normal range - yet his financial profile (nearly all liquid savings at risk, consumer debt, moderate income) raises legitimate concerns about risk capacity versus risk tolerance. The procedural ODD delivery failure adds a technical violation that may or may not be deemed material given Marcus's demonstrated pre-existing knowledge. Reasonable practitioners could disagree on whether knowledge and discipline compensate for a thin financial cushion.

Borderline Factors

- Customer demonstrated above-average knowledge of the specific options strategies through paper trading and a substantive conversation, but lacked any formal financial education
- Options allocation (\$15,000) represented roughly 32% of total liquid net worth, which is significant but not an overwhelming concentration, especially for defined-risk strategies
- Customer carried \$11,000 in credit card debt, suggesting limited financial resilience, but the debt level is

not extreme relative to income

- All strategies used were defined-risk with mathematically capped maximum losses, unlike naked options or uncovered writing
- Actual trading behavior was disciplined and consistent with the stated plan - no deviation, no excessive position sizing
- Net losses of 6.6% over five months are within normal parameters and not indicative of a catastrophic suitability failure
- The ODD was delivered three days late - a clear procedural lapse, but the customer arguably already understood the material from self-study
- The signed acknowledgment of receipt predates actual mailing, raising questions about document integrity
- Customer self-selected 'speculation' and 'aggressive' - reflecting genuine intent, but these designations alone should not be dispositive of suitability
- Complaint was filed after relatively modest losses, raising questions about whether the complaint is motivated by buyer's remorse versus genuine harm

Likely Outcome

A regulator would most likely find a technical violation for the late delivery of the OCC Options Disclosure Document and the inaccurate acknowledgment signature, as this is a bright-line procedural requirement under FINRA Rule 2360(b)(16)(B). On the substantive suitability question, the outcome is closer to a coin flip but would likely lean toward no violation or a minor supervisory deficiency. Marcus's demonstrated knowledge, disciplined trading behavior, use of defined-risk strategies, and self-imposed allocation limits all weigh in Janet's favor. However, the firm might receive a deficiency letter noting that the suitability analysis should have more explicitly addressed the concentration of liquid net worth and the presence of consumer debt. Monetary sanctions, if any, would likely be modest and focused on the disclosure timing failure rather than the approval decision itself. The \$3,100 loss would be difficult to sustain as customer harm sufficient to support significant restitution.

Borderline Scenario 44

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16)(B) requires delivery of the OCC Options Disclosure Document

Fact Pattern

Margaret Thornton, age 74, is a retired aerospace engineer with a PhD in applied mathematics and 30 years of professional experience. She retired in 2018 with a net worth of approximately \$3.8 million, consisting of \$2.1 million in an IRA, \$900,000 in a taxable brokerage account, \$500,000 in municipal bonds, and \$300,000 in cash and CDs. Her annual pension and Social Security income total \$112,000, which comfortably covers her living expenses of approximately \$78,000 per year. She has no dependents and owns her home outright. On her new account form at Ridgeline Financial in March 2022, she listed her investment objective as 'growth with income,' her risk tolerance as 'moderate to aggressive,' and her investment time horizon as '5-10 years.' She indicated 12 years of prior options trading experience, noting that she had traded covered calls and cash-secured puts throughout her career. Her advisor, Daniel Huang, age 38, approved her for Level 3 options trading, which at Ridgeline permits spreads including verticals, calendars, iron condors, and butterflies, but does not permit naked calls or naked puts. Over the next 18

months, Mrs. Thornton directed approximately 140 options trades in her taxable account, predominantly iron condors and put credit spreads on the S&P 500 ETF and large-cap technology stocks. The notional exposure of her spread positions typically ranged between \$80,000 and \$150,000, with maximum defined risk on any single position capped at \$8,000 to \$12,000. Her total options allocation represented roughly 15-18% of her taxable account value. She generated approximately \$47,000 in net profits over this period after commissions of \$3,200. In August 2023, a routine branch audit flagged her account because internal guidelines require 'enhanced review' for any client over 65 approved for Level 3 or above. The branch manager, upon reviewing the account, noted that Mrs. Thornton had not received the Options Disclosure Document at the time of her account approval - the firm's records showed it was mailed to her 11 days after her first options trade was executed, rather than at or before account approval. Huang stated that he verbally discussed all relevant risks with Mrs. Thornton during an in-person meeting, and Mrs. Thornton signed an acknowledgment form on the date of her first trade confirming she understood options risks. Mrs. Thornton herself submitted a written statement saying she was 'completely satisfied' with Huang's guidance, that she had independently researched every trade, and that she felt the branch audit was 'patronizing and age-discriminatory.' She noted that she had been trading options since 2010 and considered herself more knowledgeable than most retail investors. The branch manager recommended downgrading her to Level 2, restricting her to covered calls and cash-secured puts only. Huang objected, arguing this was unwarranted given her experience and profitable track record. The firm's compliance department is now reviewing whether Huang violated any obligations in his handling of Mrs. Thornton's account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents two distinct analytical threads: (1) the procedural question of whether the late delivery of the OCC Options Disclosure Document constitutes a violation, and (2) the substantive question of whether Level 3 options approval and the resulting trading activity were suitable for a 74-year-old retiree.

On the procedural issue, FINRA Rule 2360(b)(16)(B) requires that member firms furnish the OCC Options Disclosure Document (ODD) at or prior to the time the account is approved for options trading. The firm's records indicate the ODD was mailed 11 days after the first trade, which is facially non-compliant. However, Huang contends he verbally discussed all risks, and the client signed an acknowledgment on the date of her first trade. FINRA Regulatory Notice 21-15 reinforces that firms must ensure timely ODD delivery and cannot substitute verbal discussions for the required written disclosure. The 11-day gap is a clear procedural deficiency regardless of the client's sophistication. That said, the violation is technical in nature - Mrs. Thornton demonstrably understood options risks given her 12 years of experience and advanced quantitative education, so the late delivery arguably caused no customer harm.

On the substantive suitability question under FINRA Rule 2360(b)(16) and Reg BI's care obligation, the analysis is more genuinely contested. Arguments supporting suitability: Mrs. Thornton has documented options experience spanning over a decade; she holds an advanced quantitative degree; her options allocation (15-18% of the taxable account, roughly 4% of total net worth) is modest; all strategies were defined-risk with maximum loss capped at \$8,000-\$12,000 per position; she generated net profits; her income exceeds expenses by \$34,000 annually, providing a cushion; and she has no dependents relying

on her assets. Her stated risk tolerance was moderate-to-aggressive with a 5-10 year horizon. Arguments against suitability: She is 74, making any investment time horizon uncertain; FINRA has emphasized heightened duties regarding senior investors; iron condors and credit spreads, while defined-risk, involve complex multi-leg strategies that can produce sudden losses in volatile markets; 140 trades in 18 months suggests active trading that may not align with a 'growth with income' objective; and the firm's own internal policies flag Level 3 approval for over-65 clients, suggesting institutional recognition that this warrants scrutiny.

Regarding the branch manager's recommendation to downgrade to Level 2, this raises the tension between investor protection and investor autonomy. FINRA RN 21-15 cautions against both under-protection and over-restriction, noting that firms should not 'unreasonably restrict' senior investors from making their own financial decisions. Mrs. Thornton's characterization of the review as 'age-discriminatory' highlights this tension directly.

Why Borderline

The case sits at the intersection of a clear procedural violation (late ODD delivery) and a genuinely debatable substantive question. The client's exceptional quantitative sophistication, profitable track record, defined-risk strategy selection, and modest allocation relative to net worth all support suitability. Yet her age, the volume of trading, and the firm's own internal policies suggesting enhanced scrutiny for seniors create countervailing concerns. Reasonable practitioners could disagree on whether Level 3 approval was appropriate for a 74-year-old, even one with Mrs. Thornton's profile. The procedural ODD violation, while clear, is arguably harmless given her demonstrable knowledge - but regulators may view it as indicative of broader supervisory failures.

Borderline Factors

- Client has 12+ years of documented options experience and an advanced quantitative degree, strongly supporting sophistication
- All strategies were defined-risk (iron condors, credit spreads) with modest maximum loss per position (\$8K-\$12K)
- Options allocation was only 15-18% of taxable account and roughly 4% of total net worth
- Client is 74 years old, triggering heightened scrutiny expectations for senior investors
- ODD was delivered 11 days after the first trade - a clear procedural gap but with signed acknowledgment on trade date
- 140 trades in 18 months may suggest activity level inconsistent with stated 'growth with income' objective
- Client expressly objects to restrictions and characterizes the review as patronizing and discriminatory
- Firm's own internal policies flag Level 3+ approval for clients over 65, creating self-imposed standard
- Net profitable track record (\$47K profits) suggests the strategy was working as intended
- Client's pension and Social Security cover living expenses with a \$34K annual surplus, reducing dependency on investment accounts

Likely Outcome

A regulator would most likely find a technical violation for the late ODD delivery, as the 11-day gap is difficult to defend regardless of the client's sophistication or the verbal discussion. On the substantive suitability question, the outcome is less certain but a regulator would likely find that Level 3 approval and the resulting trading were suitable given the totality of Mrs. Thornton's profile - her extensive experience,

quantitative background, defined-risk strategies, modest allocation, and financial cushion. However, the firm may face criticism for inadequate documentation of the enhanced review process for senior investors at the time of account approval. The most probable enforcement outcome is a finding of a procedural violation with modest sanctions (fine, corrective action on ODD delivery processes) rather than a substantive suitability violation. The branch manager's proposed downgrade to Level 2 would likely be viewed as an overreaction that could itself raise concerns about unreasonable restriction of a sophisticated senior investor's autonomy.

Borderline Scenario 45

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) requires firms to exercise due diligence to ascertain essential

Fact Pattern

Marcus Whitfield, age 34, opened a brokerage account with Lakewood Financial Partners in February 2022. During the account opening process, his financial advisor, Janet Chen, conducted a phone-based new account interview lasting approximately 18 minutes. Marcus indicated he worked as a senior software engineer at a mid-size tech company earning \$185,000 annually, had approximately \$410,000 in liquid assets across various accounts, owned a home with \$220,000 remaining on the mortgage, and had no dependents. He told Janet he had been 'trading actively on my phone for about two years' and described his risk tolerance as 'aggressive - I'm comfortable losing money if the upside is there.' When Janet asked about his investment experience, Marcus said he had traded stocks and 'some options' on a popular mobile trading app since early 2020, estimating he had made 'a couple hundred' options trades. He stated his investment objective was 'growth and income, but mostly growth.' Janet noted these responses on the new account form and approved Marcus for Level 3 options trading, which at Lakewood permitted buying and selling calls and puts, spreads, and covered writing. She did not ask Marcus to specify what types of options he had previously traded, did not inquire about whether his prior trades had been profitable or resulted in losses, did not ask about the size of those prior trades relative to his portfolio, and did not ask whether he understood concepts like assignment risk, time decay, or margin requirements for spreads. She did confirm that the OCC disclosure document was provided to him electronically and that he acknowledged receipt. Over the next five months, Marcus executed 47 vertical spread trades, 12 of which were bull put spreads on volatile small-cap biotech stocks. By August 2022, he had lost \$38,000 on these positions - roughly 9% of his stated liquid net worth. In October 2022, Marcus complained to the firm, stating that he had actually only ever purchased simple long calls and puts on the mobile app and had never traded spreads before. He said he did not fully understand the risk of being assigned on the short legs of his spreads and felt Janet should have 'dug deeper' into what he actually knew. Lakewood's compliance records show that Janet's notes from the new account interview reflected Marcus's self-reported experience accurately, that the firm's options approval matrix permitted Level 3 for customers with two or more years of options experience and an aggressive risk profile, and that Marcus had signed the options agreement and acknowledged the OCC disclosure document. However, the firm had no written policy requiring advisors to distinguish between simple long options experience and multi-leg strategy experience when evaluating customers for tiered approval levels. Janet maintains she reasonably relied on Marcus's self-reported experience and that a 34-year-old software engineer with \$410,000 in assets and two years of stated options experience was a reasonable candidate for Level 3 approval. Marcus contends

that '200 trades buying calls on Tesla' did not prepare him for the mechanics and risks of spread trading, and that a few targeted follow-up questions would have revealed this gap.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario implicates the depth-of-inquiry dimension of customer knowledge obligations in the options context. On one hand, Janet gathered the core data points that firms typically require: income, net worth, investment experience (including approximate number of trades and years of activity), risk tolerance, and investment objectives. She provided the OCC Options Disclosure Document and obtained acknowledgment. The firm's tiered approval system facially matched Marcus's profile to Level 3 authorization, and Marcus himself represented his experience level and aggressive risk appetite. Courts and arbitration panels have historically given weight to signed account documents and customer self-representations, and Marcus is not an unsophisticated individual - he is a well-compensated technology professional in his mid-thirties. On the other hand, regulatory guidance has increasingly emphasized that options account approval requires a meaningful qualitative assessment, not merely a box-checking exercise. The distinction between buying simple long calls (where maximum loss is the premium paid) and executing spread strategies (where assignment risk, margin, and multi-leg execution complexity are present) is significant. A reasonably diligent advisor, upon hearing a customer describe experience as 'some options' and 'a couple hundred trades' on a gamified mobile platform, arguably should have probed further to understand what types of options were traded, whether the customer understood key concepts like assignment and margin, and whether the customer had any experience with the specific strategies the approval level would permit. The 18-minute phone interview, while not unusually short, raises questions about whether meaningful dialogue occurred or whether the process was largely scripted form-filling. The firm's lack of any written policy requiring differentiation between simple and complex options experience cuts both ways: it may insulate Janet from a claim she violated internal policy, but it also suggests a systemic gap that a diligent advisor should have independently addressed. Marcus's \$38,000 loss, while painful, represents about 9% of liquid assets - not catastrophic for someone with his profile, which somewhat mitigates the harm argument. However, harm magnitude is not the sole determinant of whether the initial approval was appropriate. The fact that Marcus went on to execute 47 spread trades over five months without raising concerns until losses accumulated could suggest he had more working knowledge than he later claimed, or alternatively that he was learning by doing without appreciating the risks - which is precisely what deeper initial inquiry is designed to prevent.

Why Borderline

The advisor collected all standard quantitative data points and the customer made affirmative representations about experience and risk tolerance. The customer is relatively young, high-income, and not obviously vulnerable. However, the advisor failed to qualitatively distinguish between simple and complex options experience, which is increasingly an area of regulatory focus - particularly in the wake of enforcement actions and guidance targeting mobile-platform-era investors who may have superficial familiarity with options without understanding multi-leg strategy risks. Reasonable practitioners disagree on whether reliance on customer self-reporting is sufficient or whether advisors must independently probe the nature and quality of reported experience.

Borderline Factors

- Customer self-reported two years of options experience and aggressive risk tolerance, which facially supported approval
- Advisor did not differentiate between simple long options experience and multi-leg spread experience
- Customer is a high-earning, educated professional - not a classically vulnerable investor
- The firm's options approval matrix was satisfied on paper but did not require qualitative assessment of experience type
- OCC Options Disclosure Document was provided and acknowledged
- 18-minute phone interview may or may not constitute reasonable inquiry depending on what was actually discussed
- Customer executed 47 spread trades over five months without complaint, suggesting some degree of understanding or at least voluntary participation
- Losses of \$38,000 (9% of liquid assets) are meaningful but not devastating for this customer's profile
- No firm policy required distinguishing between types of options experience, creating ambiguity about the advisor's individual obligation
- Post-2020 regulatory environment has placed heightened scrutiny on options approval for retail investors with mobile-app-derived experience

Likely Outcome

A regulator would likely find a technical violation of the duty to know the customer's investment experience with sufficient specificity to approve options trading at the appropriate level, but the sanction would likely be modest given the mitigating factors. The core deficiency is the failure to distinguish between simple and complex options experience - regulators have signaled clearly that options account approval requires understanding the nature and quality of prior experience, not merely the quantity of trades or years of activity. However, the customer's own representations, signed acknowledgments, voluntary trading activity over five months, relatively strong financial profile, and non-catastrophic losses would all serve as mitigating factors. The firm's compliance framework would likely receive as much or more scrutiny than the individual advisor, given the systemic gap in the approval matrix. The most probable outcome would be a finding of supervisory and account-approval deficiency with a moderate fine and required remediation of the approval process, rather than a finding of intentional misconduct or a large damages award.

Borderline Scenario 46

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability), Regulation Best Interest (Care Obligation and Conflict of Interest)

Fact Pattern

Marcus Webb, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000, including his home equity. In March 2022, he opened an options-approved brokerage account with Trident Financial Group and was assigned advisor Derek Liang. Webb had roughly two years of self-directed trading experience on a commission-free mobile app, during which he primarily bought and sold call options on large-cap tech stocks. Based on this background, Trident approved Webb for Level 3 options trading, which included the ability to sell spreads and execute multi-leg strategies. Webb told Liang he wanted to 'generate consistent monthly income' from his \$140,000 portfolio and was comfortable with 'moderate to aggressive' risk. He signed a discretionary trading authorization giving Liang the ability to execute trades without prior approval for each transaction.

Over the next fourteen months (March 2022 through May 2023), Liang executed 347 options trades in Webb's account. The vast majority were short-duration iron condors and credit spreads on the S&P 500 index and large-cap equities, with expirations ranging from 3 to 14 days. Liang's stated strategy was to capture time decay by opening positions on Monday or Tuesday and closing them by Friday, rolling into new positions the following week. The account generated approximately \$41,600 in gross premiums collected during this period. However, total commissions and fees paid to Trident amounted to \$22,400, representing a cost-to-equity ratio of 16% annualized. The turnover ratio for the account, calculated by dividing total purchases by average equity, was approximately 9.2 on an annualized basis. After commissions, Webb's net gain was approximately \$11,800, representing a return of roughly 8.4% over the fourteen-month period.

Webb did not complain during this period. He received monthly statements and trade confirmations, and Liang held quarterly phone calls with him to review performance. During a recorded April 2023 call, Webb said he was 'happy with the steady income' and asked Liang to 'keep doing what you're doing.' However, Webb later noted in a written complaint that he didn't fully understand how much he was paying in commissions relative to the premiums collected, and that Liang never presented a comparison showing what returns might look like with fewer, wider spreads held for longer durations. Liang counters that the high-frequency, short-duration approach was specifically designed to reduce directional risk and that Webb's net return of 8.4% exceeded what he would have earned in a high-yield savings account or bond fund. Liang also points out that Webb was technically sophisticated, had prior options experience, and expressly authorized the strategy. Trident's compliance department flagged the account in January 2023 due to the high number of transactions but closed the review after determining that the account was profitable and that Webb had provided discretionary authorization.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between quantitative indicators of churning and qualitative factors that arguably justify the trading activity.

Arguments that Liang violated applicable standards:

1. The annualized turnover ratio of 9.2 significantly exceeds the threshold of 6, which is widely used by regulators and arbitration panels as a presumptive indicator of excessive trading. Under FINRA Rule 2111 (suitability) and Regulation Best Interest, an advisor exercising discretion has a heightened duty to ensure that the frequency of trading is consistent with the customer's investment profile and objectives.
2. The cost-to-equity ratio of 16% annualized is well above the 8% threshold that arbitration panels frequently cite as indicative of churning. This means Webb's account needed to generate at least 16% in gross returns just to break even after costs - a high bar for any strategy, let alone one marketed as 'income generation.'
3. The commission structure created an inherent conflict: Liang earned more by executing more trades,

regardless of whether fewer, longer-duration positions could have achieved comparable or better net returns with substantially lower costs. Under Reg BI's conflict-of-interest obligation, the advisor should have considered and potentially disclosed that alternative approaches existed.

4. Webb's discretionary authorization does not insulate Liang from scrutiny. Discretionary accounts are actually subject to heightened supervisory obligations under FINRA Rules 2360 and 3260, and the existence of discretion can make churning claims easier to establish because control is clearly in the advisor's hands.

5. Trident's compliance department's decision to close its review based solely on account profitability is problematic. Profitability does not negate churning; an account can be both profitable and excessively traded if the customer would have been better served by a less active approach.

Arguments that Liang did not violate applicable standards:

1. Short-duration options strategies inherently involve high trade frequency. Iron condors and credit spreads with weekly expirations are designed to be opened and closed rapidly to capture theta decay. Applying traditional turnover ratio analysis developed for equity accounts may be misleading when applied to options strategies where the entire premise is frequent position cycling.

2. FINRA Regulatory Notice 21-15 acknowledges the complexity of options account supervision but does not establish bright-line turnover thresholds specific to options strategies. The 6x turnover and 8% cost-to-equity benchmarks were developed in the context of equity and mutual fund churning and may not translate directly to options income strategies.

3. Webb had prior self-directed options trading experience, earned a high income, expressed comfort with aggressive strategies, and affirmatively approved the approach in a recorded call. His investment objective of 'consistent monthly income' was arguably being met - the account generated positive returns every quarter.

4. The net return of 8.4% over fourteen months, while modest, was achieved during a volatile period (2022 bear market through early 2023 recovery) with a strategy designed to be market-neutral. This arguably demonstrates the strategy was working as intended and was suitable for Webb's stated risk tolerance.

5. Webb received regular statements, trade confirmations, and quarterly reviews. The argument that he didn't understand his cost burden is weakened by his technical sophistication and the transparency of the documentation provided.

Why Borderline

The quantitative churning indicators (turnover ratio of 9.2, cost-to-equity of 16%) clearly exceed traditional thresholds, which would normally make this a straightforward violation. However, this case is genuinely ambiguous because those thresholds were developed for equity trading, and the nature of short-duration options income strategies inherently requires frequent trading. The customer was profitable, technically sophisticated, gave discretionary authority, and verbally endorsed the strategy. The core question - whether

traditional churning metrics should be applied without modification to high-frequency options strategies - is one on which reasonable practitioners and regulators could disagree. Additionally, the absence of clear regulatory guidance establishing separate churning benchmarks for options accounts creates genuine uncertainty.

Borderline Factors

- Turnover ratio of 9.2 exceeds the traditional 6x presumptive threshold, but the threshold was developed for equity accounts rather than short-duration options strategies
- Cost-to-equity ratio of 16% is high, but some of this cost is arguably inherent in the chosen strategy rather than evidence of advisor self-dealing
- Customer had prior options experience and verbally endorsed the strategy on a recorded call, but may not have understood the cost implications relative to alternatives
- Account was net profitable at 8.4% over 14 months during a volatile market, though returns would have been significantly higher without the commission drag
- Discretionary authority was granted, which supports the control element of churning but also reflects client trust and awareness of active management
- Trident compliance flagged and then closed the review, suggesting internal disagreement about whether the activity was problematic
- No evidence Liang presented alternative strategies with lower transaction costs that might have achieved comparable returns
- The strategy of weekly options cycling is a recognized legitimate approach, but its high-frequency nature creates an inherent conflict when the advisor is compensated per trade

Likely Outcome

A regulator would most likely find a violation, though the sanctions might be moderate. While the options-specific context provides some mitigation, the quantitative indicators are too far above traditional thresholds to ignore entirely, and the advisor's failure to present lower-cost alternatives is difficult to defend under a best-interest framework. The discretionary nature of the account strengthens the finding because Liang controlled the trading frequency. However, the customer's sophistication, profitability, and recorded endorsement would likely result in reduced sanctions compared to a case involving an unsophisticated customer with losses. The firm's premature closure of its compliance review would likely draw separate supervisory deficiency findings.

Borderline Scenario 47

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) (options account approval, background investigation, and suitability);

Fact Pattern

Margaret Hollings, age 58, is a semi-retired marketing consultant who earns approximately \$95,000 per year from freelance work. She has a net worth of \$1.4 million, roughly \$820,000 of which is in retirement accounts, and \$390,000 in a taxable brokerage account at Ridgeline Securities. She lists her investment objective as 'growth with income' and her risk tolerance as 'moderate to aggressive' on her new account form. She has 11 years of equity investing experience and reports having traded covered calls for approximately three years through a previous broker, executing roughly 40 covered call transactions over

that period. She holds a concentrated position of 6,000 shares of a mid-cap technology stock (ticker: VELT) worth approximately \$174,000 at \$29 per share, accumulated over six years through her consulting work with the company.

In March 2024, Margaret's advisor, David Parrish, approved her for Level 3 options trading, which at Ridgeline permits long calls and puts, covered calls, cash-secured puts, and multi-leg spread strategies including vertical spreads, iron condors, and calendar spreads. Margaret had not previously traded spreads or any multi-leg strategy. Parrish documented that Margaret expressed interest in generating additional income and 'learning more advanced strategies' beyond covered calls, and that she watched three of Ridgeline's 45-minute online options education modules covering spread mechanics.

Over the next seven months, Parrish recommended and Margaret executed 28 iron condor positions on broad-market ETFs and large-cap equities, with each position risking between \$1,500 and \$4,500 in maximum potential loss. The aggregate maximum risk across all positions never exceeded \$18,000 at any given time, representing roughly 4.6% of her taxable account. She also continued writing covered calls on her VELT shares. Of the 28 iron condor trades, 19 were profitable, 6 resulted in losses averaging \$2,100 each, and 3 expired at maximum loss totaling \$11,200. Her net result across the iron condor strategy was a gain of approximately \$6,400 after commissions. Commissions on these trades totaled \$1,120.

In November 2024, Margaret filed a complaint alleging that Parrish pushed her into options strategies she did not fully understand, that the Level 3 approval was granted too hastily based on minimal education, and that iron condors were inappropriate for someone approaching retirement who needed to preserve capital. She noted that during a phone call in April, she had asked Parrish whether the iron condor losses could ever exceed the stated maximum risk, and he had responded 'no, those are defined-risk trades,' without elaborating on assignment risk, early exercise, or the possibility of leg slippage during volatile markets. She also stated she was never provided or directed to the standardized options risk disclosure booklet prior to her first spread trade.

Parrish's notes indicate he verbally discussed the characteristics of iron condors during two separate phone calls totaling approximately 35 minutes, that he confirmed Margaret understood the max-loss parameters, and that Ridgeline's electronic account opening system generated a link to the standardized options disclosure document at the time of her Level 3 approval, though there is no record she opened or acknowledged the document. Ridgeline's compliance system flagged Margaret's account for review at the time of Level 3 approval, and a supervisor approved the upgrade after reviewing her income, net worth, stated experience, and the advisor's notes about her interest in income-generating strategies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Parrish violated applicable standards: First, the approval for multi-leg spread strategies was based on a customer who had only traded covered calls - a fundamentally different strategy from iron condors, which involve four simultaneous option legs, require understanding of net credit received versus maximum risk on both sides, and carry risks related to early assignment and pin risk that are absent from simple covered writes. Margaret's completion of three online education modules, without any verified

comprehension assessment, may not constitute adequate preparation. Second, under FINRA Rule 2360(b)(16), a member firm must obtain specific background and financial information and make a determination that options trading is suitable before approving the account, and the Options Clearing Corporation's Options Disclosure Document (ODD) must be furnished at or before the time the account is approved. Ridgeline's system generated a link but has no evidence Margaret received, opened, or read the ODD. This is a procedural deficiency that regulators have treated seriously, particularly after FINRA Regulatory Notice 21-15, which reminded firms of their obligations around options account approvals and specifically noted that firms must ensure customers receive the ODD. Third, Parrish's response to Margaret's question about whether losses could exceed the stated maximum was technically accurate for a standard iron condor held to expiration with no early assignment, but it omitted material nuances - including the risk that one leg could be assigned early (particularly on the short call side near ex-dividend dates), that partial fills on closing orders during volatile markets could leave the customer exposed to naked-like risk on one side, and that after-hours moves could cause losses beyond the expected max. Under Reg BI's care obligation and disclosure obligation, this incomplete explanation could constitute a failure to disclose material risks.

Arguments that Parrish acted appropriately: Margaret had over a decade of equity experience and three years of active covered call trading, putting her well above a novice investor. She self-identified as moderate-to-aggressive in risk tolerance and affirmatively expressed interest in learning more advanced strategies. The iron condor is a defined-risk strategy, and Parrish sized each position conservatively - the aggregate exposure never exceeded 4.6% of her taxable account and roughly 1.3% of her total net worth. The strategy was income-generating, which aligned with her stated objective of growth with income. Her net result was positive, and the losses she incurred were within the defined parameters she was informed of. Ridgeline's compliance department independently reviewed and approved the Level 3 upgrade after examining her financial profile. The supervisor sign-off adds a layer of institutional due diligence. Furthermore, Margaret is not elderly (age 58), is still earning income, and has substantial assets outside this account, suggesting she could absorb the risk. FINRA Rule 2360 requires firms to consider the customer's financial situation, investment experience, and objectives - all of which arguably supported the approval. The ODD delivery issue may be a technical compliance gap attributable to the firm's system design rather than an advisor-level suitability failure.

On balance, the strongest regulatory concern is the ODD delivery gap combined with the arguably insufficient education foundation for a jump from covered calls to four-legged spread strategies. However, the conservative sizing, defined-risk nature of the strategy, positive net results, and Margaret's overall financial profile create substantial counterarguments.

Why Borderline

This case sits at the intersection of several genuinely debatable questions: (1) whether covered call experience provides a sufficient foundation for multi-leg strategies, (2) whether automated ODD delivery via a link that was never confirmed as opened satisfies the delivery requirement, (3) whether defined-risk strategies like iron condors should be treated differently from undefined-risk strategies in suitability analysis, and (4) whether conservative position sizing relative to total net worth can cure concerns about strategy complexity. Reasonable regulators could disagree on each of these points, and the customer's positive net outcome - while not dispositive - complicates the harm narrative that typically drives enforcement.

Borderline Factors

- Customer had meaningful but limited options experience (covered calls only) before being approved for multi-leg spreads
- Iron condors are defined-risk strategies, arguably more conservative than many Level 3 strategies like naked puts
- Position sizing was conservative at under 5% of taxable account and approximately 1.3% of total net worth
- ODD was system-generated but never confirmed as received or read by the customer
- Customer's stated risk tolerance (moderate-to-aggressive) and objectives (growth with income) arguably aligned with the strategy
- Advisor's response to customer's question about maximum loss was technically accurate but omitted nuances about assignment and execution risk
- Education consisted of three online modules with no verified comprehension - minimal but not nonexistent
- Net outcome was profitable, complicating the harm analysis though not eliminating the suitability question
- Customer is pre-retirement (age 58) but not yet retired and has substantial assets outside the account
- Supervisor independently approved the Level 3 upgrade after reviewing the customer's profile

Likely Outcome

A regulator would most likely find a technical violation related to the ODD delivery failure, as the firm cannot demonstrate the customer actually received the standardized risk disclosure document before her first spread trade - a clear procedural requirement. On the substantive suitability question, the outcome is closer to 50/50 but would likely result in a finding of a minor violation or supervisory deficiency rather than a standalone suitability breach. The regulator would probably criticize the insufficient gap between covered call experience and multi-leg strategy approval, and cite Parrish's incomplete risk explanation as falling short of disclosure expectations. However, given the conservative sizing, defined-risk nature of the strategy, the customer's financial profile and stated objectives, and the positive net outcome, the case would more likely result in a cautionary action, fine, or required corrective measures (enhanced options education verification, ODD delivery confirmation protocols) rather than a significant sanction or customer restitution order.

Borderline Scenario 48

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest (Reg BI) - Care Obligation and C

Fact Pattern

Margaret Pellegrini, age 58, is a retired human resources director with a \$1.4 million portfolio split between two brokerage accounts. She opened an options-approved account in March 2021 with broker David Huang at a mid-size independent broker-dealer. At account opening, Margaret indicated 22 years of investing experience, moderate risk tolerance, an annual income of \$95,000 from pension and rental properties, a liquid net worth of \$900,000, and a primary investment objective of 'growth with income.' She was approved for Level 3 options trading, which included covered calls, cash-secured puts, spreads, and uncovered put

writing.

Over the following 18 months (March 2021 through September 2022), Huang executed approximately 287 options trades in Margaret's account. The vast majority - roughly 230 - were short-duration vertical credit spreads on broad market ETFs (SPY, QQQ, IWM), typically opened on Wednesdays and closed or expiring by the following Friday. The average holding period was 3.2 days. The account generated approximately \$74,000 in total commissions and fees during this period. Margaret's account value fluctuated but ended the 18-month period at approximately \$412,000 - a starting value of \$385,000 in this particular account, representing a net gain of roughly \$27,000 after all costs. The annualized turnover ratio for the account was approximately 9.8, and the cost-to-equity ratio was approximately 12.7%.

Huang's internal notes show that Margaret had called him an average of twice per month to discuss market conditions and upcoming trades. She had a TD Ameritrade account where she independently traded options at a similar frequency. Margaret attended two online options education courses through the broker-dealer's platform and scored 88% on the firm's options knowledge assessment. In several recorded phone calls, Margaret explicitly requested that Huang 'keep running the weekly spreads as long as we stay profitable,' and on one occasion told him, 'I understand the fees - I'd rather pay you and have the risk management than do this on my own with bigger positions.'

However, a compliance review flagged that Huang had discretionary authority over the account, which Margaret had granted in writing. Approximately 60% of the trades were initiated by Huang without a specific prior conversation about that particular trade, though they followed the pre-discussed weekly credit spread strategy. The firm's internal surveillance system generated three exception reports during this period for excessive trading, but the branch manager signed off on each after reviewing the account's overall profitability and Margaret's recorded statements. Margaret never complained and continued to fund the account with an additional \$25,000 transfer during the period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Huang violated applicable standards: The quantitative metrics are concerning. An annualized turnover ratio of 9.8 and a cost-to-equity ratio of 12.7% are both in the range that regulators have historically found indicative of excessive trading. Over 18 months, Margaret paid \$74,000 in commissions on an account that started at \$385,000 - meaning roughly 19.2% of the starting account value went to transaction costs. Under FINRA Rule 2111 and Regulation Best Interest, the volume of trading must be consistent with the customer's profile and objectives. A retired investor seeking 'growth with income' arguably should not be subjected to 287 trades over 18 months, regardless of the strategy. The fact that Huang had discretionary authority and initiated 60% of trades without specific prior discussion heightens the duty of care, because under FINRA Rule 2360(b)(16) and the options supervision requirements, discretionary options accounts require heightened scrutiny. The branch manager's sign-offs on exception reports, while documented, could be viewed as rubber-stamping rather than genuine supervisory review.

Arguments that Huang acted appropriately: The strategy was consistently profitable - Margaret's account

gained approximately \$27,000 net of all costs. The high turnover ratio is somewhat misleading when applied to short-duration options strategies, where positions are designed to be opened and closed within days; a weekly credit spread strategy will inherently generate high trade counts without the same capital erosion seen in equity churning. Margaret was a knowledgeable options trader who independently traded at similar frequency in a separate account, explicitly requested the continuation of this strategy in recorded calls, acknowledged the fee structure, and added additional funds to the account. Under FINRA Regulatory Notice 21-15, firms must consider the specific nature of options strategies when evaluating turnover metrics, and traditional equity churning metrics may not translate directly to defined-risk spread strategies. Margaret's 22 years of experience, separate independent trading, completion of options education, and affirmative recorded consent all suggest informed participation rather than exploitation.

The discretionary authority issue cuts both ways: while it increases Huang's obligations, it was properly documented and the trades followed a pre-agreed strategy framework, which is common in systematic options approaches. The three exception reports were addressed through supervisory review rather than ignored.

Why Borderline

This scenario sits at the intersection of quantitative churning metrics that traditionally trigger regulatory concern and qualitative factors that suggest genuine customer understanding, consent, and satisfaction. The turnover ratio of 9.8 exceeds the commonly cited threshold of 6.0 that creates a presumption of excessive trading, but the strategy involved short-duration options spreads where high frequency is inherent to the approach rather than indicative of abuse. The customer was demonstrably sophisticated, independently traded options, verbally endorsed the approach, and the account was profitable - yet the cost-to-equity ratio remained elevated, discretionary authority was exercised, and the firm's own surveillance system flagged the activity three times. Reasonable compliance professionals could disagree on whether the traditional quantitative thresholds should apply with the same force to systematic options spread strategies as they do to equity trading.

Borderline Factors

- Annualized turnover ratio of 9.8 exceeds the traditional 6.0 presumptive churning threshold, but applied to a short-duration options spread strategy where high frequency is structurally inherent
- Cost-to-equity ratio of 12.7% is elevated but the account was net profitable by \$27,000 over the period
- Customer had 22 years of experience, independently traded options in a separate account, completed firm education courses, and scored 88% on options knowledge assessment
- Recorded phone calls show explicit customer requests to continue the strategy and acknowledged understanding of the fee structure
- Discretionary authority was properly documented but 60% of trades were initiated without specific prior conversation about individual trades
- Three internal exception reports were generated and reviewed but signed off by branch manager based on profitability and customer statements
- Customer never complained, added \$25,000 in additional funds, and maintained the relationship throughout
- Investment objective of 'growth with income' may not align with a high-frequency short-term trading strategy despite its profitability

Likely Outcome

A regulator would most likely find this to be a close case but would probably not pursue a churning violation, though the firm might receive a supervisory deficiency letter. The quantitative indicators alone would normally support a churning finding, but the overwhelming qualitative evidence - recorded customer consent, independent parallel trading activity, demonstrated sophistication, net profitability, and no customer complaint - would make it difficult to prove that Huang exercised control over the account in a manner designed to generate commissions at Margaret's expense. However, a regulator might find that the firm's supervisory system was deficient in that the branch manager's sign-offs on exception reports lacked sufficient documentation of the analysis performed, and the firm may not have adequately tailored its surveillance thresholds to account for the distinct characteristics of systematic options strategies versus equity trading. Under Reg BI's care obligation, the high cost-to-equity ratio would require strong documentation that the advisor considered reasonably available lower-cost alternatives, which is less clear from the record.

Borderline Scenario 49

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability), including quantitative suitability under .05(c); FINRA Rule 2360

Fact Pattern

Margaret Huang, age 58, is a retired pharmaceutical executive with a \$2.1 million brokerage account at Pinnacle Securities. She has 15 years of investing experience, including some familiarity with covered calls and protective puts, which she used occasionally during her career to hedge concentrated stock positions. Her investment profile lists moderate risk tolerance, a primary objective of growth with income, and a secondary objective of speculation. She was approved for Level 3 options trading (which at Pinnacle includes spreads, straddles, and strangles in addition to covered calls and cash-secured puts) following a 20-minute phone conversation with her advisor, Greg Whitfield, in March 2022.

Between April 2022 and March 2024, Whitfield executed approximately 430 options trades in Huang's account. The majority were short-dated (weekly or bi-weekly expiration) vertical spreads and iron condors on broad market ETFs like SPY and QQQ, along with roughly 60 trades involving individual stock options on companies like Tesla, Amazon, and Nvidia. The account generated approximately \$187,000 in total commissions and fees over the 24-month period. The annualized cost-to-equity ratio was approximately 8.9%, and the turnover ratio based on the options notional value was approximately 14.2. However, when measured against the actual capital deployed in margin and collateral rather than notional value, the turnover ratio drops to roughly 5.8.

Huang's account value fluctuated but ended the period at approximately \$1.87 million - a net decline of roughly \$230,000, of which \$187,000 was attributable to commissions and fees. The underlying options positions themselves lost only about \$43,000 on a net basis. Whitfield earned approximately \$94,000 in personal compensation from Huang's account during this period.

Huang told investigators she trusted Whitfield and generally approved trades when he called, though she acknowledged she did not always fully understand the multi-leg strategies. She said she believed the

frequent trading was necessary to 'generate monthly income' as Whitfield had described it. Whitfield maintained that Huang was a knowledgeable investor who wanted active income generation, that every trade was discussed with her before execution, and that the strategies employed - primarily defined-risk spreads - were consistent with her stated speculative objective. Pinnacle's compliance department flagged the account once in October 2022 for elevated trading activity, but after Whitfield submitted a written explanation stating the client desired active premium-collection strategies, the flag was closed with no further action.

Notably, Huang's account application from 2019 originally listed her objectives as 'growth' and 'preservation of capital,' with no mention of speculation. The speculation objective was added when the options upgrade was processed in March 2022, and Huang signed the updated profile electronically via a digital signature platform. Huang later stated she did not recall specifically agreeing to add speculation as an objective but did not dispute that she signed the document. Whitfield also managed seven other client accounts with similarly elevated options trading activity during the same period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing indicators. Arguments supporting a violation: (1) The annualized cost-to-equity ratio of 8.9% is above the 8% threshold that many arbitration panels and regulators have historically treated as presumptively excessive, though it is not dramatically above that line. (2) The \$187,000 in commissions dwarfed the \$43,000 in net trading losses, meaning the account's overall decline was driven overwhelmingly by costs rather than poor directional bets - a hallmark of churning. (3) Huang's original investment objectives did not include speculation; the addition of that objective coincided suspiciously with the options upgrade, and Huang does not recall affirmatively agreeing to it. (4) Huang did not fully understand the multi-leg strategies, raising questions about whether she exercised meaningful control. (5) Whitfield's pattern of similar activity across multiple accounts suggests a business model rather than client-driven strategy. (6) The single compliance flag was resolved perfunctorily. Arguments against a violation: (1) Huang had 15 years of investing experience and prior options familiarity. (2) She was approved for Level 3 options and signed the updated profile. (3) The strategies used - vertical spreads and iron condors - are defined-risk strategies that cap maximum loss, arguably appropriate for someone with moderate risk tolerance and a speculative secondary objective. (4) Whitfield discussed every trade with Huang before execution, and she approved them. (5) The turnover ratio varies significantly depending on whether notional value or deployed capital is used; 5.8 based on deployed capital is elevated but not extreme for an active options account. (6) The account's net position losses of only \$43,000 on \$2.1 million suggest the trading strategy itself was not reckless. Under the broker-dealer standard applicable to recommendations, the advisor must consider the customer's profile holistically and ensure that the quantity and frequency of transactions, even if individually suitable, are not excessive in the aggregate. The cost-to-equity ratio, the ratio of commissions to gains, the advisor's compensation relative to the client's returns, and the degree of client control are all relevant quantitative and qualitative factors.

Why Borderline

The cost-to-equity ratio sits just above the commonly cited presumptive threshold rather than dramatically exceeding it. The client had genuine options experience and signed updated documents reflecting a

speculative objective, creating a plausible argument for informed consent even though she later expressed uncertainty about the objective change. The strategies themselves were defined-risk and not inherently unsuitable - the concern is volume and cost, not individual trade quality. The turnover ratio is ambiguous because options accounts lack a universally accepted calculation methodology, and reasonable practitioners disagree about whether notional value or deployed capital is the appropriate denominator. Finally, the client appeared to exercise at least nominal control by approving each trade, though regulators often look past nominal approval when the client relies heavily on advisor recommendations.

Borderline Factors

- Cost-to-equity ratio of 8.9% is only modestly above the commonly cited 8% presumptive threshold
- Turnover ratio varies significantly (5.8 to 14.2) depending on whether deployed capital or notional value is used as the denominator
- Client had 15 years of investing experience and prior options trading familiarity
- Client nominally approved each trade but did not fully understand multi-leg strategies
- The speculation objective was added to the profile contemporaneously with the options upgrade and signed electronically, with the client later unable to recall specifically agreeing
- Defined-risk strategies (iron condors, vertical spreads) are not inherently unsuitable even for moderate-risk investors
- Compliance flagged the account once but closed the matter after a brief written explanation
- Pattern of similar activity across eight accounts suggests possible business-model churning but could also reflect a legitimate active-trading practice

Likely Outcome

A regulator would more likely than not find a violation, though it would be a contested case. The cost-to-equity ratio exceeding 8%, combined with the suspicious timing of the objective change, the client's incomplete understanding of the strategies, the overwhelming proportion of losses attributable to costs, and Whitfield's pattern across multiple accounts would likely be sufficient to establish a presumption of excessive trading. Whitfield's defense - that Huang was experienced, approved each trade, and had a speculative objective - would mitigate but probably not overcome the quantitative evidence and the circumstantial indicators of lack of genuine client control. The firm's failure to meaningfully investigate the compliance flag would likely be cited as a supervisory failure. A panel might award damages equal to the excess commissions (potentially \$100,000-\$150,000 after accounting for some level of activity the client genuinely desired) rather than the full commission total.

Borderline Scenario 50

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) - Options account approval and ROP diligence requirements;

Fact Pattern

Marcus Trinh, age 28, opened a brokerage account in March 2022 at Apex Securities, a mid-sized online broker-dealer. His new account form listed his occupation as a software engineer earning \$145,000 annually, with liquid net worth of \$210,000, total net worth of \$280,000, and investment experience described as '3 years, mostly individual stocks and ETFs.' His stated investment objective was 'growth' and his risk tolerance was marked 'aggressive.' He indicated on the electronic application that he had 'some'

options experience, selecting '1-2 years' from a dropdown menu. In the free-text field asking him to describe his options experience, he wrote: 'Bought some calls and puts on tech stocks. Familiar with spreads from YouTube education.'

Marcus applied for Tier 3 options approval, which at Apex Securities permits naked short puts, multi-leg spread strategies, and cash-secured puts, but not naked calls. His application was reviewed by Jessica Palumbo, the registered options principal (ROP) at the branch. Jessica noted that Marcus's income and net worth were above the firm's internal minimums for Tier 3 (\$75,000 income, \$100,000 liquid net worth). She also noted his self-described aggressive risk tolerance and his stated 1-2 years of options experience. She did not make any follow-up phone call or request additional documentation about the nature or extent of his prior options trading. Apex's internal procedures stated that the ROP 'should consider whether additional inquiry is warranted based on the totality of the customer's profile' but did not mandate a phone call or interview for any specific tier. Jessica approved the Tier 3 application the same day it was submitted.

Over the next five months, Marcus executed approximately 140 options trades. Most were defined-risk vertical spreads and iron condors on large-cap technology stocks, and roughly 80% of those were profitable. However, in August 2022, Marcus began selling naked short puts on three volatile small-cap biotech stocks, allocating approximately \$95,000 in margin to these positions - roughly 45% of his liquid net worth. In September 2022, one of the biotech stocks dropped 62% after a failed FDA trial, and Marcus suffered losses of \$74,000 in a single week, wiping out all of his prior gains and leaving his account at approximately \$136,000.

Marcus filed a complaint alleging that Apex Securities never truly verified whether he understood the risks of naked puts or had any real experience beyond buying simple calls and puts. He stated that his 'options experience' prior to opening the account consisted of purchasing approximately \$3,000 worth of long calls on two occasions through a different broker, both of which expired worthless, and that he had never traded spreads or sold options before opening his Apex account. He claimed that his reference to 'spreads from YouTube education' meant he had watched videos but never executed such trades. He also stated that nobody at Apex ever asked him to elaborate on his experience or explain what strategies he had used.

Apex countered that Marcus's account application met all quantitative thresholds for Tier 3 approval, that he self-certified 1-2 years of experience and aggressive risk tolerance, that his initial five months of trading demonstrated clear competence with complex strategies (140 trades, 80% win rate on spreads), and that his losses stemmed from a voluntary decision to concentrate in speculative biotech positions - a risk management failure, not an approval failure. Apex also noted that Marcus received and electronically acknowledged the options risk disclosure document at account opening. Jessica Palumbo stated she relied on the firm's standard electronic onboarding process and that the application did not raise any red flags that would have triggered additional inquiry under the firm's written procedures.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents tension between the adequacy of the initial options account approval process and the customer's subsequent demonstrated competence.

Arguments that a violation occurred:

1. Under FINRA Rule 2360(b)(16), the ROP must approve options accounts based on reasonable diligence to ascertain essential facts about the customer, including investment experience and knowledge sufficient for the strategies being approved. Marcus's application contained an ambiguous description of options experience - 'Bought some calls and puts' and 'Familiar with spreads from YouTube education' - that arguably should have prompted further inquiry before granting Tier 3 access, which includes naked short options.
2. FINRA Regulatory Notice 21-15 specifically addressed concerns about firms using automated or checkbox-style account approval processes that fail to meaningfully assess whether a customer's self-reported experience is genuine or sufficient for the options strategies being approved. The Notice emphasized that firms cannot simply accept customer self-certifications at face value when there are indicators that the customer may lack the knowledge to understand the risks.
3. The gap between 'watched YouTube videos about spreads' and 'approved for naked short puts' is significant. Naked short puts carry theoretically substantial risk (the underlying can go to zero), and FINRA has historically expected firms to exercise heightened scrutiny before approving strategies involving uncovered or partially uncovered options writing. The OCC Options Disclosure Document itself warns about the special risks of writing options.
4. Jessica Palumbo's same-day approval with no follow-up, despite the ambiguous experience description, could be viewed as a failure to exercise the reasonable diligence required of an ROP under FINRA Rule 2360(b)(16)(B).

Arguments that no violation occurred:

1. Marcus met all quantitative financial thresholds for Tier 3 approval, including income, net worth, and liquid net worth. He self-reported aggressive risk tolerance and a growth objective, both consistent with the strategies Tier 3 permits.
2. The firm's written supervisory procedures did not mandate a phone interview for Tier 3 approvals; they stated the ROP 'should consider' whether additional inquiry was warranted. Jessica reviewed the application and found no explicit red flags - Marcus did not claim zero experience; he claimed 1-2 years and mentioned familiarity with spreads.
3. Marcus's subsequent trading activity - 140 trades over five months, primarily consisting of multi-leg strategies executed profitably - strongly suggests he did in fact understand the mechanics of options trading by the time he incurred losses. His losses resulted not from misunderstanding options but from a deliberate concentration in speculative positions.
4. Under Reg BI's care obligation (which applied to this 2022 account), the firm must have a reasonable basis for recommendations and must consider the customer's profile. However, account-level approval for

options trading strategies is somewhat distinct from a specific investment recommendation. The firm might argue that approving the account tier is not the same as recommending the specific trades that caused losses.

5. Marcus acknowledged receipt of the OCC Options Disclosure Document, which covers the risks of writing options in detail.

6. The customer's complaint may be colored by hindsight - his losses came from voluntary concentration in biotech, not from any failure to understand what a naked put is.

Why Borderline

This case sits at the intersection of automated account approval adequacy and customer self-certification reliability. The customer's self-reported experience was ambiguous but not facially false. The ROP's decision not to make a follow-up call was consistent with firm procedures but arguably inconsistent with the spirit of enhanced diligence for higher-tier options approval. Most critically, the customer's own subsequent trading behavior over five months demonstrated a level of competence that arguably validates the initial approval decision, even if the approval process itself was thin. Reasonable regulators could disagree on whether the ROP's diligence at the point of approval was sufficient, or whether the customer's post-approval trading history retroactively cures or is irrelevant to an initial approval deficiency.

Borderline Factors

- Customer's self-reported experience was ambiguous ('familiar with spreads from YouTube') rather than clearly false or clearly sufficient
- Firm's internal WSPs did not mandate additional inquiry - the ROP exercised discretion consistent with written procedures
- Customer met all quantitative financial thresholds for the approved tier
 - Five months of competent multi-leg options trading preceded the losses, suggesting genuine understanding of the strategies
- Losses resulted from voluntary concentration in speculative positions, not from misunderstanding options mechanics
- FINRA RN 21-15 specifically flagged automated/checkbox approval processes as an area of concern, but did not establish a bright-line rule requiring phone interviews
- The gap between 'bought a few calls' and 'approved for naked short puts' is arguably material but was partially bridged by the customer's own representations
- Customer acknowledged the OCC Options Disclosure Document electronically at account opening

Likely Outcome

A regulator would most likely find a technical deficiency in the account approval process - specifically, that the ROP should have conducted additional inquiry given the ambiguous experience description before granting Tier 3 access that includes naked options writing. However, the sanction would likely be modest (a fine, possibly a letter of caution) rather than severe, because the customer's subsequent trading activity demonstrated competence, his losses stemmed from concentration risk rather than strategy misunderstanding, and the firm's WSPs were followed as written. A regulator influenced by FINRA RN 21-15's emphasis on meaningful account approval processes would lean toward finding a violation, but would likely attribute significant responsibility to the customer's own trading decisions. The case would

more likely result in a finding of supervisory deficiency at the firm level (inadequate procedures for Tier 3 approval) rather than individual liability for the ROP.

Borderline Scenario 51

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2361

Fact Pattern

Marcus Delgado, age 34, opened a brokerage account in February 2023 with Ridgeline Securities, a mid-sized online broker-dealer. His new account form listed his occupation as 'software engineer' with an annual income of \$185,000 and a net worth of approximately \$620,000, most of which was in his employer's stock and a 401(k). He listed his liquid net worth as \$95,000. His investment experience section indicated '3-5 years' of equity trading and '1-2 years' of options experience. He described his investment objective as 'growth' and his risk tolerance as 'moderate to aggressive.' He indicated he had traded covered calls and cash-secured puts in a prior account at another firm.

When Delgado applied for options trading, his assigned registered representative, Kara Thornton, conducted a 12-minute phone conversation with him. During the call, Delgado mentioned he had been 'watching a lot of YouTube videos about options income strategies' and wanted to 'generate weekly income selling spreads on SPY and QQQ.' He also mentioned he had recently gone through a divorce and that his liquid savings had dropped significantly as a result of the settlement. He said he was 'rebuilding' his finances. Thornton noted these comments in her internal CRM system but did not update the formal account documentation to reflect the divorce, the reduction in liquid assets, or the fact that his options knowledge appeared to be primarily self-taught through online content rather than formal education or professional experience.

Thornton approved Delgado for Level 3 options trading, which at Ridgeline permitted selling uncovered put spreads, buying calls and puts, and trading vertical spreads, but did not permit naked calls or ratio spreads. The firm's written supervisory procedures required that representatives approving Level 3 access consider the customer's financial situation, investment experience, and stated objectives, and that any 'material change in financial circumstances disclosed during onboarding' be documented and evaluated before approval.

Over the next four months, Delgado traded actively, executing approximately 85 vertical spread trades on broad-market ETFs. His win rate was roughly 60%, and he generated a modest net profit of about \$4,200 after commissions. In June 2023, however, Delgado placed a series of aggressive short put spreads on individual tech stocks ahead of earnings announcements. Over a two-week period, he lost approximately \$38,000 - roughly 40% of his stated liquid net worth at account opening and an even higher percentage of his actual post-divorce liquidity. He filed a complaint alleging that Thornton should never have approved him for Level 3 access given his limited real-world options experience, his recently diminished financial cushion, and the fact that his knowledge was derived almost entirely from social media content rather than hands-on trading or professional training. He argued Thornton knew these facts from their phone call but failed to incorporate them into the approval decision.

Ridgeline countered that Delgado had affirmatively represented on his application that he had 1-2 years of options experience and a moderate-to-aggressive risk tolerance, that Level 3 did not permit the most dangerous unlimited-risk strategies, that Delgado's losses came from a self-directed decision to concentrate earnings bets on individual stocks rather than his stated strategy of broad-market ETF spreads, and that Thornton had no obligation to verify whether his experience was from formal training versus self-education. The firm also noted Delgado was profitable for four months before deviating from his own stated approach.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises a genuine tension between the representative's duty to know her customer and the limits of that obligation when a customer provides affirmative representations that are only partially contradicted by informal disclosures.

Arguments that Thornton violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a registered representative and the firm must exercise due diligence to learn the essential facts about a customer before approving options trading. The rule specifically requires consideration of the customer's financial situation, investment experience, and investment objectives. Thornton learned during the onboarding call that Delgado's financial situation had materially changed due to a recent divorce and that his liquid assets had decreased. FINRA Regulatory Notice 21-15 emphasizes that firms must have robust account approval processes for options and cannot rely solely on customer self-reported data when the firm possesses contradictory or supplementary information.
2. Thornton's failure to update the account documentation with the divorce-related financial changes arguably violated the firm's own written supervisory procedures, which required documentation and evaluation of 'material changes in financial circumstances disclosed during onboarding.' A divorce that significantly reduced liquid assets is plainly material.
3. The OCC Options Disclosure Document is required to be delivered before approval and is designed to ensure customers understand the risks. But delivery alone does not satisfy the know-your-customer requirement. Thornton had reason to question whether Delgado's self-reported experience (YouTube videos and online content) truly constituted the kind of meaningful options experience contemplated by the account approval framework.
4. Under Regulation Best Interest's care obligation, a representative recommending or approving a securities strategy must consider reasonably available alternatives and the customer's investment profile. Approving Level 3 when Level 2 (covered strategies only) might have better matched Delgado's actual experience and diminished liquidity could constitute a failure of care.

Arguments that Thornton acted appropriately:

1. Delgado affirmatively represented 1-2 years of options experience on his application. Representatives are generally entitled to rely on customer representations absent red flags. While the YouTube comment adds nuance, it does not necessarily negate his claimed experience - many retail traders learn through online resources and simultaneously trade in live accounts.

2. Level 3 at Ridgeline was not the firm's highest approval level and excluded unlimited-risk strategies such as naked calls. Vertical spreads have defined, limited risk. The approval was calibrated to a strategy tier that caps maximum loss on each trade.

3. Delgado's losses did not stem from the type of broad-market ETF spread trading he described to Thornton. He independently deviated to concentrated single-stock earnings plays - a strategy change the representative could not have anticipated or prevented in a self-directed account without discretionary authority.

4. Delgado's income of \$185,000 and total net worth of \$620,000 are not inconsistent with Level 3 options approval. Even after the divorce, his earning capacity was substantial, and the losses, while painful, did not render him destitute.

5. FINRA has acknowledged that options trading has become widely accessible to retail investors and that self-directed customers bear meaningful responsibility for their own trading decisions, particularly when they provide representations that are facially reasonable.

Why Borderline

The core tension is between a representative's duty to dig deeper when informal disclosures suggest the formal application may be incomplete or misleading, versus the practical reality that firms and representatives routinely rely on customer self-certifications and that the customer here had a facially plausible profile for Level 3 approval. The representative had specific knowledge (divorce, reduced liquidity, YouTube-based education) that arguably should have triggered further inquiry or a lower approval level, but the customer also had income, net worth, and self-reported experience that met the firm's stated criteria. Additionally, the losses arose from the customer's own deviation from his stated strategy, complicating causation.

Borderline Factors

- Representative learned of material financial change (divorce, reduced liquidity) during onboarding call but did not update formal documentation as required by firm WSPs
- Customer's self-reported options experience (1-2 years) was facially adequate but appeared to be derived primarily from social media content rather than hands-on trading
- Level 3 approval excluded the most dangerous unlimited-risk strategies and permitted only defined-risk spreads
- Customer's losses resulted from self-directed deviation from his stated ETF spread strategy to concentrated single-stock earnings bets
- Customer's income and net worth were objectively sufficient for Level 3 even after the divorce
- Firm WSPs specifically required documentation and evaluation of material financial changes disclosed during onboarding, creating an internal compliance gap
- Tension between the democratization of options access for self-directed retail investors and heightened

scrutiny under post-2020 enforcement priorities

Likely Outcome

A regulator would most likely find a procedural violation - Thornton failed to document and evaluate the materially changed financial circumstances she learned about during the onboarding call, in direct contravention of the firm's own supervisory procedures. This creates liability under both the firm's internal framework and FINRA's options account approval requirements. However, a regulator might stop short of finding that the Level 3 approval itself was substantively unsuitable given Delgado's income, total net worth, stated experience, and the defined-risk nature of the approved strategies. The causation argument is further weakened by Delgado's independent decision to deviate from his stated strategy. The most probable outcome is a finding of a documentation and due diligence failure with modest sanctions, rather than a full-blown suitability violation warranting significant damages.

Borderline Scenario 52

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) - options account approval due diligence requirements (investor)

Fact Pattern

Marcus Delgado, age 29, opened a brokerage account with Ridgeline Securities in March 2023. On his new account form, Marcus listed his annual income as \$95,000, liquid net worth of \$140,000, total net worth of \$210,000 (including a condo with \$70,000 in equity), and his investment objective as 'growth with speculation.' His stated investment experience included '3 years stock trading' and '1 year options trading.' He selected 'moderate to aggressive' risk tolerance. His employment was listed as 'senior software engineer' at a mid-size tech company. He indicated he had no dependents and listed his time horizon as 5-10 years.

Marcus's assigned financial advisor, Heather Norris, conducted a 25-minute phone call with Marcus during the account opening process. During this call, Marcus mentioned he had been trading options on a mobile-first platform for about a year, primarily buying calls and puts on large-cap tech stocks. He told Heather he wanted to 'level up' and learn more advanced strategies. Heather noted in her CRM that Marcus had 'some options experience, wants multi-leg strategies.' She approved him for Level 3 options trading, which at Ridgeline permitted covered calls, cash-secured puts, vertical spreads (debit and credit), iron condors, and calendar spreads.

What Heather did not do was ask Marcus specifically about his experience with multi-leg strategies, whether he understood the margin implications of credit spreads, the maximum loss scenarios for iron condors, or whether his prior trading on the mobile platform had been profitable. She also did not ask about his monthly expenses, outstanding student loans (Marcus had \$47,000 in federal student loans with \$580 monthly payments), or his emergency fund situation. Marcus had not disclosed the student loan debt on his account form, and the form did not have a specific field for liabilities beyond mortgage information.

Over the following four months, Marcus executed 38 options trades, mostly vertical spreads and iron condors on tech stocks. His account fluctuated but generally remained near its starting value of \$60,000. In August 2023, Marcus sold a series of put credit spreads on three semiconductor stocks ahead of earnings

announcements. All three positions moved against him when the stocks dropped sharply, and Marcus lost \$23,400 in a single week - roughly 39% of his account value and approximately 17% of his stated liquid net worth.

Marcus filed a complaint alleging that Heather failed to adequately understand his financial situation and investment experience before approving him for complex options strategies. He argued that if Heather had probed his actual experience, she would have learned he had only ever purchased single-leg options and had never traded spreads or strategies involving short options positions. He also argued that his undisclosed student loan debt, if discovered through proper inquiry, should have resulted in a more conservative approval level.

Ridgeline responded that Marcus's account application and stated experience were consistent with Level 3 approval under the firm's written supervisory procedures, that Marcus affirmatively represented he had one year of options experience, that his income-to-net-worth ratio was healthy, and that his stated objectives explicitly included speculation. Ridgeline further noted that Marcus made his own trading decisions without any specific recommendations from Heather and that the OCC Options Disclosure Document was provided to Marcus electronically at account opening, with a confirmed electronic signature acknowledging receipt.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a tension between an advisor's duty to conduct reasonable diligence in understanding a customer's financial profile and investment experience before approving options trading levels, and the customer's own responsibility to provide accurate and complete information.

Arguments that Heather violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including investment experience and knowledge (specifically regarding options), financial situation and needs, and investment objectives. While Heather conducted a phone call, her inquiry was arguably superficial. She did not distinguish between buying options (limited risk, Level 1-type activity) and selling options or multi-leg strategies (significantly higher complexity and risk). A customer who has only purchased calls and puts has a materially different experience profile than one who has traded credit spreads or iron condors.
2. FINRA Regulatory Notice 21-15 specifically addresses concerns arising from the rapid expansion of options trading among retail investors, many of whom gained initial experience on mobile platforms with gamified interfaces. The Notice emphasizes that firms must have robust account approval processes and cannot rely solely on customer self-reported experience without reasonable follow-up, particularly when approving complex strategies.
3. The failure to discover the \$47,000 in student loan debt is a closer call. Ridgeline's account form did not have a liabilities field beyond mortgage, which is arguably a supervisory system deficiency. However, Heather had a live conversation with Marcus and could have asked about outstanding debts as part of

understanding his true financial picture. With the student loans factored in, Marcus's liquid net worth effectively shrinks, and his monthly cash flow is more constrained than his application suggests.

4. The OCC Options Disclosure Document, while important, is a disclosure mechanism - its delivery does not substitute for the independent obligation to conduct due diligence on the customer's experience and financial situation.

Arguments that Heather did not violate applicable standards:

1. Marcus affirmatively represented on his application that he had one year of options experience. He selected aggressive growth/speculation as an objective and moderate-to-aggressive risk tolerance. Under Reg BI's customer investment profile framework, advisors are entitled to rely on information provided by the customer unless they have reason to believe it is inaccurate.

2. Heather did conduct a phone conversation - she did not simply rubber-stamp the application. Marcus himself told her he wanted to 'level up' to multi-leg strategies, suggesting he understood these were different from what he had been doing. A reasonable advisor could interpret this as an informed customer seeking to expand his capabilities, not a novice being pushed into complexity.

3. Marcus's trades were entirely self-directed. Heather did not recommend any specific options trades, nor did she suggest the concentrated earnings-play strategy that caused his losses. The account approval question is distinct from a recommendation-based suitability analysis. Under FINRA Rule 2360, the obligation is to approve the account for options trading at an appropriate level - not to supervise each individual self-directed trade.

4. Marcus's financial profile - \$95,000 income, \$140,000 liquid net worth, no dependents, 5-10 year horizon - is objectively consistent with a Level 3 options approval at many firms. The \$60,000 account represented approximately 43% of his liquid net worth, which while significant, is not per se unreasonable for a young professional with high earning potential and a long time horizon.

5. The student loan non-disclosure is arguably Marcus's responsibility. The account form asked for information, and Marcus did not provide it. While a more thorough advisor would have asked, the omission creates shared responsibility at minimum.

6. The 38 trades over four months, mostly near breakeven, suggest Marcus had at least some functional competence with the strategies before the concentrated earnings bets went wrong. The losses stemmed from a specific risky tactic (concentrated short puts into earnings), not from a fundamental misunderstanding of how spreads work.

Why Borderline

This is genuinely borderline because the advisor did conduct some inquiry but arguably not enough to distinguish between single-leg buying experience and multi-leg selling experience - a critical distinction in options risk. The customer's self-reported profile facially supported the approval level, and the trades were self-directed. The undisclosed liabilities add complexity but were partly the customer's omission.

Reasonable practitioners would disagree on whether a 25-minute phone call that touched on experience but didn't drill into specific strategy-level knowledge constitutes adequate due diligence for Level 3 approval, especially in the post-2021 regulatory environment emphasizing enhanced scrutiny of retail options accounts.

Borderline Factors

- Customer self-reported one year of options experience but only had single-leg buying experience - advisor did not probe the distinction
- Advisor conducted a phone call and made CRM notes but did not ask targeted questions about multi-leg strategy knowledge or short options experience
- Customer's financial profile facially supported Level 3 approval under firm WSPs
- Undisclosed student loan debt of \$47,000 was not discovered but the account form lacked a specific liabilities field
- All trades were self-directed with no specific advisor recommendations
- Customer explicitly stated speculative objectives and aggressive risk tolerance
 - Post-2021 regulatory environment places heightened expectations on options account approval processes for retail investors with mobile-platform backgrounds
- Customer successfully executed 38 spread/condor trades before the concentrated loss event, suggesting some functional competence
- The concentrated earnings-play strategy that caused losses was a discretionary customer decision, not a systemic approval failure

Likely Outcome

A regulator would most likely find a partial violation focused on the adequacy of the due diligence inquiry rather than the approval decision itself. The failure to distinguish between single-leg buying and multi-leg selling/writing experience during the account approval process would likely be viewed as insufficient under the heightened scrutiny articulated in FINRA RN 21-15. However, the self-directed nature of the trades, the customer's affirmative representations, and his facial financial qualifications would likely mitigate sanctions significantly. The most probable outcome would be a finding of deficient account approval procedures with modest sanctions (e.g., a fine and required enhanced training), rather than a finding that the advisor must make the customer whole for his losses. The concentrated earnings-play losses would likely be viewed as substantially the customer's own decision-making risk rather than a direct consequence of the approval deficiency.

Borderline Scenario 53

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision requirements); F

Fact Pattern

Margaret Ellison, age 74, is a retired aerospace engineer with a PhD in applied mathematics who spent her career building simulation models. She has a \$2.1 million brokerage account, a \$1.4 million IRA, a paid-off home worth \$680,000, and receives \$4,200/month in Social Security plus a \$3,800/month pension. Her annual living expenses are approximately \$72,000. She has been trading equities actively for 22 years, averaging 40-60 trades per year, and has maintained options approval at Level 2 (covered calls and

cash-secured puts) at her previous broker since 2014. In March 2023, she transferred her accounts to a new firm and worked with advisor Derek Huang. During onboarding, Margaret requested Level 3 options approval, which would allow her to trade vertical spreads and iron condors. She told Derek she had been studying multi-leg options strategies for two years using paper-trading simulators and had completed an advanced options course through the CBOE's online education platform. She stated her goal was to generate \$3,000-\$4,000 per month in additional income through premium collection strategies while keeping maximum risk per trade under \$5,000. Derek reviewed her account application, which listed her risk tolerance as 'moderate-to-aggressive,' her investment objective as 'income with growth,' her liquid net worth as \$3.5 million, and her annual income as \$96,000. Derek approved her for Level 3 options and over the next eight months, Margaret executed 47 defined-risk spread trades. Thirty-one were profitable, and her net gain was approximately \$28,400. However, in November 2023, Margaret suffered a mild stroke that temporarily impaired her cognitive function. Her daughter, Rachel, discovered the options trading activity while helping manage her mother's affairs during recovery and filed a complaint alleging that Derek should never have approved a 74-year-old retiree for complex multi-leg options strategies regardless of her background. Rachel pointed out that the firm's internal guidelines flagged any options approval above Level 2 for customers over age 70 for enhanced supervisory review, and that while Derek had submitted the account for review, the branch manager approved it after only a brief phone conversation with Margaret rather than an in-person meeting. Rachel also noted that two of Margaret's last five trades before the stroke were iron condors on volatile biotech stocks that each carried a maximum loss of \$4,800, close to her stated \$5,000 limit, and argued these were unsuitable speculative bets for someone her age. Derek counters that Margaret was among the most financially sophisticated clients he had ever onboarded, that her defined-risk strategies were conservative by options-trading standards, that her potential losses on any single trade represented less than 0.15% of her liquid net worth, that she was profitable over the account's lifetime, and that her stroke was an unforeseeable medical event that had nothing to do with the approval decision made eight months earlier.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents competing considerations across multiple dimensions. On the side favoring a violation: (1) Margaret was 74 years old, squarely within the population regulators have identified as requiring heightened protection; (2) the firm's own internal procedures required enhanced supervisory review for options approval above Level 2 for clients over 70, and the review that occurred - a brief phone call rather than an in-person meeting - may not have satisfied the spirit of that policy; (3) FINRA Rule 2360(b)(16) requires that options accounts be approved only where the firm has a reasonable basis to believe the customer has sufficient knowledge and experience and financial resources to bear the risks, and a branch manager who conducted only a phone conversation may not have adequately assessed cognitive fitness; (4) FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approval processes, gamification, and insufficient due diligence, particularly in the context of newer approval frameworks that may be too permissive; (5) iron condors on volatile biotech stocks, while technically defined-risk, introduce meaningful complexity around assignment risk and rapid adverse moves that may test a senior investor's ability to monitor and respond in real time. On the side against a violation: (1) Margaret had a PhD in applied mathematics, 22 years of active trading experience, and 9 years of options trading at Level 2 - she was not a naive retail investor; (2) her requested strategies (vertical spreads and

iron condors) are defined-risk by construction, meaning her maximum loss was known and capped at entry; (3) her per-trade risk of \$4,800 maximum represented roughly 0.14% of her \$3.5 million liquid net worth, a trivially small position size; (4) her stated objectives (income generation through premium collection) aligned precisely with the strategies she employed; (5) she was net profitable over 47 trades, suggesting competent execution; (6) the OCC Options Disclosure Document was presumably provided and her background suggests she could understand it; (7) the stroke occurred eight months after approval and was unforeseeable - suitability must be assessed at the time of the recommendation or approval, not with hindsight; (8) under Regulation Best Interest, the advisor must consider reasonably available alternatives, but for a client with Margaret's profile seeking income through options, defined-risk spreads are among the most conservative approaches available. The enhanced supervisory review question is the most problematic element - the firm had a specific internal policy that arguably was not fully satisfied, which could constitute a supervisory failure under FINRA Rule 2360(b)(16)(B) even if the underlying approval was substantively reasonable.

Why Borderline

The case pits a client's extraordinary financial sophistication and demonstrated competence against her age and the firm's own heightened-review requirements for senior investors. The strategies used were objectively conservative relative to her net worth, and she was profitable - but the internal supervisory review process was arguably deficient, and the broader regulatory environment has increasingly scrutinized whether firms adequately gatekeep complex options access. Reasonable regulators could disagree on whether a substantively sound approval decision is still a violation when the process used to reach it fell short of the firm's internal standards.

Borderline Factors

- Client had PhD in applied mathematics and 22 years of active trading experience, making her far more sophisticated than the typical senior investor
- Per-trade risk was under 0.15% of liquid net worth, objectively small by any measure
- Firm's internal policy required enhanced supervisory review for over-70 clients seeking Level 3+ approval, and the review conducted (phone call vs. in-person meeting) may have been insufficient
- All strategies were defined-risk with known maximum losses, not naked or unlimited-risk positions
- Client was net profitable over 47 trades across 8 months, suggesting competent execution
- The stroke that triggered the complaint was unforeseeable at the time of approval and arguably irrelevant to the suitability analysis
- Two biotech iron condors near the stated \$5,000 max-loss limit introduce questions about whether volatile underliers were appropriate even within defined-risk frameworks
- FINRA has specifically flagged options approval processes as an area of regulatory focus in recent guidance
- The branch manager's abbreviated review could be characterized as a supervisory failure even if the underlying decision was correct

Likely Outcome

A regulator would most likely find a procedural supervisory deficiency in the options approval process - specifically, that the firm's internal enhanced review requirement for senior clients was not meaningfully satisfied - while stopping short of finding that the options strategies themselves were unsuitable for this particular client. The likely resolution would be a supervisory finding against the branch office rather than a

suitability violation against Derek personally. A fine or censure related to the firm's failure to follow its own written supervisory procedures for senior options approval is probable, but a finding that the actual trading was unsuitable given Margaret's demonstrated sophistication, defined-risk strategy usage, trivial position sizing relative to net worth, and profitability would be difficult to sustain. The daughter's complaint, while understandable from a protective standpoint, conflates age-based concern with an individualized suitability analysis that, on the merits, supported the approval.

Borderline Scenario 54

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16)(A)-(B) (options account approval, due diligence, and suitability); FINRA

Fact Pattern

Marcus Okonkwo, age 34, is a software engineer earning \$185,000 per year with a net worth of approximately \$620,000, including \$280,000 in a brokerage account, \$190,000 in retirement accounts, and \$150,000 in home equity. He has been actively trading equities for about six years and began buying basic call and put options approximately eighteen months ago. In January 2024, Marcus applied for elevated options approval at his brokerage firm, Clearpath Securities, through the firm's online platform. He completed the firm's options questionnaire, reporting his investment experience, income, net worth, and stated investment objective as 'growth with speculation.' He indicated he had placed approximately 90 options trades in the prior twelve months, mostly long calls and long puts, with an average position size of \$3,000-\$5,000. He described his risk tolerance as 'aggressive' and stated he understood he could lose his entire premium on any trade.

His financial advisor, Janet Reeves, reviewed the application. Marcus requested approval for Level 4 trading, which at Clearpath includes the ability to sell uncovered (naked) index puts and engage in complex multi-leg spread strategies including iron condors and ratio spreads. Janet noted that Marcus had no prior experience with short options, spreads, or any multi-leg strategies. His 90 prior trades were exclusively directional long calls and long puts on large-cap technology stocks. Janet spoke with Marcus by phone for approximately twelve minutes. During the call, Marcus explained that he had been studying options strategies through online courses and YouTube channels for several months, had completed a well-known options education platform's intermediate course, and had been paper-trading iron condors and credit spreads in a simulator for about four months with what he described as 'good results.' He said he planned to start with small positions-one or two contracts-selling put spreads on the S&P 500 index with defined risk before attempting any naked strategies.

Janet approved Marcus for Level 4. In her notes, she wrote: 'Client demonstrates understanding of basic options mechanics, has studied multi-leg strategies, has paper-traded for four months, and plans to scale in gradually. Income and net worth support aggressive strategy. Approved for Level 4 per client request and stated experience.' The firm's options principal, David Garza, countersigned the approval the same day without a separate conversation with Marcus.

Over the next five months, Marcus initially followed his stated plan, executing twelve small iron condor and put spread positions on the S&P 500 index, most of which were profitable. In June 2024, however, he sold

five naked put contracts on a volatile semiconductor ETF during a market downturn, resulting in assignment and a loss of \$47,000—roughly 17% of his brokerage account. Marcus did not contact Janet before placing the trade. He subsequently filed a complaint alleging that he should never have been approved for naked options writing given his lack of real-market experience with short options, and that the twelve-minute phone call was inadequate diligence for a Level 4 approval.

Clearpath's records show that its written supervisory procedures require advisors approving Level 4 accounts to assess the customer's 'demonstrated experience with complex strategies,' but do not define whether paper trading or simulated trading qualifies as demonstrated experience. The firm's options education materials were sent to Marcus via email at the time of approval but the firm cannot confirm he opened or read them. The OCC risk disclosure document was provided electronically and Marcus clicked 'I acknowledge' on the platform.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents arguments on both sides.

****Arguments that Janet Reeves and Clearpath violated applicable standards:****

1. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn essential facts about a customer before approving options trading, and the approval must be based on the customer's investment experience, financial situation, and investment objectives. Marcus had zero real-market experience with any short option strategy or multi-leg strategy. His 90 trades were exclusively long calls and puts—a fundamentally different risk profile from naked put writing.
2. FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms using automated or streamlined processes to approve options accounts without adequate diligence, particularly for complex and risky strategies. The twelve-minute phone call, combined with a same-day countersignature by the options principal without independent conversation, could be viewed as insufficient scrutiny for Level 4 approval, which includes unlimited-risk naked options.
3. The OCC Options Disclosure Document, which firms are required to deliver and ensure customers understand, outlines the unique and substantial risks of writing uncovered options. While Marcus acknowledged receipt electronically, the firm cannot confirm he actually read the materials. Under Reg BI's care obligation, a broker must have a reasonable basis for believing the recommendation (here, the approval enabling the strategy) is in the customer's best interest at the time.
4. FINRA Rule 2360(b)(16)(B) requires the firm to consider the customer's knowledge and experience in options. Paper trading, while educational, does not expose the trader to real psychological pressures, margin calls, slippage, or assignment risk. A regulator could view paper trading as insufficient 'demonstrated experience' for the most dangerous approval tier.
5. The fact that Marcus's \$47,000 loss represented 17% of his liquid brokerage account on a single naked

position suggests the risk was disproportionate, and the approval structure did not include adequate guardrails.

****Arguments that the advisor and firm acted reasonably:****

1. Marcus was 34 years old, earned \$185,000/year, had \$620,000 net worth, had six years of equity trading experience, and eighteen months of options trading experience with 90 completed trades. He expressly stated aggressive risk tolerance and a growth-with-speculation objective. His financial profile arguably supports the capacity to absorb losses from complex strategies.
2. Marcus proactively educated himself-completing a recognized intermediate options course and paper-trading specific strategies for four months. He articulated a thoughtful, graduated plan (starting with defined-risk spreads before attempting naked strategies). Janet documented this plan and her rationale.
3. The firm's written supervisory procedures do not define 'demonstrated experience' to exclude paper trading, and there is no universal regulatory definition that disqualifies simulated experience. Many options education programs rely on paper trading as a prerequisite.
4. The \$47,000 loss occurred five months after approval, on a trade Marcus placed independently without contacting his advisor, on a product (volatile semiconductor ETF) outside his stated plan (S&P 500 index options). One could argue that the loss resulted from Marcus deviating from his own plan, not from a defective approval.
5. Under Reg BI, the approval of options trading authority is arguably a recommendation subject to the care obligation, but the standard requires reasonableness at the time of the recommendation-not a guarantee against future losses. At the time of approval, Janet's assessment was documented and based on the information Marcus provided.
6. Marcus's complaint may reflect hindsight bias. He successfully executed twelve complex trades before the loss. The strategy itself was not inherently unsuitable for his profile; the specific trade that caused the loss involved concentrated risk in a volatile sector, which was Marcus's independent decision.

Why Borderline

The core ambiguity is whether paper trading and self-directed education can substitute for real-market experience with short options when approving a customer for the highest-risk options tier. The customer's financial profile and stated risk tolerance support aggressive strategies, but his lack of any real-market experience with the specific strategies authorized (naked options) raises legitimate concerns about whether the approval was premature. Additionally, the customer followed his graduated plan for five months before the loss, and the losing trade deviated from his stated approach-complicating the causation analysis. Reasonable practitioners disagree on whether simulated trading qualifies as adequate experience and whether a twelve-minute phone conversation is sufficient diligence for unlimited-risk approval.

Borderline Factors

- Customer had 18 months of options experience and 90 trades, but exclusively in long calls/puts-zero real-market experience with short or multi-leg strategies

- Four months of paper trading in multi-leg strategies is educational but does not replicate real assignment risk, margin calls, or emotional decision-making
- Customer's income (\$185K) and net worth (\$620K) are substantial but the \$47K loss was 17% of his liquid brokerage account on a single trade
- Firm's written supervisory procedures do not define whether paper trading counts as 'demonstrated experience'-the policy gap cuts both ways
- The twelve-minute phone call and same-day principal countersignature without independent contact may or may not meet the diligence expectations highlighted in recent regulatory guidance
- Customer articulated a graduated, risk-managed plan and followed it for five months; the losing trade deviated from his own stated approach
- OCC disclosure was delivered electronically and acknowledged but the firm cannot confirm actual review of the document
- The loss occurred on a concentrated, volatile-sector naked position that Marcus placed independently, raising questions about whether the approval or the customer's deviation from plan caused the harm

Likely Outcome

A regulator would most likely find a supervisory deficiency in the approval process rather than a clear-cut suitability violation. The twelve-minute phone call, same-day countersignature without independent principal review, and reliance on paper trading as a substitute for demonstrated real-market experience with short options would likely be criticized as falling below supervisory expectations articulated in recent guidance. However, Marcus's financial profile, stated risk tolerance, self-education efforts, and five months of successful complex trading before the loss make it difficult to characterize the approval itself as wholly unsuitable. The most probable outcome is a finding of inadequate due diligence and supervisory procedures around options account approval-likely resulting in a fine and required remediation of the firm's approval process-rather than a finding that the strategy was categorically unsuitable for this customer. Marcus's individual claim for damages would face challenges given his independent deviation from his stated plan.

Borderline Scenario 55

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360 (Options Accounts) requires that options account approval be based on

Fact Pattern

Margaret Kowalski, age 74, is a retired aerospace engineer with a PhD in applied mathematics. She retired in 2016 with a \$2.8 million portfolio, a \$4,200/month pension, and \$3,100/month in Social Security. She has no debt and owns her home outright. Her husband passed away in 2021, and she lives independently. She has traded stocks actively since the early 1990s and began trading single-leg options (covered calls and cash-secured puts) in 2009 through a previous brokerage relationship. Her new financial advisor, Kevin Barlow, age 38, met Margaret in January 2022 after she transferred her accounts to his firm. During the onboarding process, Margaret completed the firm's options account application. She listed her investment objective as 'growth and income,' her risk tolerance as 'moderate to aggressive,' her annual income as \$87,000, her liquid net worth as \$2.6 million, and her investment experience as 'extensive' in equities and 'moderate' in options. She specifically noted 12 years of options experience. Kevin approved Margaret for Level 3 options trading, which at his firm permits covered calls, cash-secured puts, long calls and puts,

vertical spreads, and iron condors. Level 4 (naked options and complex multi-leg strategies like straddles and ratio spreads) was not approved. Between February and August 2022, Margaret executed approximately 45 options trades, mostly vertical spreads and iron condors on large-cap technology stocks. Her average position size was \$8,000-\$15,000 in risk capital per trade, representing roughly 0.3%-0.6% of her total portfolio per position. Her cumulative net loss over this period was approximately \$31,000, or about 1.2% of her portfolio. In September 2022, Margaret called Kevin and asked to be upgraded to Level 4 so she could sell straddles around earnings announcements on stocks she followed closely, telling him she had been 'studying implied volatility crush for months' and believed she could profit from overpriced pre-earnings premiums. Kevin discussed the risks with her over two phone calls totaling 40 minutes, documented in his CRM notes. He explained that naked short straddles have theoretically unlimited risk, that earnings moves can exceed implied expectations, and that margin calls could force liquidation at unfavorable prices. Margaret responded that she understood all of this, referenced specific academic research on volatility overpricing around earnings, and said she planned to allocate no more than \$150,000 (approximately 5.8% of her portfolio) to these strategies with strict stop-loss discipline. Kevin elevated the request to his firm's options principal, who interviewed Margaret by phone for 20 minutes, confirmed her mathematical background and options knowledge, and approved the Level 4 upgrade. Between October 2022 and March 2023, Margaret sold straddles around 11 earnings announcements. She profited on 7 of them but suffered a significant loss on a semiconductor stock earnings trade in January 2023, losing \$62,000 when the stock gapped 18% overnight. Her total net loss on straddle trades over this period was approximately \$28,000. In April 2023, Margaret's adult daughter, who holds power of attorney, contacted the firm's compliance department to complain that her mother—a 74-year-old widow—should never have been approved for naked options strategies, asserting that her mother had become 'obsessed' with trading since her father's death and that the losses were evidence of cognitive decline. The daughter provided a letter from Margaret's primary care physician stating that Margaret had been referred for neuropsychological testing due to 'mild word-finding difficulty' noted at a routine visit in February 2023, though no diagnosis of cognitive impairment had been made. Margaret herself called the compliance department the next day, articulate and detailed, and stated that her daughter was overstepping, that she was fully competent, and that she accepted her trading losses as part of a deliberate strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: Margaret is a 74-year-old widow, placing her in a demographic category that receives heightened regulatory scrutiny. Naked short straddles carry theoretically unlimited risk, which may be categorically unsuitable for a retiree regardless of sophistication. The daughter's complaint, coupled with a physician referral for neuropsychological evaluation, raises questions about whether Margaret's decision-making capacity was intact during the approval period, potentially undermining the validity of her informed consent. Academic research consistently shows that retail investors lose money trading complex options, particularly around earnings announcements—the exact strategy Margaret pursued—and the advisor should have weighed this evidence. The cumulative losses of approximately \$59,000 across all options trading, while modest relative to her portfolio, represent real erosion of retirement assets that cannot be recovered through employment income. A regulator could argue the firm's options principal approval was perfunctory—a 20-minute phone call may be insufficient due diligence for approving a senior investor for the highest-risk options tier.

Arguments that Kevin did not violate applicable standards: Margaret has a PhD in applied mathematics, 12 years of documented options experience, and demonstrated sophisticated understanding of implied volatility dynamics. Her total portfolio is \$2.8 million, and she allocated approximately 5.8% to the higher-risk strategy—well within reasonable risk budgeting for someone with her net worth and income. Her losses of \$28,000 on straddle trades represent roughly 1% of her total portfolio, hardly catastrophic. Kevin conducted 40 minutes of documented risk discussion, explained unlimited risk exposure, and escalated to the options principal for independent review. The firm followed its established approval process. Margaret's physician referral for cognitive testing occurred months after the approval and yielded no diagnosis; mild word-finding difficulty is common in healthy aging and does not establish impairment. Margaret's articulate and detailed conversation with compliance undercuts the cognitive decline narrative. Age alone cannot be the basis for denying a sophisticated investor access to strategies she understands and can financially absorb. The daughter's complaint may reflect family dynamics—concern about inheritance—rather than genuine incapacity. Denying Margaret the upgrade based solely on her age could itself be viewed as a form of age discrimination inconsistent with treating her as an autonomous investor.

Why Borderline

This scenario sits at the intersection of investor autonomy and protective obligations toward senior investors. Margaret presents as genuinely sophisticated with the mathematical background and experience to understand complex options, yet she is a 74-year-old widow with a possible (but undiagnosed) cognitive concern, trading in a strategy category where academic evidence shows retail investors systematically lose money. The advisor followed documented procedures, but the question is whether those procedures were sufficient given the client's age and the emergence of cognitive health questions. Reasonable minds can differ on whether a 20-minute phone interview and 40 minutes of risk discussion constitute adequate due diligence for approving a senior for naked options, or whether those steps exceed what most firms do and represent good practice.

Borderline Factors

- Client has genuine mathematical sophistication and 12 years of options experience, cutting against a finding of unsuitability based on knowledge deficiency
 - Naked straddles carry unlimited theoretical risk, which some regulators view as categorically inappropriate for retirees regardless of sophistication
 - Position sizing was disciplined at roughly 5.8% of portfolio, and actual losses were modest relative to net worth
 - Physician referral for cognitive testing occurred after the approval decision and did not result in a diagnosis of impairment
 - Academic research demonstrates systematic retail losses on complex earnings-related options trades, raising questions about whether the advisor should have weighed this evidence
 - The advisor documented risk discussions and escalated to the options principal, following firm procedures
 - The complaint originates from an adult child with POA, not the client herself, and the client actively disputes the complaint
 - The client's motivation for increased trading activity may be linked to grief and behavioral changes following spousal death, a recognized risk factor for senior investors

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a full suitability violation against the advisor personally, while potentially criticizing the firm's supervisory process. The documented risk discussions, the principal's independent review, Margaret's extraordinary educational background, the modest position sizing, and the absence of a cognitive impairment diagnosis all weigh against a violation finding. However, the regulator would likely issue observations or deficiency findings regarding the adequacy of the firm's senior investor protocols-specifically, whether the approval process should have incorporated additional safeguards such as a trusted contact person consultation, periodic re-evaluation of the approval level, or position-level concentration limits tailored to senior accounts. If subsequent neuropsychological testing revealed cognitive impairment dating to before the approval, the calculus would shift significantly toward a violation. The advisor's exposure increases meaningfully if the firm cannot produce the CRM notes documenting the risk conversations.

Borderline Scenario 56

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability) - quantitative suitability component prohibiting excessive trading

Fact Pattern

Marcus Boyle, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000. He opened an options-approved brokerage account in January 2022 with an initial deposit of \$95,000. On his new account application, Marcus indicated 5 years of options trading experience, a "speculative" investment objective, a "high" risk tolerance, and a 3-5 year time horizon. He was approved for Level 3 options trading, which permitted covered calls, cash-secured puts, spreads, and uncovered puts. His account application noted that options would represent roughly 40% of his liquid net worth.

Marcus was assigned to financial advisor Tina Rourke, who had 11 years of industry experience and held appropriate options principal qualifications. Over the next 14 months, Tina recommended and executed 347 options transactions in Marcus's account. The vast majority were short-duration vertical spreads and iron condors on high-volatility tech stocks and broad market ETFs, with typical holding periods of 2-5 trading days. The annualized turnover ratio for the account, calculated on a cost-to-equity basis, was 8.2. Total commissions and fees generated during this period were \$31,400, representing approximately 33% of the account's average equity of \$94,800. The account's net return over the 14-month period was a gain of \$6,200, or roughly 6.5%.

Tina maintained that she discussed every trade idea with Marcus before execution, and her phone logs show 290 outbound calls to Marcus averaging 4-6 minutes each during this period. Marcus's email records include 38 instances where he proactively sent Tina trade ideas involving specific tickers and strategies, and on at least 15 occasions, Marcus emailed asking why Tina hadn't placed a trade he expected. Marcus also attended two options education webinars offered by the firm and completed an advanced options strategy course on an independent platform during this time.

However, an internal compliance review flagged that the commission-to-equity ratio exceeded the firm's internal 25% annual threshold for options accounts. Tina's branch manager had signed off on quarterly

account reviews but noted only that the client was "active and engaged." The firm's options principal conducted a single annual review of the account in January 2023 and did not flag any concerns at that time. Marcus did not file a complaint, and when contacted by compliance, stated he was "generally satisfied" with Tina's recommendations but admitted he didn't always fully understand the risk/reward profile of every iron condor position before it was placed. He also noted that he trusted Tina's judgment on position sizing and timing, even when the original trade idea was his own.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The quantitative indicators are concerning. A turnover ratio of 8.2 and a commission-to-equity ratio of 33% over 14 months are significantly elevated, even for an options-focused speculative account. The customer's net gain of \$6,200 was dwarfed by \$31,400 in commissions, meaning the account needed to generate approximately \$37,600 in gross gains just to produce its modest return. Under FINRA Rule 2111 and Reg BI's care obligation, a pattern of frequent short-duration trades that primarily benefits the advisor through commission generation raises a strong inference of excessive trading, regardless of the customer's stated risk tolerance. The fact that Marcus admitted he did not always understand the risk/reward of every position and deferred to Tina on sizing and timing suggests meaningful advisor control - a key element in churning analysis. Furthermore, FINRA Rule 2360 requires that options recommendations be suitable considering the customer's financial situation, and the options principal's single annual review with no concerns flagged suggests inadequate supervisory oversight. FINRA RN 21-15 specifically emphasized heightened scrutiny of complex options strategies and the need for robust account approval and ongoing supervision, particularly in the post-Robinhood era of increased retail options activity.

Arguments against a violation: Marcus had genuine options knowledge - 5 years of self-reported experience, completion of advanced coursework, and proactive generation of trade ideas. His 38 unsolicited emails with specific strategy proposals and 15 complaints about unexecuted trades demonstrate he was not a passive victim but an active participant driving account activity. His stated objectives were speculative with high risk tolerance, and the account was profitable. The 347 trades over 14 months, while numerous, are not inherently unreasonable for a short-duration spread and iron condor strategy, which by their nature involve frequent opening and closing of multi-leg positions. Each iron condor, for example, involves four separate option legs and may count as multiple transactions. Tina's 290 phone calls demonstrate she was communicating regularly with the client. The traditional churning analysis was developed primarily for equity accounts and may not translate neatly to options strategies where frequent trading is the strategy itself. Marcus expressed satisfaction and filed no complaint. Under Reg BI, the fact that the customer was informed, engaged, and pursuing his own stated investment approach weighs against a finding that the advisor acted contrary to the customer's interest.

Why Borderline

This scenario sits at the intersection of several genuinely contested issues: (1) whether traditional churning metrics developed for equity accounts should apply with the same force to short-duration options strategies that inherently involve high transaction volumes; (2) the degree to which a customer's active participation and proactive trade generation negates the 'control' element of churning; (3) whether an account that is net

profitable can still be excessively traded; and (4) how to weigh a customer's stated satisfaction and speculative objectives against quantitative red flags. The commission-to-equity ratio clearly exceeds common thresholds, but the customer profile and engagement level complicate a straightforward churning finding.

Borderline Factors

- Turnover ratio of 8.2 and 33% commission-to-equity ratio exceed standard quantitative thresholds but the account traded short-duration multi-leg options strategies that inherently generate high transaction counts
- Customer proactively generated 38 trade ideas and complained 15 times about unexecuted trades, suggesting shared or even customer-driven control over account activity
- Customer admitted to not fully understanding every position and deferring to advisor on sizing and timing, suggesting advisor retained meaningful de facto control
- Account was net profitable at 6.5% return but commissions of \$31,400 vastly exceeded net gains of \$6,200, meaning most of the gross profits flowed to the advisor
- Customer had speculative objectives and high risk tolerance with relevant experience and advanced coursework, fitting the profile of someone for whom frequent options trading could be appropriate
- Firm's options principal conducted only one annual review and branch manager reviews were cursory, raising questions about supervisory adequacy under options-specific oversight requirements
- Customer expressed general satisfaction and filed no complaint, but satisfaction alone does not preclude a churning finding

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that a violation occurred, primarily because the quantitative indicators are substantially above recognized thresholds and the commission-to-equity ratio demonstrates that the advisor benefited disproportionately from the trading activity relative to the customer. While the customer's active engagement is a significant mitigating factor, the customer's admission that he deferred to Tina on position sizing and timing - the elements most directly tied to commission generation - likely establishes sufficient advisor control. A regulator would also likely find supervisory failures given the cursory nature of the options principal's review and the branch manager's boilerplate sign-offs, particularly in light of heightened expectations for complex options oversight. However, sanctions might be moderated by the customer's sophistication, active participation, and the account's profitability. The most likely outcome would be a finding of excessive trading with moderate sanctions and a parallel supervisory failure finding against the firm.

Borderline Scenario 57

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) - Options account approval requirements, including evaluation of cust

Fact Pattern

Marcus Pellegrini, age 58, is a semi-retired electrical engineer who sold his consulting business in 2021 for \$2.4 million. He has a brokerage account at Lakewood Securities with approximately \$1.85 million in diversified equity holdings and \$400,000 in fixed income. His annual income from a rental property and Social Security is approximately \$78,000. On his options account application submitted in March 2022,

Marcus indicated 12 years of stock trading experience, 4 years of options trading experience (primarily covered calls and cash-secured puts at a prior brokerage), a moderate risk tolerance, a 10-15 year investment horizon, and a primary objective of income generation with a secondary objective of growth. His stated liquid net worth was \$2.3 million.

His advisor, Dana Whitfield, approved Marcus for Level 3 options trading, which at Lakewood permits multi-leg strategies including vertical spreads, iron condors, calendar spreads, and butterfly spreads, in addition to covered calls and cash-secured puts. Lakewood's internal guidelines state that Level 3 approval requires at least 2 years of options experience and a minimum liquid net worth of \$100,000, both of which Marcus met.

Over the next fourteen months, Dana recommended a series of iron condor and vertical spread strategies on broad market ETFs (SPY, QQQ, IWM) and several large-cap technology stocks. The positions were sized so that maximum loss on any single trade ranged from \$3,500 to \$12,000, with most in the \$5,000-\$8,000 range. At no point did Marcus's aggregate options exposure exceed \$85,000 in maximum potential loss - roughly 3.7% of his total portfolio. During this period, Marcus realized approximately \$41,000 in net premium income from these strategies, though he also experienced \$19,200 in realized losses on positions that moved against him, for a net gain of approximately \$21,800.

In September 2023, Marcus suffered losses of approximately \$11,400 on two iron condor positions during a period of unexpected market volatility tied to Federal Reserve policy announcements. He complained to the branch manager that Dana had never adequately explained the risks of iron condors, that he believed he was only approved for covered calls and simple puts, and that these complex multi-leg strategies were inappropriate for someone approaching retirement. He stated that while he understood covered calls from his prior account, he had never independently traded iron condors or vertical spreads before working with Dana.

Dana produced notes from three separate meetings in which she documented discussing the mechanics and risk profiles of iron condors and vertical spreads with Marcus, including a whiteboard diagram from April 2022 that Marcus initialed. Dana also produced a signed acknowledgment from Marcus dated March 2022 confirming he received the standardized options risk disclosure booklet. Lakewood's records show Marcus logged into the firm's online options education portal six times between March and June 2022 and completed two modules on spread strategies. Marcus counters that he initialed documents routinely without fully understanding them, that the online modules were confusing, and that he trusted Dana to keep him in strategies appropriate for his experience level. He also notes that his prior brokerage only approved him for Level 1 (covered calls and cash-secured puts), suggesting the industry did not view him as qualified for complex strategies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dana violated applicable standards: Marcus's prior brokerage limited him to Level 1 options, suggesting that experienced compliance professionals previously concluded he was not suitable for complex strategies. His self-reported 4 years of options experience was exclusively in covered calls and

cash-secured puts - fundamentally different risk profiles than iron condors and vertical spreads. Approving Level 3 based on an application that technically met minimum thresholds, without probing whether the customer's actual experience encompassed multi-leg strategies, could be viewed as a failure of the account approval process. Under FINRA Rule 2360(b)(16), the firm and registered options principal bear responsibility for ensuring the account approval level is appropriate given the customer's actual knowledge, experience, and financial situation - not merely whether boxes are checked. Additionally, FINRA Regulatory Notice 21-15 emphasized that firms must look beyond self-reported information and exercise diligence in evaluating whether customers truly understand the strategies they are approved to trade. The fact that Marcus was approaching retirement with an income-generation objective could support the argument that defined-risk but complex strategies were not the most suitable path, even if the dollar exposure was modest.

Arguments that Dana acted appropriately: The position sizing was conservative - maximum aggregate exposure of \$85,000 represented under 4% of Marcus's portfolio, well within prudent risk management for a client with \$2.3 million in liquid net worth. Iron condors and vertical spreads are defined-risk strategies; unlike naked options, the maximum loss is known at entry. The strategies were consistent with Marcus's stated income-generation objective, as premium collection is precisely the purpose of iron condors. Dana documented her educational efforts across multiple meetings, Marcus initialed explanatory materials, received the OCC Options Disclosure Document, and voluntarily completed online education modules - suggesting informed consent rather than ignorance. Marcus was a sophisticated professional (engineer, business owner) with over a decade of market experience. His net result was positive (\$21,800 gain), and his complaint arose only after a single period of losses representing 0.5% of his total portfolio. The fact that a prior firm approved him at a lower level does not necessarily mean that approval was correct - firms have different standards, and Marcus had gained additional experience in the interim. Under Reg BI's care obligation, the recommendation of defined-risk options strategies sized at under 4% of portfolio value for an experienced, high-net-worth client with an income objective is defensible.

Why Borderline

This case sits in a genuine gray zone because the formal account approval criteria were met, the strategies were defined-risk and appropriately sized, the advisor documented educational efforts, and the client's net results were positive - yet the client's actual hands-on experience was limited to simpler strategies, a prior firm reached a different approval conclusion, and there are legitimate questions about whether initialing documents and completing online modules truly constitutes informed understanding of complex multi-leg options strategies. The tension between mechanical compliance with approval thresholds and the substantive obligation to ensure genuine customer understanding makes this a case where reasonable compliance professionals would disagree.

Borderline Factors

- Client met the firm's formal minimum criteria for Level 3 approval but had no actual experience with multi-leg strategies
- Prior brokerage approved client only for Level 1, suggesting different professional judgment on suitability
- Advisor documented education and client engagement across multiple touchpoints including initialed materials
- Strategies were defined-risk (iron condors, vertical spreads) rather than unlimited-risk (naked options)
- Position sizing was conservative at under 4% of total portfolio in maximum aggregate risk

- Client was a sophisticated professional with engineering background and business ownership experience
- Client's stated objectives (income generation) aligned well with premium-collection strategies
- Client's complaint arose only after losses, despite prior positive net results
- Genuine question of whether online module completion and document initialing equates to informed understanding
- Client approaching retirement - heightened scrutiny on strategy complexity even if dollar risk is modest

Likely Outcome

A regulator would most likely find a technical deficiency in the account approval process but not a substantive suitability violation regarding the specific recommendations. The approval of Level 3 based on options experience that did not actually include multi-leg strategies creates exposure under FINRA Rule 2360(b)(16)(B), which requires evaluation of the customer's 'knowledge and experience in financial matters' relevant to the approved strategies. However, the well-documented education efforts, the defined-risk nature of the strategies, the conservative sizing, and the alignment with Marcus's income objective would likely mitigate findings on the individual recommendation level. The firm would likely receive a deficiency letter or modest fine related to options account approval procedures, and Dana might receive a cautionary action, but an outright finding that the iron condor recommendations themselves violated Reg BI's care obligation is unlikely given the totality of circumstances. A panel might order modest restitution limited to the \$11,400 September 2023 losses but not disgorgement of the full trading activity.

Borderline Scenario 58

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); FII

Fact Pattern

Marcus Whitfield, age 34, works as a senior software engineer at a publicly traded technology company earning \$215,000 per year. He has a liquid net worth of approximately \$380,000, mostly in index funds and his company's stock. He opened a brokerage account in March 2022 with Apex Financial Partners and was assigned to advisor Danielle Reeves. On his new account application, Marcus indicated 5 years of investing experience, primarily in equities and ETFs, with an 'aggressive growth' investment objective and a 'high' risk tolerance. He had no prior options trading experience, which he disclosed on the application.

During their initial meeting, Marcus told Danielle he had been 'studying options intensively for six months' using online courses, YouTube channels, and paper-trading simulators. He showed her a spreadsheet of 47 paper trades he had executed over four months, which showed a mix of covered calls, cash-secured puts, and several multi-leg spread strategies. His simulated portfolio showed a 22% return, though this period coincided with a strong bull market rally. Marcus specifically requested approval for Level 3 options trading, which at Apex included the ability to trade vertical spreads, iron condors, calendar spreads, and naked put writing on margin.

Danielle reviewed his application and paper-trading records. She upgraded his options experience on the account form from 'none' to 'limited (less than 1 year)' and noted in her file that Marcus demonstrated 'strong theoretical understanding of multi-leg strategies and Greeks.' She approved him for Level 3 options

access. Apex's internal guidelines stated that Level 3 approval 'generally requires' at least one year of actual options trading experience but allowed supervisors to exercise discretion based on 'demonstrated knowledge and financial capacity.'

Over the following eight months, Marcus executed approximately 140 options trades. For the first five months, he primarily traded defined-risk strategies-iron condors on broad market ETFs and vertical spreads on large-cap technology stocks-with position sizes averaging 2-4% of his portfolio. His results were modestly profitable. In month six, following a sharp market downturn, Marcus began writing naked puts on individual technology stocks, including three positions on his employer's stock during an earnings week. He also increased position sizes to 8-12% of his portfolio per trade. Danielle did not contact Marcus during this shift in strategy.

By month nine, Marcus had realized losses of approximately \$67,000, with \$41,000 of that attributable to naked put assignments on two volatile tech stocks during a sector selloff. He filed a complaint alleging that he should never have been approved for Level 3 options trading given his lack of real trading experience, and that Danielle failed to monitor his account when his trading pattern shifted dramatically toward riskier, concentrated positions. Marcus acknowledged in his complaint that he made all trading decisions himself and that Danielle never recommended any specific options trade.

Danielle's supervisor, who co-signed the Level 3 approval, noted that Marcus's income, liquid net worth, and age profile were 'well within parameters' for Level 3 access and that his paper-trading record was 'more thorough than what most applicants with one year of live experience present.' The supervisor also pointed out that Apex's account agreement explicitly stated that options accounts were self-directed and that the firm was not obligated to monitor individual trading decisions in non-discretionary accounts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises several intersecting questions about options account approval standards and ongoing monitoring obligations.

Arguments that Danielle violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn essential facts about a customer before approving options trading, including investment experience. Marcus had zero actual options trading experience. Paper trading involves no real capital at risk and does not replicate the psychological pressures, execution risks, or margin mechanics of live trading. Danielle's decision to characterize his experience as 'limited' rather than 'none' on the account form arguably misrepresented a material fact.
2. FINRA Regulatory Notice 21-15 specifically highlighted concerns about options account approval processes, emphasizing that firms must have reasonable procedures to assess whether customers have sufficient knowledge and experience for the level of options trading approved. The notice was issued in the wake of well-publicized cases involving inexperienced retail investors gaining access to complex and

high-risk options strategies. Approving Level 3 access-which includes naked put writing-for someone with no live trading experience raises questions about whether the approval process was sufficiently rigorous.

3. The OCC Options Disclosure Document details the risks of various strategies including naked writing, which carries theoretically unlimited risk (for naked calls) and substantial risk (for naked puts). A customer with no live experience in even basic strategies like covered calls being approved to write naked puts represents a significant escalation.

4. Under Reg BI's care obligation, even in a self-directed account, the initial account approval and level assignment constitutes an implicit recommendation that the customer is suitable for those strategies. The approval itself is a gatekeeping function that carries responsibility.

5. The shift in Marcus's trading behavior-from defined-risk, diversified positions to concentrated naked put writing including on his own employer's stock-arguably should have triggered some form of outreach, even in a non-discretionary account. Trading in one's employer's stock through options during earnings periods also raises separate risk concerns that an attentive advisor might flag.

Arguments that Danielle acted reasonably:

1. Apex's internal guidelines explicitly permitted supervisory discretion in cases where the one-year experience threshold was not met, provided the customer demonstrated sufficient knowledge and financial capacity. Danielle documented her reasoning and obtained supervisory co-approval. She followed her firm's procedures.

2. Marcus's profile-young, high-income, high liquid net worth, aggressive risk tolerance, and strong theoretical knowledge demonstrated through extensive paper trading-is precisely the type of customer for whom discretionary approval might be appropriate. His losses (\$67,000) represent approximately 17.6% of his liquid net worth, which, while painful, is not catastrophic for someone with his earnings capacity and age.

3. The account was explicitly self-directed and non-discretionary. Marcus made every trading decision himself. He was an educated, sophisticated professional who actively sought out options access and represented himself as knowledgeable. Under FINRA Rule 2360, the firm's obligation centers on the initial approval decision and ensuring the customer receives the OCC Options Disclosure Document-not on monitoring every trade in a self-directed account.

4. Marcus's initial five months of trading confirmed that he could competently execute the strategies he was approved for. His losses came from a voluntary, self-directed shift in strategy that was driven by market conditions and his own decision-making, not from any recommendation or encouragement by Danielle.

5. FINRA Rule 2360(b)(16)(B) requires consideration of the customer's financial situation, investment objectives, and experience-but does not mandate a bright-line minimum of live trading experience. The rule allows for holistic assessment, which is what Danielle conducted.

Why Borderline

This case sits at the intersection of several genuinely debatable questions: (1) whether paper-trading experience can reasonably substitute for live experience in options account approvals, especially for higher-risk strategy levels; (2) whether firm discretion clauses in internal guidelines provide adequate cover when the baseline criteria are not met; (3) the extent of monitoring obligations in self-directed, non-discretionary options accounts when trading patterns shift materially; and (4) whether a young, high-income, theoretically knowledgeable customer who voluntarily and knowingly takes on risk can claim he should have been protected from himself. The customer's profile cuts strongly in the advisor's favor, but the complete absence of live experience and the approval for naked writing strategies creates genuine tension.

Borderline Factors

- Zero live options trading experience versus extensive and well-documented paper-trading record showing proficiency in multi-leg strategies
- Firm's internal guidelines allowed discretionary override of the one-year experience requirement, and supervisor co-approved the decision
- Customer's age, income, net worth, and stated risk tolerance were all consistent with Level 3 approval parameters
- Naked put writing approval represents a qualitative leap in risk from defined-risk strategies, raising questions about whether graduated approval would have been more appropriate
- Self-directed, non-discretionary account structure limits but may not eliminate the advisor's monitoring obligations
- Customer's own complaint acknowledges he made all trading decisions and was never given specific recommendations
- The behavioral shift from disciplined, diversified defined-risk trades to concentrated naked puts on employer stock during earnings was a material red flag that went unaddressed
- Losses of \$67,000 represent roughly 17.6% of liquid net worth-significant but not financially devastating given the customer's age and earnings

Likely Outcome

A regulator would most likely find a partial violation focused narrowly on the account approval process rather than the monitoring question. The approval for Level 3 access-particularly naked put writing-for a customer with zero live options experience, even one who is otherwise financially qualified and theoretically knowledgeable, would likely be viewed as deficient under the due diligence requirements of FINRA Rule 2360(b)(16). The modification of the experience field from 'none' to 'limited' would be viewed as particularly problematic, as it obscures the actual basis for approval. However, a regulator would likely give significant mitigating weight to the supervisory co-approval, the firm's discretionary override provision, Marcus's strong financial profile, and the self-directed nature of the account. The monitoring claim would likely be dismissed given the non-discretionary account structure. The most probable outcome would be a finding of inadequate account approval procedures with modest sanctions, possibly directed more at the firm's supervisory systems than at Danielle individually. Damages attribution would be significantly reduced given Marcus's own agency and the acknowledged self-directed nature of all trades.

Borderline Scenario 59

Topic: *excessive_churning* | Standard: *FINRA Rule 2360 (Options accounts and trading practices, including supervisory and approval)*

Fact Pattern

Margaret Colvin, age 58, is a retired school principal with a \$620,000 IRA account at Ridgeline Securities. She has 12 years of investing experience, primarily in mutual funds and blue-chip equities, but took an online options trading course in 2021 and asked her advisor, Derek Huang, to approve her account for options trading. She was approved for Level 3 options (covered calls, protective puts, spreads) after completing the firm's options agreement and acknowledging receipt of the options disclosure document. Her stated investment objective was 'growth with income,' her risk tolerance was marked as 'moderate to aggressive,' and her annual income from her pension and Social Security was approximately \$72,000. She told Derek she wanted to 'generate extra monthly income' through options premiums.

Over the next 18 months (January 2022 through June 2023), Derek executed 247 options trades in Margaret's account. The vast majority were vertical credit spreads on broad-market ETFs (SPY, QQQ, IWM), typically opened and closed within 7-21 days. The account generated approximately \$41,000 in total commissions and fees during this period. The cost-to-equity ratio was approximately 9.8%, and the annualized turnover ratio was 5.7. The account's net return after all costs was positive at roughly +4.2% over the 18 months, modestly underperforming a 60/40 benchmark which returned approximately +6.1% over the same period.

Derek argues that every trade was initiated at Margaret's direction or with her explicit approval via the firm's electronic order confirmation system, that she actively monitored her positions using the firm's mobile app (logging in an average of 3 times per day), and that she called him regularly to discuss market conditions and potential spread trades. He also notes that the strategies employed - primarily defined-risk credit spreads - were consistent with her approved options level and income-generation objective, and that the account never experienced a drawdown exceeding 6% from peak equity. Margaret's account statements were sent monthly and she never filed a complaint during the active trading period.

However, Margaret later complained to the firm after a friend who was a CPA reviewed her account and pointed out the cumulative commission drag. She stated she had not fully appreciated how much she was paying in total transaction costs, and that Derek never presented a comparison showing whether a simpler covered-call or buy-and-hold dividend strategy might have achieved similar income with far fewer trades and lower costs. She also noted that several of the spreads were opened and closed within 48 hours at a small profit, generating commissions that consumed most of the gain. Approximately 38 of the 247 trades were closed within two business days. The firm's options principal had reviewed and approved the account quarterly but had not flagged the trading frequency.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises difficult questions about whether active options trading that produces positive but suboptimal returns, with high frequency and meaningful commission costs, constitutes excessive trading

(churning) or is simply an active but authorized strategy.

Arguments that a violation occurred:

1. The annualized turnover ratio of 5.7 and cost-to-equity ratio of 9.8% are at or above levels that regulators have historically considered presumptive evidence of excessive trading. While these thresholds are not bright-line rules, FINRA has noted in enforcement actions that turnover ratios above 6 and cost-to-equity ratios above 8% raise serious concerns. Here, the cost-to-equity ratio exceeds typical thresholds.
2. The 38 trades closed within 48 hours suggest short-duration round-trips where commissions consumed most profits, which is a hallmark indicator of trading that benefits the advisor more than the client.
3. Under Reg BI's care obligation, a broker must consider reasonably available alternatives. Derek never presented Margaret with a comparison to simpler, lower-cost income strategies such as covered calls on existing holdings or dividend-focused investing, which could have achieved her stated income objective with dramatically lower costs.
4. The fact that Margaret was a retired educator - not a professional trader - and that her stated goal was income generation, not active trading, suggests the volume of activity was disproportionate to her objectives.
5. Under FINRA Rule 2360, the options principal's quarterly review should have caught the elevated activity metrics and prompted a more detailed review of whether the frequency was appropriate.

Arguments against a violation:

1. Margaret actively participated in every trade, logged into her account approximately 3 times daily, called to discuss strategies, and confirmed orders electronically. This level of engagement suggests she exercised de facto control over the account, which traditionally undermines churning claims that require the advisor to have exercised control.
2. The account was net positive (+4.2%), and while it underperformed a 60/40 benchmark, the underperformance was modest (roughly 190 basis points over 18 months). The defined-risk spread strategy also limited drawdowns to under 6%, arguably providing value through lower volatility.
3. The strategies used were entirely within Margaret's approved options level and consistent with her stated objectives of income generation through premiums.
4. Margaret never complained during the 18-month period despite receiving monthly statements showing all trades and costs.
5. Credit spreads on broad-market ETFs are among the most commonly used retail options strategies and are not inherently unsuitable for a moderate-to-aggressive investor seeking income.
6. FINRA RN 21-15 emphasizes that firms must consider account-level activity, but also acknowledges that options strategies may naturally involve higher trade frequency than equity-only accounts.

The quantitative indicators are borderline. The turnover ratio of 5.7 is elevated but below the 6.0 threshold some panels have used as presumptive. The cost-to-equity ratio of 9.8% exceeds the commonly cited 8% threshold but not dramatically. The question of control is genuinely contested - Margaret was highly engaged but relied on Derek's expertise and never independently assessed whether the volume of trading was appropriate for her goals.

Why Borderline

This case sits at the intersection of several genuinely contested issues: (1) quantitative churning indicators

that are elevated but not extreme, (2) a client who was highly engaged and approved every trade but may not have appreciated cumulative cost impact, (3) a positive but suboptimal account return, (4) an income-generation strategy that inherently involves more frequent trading than buy-and-hold, and (5) a failure to present lower-cost alternatives balanced against the client's own expressed interest in active options trading. Reasonable practitioners could disagree about whether the advisor's duty extended to steering the client toward a simpler strategy when the client was actively requesting and approving the more complex approach.

Borderline Factors

- Turnover ratio of 5.7 is elevated but below the 6.0 threshold often cited as presumptive evidence of churning
- Cost-to-equity ratio of 9.8% exceeds the commonly referenced 8% threshold but only moderately
- Client actively participated in and electronically confirmed every trade, raising genuine questions about who controlled trading decisions
- Account produced a positive net return, albeit underperforming a simpler benchmark
- No complaint was filed during the 18-month active period despite monthly statements
- 38 of 247 trades closed within 48 hours, suggesting some trades primarily generated commissions rather than meaningful client benefit
- Advisor never presented a lower-cost alternative strategy comparison despite the availability of simpler income approaches
- Options principal conducted quarterly reviews but did not flag activity, suggesting the firm's own compliance did not view it as clearly excessive
- Client's stated objective of income generation could be achieved through either high-frequency spreads or simpler lower-cost strategies

Likely Outcome

A regulator would likely find a violation, though the sanctions might be moderate rather than severe. The cost-to-equity ratio exceeding commonly accepted thresholds, combined with the failure to present reasonably available lower-cost alternatives under the care obligation, would likely tip the balance. However, the client's active participation and positive account returns would likely mitigate the severity of sanctions. A FINRA arbitration panel might award partial damages representing the difference between actual costs and what a simpler strategy would have cost, rather than full disgorgement. The options principal and supervisory structure would also likely face scrutiny for failing to escalate the elevated activity metrics during quarterly reviews.

Borderline Scenario 60

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) - Options account approval and supervision, including due diligence

Fact Pattern

Marcus Reilly, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000, including \$390,000 in a 401(k) and \$230,000 in a brokerage account at Trident Securities. Marcus has been actively trading equities for about six years and has executed approximately 400 stock trades during that period. He holds no professional financial certifications but reads financial blogs

extensively and has completed two online courses on options strategies offered by a well-known trading education platform. In February 2023, Marcus applied for options trading approval at Trident Securities. On his application, he listed his investment objective as "growth with speculation" and his risk tolerance as "aggressive." He stated he had 18 months of options experience consisting of approximately 30 covered call trades in his account, all of which were profitable or break-even. His listed liquid net worth was \$230,000.

His registered representative, Dana Whitfield, reviewed the application and approved Marcus for Level 3 options trading, which at Trident permits buying calls and puts, writing covered calls, and executing spreads including vertical spreads, calendar spreads, and diagonal spreads. Level 3 does not permit naked writing. Dana noted in her file that Marcus's covered call history demonstrated competence, his income and liquid net worth were sufficient to absorb potential losses, and his stated experience with spread strategies from his educational coursework - though not yet executed in a live account - suggested readiness. She did not conduct a phone interview or in-person meeting but relied on the written application and account history.

Over the following five months, Marcus executed 47 spread trades, primarily bull call spreads and iron condors on large-cap tech stocks. His initial results were mixed but net positive - he earned roughly \$14,000 in profits through June 2023. In July and August, however, Marcus began concentrating his spread positions in a single semiconductor stock ahead of its earnings report, deploying approximately \$80,000 (about 35% of his brokerage account) across overlapping iron condor positions with narrow wings. When the stock moved sharply against him following an unexpected earnings miss, Marcus lost approximately \$52,000 in a two-week period, representing roughly 23% of his liquid net worth.

Marcus filed a complaint alleging that Dana should never have approved him for Level 3 options because his actual live experience was limited to covered calls, that iron condors are a complex multi-leg strategy far beyond what covered call experience prepares someone for, and that no one at the firm followed up or imposed position limits as his concentration grew. He also noted that the options disclosure document was emailed to him as a PDF attachment with no confirmation that he read or understood it.

Trident Securities responded that Marcus's application was truthful, his financial profile was well within the firm's thresholds for Level 3 approval, that spread strategies are defined-risk positions with capped maximum losses, that Marcus independently chose his trades without any recommendation from Dana, and that his educational background in options and six years of active trading demonstrated sophistication. The firm also noted that Marcus's \$52,000 loss, while painful, was within the maximum theoretical loss of the positions he entered and did not exceed his stated risk tolerance for aggressive speculation. Dana added that she monitored the account quarterly and that the concentration developed between review periods.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tension between the adequacy of the account approval process and the customer's own agency in a self-directed trading environment.

Arguments that Dana and Trident violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn the essential facts about a customer before approving options trading. Marcus's live options experience was limited to 30 covered calls - a Level 1 strategy - yet he was approved for Level 3 multi-leg spread strategies including iron condors. Completing online courses is not equivalent to demonstrated competence in executing complex, multi-leg positions in live markets.
2. FINRA Regulatory Notice 21-15 emphasizes that firms must have robust account approval processes for options that go beyond checking boxes on financial thresholds. The absence of a phone call, video meeting, or any interactive assessment of Marcus's understanding of spread mechanics, margin implications, and maximum loss scenarios suggests a deficiency in the approval process. The notice specifically flags concerns about automated or cursory approval processes that fail to assess genuine customer understanding.
3. The OCC Options Disclosure Document must be provided and the firm should have reasonable procedures to confirm the customer received and had an opportunity to review it before trading. Emailing a PDF with no read-receipt, acknowledgment click-through, or follow-up creates doubt about whether the delivery obligation under FINRA Rule 2360(b)(16)(A) was meaningfully satisfied.
4. The firm's quarterly review cadence allowed Marcus to build a concentrated 35% position in overlapping iron condors on a single stock without triggering any supervisory flag. While iron condors are technically defined-risk, the concentration in a single name ahead of a binary event (earnings) materially increased the probability of maximum loss, which arguably warranted heightened scrutiny.

Arguments that Dana and Trident acted reasonably:

1. Level 3 strategies at Trident are defined-risk: spreads have capped maximum losses, unlike naked options. The approval was not for unlimited-risk strategies. Marcus could calculate his maximum exposure before entering any trade, and his \$52,000 loss fell within the theoretical maximum of positions he knowingly entered.
2. Marcus's financial profile - \$185,000 income, \$230,000 liquid net worth, aggressive risk tolerance, growth-with-speculation objective - comfortably met the firm's documented thresholds for Level 3 approval. His six years of active equity trading and educational coursework on spreads supplemented his 18 months of live options experience.
3. Marcus was self-directed. Dana did not recommend any specific options trade, strategy, or position size. Under Reg BI, the recommendation trigger is essential - if Marcus independently chose to concentrate in a single stock's iron condors, the firm's obligation is supervisory rather than transactional suitability-based.
4. The \$52,000 loss represents approximately 23% of liquid net worth, which while significant, is not catastrophic for a 34-year-old high earner with aggressive stated risk tolerance and substantial retirement savings. The loss did not threaten his overall financial security.

5. Covered calls, while simpler, do demonstrate understanding of options mechanics including premium collection, assignment risk, and time decay - foundational concepts underlying spread strategies.

Why Borderline

The case sits at the intersection of several genuinely debatable questions: (1) whether defined-risk spread approval requires demonstrated live experience with spreads specifically or whether covered call experience plus education is sufficient; (2) whether a self-directed trader's concentration choices trigger the firm's supervisory obligations or fall within the customer's own agency; (3) whether the gap between quarterly reviews was unreasonable given the speed at which options positions can concentrate; and (4) whether emailing the OCC disclosure document without interactive confirmation constitutes adequate delivery in practice. Reasonable compliance professionals would disagree on each of these points, and the customer's profile has elements supporting both sides - genuine sophistication mixed with limited live multi-leg experience.

Borderline Factors

- Customer had 18 months of live options experience but only in covered calls, not multi-leg spreads - gap between Level 1 experience and Level 3 approval is debatable
- Educational coursework on spreads partially bridges the experience gap but is not equivalent to live trading experience
- Level 3 approval was for defined-risk strategies only - not naked/unlimited-risk writing - limiting potential harm
- Customer's financial profile clearly met quantitative thresholds for the approval level
- No recommendation was made by the advisor - all trades were self-directed
 - Concentration developed between quarterly review cycles, raising questions about supervisory frequency adequacy
- OCC disclosure document was delivered electronically without interactive confirmation of receipt or comprehension
- The \$52,000 loss was within the theoretical maximum of positions voluntarily entered by the customer
- Customer is young, high-earning, and stated aggressive risk tolerance - loss does not threaten financial stability
- No phone interview or interactive assessment was conducted despite the jump from covered calls to complex spreads

Likely Outcome

A regulator would most likely find a supervisory deficiency in the account approval process rather than a clear-cut suitability violation. The lack of any interactive assessment when approving a customer for multi-leg strategies based solely on covered call experience would likely be viewed as inconsistent with the due diligence expectations articulated in FINRA RN 21-15 and Rule 2360(b)(16). However, the self-directed nature of the trades, the defined-risk character of the approved strategies, and Marcus's financial profile would likely mitigate the finding significantly. The firm would probably receive a cautionary letter or modest fine focused on the approval process and supervisory review frequency rather than a finding of unsuitable recommendation, since no specific recommendation was made. The OCC disclosure delivery method would likely draw a separate procedural finding. Total exposure would likely be limited, with the firm potentially required to enhance its options approval procedures and supervisory review cadence rather than pay full restitution.

Borderline Scenario 61

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2360(b)(16) (options account approval requirements, including assessment)*

Fact Pattern

Margaret Kowalski, age 58, is a retired school principal with a \$1.4 million portfolio, roughly split between a \$900,000 IRA and a \$500,000 taxable brokerage account at Pinnacle Securities. Her stated investment objectives are growth and income with a moderate risk tolerance. She has no earned income but receives a \$4,200/month pension and \$1,100/month from Social Security. She listed her investment experience on her new account form as '15+ years in stocks and mutual funds' and indicated she had 'limited' options experience, specifically noting she had sold covered calls on individual stock positions roughly a dozen times over the past five years through a prior brokerage.

In March 2023, Margaret's advisor, David Yoon, discussed expanding her options trading to generate additional income in the taxable account. He proposed a strategy of selling cash-secured puts on blue-chip stocks (companies like Johnson & Johnson, Procter & Gamble, and Coca-Cola) at strike prices 8-12% below the current market price, targeting approximately \$2,000-\$3,000 per month in premium income. David explained that the worst-case outcome would be purchasing shares she would be comfortable owning at prices below current levels, and that she would need to keep sufficient cash or cash equivalents in the account to cover potential assignments.

David submitted an options account upgrade request, recommending Margaret be approved for Level 2 options trading, which at Pinnacle covers covered calls, protective puts, and cash-secured puts. The branch manager approved the request. Over the following 14 months, Margaret executed 47 cash-secured put trades. Forty-one expired worthless (generating approximately \$31,400 in premium), four were rolled before expiration, and two resulted in stock assignment - she was assigned 200 shares of Procter & Gamble and 300 shares of Coca-Cola, both of which she continued to hold and later sold covered calls against.

However, to maintain sufficient cash reserves for the put-selling strategy, David recommended Margaret liquidate approximately \$175,000 in bond mutual funds in the taxable account and hold the proceeds in a money market fund as collateral. This reduced her fixed-income allocation from approximately 35% of the overall portfolio to roughly 22%. At various points, between \$80,000 and \$150,000 of the taxable account sat in money market funds specifically reserved as put collateral.

In January 2025, Margaret filed a complaint alleging that David mischaracterized her risk profile to obtain options approval, that selling puts was too risky for a retiree, and that converting bonds to cash collateral harmed her income stream and portfolio diversification. She noted that the bond funds she liquidated had appreciated approximately 9% by the time of her complaint due to falling interest rates in late 2024. Margaret's daughter, who works as a compliance analyst at a different financial firm, helped her draft the complaint. David contends that Margaret understood the strategy, that cash-secured puts on blue-chip equities are among the most conservative options strategies, that the premium income exceeded what the bonds were yielding, and that Margaret enthusiastically participated in every trade, frequently calling him to discuss which stocks to target.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations on multiple dimensions.

Arguments that David violated applicable standards:

1. Risk profile characterization: Margaret listed 'limited' options experience. While she had sold covered calls, cash-secured puts involve a meaningfully different risk - the obligation to purchase shares during a market decline, potentially concentrating equity exposure at precisely the wrong time. A regulator could argue that 'limited' experience with covered calls does not support Level 2 approval that includes put-selling strategies.
2. Portfolio restructuring impact: Liquidating \$175,000 in bond funds fundamentally altered Margaret's asset allocation. For a 58-year-old retiree with no earned income, reducing fixed-income exposure from 35% to 22% represents a material change in portfolio risk profile. The bonds provided stable income and diversification; the replacement strategy (money market plus put premium) introduced path-dependent income and equity downside risk.
3. Cash drag and opportunity cost: Holding \$80,000-\$150,000 in money market as put collateral created significant cash drag. While the money market earned some yield, the combined return of money market plus put premium must be weighed against the total return of the liquidated bond position - which, in hindsight, appreciated 9%.
4. Under FINRA Rule 2360(b)(16), the branch manager approving options accounts must consider the customer's investment objectives, financial situation, investment experience, and the types of transactions for which approval is sought. A moderate-risk-tolerance retiree with 'limited' options experience arguably does not cleanly fit a put-selling approval.
5. Under Reg BI and FINRA RN 21-15 (which provides guidance on options account opening and supervision in the context of Reg BI), the advisor has obligations at both the account-level recommendation (to open/upgrade the options account) and the transaction level. The recommendation to restructure the portfolio to facilitate options trading could itself be viewed as a recommendation requiring best interest analysis.

Arguments that David acted appropriately:

1. Cash-secured puts on blue-chip equities are widely regarded as one of the most conservative options strategies, functionally equivalent to placing a limit buy order while collecting premium. The OCC Options Disclosure Document describes this strategy, and many firms classify it at a relatively low approval level.
2. Margaret had 15+ years of equity investment experience and prior options experience (covered calls). Cash-secured puts are conceptually the mirror image of covered calls - she was already comfortable with the obligation side of options contracts.

3. The strategy was profitable: \$31,400 in premium over 14 months on approximately \$80,000-\$150,000 in collateral represents a meaningful yield enhancement. The two assignments resulted in ownership of high-quality dividend stocks that she continued to manage with covered calls - a textbook outcome.
4. Margaret actively participated in trade selection and execution. Her engagement suggests informed consent and understanding of the strategy.
5. The bond liquidation, while reducing fixed-income allocation, still left her with approximately 22% in fixed income plus the money market holdings. Including money market as quasi-fixed-income, her conservative allocation was arguably higher than 22%.
6. Opportunity cost arguments (the bonds appreciated 9%) are inherently retrospective and should not be used to judge the reasonableness of a recommendation at the time it was made.
7. Margaret's pension (\$4,200/month) and Social Security (\$1,100/month) provide \$63,600 in annual guaranteed income, reducing her dependence on portfolio-generated fixed income and arguably supporting a somewhat more growth-oriented approach even in retirement.

Why Borderline

This is a genuine gray area because cash-secured puts on blue-chip stocks occupy an unusual position in the risk spectrum - they are technically options strategies (triggering heightened scrutiny) but are functionally among the most conservative income strategies available. The customer had some but limited options experience, was retired but not elderly, had substantial guaranteed income, and actively participated in the strategy. The portfolio restructuring to facilitate the strategy is the most problematic element, but even there, the total conservative allocation (bonds plus money market collateral) was not dramatically reduced. The complaint appears significantly influenced by hindsight bias regarding bond performance and by the involvement of the customer's compliance-professional daughter, raising questions about whether the customer's contemporaneous understanding differed from her post-hoc characterization.

Borderline Factors

- Cash-secured puts are classified as options strategies requiring approval but are functionally conservative and equivalent to limit buy orders with premium
- Customer had 'limited' but non-zero options experience - the gap between covered calls and cash-secured puts is debatable
- Retiree status triggers heightened scrutiny but substantial guaranteed income (\$63,600/year) reduces portfolio dependency
- Bond liquidation materially altered asset allocation but the combined money market plus put premium strategy was income-generating
- Customer actively participated in trade selection over 14 months and 47 trades before complaining
- Complaint timing coincides with retrospective knowledge of bond appreciation - hindsight bias is a significant confound
- The daughter's professional involvement in drafting the complaint may have reframed the customer's understanding of her own experience level
- Level 2 approval (the lowest level including put-selling) is the most conservative tier that permits this

strategy

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a suitability violation. The strategy was objectively conservative, profitable, and consistent with the customer's stated growth-and-income objectives. The strongest regulatory concern would center on the bond liquidation and its impact on portfolio diversification, but the advisor can credibly argue that money market collateral plus put premium was a reasonable alternative income approach. However, a regulator might issue supervisory concerns about the adequacy of documentation at the account approval stage - specifically whether the branch manager's review sufficiently analyzed how a 'limited' options experience customer was suited for put-selling, and whether the portfolio restructuring recommendation was separately documented and analyzed as required. A negotiated settlement involving enhanced supervisory procedures (but no finding of violation) is the most probable outcome.

Borderline Scenario 62

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) requires member firms to exercise due diligence to ascertain essential

Fact Pattern

Marcus Webb, age 34, opened a brokerage account at Clearpoint Securities in March 2022. On his new account application, he listed his annual income as \$95,000, liquid net worth of \$140,000, and total net worth of \$310,000 (including his home equity). He described his investment experience as follows: 5 years of stock trading, 2 years of ETF investing, and 18 months of 'self-directed options trading on a mobile app' where he said he primarily bought calls and puts and occasionally sold covered calls. He indicated his investment objective was 'growth' with a 'moderate-to-aggressive' risk tolerance and a time horizon of 10-15 years. His account held approximately \$62,000 in equities and \$23,000 in cash at the time of his options application.

His assigned advisor, Dana Castillo, conducted a 25-minute phone call with Marcus to discuss his options experience and goals. During the call, Marcus explained that he had made roughly 200 options trades over the prior 18 months on a popular commission-free mobile platform, that he understood the Greeks 'at a basic level,' and that he had experienced a \$9,400 loss on a concentrated position in short-dated call options on a meme stock in early 2021 but had otherwise been 'roughly break-even.' He said he wanted the ability to sell cash-secured puts and vertical credit spreads to generate income, describing it as a strategy he had learned from YouTube tutorials and online forums. He also mentioned he wanted to eventually try iron condors.

Dana approved Marcus for Level 3 options trading, which at Clearpoint includes buying calls and puts, covered call writing, cash-secured puts, and all spread strategies including vertical, horizontal, diagonal, and iron condors. Level 4, which Clearpoint restricts to customers with \$250,000+ in liquid net worth and 3+ years of documented options experience, would have included naked put and call writing. Dana's notes from the call stated: 'Client demonstrates functional understanding of defined-risk options strategies. Experience consistent with Level 3 approval. Client aware that spread strategies carry risk of max loss on defined-risk trades.'

Over the following 8 months, Marcus executed 147 options trades. Approximately 60% were vertical credit spreads on large-cap stocks and broad ETFs, 25% were cash-secured puts, and 15% were long calls and puts. His account value fluctuated but experienced a net decline of approximately \$14,200 (roughly 17% of his initial account value) by November 2022, largely attributable to a series of bull put spreads on technology stocks during the Q3-Q4 market downturn. At no point did his losses exceed his stated risk tolerance thresholds on any single trade, but the cumulative effect was significant relative to his liquid net worth.

Marcus filed a complaint in January 2023 alleging that Dana should not have approved him for spread strategies given that his prior experience was entirely on a gamified mobile app, that 18 months of self-taught trading was insufficient, and that the approval process consisted of only a single phone call without any written comprehension assessment. He argued that his losses were a foreseeable consequence of being granted access to strategies beyond his genuine competence.

Clearpoint responded that Marcus's application accurately reflected moderate options experience, that defined-risk spread strategies are appropriate for growth-oriented investors with his profile, that Level 3 specifically excludes the most dangerous naked strategies, that Marcus was provided the standardized options risk disclosure document and signed it, and that his trading pattern showed disciplined position sizing consistent with someone who understood the strategies. They also noted that the losses were primarily market-driven during a broad tech selloff, not the result of strategy misuse.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dana violated applicable standards: The approval process arguably lacked rigor. An 18-month track record of self-directed trading on a commission-free mobile platform—an environment widely criticized by regulators for gamification and inadequate investor education—may not constitute genuine, verifiable options experience. Dana relied heavily on Marcus's self-reported understanding without administering any objective comprehension test or quiz, and a single 25-minute phone conversation may be insufficient to assess whether a client truly understands the multi-leg strategies included in Level 3 (particularly iron condors and diagonal spreads, which Marcus had never actually executed). The cumulative \$14,200 loss represented over 10% of Marcus's liquid net worth, and the concentration of bull put spreads during a volatile period suggests Marcus may not have fully appreciated directional risk in credit spread strategies. Regulators have expressed heightened concern about the adequacy of options approval processes at firms that serve younger, digitally native investors whose 'experience' was gained in highly unusual market conditions (2020-2021 meme stock era).

Arguments that Dana acted appropriately: Marcus was 34, employed, had a reasonable net worth, explicitly stated a growth objective with moderate-to-aggressive risk tolerance, and self-reported 18 months and roughly 200 trades of options experience—a non-trivial track record. Level 3 approval was specifically limited to defined-risk strategies; the maximum possible loss on any individual trade was calculable and bounded. Dana's notes reflected a substantive conversation about Marcus's knowledge. The OCC options disclosure document was provided and signed. Marcus's actual trading pattern—primarily vertical spreads and

cash-secured puts on liquid, large-cap underlyings-was consistent with the strategies discussed and showed position sizing discipline. The losses were driven by a broad market downturn, not by strategy misapplication or excessive leverage. There is no regulatory requirement for a written examination prior to options approval, and Marcus was not approved for naked or unlimited-risk strategies. A 17% drawdown over 8 months during a significant equity bear market, while painful, is within the range of outcomes any growth-oriented investor might experience even with a stock-only portfolio.

Why Borderline

This scenario sits at the intersection of several genuinely contested questions in options suitability: (1) whether self-taught experience on gamified mobile platforms should carry the same weight as experience gained through traditional brokerage relationships; (2) whether a phone conversation without standardized testing constitutes adequate due diligence for spread strategy approval; (3) whether cumulative portfolio losses from individually defined-risk trades can, in aggregate, render the approval itself unsuitable; and (4) how much responsibility lies with the approving advisor versus the self-directed client who accurately represented his experience and chose his own trades. Reasonable practitioners disagree about whether 18 months and 200 trades constitutes 'sufficient' experience for multi-leg spreads, and regulators have signaled concern about mobile-app-era approvals without clearly drawing a bright line.

Borderline Factors

- Options experience was entirely self-directed on a gamified mobile platform with no formal education or mentorship
- 18 months and ~200 trades is non-trivial but occurred during historically unusual meme-stock market conditions
- Level 3 approval included iron condors and diagonal spreads Marcus had never actually traded
- Approval was based on a single 25-minute phone call with no written comprehension assessment
- All approved strategies were defined-risk with calculable maximum losses
- Client was not approved for naked/unlimited-risk strategies (Level 4 was denied by design)
- Client received and signed the OCC options disclosure document
- Losses were market-driven during a broad selloff rather than from strategy misuse
- Cumulative losses of ~17% were significant relative to liquid net worth but not catastrophic
- Client's actual trading showed disciplined position sizing consistent with competence
- Regulatory environment has heightened scrutiny of options approvals for retail investors in the post-2020 era

Likely Outcome

A regulator would likely find this a close case but would most probably focus on the procedural adequacy of the approval rather than the account-level losses. The strongest ground for a finding of violation would be approving Marcus for iron condors and diagonal spreads he had never executed, based solely on a brief phone call with no written assessment-particularly given heightened regulatory expectations around options approval processes for retail investors. However, the defined-risk nature of all approved strategies, Marcus's non-trivial trading history, his signed acknowledgment of the options risk disclosure, and the market-driven nature of the losses would serve as significant mitigating factors. A regulator would most likely conclude that the approval process was deficient in its documentation and rigor (potentially resulting in a supervisory deficiency finding against the firm), but would struggle to establish that the Level 3 approval itself was clearly unsuitable given Marcus's overall profile. The most probable outcome is a

cautionary finding with recommendations for enhanced approval procedures rather than a full suitability violation with restitution.

Borderline Scenario 63

Topic: *options_unsuitable* | Standard: *FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); FINRA R*

Fact Pattern

Marcus Webb, age 34, is a software engineer earning \$185,000 per year with a net worth of approximately \$620,000, including a \$290,000 brokerage account. He opened an options account at Ridgeline Securities in March 2023. On his account application, Webb indicated 3 years of options trading experience, primarily buying calls and puts through a self-directed mobile app, where his account records show approximately 140 completed trades over a 30-month period. He listed his investment objective as 'growth/speculation,' risk tolerance as 'aggressive,' and stated he had no dependents and minimal fixed expenses beyond rent. His annual income was independently verified.

Webb's assigned advisor, Danielle Cho, approved him for Level 3 options trading, which at Ridgeline includes the ability to sell uncovered (naked) puts and execute multi-leg spread strategies such as iron condors and credit spreads. Cho conducted a 20-minute phone consultation with Webb, during which he described his prior experience as 'mostly buying short-dated calls on tech stocks and a few covered calls in my other account.' He said he had watched 'dozens of YouTube tutorials' on selling premium strategies and had paper-traded iron condors for about six weeks. Webb told Cho he wanted to 'generate monthly income by selling options premium' and specifically asked to be approved for naked put writing.

Cho noted internally that Webb's prior experience was predominantly directional long options, not short premium strategies, but concluded that his income, liquid net worth, stated risk tolerance, and paper-trading experience were sufficient for Level 3. She emailed Webb the OCC Options Disclosure Document and confirmed he received it, though there is no record he acknowledged reading it beyond an auto-confirmation click.

Between April and September 2023, Webb executed approximately 60 trades involving short put spreads and iron condors on large-cap tech names. His account fluctuated but was net profitable by about \$14,000 through August. In late September 2023, Webb began selling naked puts on two mid-cap biotech stocks ahead of FDA decision dates. These positions were not spread-protected. On October 3, 2023, one biotech stock dropped 42% after a failed drug trial, and Webb's naked put position resulted in assignment and a loss of \$67,000 - roughly 23% of his brokerage account. A second position lost an additional \$19,000. Webb's total losses from the two naked put trades were \$86,000.

Webb filed a complaint alleging that Cho never should have approved him for Level 3 given that his actual trading history was limited to buying options and covered calls, and that a 20-minute phone call and six weeks of paper trading were insufficient to qualify him for strategies involving theoretically unlimited loss exposure. He also contends that Cho failed to follow up or monitor his account as his strategies shifted from diversified spread trades to concentrated naked positions on volatile biotech names.

Cho and Ridgeline respond that Webb's financial profile - including substantial liquid assets, high income, no dependents, an aggressive risk tolerance, and a demonstrated pattern of active trading - met the firm's written criteria for Level 3 approval. They note Webb specifically requested naked put authority, that he was provided and acknowledged the disclosure document, and that his first five months of trading were successful and disciplined. They argue the losses resulted from Webb's own decision to concentrate risk in binary-event biotech positions, a departure from his earlier pattern that occurred without any recommendation or encouragement from Cho. Ridgeline's written supervisory procedures require a review of options approval levels only at account opening and at annual review, and Webb's losses occurred seven months after opening, before any annual review was triggered.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The central question is whether Cho's initial Level 3 approval was deficient and whether she had an ongoing duty to monitor Webb's account as his strategies evolved.

Arguments that Cho violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving options trading, including the customer's investment experience, financial situation, and investment objectives. Webb's actual experience was almost entirely limited to buying long calls and covered calls - directionally simple strategies with defined risk. Selling naked puts involves theoretically substantial downside exposure, a fundamentally different risk profile. A 20-minute phone call and six weeks of paper trading may not constitute adequate diligence to bridge this experience gap.
2. FINRA Regulatory Notice 21-15 specifically warns firms about deficiencies in options account approval processes, particularly in the context of app-based or streamlined onboarding. The Notice emphasizes that firms should not rely solely on customer self-reported information and should consider whether the customer's actual demonstrated experience supports the level of approval granted. Webb's self-reported 3 years of experience was technically accurate but misleading as to sophistication with short premium strategies.
3. The OCC Options Disclosure Document was delivered, but the acknowledgment was a single auto-click with no evidence Webb read or understood the sections on uncovered writing risks. Under the OCC framework and FINRA's guidance, mere delivery may be insufficient when the customer's profile suggests a gap between their experience and the approved strategy level.
4. Under Reg BI's care obligation, when making a recommendation or approving an account feature, a broker-dealer must exercise reasonable diligence, care, and skill. Approving Level 3 - which includes naked writing - could be viewed as implicitly recommending or endorsing the customer's ability to engage in those strategies. The approval itself functions somewhat like a recommendation of account type.

5. Regarding ongoing monitoring: while Ridgeline's procedures only require annual review, FINRA Rule 2360(b)(16)(B) requires that a firm's options principal approve each account and that the approval take into account the nature of proposed transactions. When Webb shifted from defined-risk spreads to concentrated naked puts on binary-event biotech stocks, a reasonable argument exists that Cho or the firm's supervisory system should have flagged the change in strategy and risk profile.

Arguments that Cho did not violate applicable standards:

1. Webb's financial profile objectively met Ridgeline's documented Level 3 criteria: \$185,000 income, \$620,000 net worth, \$290,000 liquid brokerage assets, aggressive risk tolerance, no dependents. Many firms approve Level 3 for customers with comparable or lesser profiles.

2. Webb had 140 completed options trades over 30 months - an active trading history that distinguishes him from a true novice. While his experience was predominantly long options, he also had covered call experience, and his paper-trading of iron condors showed initiative to learn multi-leg strategies.

3. Webb explicitly requested naked put authority and articulated a coherent strategy (selling premium for monthly income). He was not steered or recommended into these strategies by Cho.

4. For the first five months, Webb traded responsibly - executing spread strategies on large-cap names and generating profits. His losses stemmed from a voluntary, self-directed decision to abandon spread protection and concentrate in event-driven biotech positions. Cho did not recommend these trades.

5. FINRA Rule 2360 does not impose a continuous, real-time monitoring obligation for self-directed options accounts. The annual review cycle was consistent with the firm's written supervisory procedures. Many firms distinguish between recommended accounts (which require ongoing monitoring under Reg BI) and self-directed accounts where the customer makes autonomous trading decisions.

6. The \$86,000 loss, while painful, represented roughly 14% of Webb's total net worth and 30% of his brokerage account - significant but not catastrophic for someone with his income and no dependents. This cuts against an argument that the approval itself was inherently unsuitable.

Why Borderline

This scenario sits at the intersection of several genuinely contested issues in options compliance: (1) how much weight should be given to a customer's financial capacity versus their actual experience with the specific strategy being approved; (2) whether self-reported experience that is technically accurate but strategically inapplicable satisfies due diligence requirements; (3) whether the account approval itself constitutes an implicit recommendation subject to best-interest analysis; (4) the extent of ongoing monitoring obligations for self-directed options accounts; and (5) whether losses from a customer's own strategic pivot (from spreads to naked positions on event-driven stocks) should be attributed to the initial approval decision. The customer's profile genuinely supports both sides - he is financially capable and actively engaged, yet his experience gap with short premium strategies is real, and the approval process was arguably cursory.

Borderline Factors

- Webb's financial profile (income, net worth, risk tolerance) clearly met the firm's documented Level 3 criteria, but his actual trading experience was almost entirely in defined-risk long options - a material disconnect with naked writing strategies
- Six weeks of paper trading iron condors provides some evidence of preparation but is arguably insufficient for strategies with theoretically unlimited loss potential
- The 20-minute phone consultation may or may not constitute adequate due diligence depending on how one weighs the quality of the conversation versus its brevity
- Webb's first five months of disciplined, profitable trading in spread strategies suggests the initial approval was not unreasonable at the time
- The losses arose from Webb's own unsolicited decision to concentrate in naked puts on binary-event biotech stocks - a material departure from his stated strategy and prior pattern
- The auto-click acknowledgment of the OCC disclosure document satisfies technical delivery requirements but raises questions about whether meaningful disclosure occurred
- Ridgeline's annual review cycle is industry-standard but meant the strategy shift went unreviewed for months
- The regulatory landscape post-2020 has heightened scrutiny of streamlined options approvals, but industry practice still varies widely on what constitutes sufficient experience verification

Likely Outcome

A regulator would most likely find a partial violation. The initial Level 3 approval would likely be found deficient under the heightened scrutiny framework articulated in FINRA RN 21-15, particularly because Webb's demonstrated experience with short premium strategies was limited to six weeks of paper trading, and the 20-minute phone consultation was arguably insufficient to bridge the gap between his long-options experience and the risk profile of naked writing. However, a regulator would likely attribute significant responsibility to Webb for the specific losses, since they resulted from his own unsolicited decision to abandon spread strategies and concentrate in event-driven biotech positions - a strategy shift that was neither recommended nor encouraged by Cho. The most probable enforcement outcome would be a finding against the firm for inadequate options approval procedures and potentially inadequate supervisory systems to detect material strategy drift, with damages mitigated by Webb's contributory conduct. A panel might reduce any damages award by 40-60% based on Webb's own decision-making.

Borderline Scenario 64

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability, including quantitative suitability/churning); FINRA Rule 2360 (O

Fact Pattern

Marcus Ridley, age 44, is a software engineering manager earning \$285,000 annually with a net worth of approximately \$1.9 million, including a \$640,000 brokerage account at Keystone Securities opened in March 2022. Ridley's new account form listed his investment objective as 'growth/speculation,' his risk tolerance as 'aggressive,' and his investment experience as 'extensive' - he had been trading equities for 12 years and options for about 3 years at a prior discount brokerage. He was approved for Level 3 options trading, which permitted covered calls, protective puts, spreads, and naked put writing. His assigned registered representative, Dana Cho, had 11 years of industry experience and held the Series 7, Series 66, and had completed an advanced options certification course.

Between April 2022 and September 2023 (18 months), Cho recommended 347 options trades in the account. The vast majority - roughly 280 - were short-dated vertical spreads on large-cap technology stocks and broad market ETFs, typically held for 2 to 8 trading days. Many positions were opened and closed within the same week. Cho also recommended approximately 40 covered call positions on stocks Ridley already held, and 27 protective put purchases ahead of earnings announcements. The account generated approximately \$114,000 in total commissions and fees over the period, against an average account equity of roughly \$590,000, producing an annualized cost-to-equity ratio of approximately 12.9%. The annualized turnover ratio was approximately 9.2.

The account's gross trading gains over the 18-month period were approximately \$167,000, but after subtracting the \$114,000 in commissions and fees, Ridley's net gain was approximately \$53,000, representing a net return of roughly 9% over 18 months (approximately 6% annualized). During the same period, the S&P 500 returned approximately 14%.

Ridley was an active participant throughout. He texted Cho frequently - sometimes multiple times per day - asking about market catalysts, suggesting specific expiration dates, and occasionally initiating trade ideas himself (records show Ridley initiated roughly 60 of the 347 trades). Cho's branch manager reviewed the account under the firm's automated exception reporting system, which flagged the account twice for elevated commission-to-equity ratios. Both times, the branch manager spoke with Cho and documented that the customer was sophisticated, had aggressive objectives, and was actively engaged. No restrictions were placed on trading.

In November 2023, after the account experienced a \$38,000 drawdown in a single week from several short-dated spreads that expired at maximum loss, Ridley filed a complaint alleging that Cho had churned his account through excessive options trading, that the commissions consumed most of his gains, and that he could have achieved better returns by simply holding an index fund. Ridley stated he trusted Cho's judgment on position sizing and frequency, and that while he occasionally suggested trades, Cho determined the overall strategy and tempo of trading. Cho responded that Ridley was a willing, informed, and active participant who understood and approved every trade, that the short-dated spread strategy was consistent with Ridley's stated aggressive/speculative objectives, and that the account was profitable on a net basis throughout most of the period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario requires analysis across several dimensions: control, excessive activity metrics, customer profile, and the nature of the options strategies employed.

****Arguments Supporting a Violation (Churning/Excessive Trading):****

1. ****Quantitative Indicators:**** Under FINRA Rule 2111 and longstanding arbitration precedent, an annualized cost-to-equity ratio above 8% and a turnover ratio above 6 are frequently cited as presumptive evidence of excessive trading. Here, the cost-to-equity ratio of ~12.9% and turnover ratio of ~9.2 both

exceed these thresholds significantly. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)(B)), a broker must not place the interest of the broker-dealer ahead of the customer, and a pattern of recommendations that generates outsized commissions relative to performance is strong evidence of self-interested behavior.

2. **Opportunity Cost:** Ridley's net annualized return of approximately 6% substantially underperformed the broad market (~14% annualized). While underperformance alone is not dispositive, the fact that \$114,000 in commissions and fees consumed roughly 68% of the account's gross gains strongly suggests the trading primarily benefited the advisor.

3. **De Facto Control:** Even though Ridley initiated some trades, Cho determined the 'overall strategy and tempo' of trading according to Ridley's account. Under FINRA's framework for analyzing churning claims, de facto control can exist even without discretionary authority if the customer routinely follows the advisor's recommendations. Ridley initiated only about 17% of the trades, and the remaining 83% were Cho's recommendations.

4. **Supervisory Gaps:** The firm's exception reports flagged the account twice, yet the branch manager's response was limited to conversations with the representative. Under FINRA Rule 3110 and FINRA RN 21-15 (which specifically addresses options account supervision), the firm had an obligation to conduct a more searching review, particularly given that the account involved short-dated options with rapid turnover.

Arguments Against a Violation:

1. **Customer Sophistication and Engagement:** Ridley was a high-income technology professional with 12 years of equity trading experience and 3 years of options experience. He was approved for Level 3 options trading and listed his objectives as growth/speculation with aggressive risk tolerance. He texted Cho multiple times daily, suggested specific trades, and was clearly an active, engaged participant - not a passive, unsophisticated investor being led by an advisor.

2. **Account Was Profitable:** Unlike many churning cases where the customer suffers net losses, Ridley's account generated a net gain of approximately \$53,000 over 18 months. While this underperformed the S&P 500, the customer did not select a passive index strategy - he affirmatively chose an active, speculative options approach.

3. **Nature of Options Trading:** Short-dated vertical spreads inherently involve higher turnover than equity buy-and-hold strategies. Traditional turnover ratio and cost-to-equity metrics were developed primarily for equity accounts and may overstate activity levels in options-focused accounts where positions have defined, short-duration lifespans. FINRA has acknowledged that options accounts require context-sensitive analysis.

4. **Customer Initiated Trades:** Approximately 60 trades were initiated by Ridley himself, demonstrating that the customer was not merely rubber-stamping Cho's recommendations but was an active co-participant in the strategy.

5. ****Consistent with Stated Objectives:**** Aggressive speculation with short-dated options spreads is consistent with the customer's stated objectives and risk tolerance. The OCC Options Disclosure Document, which Ridley would have received, specifically warns of the risks of short-term options trading and rapid capital deployment.

****Reg BI Analysis:**** Under Regulation Best Interest, the question is whether each recommendation (and the series of recommendations viewed holistically) was in the customer's best interest at the time made, considering the customer's investment profile, without placing the broker's interest ahead of the customer's. The pattern of generating \$114,000 in commissions on a ~\$590,000 account in 18 months creates significant tension with this standard, even for an aggressive speculator.

Why Borderline

This case sits at the intersection of several genuinely contested issues: (1) the quantitative churning metrics are elevated but not extreme for an options-focused account, where higher turnover is structurally inherent; (2) the customer was demonstrably sophisticated, engaged, and co-participatory, complicating the 'control' element required for churning; (3) the account was net profitable, though it underperformed passive alternatives; and (4) the trading strategy was facially consistent with the customer's stated aggressive/speculative objectives. Reasonable arbitrators and regulators could disagree about whether the frequency of trading crossed the line from aggressive-but-suitable to excessive-and-self-serving.

Borderline Factors

- Cost-to-equity ratio of 12.9% exceeds typical churning thresholds but may be inflated by the structural nature of short-dated options trading
- Customer initiated roughly 17% of trades and was actively engaged daily, complicating the 'de facto control' element
- Account was net profitable (\$53,000 gain) but underperformed passive benchmarks and surrendered 68% of gross gains to commissions
- Customer's stated objectives (aggressive speculation) and experience (3 years options trading) are consistent with the strategy employed
- Firm's supervisory system flagged the account twice but branch manager documented rationale and took no further action
- Turnover ratio of 9.2 is high even for options accounts but short-dated spreads inherently generate elevated turnover statistics
- Customer complaint was triggered by a specific drawdown event rather than a pattern concern, suggesting possible hindsight bias

Likely Outcome

A regulator or arbitration panel would more likely than not find a violation, though not overwhelmingly so. The quantitative metrics are sufficiently elevated to shift the burden to the advisor and firm to justify the level of activity, and the fact that commissions consumed 68% of gross gains strongly suggests the trading benefited the advisor disproportionately. While Ridley's sophistication and active participation would likely mitigate damages significantly, they would not fully negate the claim because de facto control can exist even with an engaged customer when the advisor sets the overall pace and strategy. The supervisory response - acknowledging the flags but taking no corrective action - would likely be viewed as inadequate under current expectations for options account oversight. A probable outcome would be a finding of

excessive trading with reduced damages (perhaps 40-60% of commissions charged) reflecting the customer's contributory role.

Borderline Scenario 65

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2360(b)(16)(A)-(B) (options account approval and ODD*

Fact Pattern

Maria Delgado, age 34, works as a dental hygienist earning \$72,000 per year. She has a brokerage account with \$185,000, representing the bulk of her savings apart from a small 401(k) with \$28,000. She has no formal financial education but has traded equities for approximately three years, mostly buying and holding large-cap stocks and broad ETFs. In March 2023, she told her financial advisor, Kevin Braxton, that she had been watching YouTube videos about generating income with options and wanted to start selling covered calls on positions she already owned. Braxton reviewed her account and saw that she held approximately 600 shares of a large-cap technology company, 400 shares of a consumer staples company, and 300 shares of a major bank stock, along with various ETF positions. Braxton approved her for a Level 2 options account (covered calls and cash-secured puts) after a 25-minute phone conversation in which he explained the mechanics of covered calls, the risk of assignment and having shares called away, and the limited upside tradeoff. He did not provide her with the Options Disclosure Document during the call but mailed it to her three days later; she electronically acknowledged receipt five days after that. Over the next four months, Maria sold covered calls on her technology and bank holdings, generating approximately \$4,800 in premium income. The trades were consistently 15-30 days to expiration, slightly out of the money, and none resulted in assignment. In July 2023, after reading about ODTE (zero days to expiration) options on social media, Maria asked Braxton about selling cash-secured puts on the S&P 500 index using same-day expiration contracts. Braxton was initially hesitant but after Maria persisted over two separate phone calls spanning a week, he upgraded her account to Level 3 (which at his firm included spreads and cash-secured puts on index options). He documented that she understood the accelerated time decay and the risk of rapid adverse moves in ODTE contracts. He required her to limit cash-secured put positions to no more than \$25,000 in notional exposure at any time, representing roughly 13% of her account. Over the next five months, Maria sold ODTE cash-secured puts on S&P 500 index options approximately 3-4 times per week, generating a cumulative \$11,200 in premium income. On one occasion in October 2023, a sharp intraday selloff caused a single put to be exercised, resulting in a \$6,400 loss. Her net gain across all options activity for the year was approximately \$9,600. Maria did not complain and expressed satisfaction with her results. However, during an internal branch audit in January 2024, the compliance department flagged the account upgrade to Level 3 and the frequency of ODTE trading, noting that Maria's original account application listed her investment objective as 'growth' with 'moderate' risk tolerance and that her liquid net worth outside the brokerage account was limited.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Braxton violated applicable standards: First, the timing of the Options Disclosure Document delivery is problematic. Under FINRA Rule 2360(b)(16)(B), the ODD must be provided at or before the time

the account is approved for options trading, not days afterward. Braxton mailed it three days after the approval conversation, which is a procedural violation regardless of the strategy's merits. Second, the upgrade to Level 3 for ODTE index options raises substantive concerns. Maria had only three years of equity trading experience and roughly four months of basic covered call experience before being approved for short-dated index options. FINRA Regulatory Notice 21-15 specifically highlights firms' obligations to exercise diligence in approving options accounts, particularly when customers seek to engage in complex strategies, and emphasizes that social media enthusiasm is not a substitute for genuine understanding. ODTE options carry unique risks due to extreme gamma sensitivity - small index moves can produce outsized percentage gains or losses in the premium, and settlement mechanics for index options differ from equity options. Third, under Reg BI's care obligation, the advisor must have a reasonable basis to believe the recommendation (or in this case, the facilitated account upgrade) is in the customer's best interest given her financial profile. Maria's moderate risk tolerance designation and growth objective on her account application do not naturally align with frequent short-dated derivatives trading. Her limited liquid net worth outside the account amplifies the concern, since a significant loss could materially impair her financial security. Arguments that Braxton acted reasonably: The covered call strategy was straightforward and appropriate for a stockholder seeking income. The transition to cash-secured puts, while more complex, was bounded by the \$25,000 notional cap - roughly 13% of the account - which is a reasonable risk management measure. Braxton documented multiple conversations, expressed initial hesitancy, and imposed position limits, all reflecting a considered process rather than rubber-stamping. The actual results were positive, with the single loss being well within the risk parameters discussed. Maria was a self-directed adult who specifically and repeatedly requested the strategy after independent research; she was not cold-called or pushed into it. FINRA Rule 2360(b)(16)(A) requires consideration of the customer's investment experience, financial situation, investment objectives, and the nature of the proposed transactions, but it does not per se prohibit moderately experienced investors from engaging in defined-risk strategies. Cash-secured puts have a risk profile economically equivalent to owning the underlying at a lower cost basis, which is not inherently unsuitable for a moderate-risk growth investor. The position sizing and frequency were disciplined. Finally, Reg BI does not require that every customer be wealthy or sophisticated - it requires that the recommendation be in the customer's best interest considering her specific circumstances, and generating \$9,600 net income with controlled risk parameters on a \$185,000 account is a defensible outcome.

Why Borderline

This scenario sits in a genuine gray zone because the advisor took meaningful steps to manage risk (position limits, documentation, multiple conversations, initial pushback) but approved a moderately unsophisticated investor for a strategy - frequent ODTE index options trading - that regulators have specifically flagged as raising heightened supervisory concerns. The ODD delivery timing is a clear procedural deficiency, but the substantive question of whether the strategy itself was suitable is much harder. The customer's risk tolerance designation ('moderate') conflicts with the volatility characteristics of ODTE options, but the actual dollar risk was controlled and the strategy (cash-secured puts) is among the more conservative options approaches. Reasonable compliance officers could disagree on whether a four-month track record of covered calls provides sufficient experience for the jump to ODTE index options, or whether customer insistence and risk-limiting guardrails adequately address the concern.

Borderline Factors

- ODD delivery was late by several days - clear procedural violation but potentially mitigated by

subsequent acknowledgment before any trades were placed at the new level

- Customer's stated risk tolerance of 'moderate' versus the inherent short-term volatility of ODTE options, though cash-secured puts have a defined maximum loss
- Only four months of covered call experience before upgrading to ODTE index options, but the customer conducted independent research and made repeated affirmative requests
- Limited liquid net worth outside the brokerage account increases vulnerability, but the 13% notional exposure cap meaningfully bounds potential losses
- Frequency of trading (3-4 times per week) could suggest speculative activity inconsistent with 'growth' objective, but premium collection strategies can be characterized as income enhancement
- Advisor documented hesitancy and imposed guardrails, demonstrating a deliberative process rather than indiscriminate approval
- Actual trading results were net positive and the single loss was contained, though outcomes do not retroactively validate suitability
- Post-Robinhood regulatory environment has heightened scrutiny of options account approvals for retail investors with limited experience

Likely Outcome

A regulator would most likely find a violation, but a narrow one focused primarily on the procedural failure to deliver the ODD at or before account approval, and secondarily on insufficient documentation supporting the Level 3 upgrade given the gap between Maria's experience level and the complexity of frequent ODTE index options. The substantive suitability of the covered call strategy would likely survive scrutiny. On the ODTE trading, the regulator would likely credit Braxton's risk management measures (position limits, documentation, pushback) as mitigating factors that would reduce any sanctions, but would still conclude that a four-month options track record and a moderate risk tolerance designation were insufficient to support approval for frequent ODTE index options trading without either updating the account profile to reflect a higher risk tolerance or requiring additional education beyond YouTube videos. The likely result would be a supervisory deficiency finding with enhanced supervision requirements rather than a fraud or willful misconduct finding.

Borderline Scenario 66

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); F*

Fact Pattern

Marcus Rivera, age 29, opened a brokerage account with Trident Securities in March 2022. On his new account form, he listed his occupation as 'software engineer' with an annual income of \$145,000 and a net worth of approximately \$410,000, most of which was in a 401(k) and restricted stock units from his employer. His liquid net worth outside retirement accounts was roughly \$85,000. He indicated his investment experience as 'intermediate' and his risk tolerance as 'aggressive.' Under investment objectives, he checked both 'growth' and 'speculation.' He listed two years of stock trading experience and six months of options experience, noting he had 'self-educated through online courses and trading simulators.'

His assigned advisor, Christine Falk, conducted a 20-minute phone call with Rivera during the onboarding process. During the call, Rivera expressed enthusiasm about selling weekly put spreads on large-cap

technology stocks, a strategy he said he had practiced on a paper-trading platform for several months with consistent hypothetical profits. He told Falk he understood the risk of assignment and maximum loss on defined-risk spreads. Falk noted in her CRM that Rivera 'appears knowledgeable about basic spread mechanics' and 'understands defined-risk nature of vertical spreads.' She did not ask Rivera about his experience with undefined-risk strategies, his understanding of early assignment, margin mechanics, or how options losses would affect his overall financial picture.

Falk approved Rivera for Level 3 options trading, which at Trident Securities permitted not only vertical spreads but also naked short puts, short strangles, and ratio spreads - strategies with theoretically unlimited or very large loss potential. The firm's internal guidelines stated that Level 3 required either three years of options trading experience or a 'demonstrated understanding of complex strategies,' but did not define what 'demonstrated understanding' meant. Falk interpreted Rivera's paper-trading background and self-education as meeting the alternative prong.

For the first five months, Rivera traded only put credit spreads, as he had described. His account performed modestly well, generating about \$9,200 in net profits. In September 2022, however, Rivera began selling naked puts on semiconductor stocks during a period of elevated volatility, reasoning that higher premiums justified the risk. He did not consult Falk before shifting strategies. Over six weeks, a series of sharp declines resulted in assignment on multiple positions, and Rivera's account suffered losses of \$62,000 - roughly 73% of his liquid investable assets. Rivera filed a complaint alleging that Falk never should have approved him for Level 3 and that she failed to understand his actual experience and financial situation before granting access to unlimited-risk strategies.

Falk's supervisory principal, David Yoon, had approved the Level 3 designation based on Falk's notes without conducting an independent interview or reviewing Rivera's stated experience in detail. Yoon later said he relied on Falk's assessment and the fact that Rivera's income and stated risk tolerance met the firm's quantitative thresholds for Level 3. Trident's written supervisory procedures required a principal to 'review and approve options account levels based on customer profile and advisor recommendation' but did not mandate independent contact with the customer.

Notably, Rivera had signed the options agreement and acknowledged receipt of the options disclosure document. He also affirmatively selected 'Level 3' on the application, indicating he wanted access to advanced strategies. Trident's platform displayed real-time risk warnings each time Rivera entered a naked put order, including a pop-up stating the potential for losses exceeding the account balance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Falk violated applicable standards: The core concern is that Falk approved Rivera for a level of options trading that permitted undefined-risk strategies based on an inadequate understanding of his true experience and financial profile. Rivera had only six months of actual options experience, all of which was limited to defined-risk spreads on a paper-trading platform - not real capital at risk. Falk's 20-minute phone conversation did not probe his understanding of naked options, margin requirements, early assignment risk in a real account, or the potential impact of catastrophic losses on his overall financial

situation. She did not ask how a \$62,000 loss (or greater) would affect him given that his liquid net worth was only \$85,000. Under FINRA Rule 2360(b)(16), a member must exercise due diligence to ascertain the essential facts about the customer, including investment experience, financial situation, and investment objectives, specifically in the context of options trading. The failure to distinguish between paper trading and live trading, and between defined-risk and undefined-risk strategy experience, represents a meaningful gap in the know-your-customer process. Additionally, FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms approving retail investors for complex options strategies without adequate diligence, particularly in the wake of the surge in retail options trading. The notice emphasized that account approval processes should be reasonably designed to evaluate whether a customer has sufficient knowledge and experience for the specific level of options trading being approved, not just whether quantitative income or net worth thresholds are met.

Arguments that Falk acted within acceptable bounds: Rivera was a high-earning professional who affirmatively requested Level 3 access, self-identified as aggressive, selected speculation as an objective, and represented that he had educated himself on options strategies. The firm's internal criteria allowed 'demonstrated understanding' as an alternative to a three-year experience requirement, and Falk documented her basis for concluding Rivera met that prong. Rivera signed the options agreement, received the OCC disclosure document, and the platform provided real-time risk warnings on naked positions. Importantly, Rivera did not consult Falk before shifting from spreads to naked puts - the strategy that caused the losses was initiated unilaterally by the customer. Falk could not have anticipated the specific strategy shift. Courts and arbitration panels have recognized that a customer's own representations on account documents carry weight, and that an advisor is entitled to rely on them absent red flags. Rivera's income and stated net worth exceeded the firm's quantitative thresholds for Level 3. The supervisory principal approved the designation consistent with the firm's written procedures. Under Reg BI's care obligation, the question is whether Falk exercised reasonable diligence - not whether her diligence was perfect - and whether the account approval bore a reasonable relationship to the customer's profile as represented.

The tension lies in the gap between Rivera's stated profile (aggressive, speculative, self-educated) and his actual experience (six months of paper trading in defined-risk strategies only). The question is whether Falk's 20-minute interview was sufficient to bridge that gap, or whether the firm's approval process was superficial in a way that foreseeably enabled a retail investor to access strategies he was not truly prepared for.

Why Borderline

This scenario is genuinely ambiguous because Rivera's stated profile - high income, aggressive risk tolerance, speculative objectives, self-education - is facially consistent with Level 3 approval, and he affirmatively sought that access. The firm had a documented alternative pathway for approval, and Falk memorialized her reasoning. However, the actual depth of inquiry was shallow relative to the risk exposure Level 3 permitted, and the distinction between paper-trading spreads and live naked options selling is significant. Regulators post-2020 have heightened scrutiny of options account approvals, but the specific contours of 'adequate diligence' remain judgment-dependent. The customer's autonomous decision to shift strategies without advisor input further complicates causation.

Borderline Factors

- Rivera's six months of options experience was entirely on a paper-trading platform with no real capital at risk, yet he self-reported it as experience
- The firm's internal criteria allowed 'demonstrated understanding' as an alternative to years of experience, but the term was undefined and subjective
- Falk documented a basis for approval but her inquiry did not distinguish between defined-risk and undefined-risk strategy comprehension
- Rivera affirmatively requested Level 3 access, signed all disclosures, and self-identified as aggressive and speculative
- The losses arose from a strategy shift Rivera made unilaterally without consulting his advisor
- The platform provided real-time risk warnings on each naked options order that Rivera acknowledged and proceeded through
- Rivera's liquid net worth of \$85,000 meant Level 3 losses could be catastrophic relative to his financial position outside retirement accounts
- Post-2020 regulatory expectations for options approval diligence have been heightened but the precise standard remains principles-based

Likely Outcome

A regulator would likely find a violation, though not a severe one. The central issue is that Falk approved Rivera for undefined-risk strategies without adequately probing his understanding of those specific strategies or their real-world implications, relying instead on a brief conversation and paper-trading experience in a different category of options trades. FINRA's heightened focus on options account approvals, particularly since 2020-2021, has emphasized that firms must go beyond checking quantitative boxes and must meaningfully assess whether a customer's knowledge and experience match the specific strategies a given level permits. The 20-minute call that did not address naked options, margin, or the financial impact of outsized losses likely falls short of that expectation. However, any sanctions would likely be mitigated by Rivera's own representations, his autonomous strategy shift, and the platform's risk warnings. The supervisory principal's failure to independently assess the approval adds a supervision dimension. The probable outcome is a finding of inadequate due diligence in the options approval process, with moderate sanctions, rather than a finding of affirmative misconduct in recommending unsuitable trades.

Borderline Scenario 67

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2361

Fact Pattern

Marcus Webb, age 34, is a software engineer earning \$185,000 annually with approximately \$410,000 in liquid assets, including \$290,000 in a brokerage account. He has traded equities actively for six years, executing roughly 150-200 stock trades per year, and holds a personal portfolio that has outperformed the S&P 500 in three of the last five years. In January 2023, Webb applied for options trading at a mid-size online brokerage. On his application, he listed his investment objective as 'growth,' his risk tolerance as 'aggressive,' and indicated two years of options experience limited to buying calls and puts. He stated his net worth at \$650,000 (including home equity) and his annual income as noted. The firm's automated approval system categorized him for Level 3 options privileges, which at this firm includes selling uncovered

(naked) puts and call spreads, but not naked calls. His assigned registered representative, Dana Pham, reviewed the automated approval and approved the Level 3 designation without conducting any follow-up conversation with Webb. The firm's written supervisory procedures require that representatives review options applications and 'use reasonable diligence to assess the customer's financial profile and options knowledge,' but do not explicitly mandate a phone call or meeting for Level 3 approvals.

Over the next four months, Webb sold approximately 45 naked put contracts on high-beta technology stocks, collecting roughly \$38,000 in premium income. In most cases, the positions were sized such that if assigned, Webb would have needed to purchase between \$50,000 and \$80,000 worth of stock per position - within his financial capacity but representing 17-28% of his liquid assets per trade. In late April 2023, a sharp tech selloff resulted in Webb being assigned on three positions simultaneously, requiring him to purchase approximately \$195,000 in stock at prices significantly above market value. Webb's account declined from \$310,000 to \$178,000 within two weeks. Webb complained to the firm, alleging that he should never have been approved for naked put selling given that his options experience was limited to simple long calls and puts, and that Pham failed to ensure he understood the assignment risk of short puts. Pham's notes from the approval show only a checkmark next to 'Application Reviewed' with no written rationale for the Level 3 approval. The firm counters that Webb's financial profile - including high income, substantial liquid assets, aggressive risk tolerance, and years of active trading - supported the approval, and that Webb acknowledged receiving the options disclosure document and electronically signed the options agreement, which described the risks of each strategy level in detail.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The core question is whether Pham's approval of Level 3 options privileges - specifically naked put selling - was appropriate given Webb's stated experience limited to buying calls and puts, and whether the lack of a substantive follow-up conversation constituted a failure of reasonable diligence.

Arguments that a violation occurred: Webb's self-reported options experience was confined to long options for two years, which is a fundamentally different risk profile than selling uncovered puts. Naked put writing involves theoretically substantial downside risk and the obligation to purchase stock at potentially unfavorable prices. The leap from Level 1/2 strategies (buying options) to Level 3 (uncovered short puts) is significant, and a representative exercising reasonable diligence should have probed whether Webb understood assignment mechanics, margin requirements, and the concentration risk of short put positions. Pham's review consisted of nothing more than a checkmark, with no documentation of any qualitative assessment. Under FINRA Rule 2360(b)(16), the firm and its representative must exercise due diligence to learn essential facts about the customer and specifically approve the account for options trading at the appropriate level. FINRA RN 21-15 emphasizes that firms must have robust supervisory systems for options account approvals and cannot rely solely on customer self-reported information without some validation. The position sizing - 17-28% of liquid assets per single trade - raises additional questions about whether the strategy was suitable even if the approval itself was defensible.

Arguments against a violation: Webb is a high-income, financially sophisticated individual with six years of active equity trading, an aggressive stated risk tolerance, and sufficient liquid assets to absorb assignment

on individual positions. His \$290,000 account could technically support the capital requirements of naked put positions in the \$50,000-\$80,000 range individually. He electronically signed the options agreement and acknowledged receipt of the OCC Options Disclosure Document, which explicitly describes the risks of writing options. The firm's WSPs do not mandate a phone call for Level 3 approvals, and the automated system's categorization was based on objective financial criteria that Webb met. Naked put selling is widely considered a moderately aggressive strategy (not the most extreme level), and many practitioners view it as economically equivalent to a limit buy order with premium income. Webb's losses resulted from concentrated sector exposure during an unusual market event, not from a fundamental misunderstanding of the strategy. Furthermore, Webb executed 45 naked put trades over four months without complaint, suggesting he understood and was comfortable with the strategy until losses materialized.

The position sizing issue cuts both ways: while 17-28% per trade is aggressive, Webb was not necessarily holding all positions simultaneously until the final assignment event, and the firm's margin system presumably monitored his exposure in real time.

Why Borderline

This case sits in a genuine gray zone because Webb's overall financial profile (income, assets, risk tolerance, active trading history) objectively supports aggressive options strategies, yet his specific options experience was limited to the simplest strategies. The gap between buying options and selling naked options is significant in terms of risk mechanics, but the question is whether the representative's duty requires affirmative outreach to probe knowledge gaps when the financial profile otherwise qualifies the customer. Additionally, the firm's procedures technically did not require a conversation, and Webb did acknowledge the disclosure documents. Reasonable regulators could disagree on whether a checkmark review satisfies due diligence for a customer whose financial metrics support the approval but whose experience metrics arguably do not.

Borderline Factors

- Customer's financial profile (income, liquid assets, stated aggressive risk tolerance) objectively supported the approval level
- Options experience was self-reported as limited to long calls/puts - a qualitatively different risk profile than short options
- Representative performed only a cursory checkmark review with no documented reasoning or customer contact
- Firm's written supervisory procedures did not explicitly require a conversation for Level 3 approvals
- Customer acknowledged receipt of OCC disclosure document and signed the options agreement
 - Customer successfully executed 45 naked put trades over four months before losses occurred, suggesting functional understanding
- Individual position sizing (17-28% of liquid assets) was aggressive but within financial capacity for single positions
- Simultaneous assignment on three positions representing ~63% of account value raises concentration concerns the approval process did not address
- Active equity trading experience of six years may or may not translate to options risk comprehension

Likely Outcome

A regulator would most likely find a partial violation. The approval itself may have been within the range of

reasonable judgment given Webb's financial profile, but the complete absence of documented due diligence - particularly the lack of any inquiry into whether Webb understood the mechanics of naked put writing given his limited options experience - would likely be viewed as a failure of the representative's obligation to exercise reasonable diligence under FINRA Rule 2360(b)(16). Regulators, especially in the post-Robinhood enforcement environment reflected in FINRA RN 21-15 and multi-state actions against firms with deficient options approval processes, have increasingly scrutinized automated or perfunctory approval processes. The lack of any probing of the gap between Webb's stated experience and the approved strategy level would be the primary basis for a finding. However, sanctions would likely be moderate given Webb's overall sophistication and the fact that losses were driven partly by concentrated sector risk rather than a complete misunderstanding of the strategy.

Borderline Scenario 68

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) requires member firms to exercise due diligence

Fact Pattern

Marcus Webb, age 34, is a warehouse logistics coordinator earning \$72,000 per year with a net worth of approximately \$185,000, most of which is in a 401(k) plan. He opened a brokerage account in January 2022 with \$28,000 in savings and listed his investment experience as '2 years of stock trading' on his new account form. His stated investment objective was 'growth' and his risk tolerance was marked as 'aggressive.' He had no prior options experience listed on his application. In February 2022, Marcus requested approval for multi-leg options strategies, specifically to trade iron condors and vertical spreads. His registered representative, Dana Caruso, conducted a 45-minute phone call with Marcus during which she explained the mechanics of defined-risk multi-leg strategies, discussed how maximum loss is capped at the net debit or the width of the spread minus premium received, and walked through three hypothetical trade examples. Dana noted in her file that Marcus 'demonstrated a solid conceptual understanding of spread mechanics, max loss scenarios, and the impact of time decay' and that he told her he had spent roughly six months studying options through online courses, YouTube tutorials, and paper trading on a simulator where he logged over 200 simulated multi-leg trades. Dana approved Marcus for Level 3 options trading, which at her firm permits vertical spreads, iron condors, and other defined-risk multi-leg strategies but does not permit naked short options. Over the next ten months, Marcus placed 94 multi-leg options trades, primarily iron condors timed around earnings announcements on high-profile technology stocks. His average position size was approximately \$1,800, with his largest single trade risking \$4,200. By December 2022, Marcus had realized cumulative losses of \$11,400, representing roughly 41% of his initial account value. He continued trading through Q1 2023, ultimately losing a total of \$16,100. Marcus filed a complaint alleging that Dana should never have approved him for complex multi-leg strategies given his lack of formal options experience and relatively modest income, and that the concentration of earnings-related trades was a red flag that should have prompted intervention. Dana's firm countered that all of Marcus's trades were defined-risk with capped losses, that he was never approved for or permitted to execute naked options, that his self-education was substantive and documented, that the account was self-directed with Marcus choosing every trade, and that his stated aggressive risk tolerance supported the approval. The firm also noted that Marcus never exceeded 15% of his total net worth in any single position and that his cumulative losses, while significant relative to the account, represented less than 9% of his total net worth. However,

the firm's internal options approval checklist required a minimum of '1 year of options trading experience,' and Dana's notes indicate she treated Marcus's paper trading and simulation activity as equivalent to live options experience when checking that box.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dana violated applicable standards: First, the firm's internal options approval checklist explicitly required one year of options trading experience, and Marcus had zero live options experience at the time of approval. Dana substituted paper trading and self-study for actual trading experience, which represents a deviation from the firm's own written procedures. Regulators have consistently held that a firm's internal supervisory procedures, once adopted, create obligations that must be followed regardless of whether the underlying regulatory standard might be met through other means. Second, the pattern of 94 multi-leg trades concentrated around earnings announcements on volatile technology stocks closely mirrors the behavior identified in academic research as producing consistently negative returns for retail investors-average losses exceeding 16% on short holding periods. This pattern, once observable, arguably should have triggered some supervisory follow-up or at minimum a conversation about strategy effectiveness. Third, Marcus's income of \$72,000 and liquid net worth of only \$28,000 meant that his options trading account represented essentially all of his liquid savings outside retirement funds, creating concentration risk in a single speculative strategy. Arguments that Dana acted appropriately: Marcus was approved only for defined-risk strategies where maximum loss per trade was always known and capped. No naked options were ever permitted or executed. His largest single-trade risk of \$4,200 was approximately 2.3% of his total net worth, and even his cumulative losses of \$16,100 represented under 9% of total net worth. Dana conducted a substantive suitability conversation, documented Marcus's self-education including 200+ simulated trades, and reasonably concluded he understood the products. Marcus's stated objectives (aggressive growth) and risk tolerance (aggressive) aligned with defined-risk options strategies, which many practitioners view as more conservative than outright stock purchases given the defined maximum loss. The account was self-directed, and Marcus independently selected every trade and strategy. Furthermore, iron condors and vertical spreads are among the more conservative multi-leg strategies and are widely considered appropriate for educated retail investors. The paper-trading-versus-live-experience question is genuinely debatable: many educational programs and even some broker-dealer training protocols use paper trading as a legitimate proxy for experience development.

Why Borderline

This case sits at the intersection of several genuinely debatable questions: whether paper trading and self-education can substitute for live trading experience in meeting options approval standards; whether defined-risk multi-leg strategies should be treated differently from truly complex or unlimited-risk options for suitability purposes; whether a self-directed account with an aggressive investor profile reduces the advisor's ongoing monitoring obligations; and whether a firm's internal checklist deviation is a substantive violation when the underlying regulatory purpose (ensuring customer understanding) may have been met through alternative means. The losses are significant relative to the account but modest relative to total net worth, and the trading pattern (earnings plays) is concerning from a behavioral finance perspective but was never prohibited or flagged by any specific firm policy.

Borderline Factors

- Firm's internal checklist required 1 year live options experience, but Dana substituted 6 months of paper trading and self-study-a documented procedural deviation that may or may not reflect a substantive deficiency
- All strategies were defined-risk with capped maximum losses, distinguishing this from naked options or unlimited-risk strategies that regulators treat with greater scrutiny
- Marcus demonstrated conceptual understanding during a documented 45-minute conversation and had completed substantial self-directed education including 200+ simulated trades
- Cumulative losses of \$16,100 represent 41% of account value but under 9% of total net worth, creating tension between account-level and holistic financial impact analysis
- 94 trades concentrated around earnings announcements on tech stocks may represent a behavioral red flag, but the firm had no specific policy requiring intervention for this pattern on a self-directed account
- Aggressive risk tolerance and growth objectives stated by the customer aligned with defined-risk options strategies in the abstract, even if the specific execution pattern produced poor results
- Self-directed nature of the account complicates the question of whether the advisor had an ongoing duty to intervene versus a one-time duty to appropriately approve

Likely Outcome

A regulator would most likely find a violation, though a narrow one focused primarily on the firm's failure to follow its own internal options approval procedures rather than on a broader suitability theory. The documented deviation from the firm's checklist-treating paper trading as equivalent to live experience without any written exception process or supervisory override-provides a clear procedural hook. However, the sanction would likely be moderate (a fine and possibly required enhanced supervisory procedures) rather than severe, because the underlying investor understanding appeared genuine, all strategies were defined-risk, and losses were contained relative to total net worth. A regulator might also note the concentration of earnings-related trades as an area where enhanced monitoring would have been appropriate but would likely stop short of finding an independent suitability violation based solely on trading pattern, given the self-directed nature of the account.

Borderline Scenario 69

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability) - quantitative suitability component prohibiting excessive trading

Fact Pattern

Marcus Heller, a registered representative at Coastal Wealth Partners since 2017, managed the options-approved brokerage account of Diane Tsao, a 52-year-old semi-retired pharmaceutical executive with a stated net worth of \$4.2 million and liquid assets of \$1.8 million. Tsao's options account was approved at Level 3 (spreads and multi-leg strategies) in January 2021 after she completed the firm's options questionnaire, on which she reported five years of self-directed options experience on a separate mobile brokerage app, moderate risk tolerance, and an investment objective of 'growth with income.' The account was funded with \$380,000.

Over a 14-month period from February 2021 through March 2022, Heller executed 287 options trades in the

account, predominantly iron condors, vertical spreads, and butterfly spreads on large-cap equities and broad market ETFs. Many positions were opened and closed within 3-7 days. The annualized turnover ratio for the account was approximately 6.2, and the cost-to-equity ratio was approximately 31%. The account generated \$47,200 in commissions and fees for the firm (the firm charged \$0.65 per options contract plus a \$4.95 ticket charge per trade, which was in line with industry averages for full-service advised accounts). The account's net performance over the period was a loss of \$61,400, representing roughly a 16.2% decline, during a period when the S&P 500 returned approximately 8%.

Heller maintained that the frequency of trading was inherent to the strategies employed: iron condors and butterflies are time-decay strategies that require active management, rolling positions, and adjustments as expiration approaches. He pointed to internal emails in which Tsao requested weekly portfolio updates and often initiated conversations about upcoming earnings plays and volatility trades. Tsao had also separately maintained her own self-directed account at a zero-commission mobile platform where she executed roughly 150 multi-leg options trades over the same period, though with smaller position sizes averaging \$2,000-\$5,000 per trade.

However, Tsao filed a complaint alleging that Heller churned her account, that many of the rapid-fire trades were unnecessary adjustments that primarily generated commissions, and that she did not fully understand why positions were being closed early and replaced with nearly identical structures at different strike prices. She noted that she trusted Heller's judgment and approved trades he recommended, and that while she was active in her own small self-directed account, she viewed the Coastal Wealth account as her 'serious retirement money' that would be professionally managed. She also stated that Heller never explained that the frequent rolling and adjusting of positions would generate cumulative fees that could substantially erode her returns. Heller's supervisor had reviewed the account quarterly and flagged no concerns, noting that Tsao's account size and stated experience supported the activity level.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents competing narratives around whether the trading frequency in Diane Tsao's options account constituted excessive churning or was instead a natural byproduct of the active multi-leg options strategies she was approved for and participated in.

Arguments that a violation occurred: The annualized turnover ratio of 6.2 and cost-to-equity ratio of 31% are significant. While there is no bright-line regulatory threshold, turnover ratios above 6 and cost-to-equity ratios above 20% have historically been viewed by arbitration panels and regulators as presumptive evidence of excessive trading. The account lost 16.2% during a period of positive equity market returns, and the \$47,200 in commissions represented over 12% of the account's initial value over just 14 months. Under FINRA Rule 2111 (suitability) and Regulation Best Interest, the quantitative factors here are concerning. Additionally, the pattern of closing positions early and re-establishing nearly identical structures at different strikes - so-called 'rolling' - can be a hallmark of churning when done excessively, because each roll generates new commissions without materially changing the portfolio's risk profile. Tsao's characterization of this account as her 'serious retirement money' suggests her actual investment objectives may have been more conservative than the active trading strategy employed. The OCC Options Disclosure

Document emphasizes that investors must understand the costs of options trading, and Heller's alleged failure to explain cumulative fee impact is troubling under the care obligation of Reg BI.

Arguments against a violation: Multi-leg options strategies inherently involve higher trade counts than equity buy-and-hold strategies. An iron condor alone involves four legs, meaning a single strategic position generates four contract trades. Rolling positions near expiration is standard practice for income-oriented options strategies, not inherently abusive. Adjusting 287 trades over 14 months in an options context may represent roughly 50-70 discrete strategic positions, which is not obviously excessive for active options management. Tsao was approved at Level 3 with documented experience and was simultaneously running 150+ trades in her own self-directed account, demonstrating sophistication and comfort with frequent options trading. Her weekly requests for updates and initiation of earnings-play conversations suggest active participation and de facto control, which undermines the 'control' element typically required to establish churning. The per-contract commission structure was competitive for full-service advised accounts, and the supervisor's quarterly reviews found no red flags. Under FINRA Rule 2360, the firm approved her for these strategies based on her documented profile. The account's poor performance, while relevant, partly reflects the well-documented negative average returns on complex multi-leg retail options strategies, particularly around earnings events - a market-wide phenomenon, not necessarily evidence of advisor misconduct.

The key tension is whether the rolling and adjusting pattern was genuinely necessary portfolio management or was primarily commission-generating activity that served Heller's economic interest more than Tsao's. The fact that Tsao was simultaneously trading options actively in her own account cuts against her claim of unsophistication, but her framing of this account as retirement-focused and professionally managed cuts in her favor regarding whether the activity level matched her actual objectives for these particular funds.

Why Borderline

The quantitative indicators (turnover ratio, cost-to-equity) are at or near levels historically associated with churning, but multi-leg options strategies mechanically generate higher trade counts than equities. The customer exhibited genuine sophistication and active participation but also characterized the account differently than how it was traded. The rolling and adjustment pattern could be either prudent risk management or unnecessary commission generation, and reasonable practitioners disagree on how to evaluate trade frequency in options-specific contexts versus traditional equity churning metrics.

Borderline Factors

- Turnover ratio of 6.2 is at the high end but arguably explainable by multi-leg options mechanics where a single strategic position involves 4+ contract trades
- Cost-to-equity ratio of 31% is elevated but commissions per contract were at market rates for full-service accounts
- Customer maintained a separate self-directed account with 150+ options trades, demonstrating active engagement and sophistication
- Customer simultaneously described this account as 'serious retirement money' meant for professional management, suggesting different expectations
- Rolling of positions to similar strikes is a standard options management practice but can also mask unnecessary trading
- Customer initiated conversations about earnings plays and volatility strategies, suggesting participation

but not necessarily control over execution decisions

- Supervisor conducted quarterly reviews and flagged no concerns, which could indicate either adequate oversight or inadequate surveillance

- Account losses of 16.2% are consistent with documented average negative returns for retail complex options strategies generally, not unique to this advisor's management

Likely Outcome

A regulator would likely find this a close case but would probably conclude that a violation occurred, primarily based on the quantitative indicators and the pattern of rolling positions into nearly identical structures. While the multi-leg nature of options strategies explains some elevated trade counts, a cost-to-equity ratio of 31% means the account needed to generate returns exceeding 31% just to break even on costs - a very high hurdle that is difficult to reconcile with a 'growth with income' objective. The customer's self-directed activity in a separate, smaller account would mitigate damages but likely would not defeat the churning claim entirely, because the advisor exercised de facto control over the larger account's specific trade execution and timing. A panel would likely find that Heller had an obligation to ensure the cumulative cost impact of frequent rolling was transparent and that the overall trading pattern served Tsao's stated objectives for this account. However, any sanctions or damages award would likely be moderated by Tsao's demonstrated sophistication and active participation.

Borderline Scenario 70

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360 (Options) requires member firms to have specific written procedures

Fact Pattern

Margaret Ellison, age 74, is a retired aerospace engineer with a net worth of approximately \$2.8 million, of which \$1.6 million is in a brokerage account at Lakewood Securities. She receives \$4,200/month in Social Security and a \$3,100/month pension. Her husband passed away in 2021, and she lives independently. Margaret has traded stocks actively for over 20 years and, during her career, occasionally purchased protective puts on concentrated stock positions she held from her employer. Her account application from 2019 lists her risk tolerance as 'moderate,' her investment objective as 'growth and income,' her time horizon as '5-10 years,' and her liquid net worth as \$1.9 million. She has an options approval level of 2 (covered calls and long puts/calls).

In March 2023, Margaret's financial advisor, Derek Huang, age 36, discussed strategies to generate additional income from her portfolio. Margaret mentioned she had been watching YouTube videos about selling credit spreads and iron condors on index ETFs and wanted to try them. Derek noted in his file that Margaret seemed knowledgeable about the mechanics and asked pointed questions about margin requirements and maximum loss scenarios. Over the next two weeks, Derek submitted a request to upgrade Margaret's options approval to Level 3, which permits spread trading. The branch manager approved the upgrade after reviewing Margaret's account profile, net worth, and 20-year trading history.

Between April and October 2023, Margaret executed 47 credit spread trades on SPY and QQQ, nearly all of which were bull put spreads and iron condors with defined risk. The maximum loss on any single position was \$3,500, and typically she risked \$1,500-\$2,500 per trade. Over this period, she realized net gains of

approximately \$14,200 and suffered losses on 11 trades totaling approximately \$9,800. Her total commissions and fees were \$1,880. At no point did her options positions exceed 8% of her total portfolio value. Derek reviewed each trade with Margaret before execution, and the trades were entered by Margaret herself through the firm's online platform after their discussions.

In November 2023, Margaret's daughter, Patricia, discovered the trading activity and filed a complaint with the firm alleging that Derek had exploited her elderly mother by encouraging her into speculative options strategies that were inappropriate given her age and retirement status. Patricia stated that her mother had shown early signs of cognitive decline, occasionally repeating herself in phone conversations and once forgetting a grandchild's birthday. Margaret, however, told the firm's compliance department that she initiated the strategy discussions, understood the risks, enjoyed the intellectual challenge, and denied any cognitive issues. Her physician's office, when contacted with Margaret's authorization, confirmed she had not been diagnosed with any cognitive impairment, though she had not undergone formal neuropsychological testing.

Derek's supervisor noted that Derek's book of business included 14 clients over age 70, three of whom had options approval at Level 2 or above, but none had received approval upgrades in the prior two years other than Margaret. The firm's internal guidelines state that options approval upgrades for clients over 70 require 'enhanced review' but do not prohibit them. The branch manager's approval memo noted Margaret's engineering background, long trading history, and defined-risk nature of spread strategies but did not specifically address her age as a risk factor or document any assessment of cognitive capacity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: Margaret is a 74-year-old retiree whose account application listed moderate risk tolerance and growth-and-income objectives, which arguably do not align with active spread trading even if the spreads are defined-risk. The upgrade to Level 3 options approval for a senior investor should have triggered heightened scrutiny, and the branch manager's approval memo failed to document any age-specific or cognitive-capacity assessment despite the firm's own internal policy requiring 'enhanced review.' The 47 trades in seven months suggest an active strategy that may be inconsistent with the stated time horizon and objectives on file. Patricia's observations about early cognitive decline, while informal, raise red flags that Derek arguably should have explored more carefully, particularly given industry-wide guidance about protecting senior investors. Even though commissions were modest, the risk exposure-while individually small-was recurring and systematic. The fact that Derek had no other recent options upgrades for senior clients could suggest this was an outlier that deserved more caution.

Arguments that Derek did not violate applicable standards: Margaret is a financially sophisticated investor with a 20-year trading history, an engineering background, a substantial net worth (\$2.8 million), and prior experience with options (protective puts). She initiated the discussion about credit spreads and demonstrated knowledge of the mechanics. The defined-risk nature of the strategies meant her maximum loss per trade (\$1,500-\$3,500) was modest relative to her \$1.6 million account-never exceeding 8% aggregate exposure. She was net profitable over the period. She entered the trades herself after discussions with Derek, indicating agency and understanding. Her physician confirmed no diagnosis of

cognitive impairment. The firm's internal policy was followed-enhanced review occurred and approval was granted by the branch manager. Margaret herself denied any cognitive issues and affirmed she understood the risks. The daughter's complaint, while understandable, appears driven by disagreement rather than evidence of exploitation. Age alone should not disqualify a capable investor from pursuing strategies consistent with her knowledge and financial capacity. The account application categories of 'moderate' risk and 'growth and income' are arguably consistent with defined-risk spreads designed to generate premium income, which is exactly what these strategies did.

Why Borderline

This scenario sits in the gray zone because the customer has genuine sophistication and financial capacity, initiated the strategy herself, and the positions were defined-risk and modestly sized relative to her portfolio. However, she is a senior retiree with anecdotal signs of possible early cognitive decline, the account application's stated objectives and risk tolerance arguably don't cleanly support active spread trading, and the approval process-while completed-lacked documented age-specific cognitive assessment. Reasonable practitioners could disagree about whether defined-risk spreads generating income for a knowledgeable senior constitute an appropriate strategy or an unsuitable escalation of risk for a retired investor whose application profile suggests more conservative objectives.

Borderline Factors

- Customer initiated the strategy discussion and demonstrated meaningful knowledge of options mechanics
- Defined-risk strategies with individually modest position sizes relative to a \$1.6 million account and \$2.8 million net worth
- Customer is 74 with anecdotal but undiagnosed signs of possible early cognitive decline
- Account application lists 'moderate' risk tolerance and 'growth and income' objectives, which may or may not encompass active spread trading
- Firm's enhanced review for senior options upgrades was technically completed but lacked documented cognitive assessment
- Customer was net profitable and entered trades herself through the online platform
- 47 trades in seven months could be characterized as active trading inconsistent with stated objectives, or as prudent income generation
- Prior options experience was limited to protective puts-a meaningfully different strategy from selling credit spreads

Likely Outcome

A regulator would most likely find a documentation and process deficiency rather than a substantive suitability violation. The branch manager's failure to specifically address Margaret's age as a risk factor and the absence of any cognitive-capacity assessment in the approval memo would likely be cited as a supervisory shortcoming under options account approval requirements. However, given Margaret's sophistication, financial capacity, defined-risk position sizing, net profitability, self-directed execution, and the absence of a cognitive impairment diagnosis, a regulator would likely stop short of finding that the strategy itself was unsuitable. The firm might face a moderate fine or letter of caution for inadequate documentation of the enhanced review process, and Derek might receive a cautionary letter regarding his obligation to update customer account profiles to reflect the shift toward active options income strategies. An outright finding of senior exploitation is unlikely on these facts, but the case would likely prompt the firm

to strengthen its protocols for senior options approval upgrades.

Borderline Scenario 71

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence); FINRA Rule 2360(b)(16) (options account approval and due diligence)

Fact Pattern

Marcus Whitfield, age 34, works as a senior data engineer at a large technology company earning \$185,000 per year with a net worth of approximately \$620,000, including \$290,000 in his brokerage account at Trident Securities. In January 2023, Marcus applied for options trading approval at Trident, completing an online questionnaire. He indicated 3 years of stock trading experience, 6 months of options trading experience limited to buying calls and puts, a "growth" investment objective, a "moderate" risk tolerance, and a time horizon of 5-10 years. Based on the questionnaire, Trident's automated system approved him for Level 2 options trading, which permits covered calls, cash-secured puts, and long calls and puts. Marcus's assigned advisor, Janet Cahill, reviewed the approval and noted no issues.

Over the next four months, Marcus executed roughly 40 trades in long calls and puts, losing approximately \$18,000 total. In May 2023, Marcus contacted Janet and asked to be upgraded to Level 4 trading, which would allow multi-leg spread strategies including iron condors, credit spreads, and calendar spreads. He told Janet he had been studying options strategies extensively using online courses and trading simulators, and he wanted to generate income through credit spreads on index ETFs, which he described as a "defined-risk, income-oriented approach." Janet asked him to complete a new questionnaire. This time, Marcus changed his risk tolerance to "aggressive" and his investment objective to "speculation," and he stated he now had 1 year of options experience. Janet reviewed the updated profile and noted that Marcus's liquid net worth of approximately \$340,000 could absorb losses from spread strategies, and that credit spreads on broad-market ETFs do carry defined and limited risk. She approved the Level 4 upgrade.

Over the following seven months, Marcus executed approximately 200 multi-leg options trades. While many of his credit spread positions were profitable, he also began selling naked puts on individual technology stocks - a strategy not authorized under Level 4 - which the firm's system failed to flag. In December 2023, a sharp tech selloff caused Marcus to be assigned on several naked put positions, resulting in losses of approximately \$105,000 in a two-week period. His account value dropped to \$167,000. Marcus filed a complaint alleging that Janet never should have approved him for Level 4 given his limited experience, that his shift from "moderate" to "aggressive" risk tolerance in just four months should have raised red flags, and that the firm's systems failed to prevent unauthorized trades. Janet responded that Marcus is a sophisticated professional who affirmatively sought out the upgrade, accurately described the defined-risk nature of the strategies he intended to use, and that the catastrophic losses only resulted from unauthorized naked put trades that circumvented the firm's controls - not from the approved spread strategies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents intertwined issues of options account approval, risk profile changes, and supervisory failures.

Arguments that Janet violated applicable standards:

1. Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn the essential facts about a customer before approving options trading, including investment experience, financial situation, and investment objectives. Marcus had only 6 months of options experience when initially approved and only 1 year at the time of the Level 4 upgrade. A dramatic shift from 'moderate' to 'aggressive' risk tolerance in just four months - particularly after \$18,000 in losses - arguably should have prompted deeper inquiry rather than routine acceptance of the updated questionnaire.
2. FINRA Regulatory Notice 21-15 specifically warned firms about deficiencies in options account approval processes, particularly regarding automated or cursory reviews that fail to meaningfully assess customer experience and risk tolerance. Janet's review appears to have accepted Marcus's self-reported changes at face value without probing whether his stated sophistication matched his actual trading results.
3. Under Regulation Best Interest's Care Obligation, Janet had a duty to evaluate whether Level 4 options trading was in Marcus's best interest given his overall profile, not merely whether he could financially absorb potential losses. The rapid escalation from basic options to complex multi-leg strategies with limited track record raises questions.
4. The firm's failure to block unauthorized naked put trades represents a supervisory breakdown under FINRA Rule 2360(b)(16)(B), which requires firms to establish procedures for reviewing options accounts and monitoring trading activity. While this is arguably a firm-level failure rather than Janet's individual failure, her role as the reviewing advisor creates shared responsibility.

Arguments that Janet acted reasonably:

1. Marcus is a 34-year-old technology professional earning \$185,000 with substantial liquid assets. He is not a vulnerable or unsophisticated investor. He affirmatively sought the upgrade and articulated a coherent, defined-risk strategy (credit spreads on index ETFs).
2. Credit spreads are, in fact, defined-risk strategies. The maximum loss on any individual spread is known at the time of entry. Janet's assessment that these strategies were appropriate for Marcus's financial profile was not unreasonable.
3. The catastrophic losses did not stem from the approved Level 4 strategies but from unauthorized Level 5 naked put trades that the firm's systems failed to catch. It is arguably unfair to hold Janet responsible for losses arising from trades she never approved and that the customer initiated in violation of his account permissions.
4. Risk tolerance can legitimately change over time, and a customer who has been actively trading for several months and supplementing with education may genuinely develop a higher risk tolerance. There is no bright-line rule prohibiting a risk profile change within a particular timeframe.
5. The OCC Options Disclosure Document, which Marcus would have received, clearly outlines the risks of options trading, providing additional investor protection.

The Robinhood-era enforcement actions, including the New Hampshire consent order and multi-state investigations, specifically targeted firms for inadequate options approval processes, insufficient customer due diligence, and system failures that allowed customers to engage in strategies beyond their approval level. This case shares features with those enforcement patterns.

Why Borderline

The case is genuinely ambiguous because the approved Level 4 strategies (credit spreads) were arguably suitable for Marcus's profile and carried defined risk, yet the rapid escalation of risk tolerance, the advisor's acceptance of self-reported experience changes without deeper inquiry, and the firm's system failure that allowed unauthorized naked put trades all raise legitimate concerns. The key tension is between respecting an educated adult's autonomous investment decisions and the gatekeeper obligations that options approval processes are designed to enforce. The catastrophic losses came from unauthorized trades rather than the approved strategies, complicating the causation analysis significantly.

Borderline Factors

- Customer's rapid shift from moderate to aggressive risk tolerance within 4 months, coinciding with \$18,000 in losses, which could indicate either genuine sophistication development or problematic escalation behavior
- The approved credit spread strategies are genuinely defined-risk, distinguishing them from the unauthorized naked puts that caused the actual losses
- Marcus is a young, high-income technology professional - not a typical vulnerable investor - who affirmatively sought the upgrade and articulated a coherent strategy
- Janet conducted a review of the upgrade request but arguably did not probe deeply enough into the reasons for the risk tolerance change or evaluate the pattern of losses
- The firm's system failure in allowing unauthorized Level 5 trades raises questions about whether the advisor or the firm bears primary responsibility for the resulting losses
- Only 1 year of total options experience at time of Level 4 approval, with the first 6 months resulting in consistent losses
- The distinction between advisor suitability obligations and firm supervisory obligations creates shared but uncertain accountability

Likely Outcome

A regulator would most likely find a partial violation. The approval of Level 4 trading itself is defensible given Marcus's financial profile and the defined-risk nature of credit spreads, but the advisor's failure to conduct a more searching inquiry into the rapid risk tolerance change - particularly following meaningful losses - would likely be viewed as falling short of due diligence obligations. The firm would almost certainly face separate supervisory charges for the system failure that permitted unauthorized naked put trades. However, the damages attributable specifically to Janet's Level 4 approval decision (as opposed to the firm's system failures) would likely be limited, since the approved strategies were not the primary cause of the catastrophic losses. A regulator would likely impose a moderate fine on the advisor and more significant sanctions on the firm, potentially requiring enhanced options approval procedures and system controls.

Borderline Scenario 72

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); F*

Fact Pattern

Marcus Delgado, age 34, opened a brokerage account in September 2022 with Bridgepoint Securities, a mid-sized broker-dealer. His account application listed his occupation as a senior software engineer at a

large tech company earning \$195,000 annually, with a net worth of approximately \$620,000 (excluding his primary residence), liquid assets of \$340,000, and no dependents. Under investment experience, Marcus checked boxes indicating 5+ years of experience in equities and ETFs, 1-2 years of experience in options, and listed his investment objective as 'growth' with a risk tolerance of 'aggressive.' He also noted on a supplemental questionnaire that he had 'traded covered calls and cash-secured puts in a prior account at another firm for about 18 months.' His registered representative, Dana Whitfield, conducted a 15-minute phone call during account opening, during which Marcus described watching YouTube tutorials on options Greeks and said he was 'comfortable with multi-leg strategies.' Dana noted in her CRM that the client was 'knowledgeable about options basics and interested in expanding to spreads.' Based on this information, Dana approved Marcus for Level 3 options trading, which at Bridgepoint permits vertical spreads, iron condors, calendar spreads, and naked short puts (but not naked short calls). She did not request brokerage statements from his prior firm, did not ask about his specific profit-and-loss history in options, and did not inquire about the size of his prior options positions relative to his portfolio. Bridgepoint's options account approval process involved a principal review of the application data and Dana's notes, but the principal did not independently contact Marcus. Over the following four months, Marcus executed 147 options trades, predominantly selling short put spreads and iron condors on the S&P 500 index using weekly and 0DTE (zero-days-to-expiration) expirations. His average position size was roughly \$8,000-\$12,000 in maximum risk per trade. In late January 2023, a sharp intraday market move resulted in Marcus losing approximately \$74,000 in a single session on a cluster of 0DTE short put spreads that moved deeply in-the-money before he could adjust. His account value dropped from \$285,000 to \$211,000. Marcus filed a complaint alleging that Dana never truly understood his actual experience level, that his prior options trading had been limited to roughly \$500-\$1,000 positions in covered calls on individual stocks, and that he had no real experience with index options, short-dated expirations, or complex multi-leg strategies before opening the Bridgepoint account. He claims the YouTube tutorials he referenced were introductory videos he had only recently started watching. Dana maintains that Marcus represented himself as experienced and aggressive, that he answered all account opening questions, and that his stated experience and financial profile supported Level 3 approval. Bridgepoint's written supervisory procedures require that options accounts be approved based on the customer's 'stated financial situation, investment experience, and investment objectives' and that the approving principal ensure the information is 'internally consistent and reasonable,' but the procedures do not mandate verification of prior trading records.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between the advisor's duty to obtain and meaningfully evaluate customer information and the customer's own representations. On one hand, Dana gathered the standard application data: income, net worth, liquid assets, experience levels, objectives, and risk tolerance. Marcus's financial profile - a high-earning professional with \$340,000 in liquid assets and an aggressive risk tolerance - is not facially inconsistent with Level 3 options approval. He self-reported 1-2 years of options experience and specifically mentioned covered calls and cash-secured puts. Dana conducted a phone conversation and documented her impressions. The firm's written supervisory procedures did not require verification of prior brokerage statements. Under FINRA Rule 2360(b)(16), the firm must exercise due diligence to ascertain the essential facts about every customer before approving options trading, including investment experience with options. However, the rule allows firms to rely on customer-provided

information unless there are red flags suggesting the information is inaccurate. On the other hand, several facts suggest the know-your-customer inquiry was inadequate. Marcus's stated experience was with covered calls - one of the most basic and conservative options strategies - yet he was approved for Level 3, which includes naked short puts and multi-leg strategies that are qualitatively different in risk profile. A 15-minute phone call in which the client mentioned watching YouTube tutorials might reasonably be seen as a red flag that the client was still in a learning phase, not an experienced options trader ready for complex strategies. Dana did not probe the size of Marcus's prior positions, his profit-and-loss history, or whether he had any experience with index options or short-dated expirations. The gap between 'covered calls on individual stocks at \$500-\$1,000' and 'selling 0DTE SPX put spreads at \$8,000-\$12,000 per trade' is enormous in terms of risk complexity. Under FINRA Regulatory Notice 21-15, firms are reminded that account opening procedures for options must go beyond checkbox exercises and that the rise of self-directed digital trading does not eliminate the obligation to conduct a meaningful assessment. The OCC Options Disclosure Document must also be provided and, critically, the firm must have a reasonable basis for believing the customer can understand and bear the risks of the approved strategies. Under Reg BI's care obligation, the recommendation to approve a particular options level is itself a recommendation that must be in the customer's best interest, considering the customer's investment profile. Approving Level 3 based on covered call experience alone, without further inquiry, could be seen as a failure to exercise reasonable diligence. The supervising principal's failure to independently contact Marcus, while not explicitly required by firm procedures, may further weaken the firm's position, particularly given the disparity between stated experience (basic covered calls) and approved strategies (naked puts, iron condors). However, Marcus is a sophisticated professional who affirmatively represented himself as aggressive and experienced. He executed 147 trades over four months without raising concerns, suggesting at least functional literacy with the strategies. Regulators sometimes apply the principle that a customer's own misrepresentations or omissions can mitigate an advisor's liability, though this is not absolute - the advisor still bears a duty to conduct a reasonable inquiry.

Why Borderline

The scenario is genuinely ambiguous because the customer's self-reported profile (aggressive risk tolerance, 1-2 years options experience, high income and liquid net worth) facially supports Level 3 options approval, and the firm's procedures did not require independent verification of prior trading records. However, the qualitative gap between covered call experience and the approved strategies, combined with the YouTube tutorial comment and the brevity of the phone discussion, suggests the advisor may not have conducted a sufficiently probing inquiry. Reasonable practitioners could disagree on whether the advisor's 15-minute conversation and reliance on the application satisfied due diligence requirements, or whether the red flags warranted deeper questioning.

Borderline Factors

- Customer self-reported 1-2 years of options experience and aggressive risk tolerance, which facially supports the approval level granted
- The specific experience reported (covered calls on individual stocks at small sizes) is qualitatively different from the strategies approved (naked puts, iron condors, complex multi-leg trades)
- The advisor conducted a phone conversation but it was brief (15 minutes) and did not probe position sizing, P&L history, or experience with index options or short-dated expirations
- The customer's mention of YouTube tutorials could be interpreted as either a sign of active self-education or a red flag indicating beginner-level knowledge

- The firm's written supervisory procedures did not require verification of prior brokerage statements, potentially shielding the advisor from a procedural violation
- The customer executed 147 trades over four months without complaint, suggesting functional competence with the strategies until the large loss occurred
- The customer's financial profile (\$195K income, \$340K liquid assets, \$620K net worth) may or may not adequately support the risk of ODTE index options trading at \$8K-\$12K per position
- The principal review was conducted solely on paper without independent customer contact, raising questions about supervisory adequacy

Likely Outcome

A regulator would most likely find a violation, though the sanction might be moderate rather than severe. The key issue is that the advisor's inquiry was insufficiently probing given observable red flags. While the customer's financial profile and self-reported experience were not facially disqualifying, the specific nature of the reported experience (small covered calls) was materially inconsistent with the level of approval granted (naked puts and multi-leg strategies). The mention of YouTube tutorials during the phone call should have prompted deeper questioning about actual trading history and comprehension of complex strategies. Under FINRA Rule 2360(b)(16)(B), the firm is required to obtain information about the customer's investment experience and knowledge sufficient to evaluate whether options trading is appropriate, and a reasonable inquiry would have revealed the gap between Marcus's actual experience and the approved level. FINRA RN 21-15 specifically warns against perfunctory account approval processes. However, the customer's own affirmative misrepresentations and his four months of apparently competent trading would likely be considered mitigating factors. The principal's failure to independently verify the reasonableness of the approval may also result in a supervisory deficiency finding. The firm might face a modest fine and be required to enhance its options approval procedures, rather than a finding of fraud or egregious misconduct.

Borderline Scenario 73

Topic: failure_to_know_customer | Standard: FINRA Rule 2360(b)(16) - Options Account Approval and Due Diligence; FINRA Rule 2

Fact Pattern

Gerald Vasquez, age 58, is a semi-retired mechanical engineer who runs a small consulting business generating approximately \$95,000 per year in income. He has a net worth of approximately \$1.4 million, of which roughly \$620,000 is in his brokerage account at Ridgeline Securities. Gerald has traded equities actively for about twelve years and has experience buying covered calls and occasional protective puts on positions he already owns. In March 2023, Gerald opened a new account with advisor Danielle Huang at Ridgeline after his previous advisor retired. During the new account onboarding, Danielle conducted a phone-based suitability interview lasting approximately 25 minutes. Gerald told Danielle he wanted to 'generate more income from options' and mentioned he had been 'reading a lot about credit spreads and iron condors' on online forums and YouTube channels. He said he understood the risks. Danielle noted on the account application that Gerald had '10+ years' of options experience and selected 'Extensive' for his options knowledge level. She approved him for Level 3 options trading, which at Ridgeline permits multi-leg spread strategies including iron condors, strangles, and naked short puts on cash-secured basis. She did not ask Gerald whether he had ever actually executed a multi-leg spread, nor did she ask him to describe

how an iron condor works or what the maximum loss scenarios would be. She did not review his trading history from his prior account, which was available through ACATS transfer records showing he had only ever executed single-leg covered calls and long puts. Gerald's account application listed his investment objective as 'Income with moderate growth,' his risk tolerance as 'Moderate,' and his time horizon as '5-10 years.' He also indicated on the application that he could afford to lose up to 20% of his portfolio without materially affecting his lifestyle. Over the next four months, Gerald executed 38 iron condor trades on broad market ETFs and individual tech stocks, largely on his own initiative using Ridgeline's online platform. Danielle did not recommend any specific trades but did send Gerald a congratulatory email after his first month saying 'Great start - the premium income strategy looks like it's working well for you.' By August 2023, a sharp market downturn caused Gerald to lose approximately \$87,000 on several iron condor positions where the short legs were breached. Gerald filed a complaint alleging that Danielle never truly assessed whether he understood multi-leg strategies and that she should not have approved him for Level 3 trading. He stated that he had 'no real idea' how to manage iron condors when they moved against him and that his experience was limited to simple covered calls. Ridgeline's compliance department reviewed the matter and noted that Gerald's account application was fully completed and signed, that Gerald self-certified his experience level, and that all 38 trades were unsolicited. Danielle maintains that Gerald presented himself as knowledgeable, that his twelve years of options activity and \$1.4 million net worth justified the approval, and that his losses were within the 20% loss tolerance he had acknowledged.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Danielle violated applicable standards: The account approval process is a critical gatekeeping function. Under FINRA Rule 2360(b)(16), a Registered Options Principal (or delegated registered representative) must exercise due diligence in approving options accounts, which includes verifying - not merely accepting at face value - the customer's actual options experience, knowledge, and sophistication. Danielle's 25-minute phone call did not include any probing questions about whether Gerald had actually traded multi-leg strategies. She marked his knowledge as 'Extensive' based on his self-representation, but his ACATS transfer records - readily available to her - showed only single-leg covered call and protective put activity over twelve years. There is a meaningful difference between buying a protective put and managing an iron condor with four legs and multiple risk exposures. The Options Disclosure Document (ODD) published by the OCC specifically warns that spread strategies involve unique and complex risks, and firms are expected to ensure customers genuinely understand these risks before granting approval. FINRA Regulatory Notice 21-15 emphasizes that firms must have robust account approval processes for options, particularly in the era of self-directed online trading, and that self-certification alone is insufficient when other information available to the firm contradicts or calls into question the customer's stated experience. Danielle's congratulatory email, while not constituting a recommendation, could be viewed as implicit encouragement that reinforced Gerald's continued trading in a strategy he did not fully understand. Arguments that Danielle acted appropriately: Gerald is a sophisticated individual - an engineer with twelve years of active trading, substantial net worth, and a self-declared moderate risk tolerance that included acceptance of up to 20% losses. His actual losses of \$87,000 represent approximately 14% of his brokerage account and about 6.2% of his total net worth, which is within his stated loss tolerance. Gerald actively sought out multi-leg strategies, self-educated through online resources, and initiated all 38 trades himself without any recommendation from Danielle. The account

application was fully completed and signed by Gerald, who certified his own experience level. Firms are entitled to rely on customer representations unless there are red flags. While ACATS records showed only single-leg trades, it is possible Gerald had options experience at another firm or through paper trading that would not appear in transfer records. Additionally, Ridgeline's Level 3 approval did not include unlimited naked options - it was limited to defined-risk spreads and cash-secured short puts, which have capped maximum losses. Gerald's complaint appears to involve hindsight bias after market losses on self-directed trades.

Why Borderline

This case sits at the intersection of firm gatekeeping obligations for options account approval and customer self-responsibility for self-directed trading. The core tension is whether a firm's duty to 'know your customer' for options approval requires independent verification of stated experience (particularly when contradictory evidence exists in transfer records), or whether a firm can reasonably rely on a customer's signed self-certification when the customer is otherwise financially sophisticated. The fact that all trades were unsolicited further complicates the analysis, as does the fact that Gerald's losses were within his stated tolerance. Reasonable compliance professionals could disagree on whether Danielle's failure to review ACATS records and probe Gerald's actual multi-leg experience constitutes a meaningful approval failure or simply a minor procedural gap that did not cause harm.

Borderline Factors

- Gerald self-certified 'Extensive' options knowledge and signed the account application, creating reliance for the firm
- ACATS transfer records showing only single-leg options activity were available but not reviewed by Danielle
- All 38 trades were unsolicited and self-directed by the customer
- Gerald's actual losses (\$87,000) fell within his stated 20% loss tolerance relative to the brokerage account
- The 25-minute phone interview did not include any verification questions about multi-leg strategy mechanics
- Gerald has 12 years of options experience and a professional engineering background suggesting analytical capability
- Danielle's congratulatory email could be seen as implicit encouragement but was not a recommendation
- Level 3 approval at Ridgeline included only defined-risk spreads, not truly unlimited-risk naked options
- There is no way to verify whether Gerald had additional experience through paper trading or accounts not transferred via ACATS

Likely Outcome

A regulator would most likely find a violation of the account approval process, though the sanction might be moderate rather than severe. The key issue is that FINRA Rule 2360(b)(16) and FINRA RN 21-15 place affirmative obligations on firms to conduct meaningful due diligence during options account approval - obligations that go beyond accepting customer self-certifications. The availability of ACATS records contradicting Gerald's stated experience level creates a red flag that Danielle had a duty to investigate. However, mitigating factors - including Gerald's financial sophistication, his net worth, his stated risk tolerance, the defined-risk nature of the strategies, and the entirely unsolicited nature of the trades - would likely reduce the severity of any finding. The regulator would probably conclude that the approval process

was deficient but that Danielle did not have a duty to monitor or intervene in each self-directed trade. The firm might face a supervisory deficiency finding, and Danielle could receive a cautionary action or minor fine rather than a suspension.

Borderline Scenario 74

Topic: *excessive_churning* | Standard: *FINRA Rule 2360 (options account approval and supervision); FINRA Rule 2361 (suitability o*

Fact Pattern

Marcus Ellison, age 34, is a software engineer earning \$185,000 per year with a net worth of approximately \$620,000, including a 401(k) and a home. He opened a margin-enabled options account with Ridgeline Financial in January 2023, self-reporting his investment experience as 'intermediate' on his new account form. He indicated 3 years of stock trading experience and 1 year of options experience, primarily buying calls and puts. He listed his risk tolerance as 'aggressive' and his investment objective as 'speculation.' His liquid net worth was approximately \$140,000, and he funded the account with \$75,000.

His assigned advisor, Danielle Kowalski, approved him for Level 3 options trading, which included spreads, covered calls, and naked put writing. Over the next 14 months, the account generated 287 round-trip options transactions. The annualized turnover ratio for the account was 11.2, and the cost-to-equity ratio was approximately 38%. Total commissions and fees paid were \$31,400. The account lost roughly \$18,000 in net value over this period, meaning the account went from \$75,000 to approximately \$57,000.

Kowalski argued that the trading frequency was driven entirely by Marcus's own instructions. She produced 43 emails from Marcus directing specific trades, requesting particular strike prices and expirations, and sometimes sending her options flow data from social media accounts he followed. Marcus used a mobile app provided by Ridgeline that included push notifications about unusual options activity, a leaderboard showing 'top performers' among Ridgeline clients, and streak-based badges for consecutive trading days. Kowalski never discouraged any of Marcus's trade requests and in some cases suggested minor modifications, such as rolling positions out a week or adjusting strike prices by one increment. She did not initiate the core trade ideas.

Marcus filed a complaint stating that Kowalski should have recognized the pattern of excessive trading was destroying his account value and intervened, and that the app's design features encouraged compulsive trading behavior. He noted that at no point did Kowalski suggest reducing trading frequency, diversifying into longer-term positions, or taking a pause. Ridgeline's compliance department reviewed the account at the six-month mark and flagged the turnover ratio at 8.4 but took no action beyond noting that the client was self-directing trades. Kowalski received \$14,200 in commissions from the account during the period. Marcus had signed a document at account opening acknowledging that options involve risk and that frequent trading increases costs, but he stated he did not read it carefully.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises genuinely difficult questions about the boundaries between self-directed client activity and an advisor's affirmative duty to prevent excessive trading.

Arguments that Kowalski violated applicable standards:

1. Quantitative indicators strongly suggest churning. An annualized turnover ratio of 11.2 far exceeds the commonly cited threshold of 6.0 that regulators have historically treated as presumptively excessive. The cost-to-equity ratio of 38% means Marcus needed to earn a 38% return simply to break even after costs - a nearly impossible hurdle for any sustained period.
2. Under FINRA Rule 2360 and the broader framework of Reg BI's care obligation, a broker who exercises de facto control or influence over an account has an obligation to ensure that the frequency and volume of trading is not excessive relative to the customer's profile. Kowalski's modifications to Marcus's trade ideas (adjusting strikes, suggesting rolls) arguably constitute a degree of influence and control that goes beyond mere order execution.
3. FINRA RN 21-15 specifically addresses the risks of options account approval and ongoing monitoring, emphasizing that firms must have robust supervisory systems and that account approval cannot be a one-time event. Ridgeline's compliance flagged the account at 6 months with a turnover ratio of 8.4 and did nothing - this is a supervisory failure.
4. The digital engagement practices - leaderboards, streak badges, push notifications about unusual options activity - raise concerns highlighted by the SEC's 2021 Request for Information on digital engagement practices. These gamification features arguably contributed to compulsive trading behavior and the firm bears responsibility for deploying them.
5. Kowalski never once recommended reducing trading frequency despite watching the account hemorrhage value. The absence of any protective recommendation over 14 months, combined with \$14,200 in personal commissions, creates an inference of at minimum negligent disregard.

Arguments that Kowalski did not violate applicable standards:

1. Marcus self-directed the vast majority of trades. Forty-three documented emails show him initiating specific trades with strike prices and expirations already selected. He was sourcing ideas from social media options flow data independently. Under traditional churning analysis, the advisor must exercise control over the account - and here, the evidence of client-directed activity is substantial.
2. Marcus's stated profile - aggressive risk tolerance, speculative objective, \$185,000 income, age 34 - is consistent with someone who can absorb losses and who affirmatively chose to engage in high-frequency options speculation. He signed an acknowledgment about the risks of frequent options trading.
3. Kowalski's modifications were minor and arguably in Marcus's interest (rolling to avoid expiration risk, adjusting strikes slightly). This is the kind of value-add an advisor provides without converting a self-directed account into an advisor-controlled one.

4. The turnover ratio threshold of 6.0 was developed primarily for equity accounts. Options accounts naturally generate higher turnover because positions expire and must be re-established, and spreads involve multiple legs counted separately. Adjusting for options-specific trading patterns could bring the effective turnover closer to the gray zone.

5. Marcus is a 34-year-old software engineer - not a vulnerable or unsophisticated investor. He was actively engaged, understood the products, and drove the strategy. Paternalistic intervention by the advisor could itself be seen as overreach in a self-directed context.

Why Borderline

The case sits at the intersection of several unresolved tensions in modern brokerage regulation: (1) the degree to which an advisor who receives and modifies client-directed orders 'controls' an account for churning purposes; (2) whether extremely high quantitative indicators alone establish excessiveness when the client is actively driving the strategy; (3) the regulatory significance of gamification features that may encourage excessive trading but which the individual advisor did not design; and (4) the evolving expectations under Reg BI that advisors must act in a client's best interest even when the client is self-directing, versus traditional churning doctrine requiring advisor control. Reasonable practitioners disagree on whether an advisor has an affirmative duty to refuse or discourage client-initiated trades that are collectively excessive.

Borderline Factors

- Turnover ratio of 11.2 far exceeds traditional thresholds, but options accounts naturally generate higher turnover due to expirations and multi-leg strategies
- Cost-to-equity ratio of 38% is extremely high, but the client chose speculative, aggressive trading and was informed of cost implications
- 43 documented client-initiated emails versus Kowalski's minor modifications create ambiguity about who exercised de facto control
 - Gamification features (leaderboards, streak badges, push notifications) may have contributed to compulsive trading, but the advisor did not design or control these features
 - Compliance flagged the account at the 6-month mark but took no action, raising questions about supervisory responsibility versus individual advisor liability
 - Client is young, high-income, and self-identified as aggressive and speculative, cutting against vulnerability arguments
- Advisor earned \$14,200 in commissions creating a financial incentive, but the commission structure was standard and not specially designed to encourage churning
- Advisor never recommended reducing frequency - silence versus affirmative misconduct is a genuine gray area under current standards

Likely Outcome

A regulator would most likely find a violation, though the analysis would be close. The quantitative indicators are extreme enough that they create a strong presumption of excessiveness that is difficult to overcome even with evidence of client-directed trading. Regulators have increasingly taken the position that under Reg BI, an advisor cannot simply execute whatever a client requests if the cumulative pattern is clearly harmful - there is at minimum an obligation to recommend against continued excessive trading. The

firm-level failures (gamification design, compliance inaction after the 6-month flag) would likely result in separate supervisory charges. However, sanctions against Kowalski individually might be mitigated by the strong evidence of client direction, and the case would likely settle rather than go to a full adjudication. The firm would bear heavier responsibility than the individual advisor.

Borderline Scenario 75

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation; FINRA Rule 2

Fact Pattern

Marcus Devlin, age 44, is a senior software engineer at a major tech company earning \$285,000 annually with a net worth of approximately \$1.9 million, including \$620,000 in his brokerage account at Ridgeway Securities. Marcus has traded stocks actively for about six years and began trading options two years ago, initially buying calls and puts on tech stocks he followed closely. In March 2022, his newly assigned financial advisor, Trent Hubbard, recommended that Marcus upgrade his options approval level from Level 2 (long calls and puts, covered calls) to Level 3 (spreads and more complex multi-leg strategies). Marcus agreed and was approved after a brief phone interview. Over the following 14 months, Trent recommended a series of increasingly frequent multi-leg options strategies - primarily iron condors, vertical spreads, and calendar spreads - on a basket of roughly 12 to 15 large-cap and mid-cap stocks. Marcus's account saw 187 round-trip options transactions during this period. The annualized turnover ratio for the account, calculated on the options positions, was approximately 7.2, and the cost-to-equity ratio was roughly 31%. Commissions and fees totaled \$41,600 over the 14 months. The account's net return after costs was negative \$14,200 - a loss of about 2.3% on the options portion of the portfolio - while the S&P 500 returned approximately 8% over the same period. Trent earned \$36,400 in personal commissions from the activity. Marcus never objected to any individual trade and frequently texted Trent with his own trade ideas, some of which Trent executed and some of which Trent talked him out of. Trent's internal notes reflect that Marcus "enjoys active trading and views it as a hobby alongside his career" and that Marcus "understands spreads well and often initiates strategy discussions." However, Trent was the one who proposed approximately 70% of the trades, and Marcus's texts show he generally responded with brief messages like "sounds good" or "let's do it" rather than substantive analysis. Marcus did not file a complaint until eighteen months after the trading period, when a colleague suggested his account costs seemed unusually high. Ridgeway's compliance department had flagged the account once during the period for elevated trading frequency but closed the review after Trent provided his notes indicating client engagement. Marcus's account agreement listed his investment objective as "growth" and his risk tolerance as "aggressive."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuinely difficult churning analysis because key quantitative and qualitative indicators cut in both directions.

Arguments that Trent violated applicable standards:

1. Quantitative red flags are significant. An annualized turnover ratio of 7.2 is well above the threshold of 6 that many regulators and arbitration panels have treated as presumptively excessive. The cost-to-equity ratio of 31% means Marcus's options portfolio needed to generate a 31% return just to break even after costs - a high bar even for aggressive strategies. Total commissions of \$41,600 on a \$620,000 account over 14 months are substantial.

2. Despite Marcus's stated aggressive risk tolerance and interest in options, the advisor initiated approximately 70% of the trades. De facto control - a key element of churning - does not require formal discretionary authority; it can be established through a pattern where the client routinely rubber-stamps advisor recommendations. Marcus's brief affirmative responses ('sounds good,' 'let's do it') without substantive pushback suggest deference rather than independent judgment.

3. The account underperformed the broad market by over 10 percentage points during the period, and the net loss was driven almost entirely by transaction costs. Under Reg BI's care obligation and FINRA Rule 2111's quantitative suitability component, a pattern of trading that primarily generates commissions rather than client returns raises serious concerns.

4. The compliance flag that was raised and then dismissed based solely on the advisor's own self-serving notes suggests a supervisory failure under FINRA Rules 3110 and 2360(b)(16), which require firms to conduct meaningful reviews of options activity, particularly for accounts showing unusual volume.

Arguments that Trent did not violate applicable standards:

1. Marcus is a sophisticated, high-income professional with meaningful prior trading experience. He had two years of options experience before the Level 3 upgrade and actively participated in strategy discussions. His 30% initiation rate of trades is not trivial - it shows genuine engagement rather than a passive, dominated customer.

2. A turnover ratio of 7.2, while high, is not extraordinary for an options-focused account employing multi-leg strategies. Options inherently involve more frequent transactions than equities because positions expire and must be rolled or replaced. Iron condors and calendar spreads, by their nature, involve multiple legs that inflate transaction counts. Some practitioners argue that traditional equity-based turnover metrics must be adjusted for options accounts.

3. Marcus's stated objective was growth with aggressive risk tolerance. Active, short-term options strategies - while costly - are consistent with that stated profile. The negative 2.3% return, while disappointing relative to the S&P 500, is not catastrophic and falls within the range of outcomes an aggressive trader might accept.

4. Marcus did not complain for 18 months after the trading period ended. He received confirmations and statements throughout. His delay undercuts the argument that he was unaware of or did not consent to the trading pattern.

5. Trent's internal documentation, while self-serving, does reflect contemporaneous notes about client

engagement, which is relevant to the de facto control analysis.

Under FINRA Rule 2111(a) and Reg BI, quantitative suitability prohibits recommending a series of transactions that, taken together, are excessive in light of the customer's profile - even if each individual transaction is suitable. Under FINRA Rule 2360(b)(16), firms have heightened duties regarding options account supervision and must ensure strategies are appropriate. FINRA RN 21-15 emphasized that options account approvals and ongoing activity reviews must be robust and cannot rely on superficial compliance checks.

Why Borderline

The quantitative metrics (turnover ratio of 7.2, cost-to-equity of 31%) sit at or just above traditional presumptive thresholds for churning, but the client is sophisticated, aggressive, engaged, and trading in a product category (multi-leg options) where traditional turnover metrics may overstate activity levels. The de facto control element is genuinely ambiguous: Marcus participated actively but deferred on 70% of trades with minimal analysis. Reasonable practitioners could disagree on whether this reflects an informed aggressive investor exercising autonomous choice or a client being led by a commission-motivated advisor.

Borderline Factors

- Turnover ratio of 7.2 is above the commonly cited 6.0 threshold but may be inflated by the multi-leg nature of options strategies
- Cost-to-equity ratio of 31% is high but client's stated risk tolerance was aggressive
- Client initiated approximately 30% of trades and actively texted trade ideas, suggesting meaningful engagement
- Advisor initiated 70% of trades and client responses were perfunctory rather than analytical
- Client is a high-income sophisticated professional with prior options trading experience
- Account underperformed the S&P 500 by approximately 10 percentage points, but the absolute loss was only 2.3%
- Compliance flagged the account but closed the review based on advisor's own notes without independent client contact
- 18-month delay before client complaint cuts against argument of advisor domination
- No formal discretionary authority was granted, making de facto control harder to establish

Likely Outcome

A regulator would more likely than not find a violation, but the case is not open-and-shut. The quantitative indicators exceed commonly used thresholds, and the pattern of perfunctory client approval of advisor-initiated trades is likely sufficient to establish de facto control. The compliance department's failure to independently verify client engagement when the account was flagged would likely be cited as a supervisory deficiency. However, any sanction might be tempered by Marcus's sophistication, active participation, and aggressive stated objectives. The most probable outcome is a finding of excessive trading with moderate sanctions, potentially reduced by the mitigating factor of client sophistication and engagement. The firm would likely face a separate supervisory violation for inadequate follow-through on the compliance flag.

Borderline Scenario 76

Fact Pattern

Marcus Webb, age 24, opened a self-directed brokerage account with Redline Securities in February 2021. On his new account application, Marcus listed his occupation as 'software engineer' with an annual income of \$95,000, liquid net worth of \$140,000, and total net worth of \$155,000. He selected 'growth' and 'speculation' as his investment objectives and indicated a 'high' risk tolerance. His stated investment experience included '3-5 years' of stock trading and '1-2 years' of options trading. He listed no investment knowledge in futures, fixed income, or alternatives. His account application was processed through Redline's digital onboarding system, which included a five-question interactive quiz about options concepts (calls, puts, intrinsic vs. time value, and assignment risk); Marcus answered four of five correctly. Based on these inputs, Redline's automated approval algorithm granted Marcus Level 3 options privileges, which at Redline permitted buying calls and puts, writing covered calls, cash-secured puts, vertical spreads, and also naked put writing on marginable securities. Redline's system did not flag the account for manual supervisory review because Marcus's stated income, net worth, and quiz score all met the firm's quantitative thresholds for Level 3. No registered options principal personally reviewed the application. Over the next four months, Marcus primarily traded vertical spreads on large-cap technology stocks and generated modest profits (\$6,200). In June 2021, Marcus began writing naked puts on three volatile mid-cap biotech stocks with upcoming FDA decision dates. Between June 15 and July 9, 2021, he sold 47 naked put contracts across these three names, collecting approximately \$28,000 in premiums. When two of the biotechs received negative FDA rulings, the stocks dropped 40-55%, and Marcus faced assignment on 31 contracts, resulting in losses of approximately \$112,000 - roughly 80% of his stated liquid net worth. Marcus filed a complaint alleging Redline never truly 'knew' him as a customer, that his self-reported 1-2 years of options experience was limited to buying calls on a mobile app, that he had never written a naked option before being approved for Level 3, and that a brief automated quiz was insufficient due diligence. He also noted that his \$140,000 liquid net worth consisted almost entirely of cryptocurrency holdings, a fact not captured by the application, and that he had \$38,000 in student loan debt, also not captured. Redline countered that Marcus's application responses were facially consistent with Level 3 approval under the firm's written supervisory procedures, that Marcus affirmatively represented his experience and risk tolerance, that the firm's quiz demonstrated functional options knowledge, that the first four months of successful spread trading confirmed his competency, and that Marcus was a self-directed customer who made his own trading decisions with no advisor recommendations involved. Redline also noted that its automated system processed over 12,000 options applications per month and that manual review of all applications was operationally impractical.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case involves the tension between a firm's obligation to exercise due diligence in approving customers for options trading and the practical realities of high-volume digital account onboarding. Under FINRA Rule 2360(b)(16), a member must exercise due diligence to learn the essential facts about a customer before approving an options account - including financial situation, investment experience, and investment objectives. FINRA Regulatory Notice 21-15 emphasizes that this duty applies regardless of whether the account is self-directed, and that firms cannot rely solely on customer self-reported information if there are

red flags or if the information-gathering process is inadequate. Arguments that Redline failed its obligations: (1) The firm's application did not probe the nature of Marcus's options experience - '1-2 years' could mean anything from paper trading to complex multi-leg strategies, and the firm made no effort to distinguish. (2) A five-question quiz, while better than nothing, is a rudimentary proxy for genuine knowledge of naked writing risk, which involves theoretically unlimited loss potential on calls and substantial loss potential on puts. (3) The application failed to ascertain the composition of Marcus's net worth (crypto, which is itself highly volatile and potentially illiquid) or his liabilities (student debt), both of which are material to evaluating whether naked option strategies are appropriate. (4) No registered options principal reviewed the account, which raises questions under FINRA Rule 2360(b)(16)(B) requiring a Registered Options Principal (ROP) or delegated qualified person to approve each account. (5) FINRA RN 21-15 specifically warned firms about over-reliance on automated approvals and the need for supervisory infrastructure adequate to the volume of accounts being opened. Arguments in Redline's favor: (1) Marcus affirmatively represented his experience, income, net worth, and risk tolerance, and firms are generally entitled to rely on customer representations absent red flags. (2) Marcus passed the options knowledge assessment, and his first four months of profitable spread trading (a Level 3 strategy) provided real-world confirmation of competence. (3) The account was self-directed - Marcus chose his own trades with no advisor involvement, which means Reg BI's recommendation-based framework does not apply in the traditional sense. (4) The OCC Options Disclosure Document was provided (as confirmed by the digital onboarding records), satisfying the disclosure requirement. (5) Marcus's application, taken at face value, met all quantitative thresholds the firm established in its written supervisory procedures, which had been reviewed and not previously found deficient. The critical issue is whether the automated approval process - particularly the failure to have an ROP review, the failure to probe the nature of options experience, and the failure to capture asset composition and liabilities - constitutes a failure to exercise 'due diligence' as contemplated by the rules, or whether it represents a reasonable, scalable approach to account approval that was undermined by the customer's own misrepresentations or omissions.

Why Borderline

This is genuinely gray because Marcus's stated profile facially supported Level 3 approval, he demonstrated some options knowledge, and he traded successfully for months before concentrating risk. The firm had written procedures, a quiz mechanism, and automated thresholds - more than some firms during this period. Yet the firm never had a human review the account, never probed the nature of the claimed experience, never captured asset composition or liabilities, and granted naked writing privileges to a 24-year-old with limited real-world experience. Reasonable regulators could disagree on whether the automated process satisfied the 'due diligence' standard or whether it was a systemic supervisory failure masked by volume.

Borderline Factors

- Customer self-reported information facially supported approval, but the firm made no effort to verify or probe the depth of claimed experience
- Automated quiz demonstrated basic options knowledge but did not test understanding of naked writing risks specifically
- No registered options principal reviewed the application despite rule requirements for principal approval
- Customer traded successfully for four months in approved strategies before escalating to concentrated naked writing
- Liquid net worth was largely in cryptocurrency - a material fact not captured that would have changed the

risk calculus

- Student loan debt was not captured, further distorting the financial picture
 - Account was entirely self-directed with no advisor recommendations, limiting the applicability of recommendation-based standards
- Firm processed 12,000+ options applications monthly, raising legitimate operational scalability concerns
 - FINRA had recently issued guidance specifically warning about these exact automated approval practices
- The customer bore some responsibility for concentrating naked put exposure in binary-event biotech stocks

Likely Outcome

A regulator would most likely find that Redline violated its obligations, though the sanction might be moderate rather than severe. The absence of any ROP or equivalent human review is the strongest factor against Redline, as the rules specifically contemplate principal approval of options accounts. The failure to capture asset composition (crypto) and liabilities (student debt) means the firm's 'due diligence' was incomplete regardless of what Marcus self-reported in other fields. FINRA RN 21-15 was issued specifically to address these automated-approval gaps, and Redline's system exhibited exactly the deficiencies described in that notice. However, the outcome is tempered by Marcus's own agency: he was self-directed, represented experience he may not have had, and chose to concentrate in high-risk biotech naked puts. A regulator might impose a fine and require remediation of the approval process rather than order full restitution, and might apportion some responsibility to the customer. The case would likely be resolved via a Letter of Acceptance, Waiver and Consent with a moderate fine and an undertaking to enhance supervisory procedures.

Borderline Scenario 77

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval and suitability); FINRA Rule 2361

Fact Pattern

Margaret Hollings, age 74, is a retired chemical engineer who spent 35 years at a Fortune 100 company. She has a \$2.8 million portfolio, a state pension paying \$6,200 per month, Social Security of \$3,100 per month, and no debt. Her home is paid off. She has two adult children who are financially independent. She lists her investment objective as "growth and income" and her risk tolerance as "moderate" on her new account form at Pinnacle Securities. Her liquid net worth is approximately \$3.1 million. She has been trading stocks actively for 18 years, including through the 2008 financial crisis, and maintained detailed spreadsheets of her positions. She previously held a Level 2 options account at another firm from 2014 to 2021, where she primarily sold covered calls and occasionally bought protective puts on her equity positions.

In March 2024, Margaret's new advisor, Kyle Brennan, age 32, processes her application for a Level 3 options account at Pinnacle, which would permit her to sell cash-secured puts, execute vertical spreads, and trade iron condors in addition to covered calls and protective puts. Margaret specifically requested this level, telling Kyle she had been watching educational videos from a well-known options trading platform for two years and had paper-traded spread strategies for 14 months with documented results showing a

modest net profit. She provided Kyle with her paper-trading logs.

Kyle approved the Level 3 account after a 40-minute phone conversation during which Margaret articulated her understanding of maximum loss scenarios for vertical spreads and iron condors. He documented the conversation in his notes but did not use the firm's recommended senior investor checklist, which was a suggested but not mandatory internal form. He also did not involve a registered options principal in a separate conversation with Margaret, though firm policy only required ROP sign-off on the written approval, which was obtained.

Over the next eight months, Margaret executed 47 options trades: 22 covered calls, 8 cash-secured puts, 12 vertical spreads (bull put and bear call), and 5 iron condors. All positions were sized conservatively - no single trade risked more than 1.5% of her portfolio. Her net result was a gain of \$34,200. She never received a margin call. No position was held through expiration without her express awareness of assignment risk.

In December 2024, Margaret's son, David, contacted Pinnacle's compliance department after learning about his mother's options activity during a holiday visit. David stated that his mother had been diagnosed with mild cognitive impairment (MCI) in January 2024 - two months before the account was opened - and that while she is largely functional, her neurologist noted she may experience "intermittent difficulty with complex sequential decision-making." Margaret had not disclosed this diagnosis to Kyle or to Pinnacle. David argues the firm should never have approved a senior investor for complex options strategies without more rigorous screening. He also notes that Margaret occasionally called Kyle confused about whether a position had been closed, though Kyle attributed this to the firm's confusing online interface and resolved each inquiry within minutes.

Margaret, when contacted by compliance, is lucid and articulate. She states she is fully capable of managing her finances, resents her son's interference, and insists the options strategies were her idea. She has a valid power of attorney naming David as agent, but it has never been activated, and no court has adjudicated her competency.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tension between investor autonomy and protective obligations owed to senior investors in the options context.

Arguments that Kyle Brennan and Pinnacle violated applicable standards:

1. Under FINRA Rule 2360(b)(16), firms must exercise due diligence to determine that options trading is suitable for a customer, considering financial situation, investment objectives, and investment experience. While Margaret had prior options experience, the approval was for a higher level of complexity (Level 3) involving multi-leg strategies. The firm's obligation includes assessing whether the customer can understand and bear the risks.

2. FINRA Regulatory Notice 21-15 specifically highlighted concerns about options account approvals, emphasizing that firms should have robust systems for evaluating customers' options knowledge and experience before granting approval for complex strategies. While Margaret demonstrated paper-trading experience, paper trading does not involve real financial risk or the psychological pressures of live trading.
3. Under Reg BI's Care Obligation, Kyle had a duty to exercise reasonable diligence, care, and skill in making recommendations (or facilitating self-directed complex trading). The fact that Margaret occasionally called confused about position status - even if attributable to the interface - should have prompted additional inquiry, particularly for a 74-year-old client.
4. FINRA has increasingly emphasized senior investor protections. Kyle's failure to use the firm's senior investor checklist, even though it was not mandatory, could be viewed as a failure of best practices. The 2025 FINRA Regulatory Oversight Report and prior guidance consistently emphasize the importance of heightened scrutiny for senior accounts.
5. The undisclosed MCI diagnosis is significant. While Margaret was not obligated to disclose it, once compliance learned of it, a reasonable argument exists that the firm should have taken steps to reassess suitability, potentially including a capacity evaluation.

Arguments that no violation occurred:

1. Margaret had 18 years of active trading experience, prior Level 2 options approval at another firm, and 14 months of documented paper trading in the specific strategies she sought. Her experience profile is objectively stronger than many retail investors approved for similar strategies.
2. The account performed well with conservative position sizing (1.5% max risk per trade), no margin calls, and a net profit. Outcomes are not dispositive of suitability, but they are consistent with appropriate risk management.
3. Margaret was not solicited into options trading - she specifically requested the account level and strategies. Under the self-directed trading framework, the firm's obligations differ from situations where an advisor recommends complex strategies.
4. The MCI diagnosis was not disclosed to the firm. Absent actual knowledge of cognitive impairment, Kyle's 40-minute phone conversation - during which Margaret demonstrated understanding of maximum loss scenarios - constituted reasonable diligence. Firms cannot be expected to conduct medical screenings.
5. The ROP reviewed and approved the account in writing, satisfying the procedural requirements of FINRA Rule 2360(b)(16)(B). The senior investor checklist was recommended but not required.
6. Margaret is legally competent - no court has adjudicated otherwise, and her POA has never been activated. She was lucid when contacted by compliance. MCI is a clinical observation of intermittent difficulty, not a finding of incapacity.

7. The OCC Options Disclosure Document was presumably provided (standard procedure), and Margaret's prior experience suggests she was already familiar with its contents.

Why Borderline

This case sits at the intersection of investor autonomy and senior protection obligations. Margaret presents as a sophisticated, experienced investor who made money trading conservatively - yet she had an undisclosed cognitive diagnosis that specifically affects complex sequential decision-making, which is precisely what multi-leg options strategies require. The advisor followed most procedural requirements but missed soft signals (the confused calls) that, in hindsight, could be viewed as red flags. The firm's recommended but non-mandatory senior checklist creates an ambiguous standard - its existence suggests the firm recognized the risk, but its optional status means non-use is not a clear violation. Reasonable regulators could disagree on whether the advisor's diligence was sufficient given the totality of circumstances.

Borderline Factors

- Margaret's extensive prior trading experience and documented paper-trading results support her capability, but her undisclosed MCI diagnosis specifically implicates complex decision-making
- The options account was self-directed and client-initiated, not advisor-recommended, which shifts the suitability analysis
- Kyle conducted a substantive 40-minute assessment call and documented it, but did not use the firm's suggested senior investor checklist
- Occasional confused calls about position status could be attributed to a confusing interface or could be early signs of cognitive difficulty - the interpretation is genuinely ambiguous
- The MCI diagnosis was never disclosed to the firm; the firm learned of it only through a third-party complaint months later
- Margaret remains legally competent with no guardianship or activated POA, and was lucid when interviewed by compliance
- Conservative position sizing and profitable outcomes suggest the strategies were within her risk capacity, but outcomes do not retroactively validate suitability
- The ROP signed off on the approval as required, but did not independently speak with the customer

Likely Outcome

A regulator would most likely find this a close case but would probably not sustain a suitability violation based on the information available at the time of account opening. Kyle conducted a documented assessment, obtained proper ROP sign-off, and Margaret demonstrated substantial experience and knowledge. However, the regulator would likely criticize the firm's supervisory practices, particularly the failure to use the senior investor checklist and the failure to escalate the confused phone calls for further review. If the investigation revealed that Kyle had any reason to suspect cognitive issues beyond the interface confusion - or that Pinnacle's systems should have flagged the account for enhanced review based on the customer's age - the outcome could shift toward a finding of supervisory deficiency under FINRA Rule 3110 rather than a direct suitability violation under Rule 2360. The firm might face a cautionary action or fine related to supervisory procedures rather than a finding that the options approval itself was unsuitable.

Borderline Scenario 78

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) (options account approval requirements, including background and fin

Fact Pattern

Marcus Ogunyemi, age 34, is a software engineer earning \$185,000 annually with a net worth of approximately \$620,000, including a \$410,000 brokerage account. He has been actively trading equities for six years and has completed several online options education courses, including a 40-hour certificate program from a well-known trading education platform. He has approximately 14 months of experience executing covered calls and cash-secured puts in his account, generating modest but consistent income. In March 2023, Marcus requested that his advisor, Cheryl Nowak at a mid-size broker-dealer, upgrade his options approval level to permit multi-leg spread strategies, including iron condors, vertical spreads, and calendar spreads. Marcus explained that he wanted to use defined-risk spread strategies to generate income on his concentrated position in three large-cap technology stocks, which represented roughly 68% of his portfolio. He stated he understood that spreads involved limited but real risk of total loss of the premium paid, and he provided written answers to the firm's options questionnaire demonstrating textbook-level understanding of Greeks, maximum loss calculations, and margin mechanics. Cheryl reviewed his application and approved him for Level 3 options trading, which at the firm included spreads but not naked options. Over the following nine months, Marcus executed 47 spread trades. Forty-one were profitable or break-even, with an average gain of \$380 per trade. Six resulted in maximum losses averaging \$1,200 each. His overall options P&L for the period was positive at approximately \$8,400. However, in November 2023, Marcus placed a series of five iron condors on a single earnings week across his three concentrated tech holdings. The positions were sized so that if all five hit maximum loss simultaneously, he would lose \$31,000 - roughly 7.5% of his total brokerage account. All five positions were breached on the same day following a sector-wide selloff triggered by unexpected regulatory news. Marcus lost \$28,700 in a single day. He filed a complaint alleging that Cheryl should never have approved him for spread trading given his relatively short options experience of 14 months, his portfolio concentration in the same sector as his options positions, and the fact that the firm's options approval process consisted of a single 12-question online questionnaire with no follow-up conversation or phone interview. The firm's written supervisory procedures required that options approval above Level 2 involve a 'meaningful dialogue' with the customer about risk tolerance and trading objectives, but Cheryl documented the approval based solely on the written questionnaire responses. Marcus's account agreement listed his risk tolerance as 'moderate' and his investment objective as 'growth and income.' The firm had no automated position-sizing limits or concentration alerts for options trades. Cheryl's supervisor signed off on the Level 3 approval the same day it was submitted, spending an average of four minutes per approval in a batch of eleven approvals processed that afternoon.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Cheryl violated applicable standards: First, the firm's own written supervisory procedures required a 'meaningful dialogue' for Level 3 approval, and Cheryl relied solely on a written questionnaire without any conversation. This is a procedural failure that regulators take seriously, particularly under FINRA Rule 2360(b)(16), which requires a designated options principal to approve accounts based on

background and financial information, and under FINRA Regulatory Notice 21-15, which emphasizes that firms must have robust account approval processes and cannot treat options approval as a rubber stamp. The supervisor's four-minute batch review of eleven approvals suggests inadequate supervisory review. Second, Marcus's stated risk tolerance was 'moderate' and his objective was 'growth and income,' yet defined-risk spreads - while capped in loss - still carry meaningful risk, and the absence of any position-sizing guardrails allowed Marcus to stack correlated positions that amplified sector-specific risk. Third, Marcus had only 14 months of options experience, all in simpler strategies (covered calls and cash-secured puts), before being approved for multi-leg strategies that involve materially different risk dynamics. Under Reg BI's care obligation, the advisor must have a reasonable basis to believe the recommendation - here, the account approval itself functions as an implicit recommendation of the strategy tier - is in the customer's best interest. The lack of a real conversation arguably means Cheryl could not have formed that reasonable belief.

Arguments that Cheryl did not violate applicable standards: Marcus demonstrated genuine knowledge through his questionnaire responses and his education credentials. His 14 months of experience, while limited, was profitable and disciplined, suggesting he understood position management. The strategies he was approved for - spreads - are defined-risk by nature and are generally considered more conservative than naked options. His income and net worth supported the account level. The actual losses of \$28,700, while painful, represented about 7% of his brokerage account and about 4.6% of his total net worth - not catastrophic. The concentrated earnings-week trades were Marcus's own autonomous decisions, and Cheryl did not recommend specific trades. The OCC Options Disclosure Document was provided, and Marcus signed all required acknowledgments. Many firms approve customers with similar profiles for spread trading. The fact that 41 of 47 trades were profitable suggests the strategy tier was appropriate and the loss was an event-driven outlier, not evidence of unsuitability. Additionally, regulatory guidance has historically distinguished between account-level approval and trade-level recommendations - Cheryl approved the account level but did not direct the specific trades that caused the loss.

The procedural shortcoming - failure to conduct the required 'meaningful dialogue' - is the strongest argument for a violation. However, this is a supervisory/procedural failure rather than a substantive suitability failure, since the customer's profile arguably supported the approval on the merits.

Why Borderline

This case sits at the intersection of procedural compliance failure and substantive suitability. The customer's profile - age, income, net worth, education, and demonstrated trading competence - plausibly supports Level 3 options approval. The strategies themselves are defined-risk and widely considered appropriate for moderately experienced retail investors. However, the firm's own procedures were not followed (no meaningful dialogue, batch-processed supervisory review), the customer's stated risk tolerance was 'moderate' while the approval enabled him to take on concentrated, correlated positions with no automated guardrails, and the customer's limited duration of options experience (14 months) could be viewed as insufficient for multi-leg strategies. Reasonable practitioners disagree on whether the procedural failure alone constitutes a violation when the substantive outcome was arguably suitable, and whether account-level approval carries the same obligation as a trade-level recommendation.

Borderline Factors

- Customer demonstrated genuine options knowledge through education and 14 months of profitable

trading, but all prior experience was in simpler strategies

- Firm's WSPs required a 'meaningful dialogue' that was not conducted - clear procedural failure, but substantive approval may have been justified on the merits
- Supervisor batch-processed 11 approvals in approximately 44 minutes, raising supervisory adequacy questions
- Customer's stated risk tolerance of 'moderate' and 'growth and income' objective create tension with multi-leg options trading, though spreads are defined-risk
- Portfolio was concentrated 68% in three tech stocks, and the options positions were on those same stocks, creating correlated risk that was not flagged or discussed
- No firm-level position-sizing limits or concentration alerts existed for options trades
- Losses of \$28,700 were significant but represented only ~7% of account value and ~4.6% of net worth
 - The specific trades causing the loss were autonomous customer decisions, not advisor recommendations
- Account-level approval versus trade-level suitability is a distinction that cuts in the advisor's favor but is increasingly blurred by modern regulatory guidance

Likely Outcome

A regulator would most likely find a procedural violation based on the failure to conduct the required meaningful dialogue and the inadequate supervisory review, but the substantive suitability determination is closer to a coin flip. The strongest enforcement path would be against the firm for supervisory failures - the batch approval process and absence of automated concentration or position-sizing controls - rather than against Cheryl individually for the account approval decision itself. A regulator might impose a fine and require enhanced procedures but would likely stop short of finding that the approval was substantively unsuitable given the customer's demonstrated knowledge, income, net worth, and the defined-risk nature of the strategies. If the case were pursued, it would likely result in a cautionary action or modest sanctions focused on process rather than a finding that Marcus should never have been approved for spreads.

Borderline Scenario 79

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) (options account approval and suitability); F

Fact Pattern

Marcus Delgado, age 34, is a warehouse logistics coordinator earning \$62,000 per year with a net worth of approximately \$140,000, most of which is in a 401(k). He opened a brokerage account in January 2023 with \$18,000 in savings at Ridgeline Securities, a mid-sized online broker-dealer. On his new account application, Marcus indicated his investment experience as "limited" (1-2 years), his risk tolerance as "aggressive," his investment objective as "speculation," and his time horizon as "short-term (less than 1 year)." He also indicated he had no prior options trading experience. His account was reviewed by Lisa Tran, a registered representative and the branch options principal, who approved Marcus for Level 2 options trading, which at Ridgeline permits covered calls, cash-secured puts, long calls, and long puts, but not spreads, naked writing, or uncovered strategies.

Over the next four months, Marcus traded exclusively long calls and long puts on volatile technology stocks - primarily weekly and bi-weekly expirations. His win rate was roughly 30%, and by May 2023, his account

had declined from \$18,000 to \$9,400. In May, Marcus called Lisa directly and asked to be upgraded to Level 3 options approval, which would allow vertical spreads, iron condors, and calendar spreads. He told Lisa he had been watching YouTube tutorials and reading options strategy guides and wanted to use defined-risk spread strategies to "stop bleeding money on directional bets." Lisa reviewed his account activity, noted the losses, and conducted a 15-minute phone conversation with Marcus during which she explained the mechanics and risks of multi-leg strategies. Marcus demonstrated a basic but imperfect understanding - he correctly described a bull call spread's payoff but confused the margin requirements of an iron condor with those of a naked put. Lisa noted in the account file that Marcus "showed improving knowledge and genuine interest in risk-defined strategies" and approved the Level 3 upgrade.

Over the following three months, Marcus placed 47 spread trades. Approximately 60% were vertical spreads with defined risk, but roughly 40% were iron condors on high-volatility meme stocks with narrow wings, effectively creating high-probability but high-risk-to-reward positions. By September 2023, his account had declined further to \$3,100. Marcus filed a complaint alleging that Lisa should never have approved him for Level 3 options given his lack of experience, that the 15-minute phone call was insufficient education, and that the multi-leg strategies were too complex for someone with his background. Ridgeline countered that Marcus explicitly requested the upgrade, that spread strategies are inherently less risky than the naked long options he had been trading, that his stated risk tolerance and objectives supported the approval, and that he was an adult making autonomous investment decisions with defined-risk products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario requires analysis under multiple overlapping frameworks. Under FINRA Rule 2360(b)(16), a member must have a reasonable basis for approving a customer's account for options trading at each level, considering the customer's financial situation, investment objectives, and experience. The OCC Options Disclosure Document, which must be delivered to customers before or at the time of account approval, emphasizes that options involve risk and are not suitable for all investors. FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approvals in the app-based trading era, warning firms that automated or cursory approval processes may not satisfy their obligations, and stressing that firms must have robust supervisory systems to evaluate whether customers understand the products they are approved to trade.

Arguments that Lisa violated applicable standards: Marcus had zero prior options experience when first approved, and only four months of losing experience in basic long options when upgraded to Level 3. A 15-minute phone call in which the customer demonstrated confused understanding of margin requirements for iron condors - the very strategy he would go on to trade frequently - suggests the knowledge assessment was insufficient. FINRA RN 21-15 specifically cautions against pro forma or superficial evaluations. The fact that Marcus's account had already lost nearly 50% of its value could be seen as a red flag that should have prompted greater caution rather than expanded access. Additionally, under Reg BI's care obligation, Lisa had a duty to exercise reasonable diligence and prudence in making the implicit recommendation embedded in the approval to trade more complex strategies.

Arguments that Lisa acted appropriately: Marcus's stated investment profile - aggressive risk tolerance,

speculative objective, short-term horizon - is entirely consistent with options trading. The Level 3 upgrade actually moved him toward defined-risk strategies (vertical spreads, iron condors) and away from the unlimited-loss-potential long options he was already approved for. Lisa did conduct a personalized assessment, documented her findings, and noted both strengths and weaknesses in Marcus's understanding. Spread strategies are widely considered less risky than outright long options purchases for speculative accounts because maximum loss is defined at entry. The losses Marcus ultimately suffered were within the defined risk parameters of each trade - no single trade produced a catastrophic or unexpected loss. Furthermore, the customer's autonomy and repeated, informed requests weigh in the firm's favor. Ridgeline did not recommend specific trades; Marcus selected his own positions.

The iron condor trading on meme stocks with narrow wings is a particular point of tension. While technically defined-risk, these positions had very unfavorable risk-reward ratios on extremely volatile underlyings, arguably making them unsuitable even for an aggressive speculator without sophisticated understanding of implied volatility dynamics and probability of touch. However, each individual trade's maximum loss was known and accepted by Marcus at entry.

Why Borderline

This case sits in genuine gray area because the Level 3 approval actually moved the customer toward less risky, defined-risk strategies - a plausible argument that the upgrade served the customer's interest. The customer's own stated profile supported speculative options trading. Yet the customer's demonstrated knowledge gaps, very short track record, prior significant losses, and the brevity of the assessment raise legitimate concerns about whether the approval process was sufficiently rigorous. Reasonable compliance officers could disagree about whether a 15-minute call with documented notes satisfies the firm's obligations, especially in light of recent regulatory guidance emphasizing more robust evaluation processes for options approvals.

Borderline Factors

- Customer's stated risk tolerance (aggressive) and objective (speculation) are facially consistent with options trading at all approved levels
- Level 3 strategies (spreads) are arguably less risky than Level 2 long options the customer was already trading, complicating the 'escalating risk' narrative
- Customer demonstrated partial but imperfect understanding during the assessment - he got some concepts right but confused iron condor margin with naked put margin
- 15-minute phone assessment may or may not meet the 'reasonable diligence' threshold depending on the depth and quality of the conversation
- Prior 48% account loss could be read as either a red flag warranting denial or as evidence the customer understood and accepted options risk
- Customer self-directed all trades; the firm did not recommend specific positions
- Iron condors on meme stocks with narrow wings are technically defined-risk but practically high-risk due to volatility, raising questions about whether approval implicitly endorsed unsuitable usage
- Recent regulatory guidance has raised the bar for options approvals but has not defined a bright-line minimum standard for assessment duration or format

Likely Outcome

A regulator would likely find a violation, but a moderate one rather than an egregious one. The most

probable finding would focus on the inadequacy of the assessment process rather than the approval decision itself. The 15-minute phone call during which the customer demonstrated confusion about the margin mechanics of a strategy he would actively trade (iron condors) suggests Lisa did not have a reasonable basis for concluding Marcus understood the risks of Level 3 strategies. Under FINRA RN 21-15's heightened expectations and Reg BI's care obligation, the firm would likely be found to have insufficient procedures for evaluating options knowledge before approval upgrades. However, mitigating factors - the customer's stated profile, the risk-reducing nature of spreads versus long options, Lisa's documentation, and the self-directed nature of the trades - would likely reduce sanctions. The most probable outcome would be a supervisory deficiency finding against the firm with modest monetary sanctions rather than a fraud or willful misconduct finding against Lisa personally.

Borderline Scenario 80

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2360(b)(16) governs options account approval and requ

Fact Pattern

Marcus Deleon, age 34, works as a warehouse logistics coordinator earning \$62,000 per year. He has a brokerage account with \$47,000 in savings, mostly accumulated from a modest inheritance. He has no college degree but has been actively trading stocks on his phone for about 18 months, during which time he made roughly 200 equity trades. He lists his investment experience on his new account form as 'intermediate' and his risk tolerance as 'aggressive.' He tells his advisor, Charlene Wu, that several of his coworkers have been making money selling covered calls and cash-secured puts, and he wants to start doing the same. He says he watched over 40 hours of YouTube videos on options strategies and completed a free online course offered by a major brokerage's educational platform, for which he received a certificate of completion.

Charlene reviews his account application and notes that his liquid net worth outside of this account is approximately \$15,000, he rents his apartment, and he has \$11,000 in credit card debt. She speaks with him for approximately 25 minutes on a recorded phone call, during which Marcus correctly explains the mechanics of covered calls and cash-secured puts, describes maximum loss scenarios for each, and articulates why he views these as 'conservative income strategies.' He tells Charlene he understands that selling a cash-secured put means he could be assigned the stock at the strike price and that his maximum loss on a covered call is the opportunity cost of gains above the strike. Charlene notes in her file that Marcus 'demonstrates solid conceptual understanding of Level 2 options strategies.'

Charlene approves Marcus for Level 2 options trading, which at her firm permits covered calls, cash-secured puts, and long calls and puts. She does not approve him for spreads, naked options, or any other complex multi-leg strategies. Over the next four months, Marcus executes 14 covered call trades on positions he already owns and 8 cash-secured put trades. His account generates approximately \$3,400 in premium income. However, on three occasions he is assigned on cash-secured puts during market dips, resulting in his holding roughly \$29,000 worth of stock in three individual names, which concentrates approximately 62% of his portfolio in those positions. He does not sell the assigned shares. His portfolio drops about \$6,800 in unrealized losses during a subsequent market correction.

Marcus files a complaint alleging that Charlene should never have approved him for options trading given his income level, his credit card debt, his limited formal education, and the fact that his \$47,000 account represented the bulk of his investable assets. He claims he didn't truly understand the portfolio concentration risk that could result from put assignments. Charlene responds that she followed her firm's account approval procedures, that Marcus demonstrated genuine knowledge of the strategies, that Level 2 strategies are the most conservative tier of options trading, that the covered calls and cash-secured puts Marcus used are widely considered lower-risk income strategies, and that his 18 months of active stock trading gave him meaningful market experience. She further notes that the assigned puts resulted in Marcus owning stocks he had identified as companies he wanted to own at lower prices, and that the unrealized losses were a function of broad market conditions, not the options strategy itself.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Charlene violated applicable standards: Marcus's financial profile raises legitimate concerns about his capacity to bear options-related risk. His \$47,000 account represented the vast majority of his liquid wealth, he carried \$11,000 in credit card debt, earned a modest salary, and had only \$15,000 in outside liquidity. Regulatory guidance has emphasized that account approval for options trading must consider the customer's entire financial picture, not merely their self-reported risk tolerance or demonstrated knowledge. The fact that cash-secured put assignments concentrated 62% of his portfolio in three names suggests that the resulting portfolio was inconsistent with prudent diversification for someone in Marcus's financial position. Additionally, while Marcus could articulate the mechanics of covered calls and cash-secured puts, understanding assignment mechanics is different from understanding downstream portfolio construction risks like concentration. A 25-minute phone conversation, even a recorded one, may be insufficient diligence for approving someone whose primary education came from YouTube and a free online course. The credit card debt at 11,000 suggests Marcus may have needed that capital for debt reduction rather than investment risk.

Arguments that Charlene acted appropriately: Covered calls and cash-secured puts are widely recognized as the most conservative options strategies and are the entry-level tier at virtually every brokerage firm. Marcus was not approved for naked options, spreads, or any multi-leg strategies. He had 18 months of active trading experience with approximately 200 trades, suggesting genuine market engagement rather than a complete novice. He self-identified as aggressive in risk tolerance, and his demonstrated knowledge-correctly explaining maximum loss scenarios and assignment mechanics-was substantive, not superficial. The concentration that resulted from put assignments was a function of Marcus's own selection of underlying stocks and his decision not to sell assigned shares, which were portfolio management decisions independent of the options approval itself. Charlene documented her due diligence, including a recorded call and written notes. The \$6,800 loss represented approximately 14% of his portfolio, which is within the range of normal market fluctuation for an equity portfolio and is not indicative of an unsuitable strategy. Furthermore, the \$3,400 in premium income partially offset the unrealized losses, demonstrating the income-generation purpose Marcus sought. His age of 34 gives him a long investment horizon to recover from temporary losses.

Why Borderline

This scenario sits in a genuine gray zone because the strategies approved are objectively among the least risky options strategies available, and the client demonstrated real knowledge-yet his overall financial profile (high debt, concentrated investable assets, modest income) raises questions about whether even conservative options strategies were appropriate given his limited financial cushion. The losses resulted not from the options strategy malfunctioning but from normal market risk in owning equities, which complicates the causation analysis. Reasonable practitioners disagree about whether demonstrated knowledge and self-reported risk tolerance can override concerning financial metrics at the account approval stage.

Borderline Factors

- Covered calls and cash-secured puts are the lowest-risk options strategies, making the 'complex product' characterization debatable
- Marcus demonstrated genuine conceptual understanding during a recorded call, not merely checking boxes on a form
- His \$47,000 account was the bulk of his investable wealth, and he carried \$11,000 in credit card debt, raising capacity-to-bear-loss concerns
- The concentration risk emerged from put assignments and Marcus's own decision not to sell, not from the initial approval itself
- 18 months of active equity trading with 200 trades provides more experience than many options applicants but is still relatively limited
- Self-education via YouTube and a free brokerage course is increasingly common and arguably legitimate but lacks the rigor of formal financial education
- The 25-minute due diligence conversation is longer than many firms require but shorter than what some regulators might expect for a client with this profile
- Marcus's age and aggressive self-reported risk tolerance support approval, but his debt and income levels cut the other way

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a violation, provided Charlene's documentation holds up. The key factors favoring Charlene are: (1) Level 2 options are the most conservative tier and are routinely approved for retail investors with modest accounts; (2) Marcus demonstrated substantive knowledge beyond mere self-certification; (3) the losses were attributable to equity market risk rather than options-specific risk; and (4) the concentration resulted from Marcus's own subsequent portfolio decisions. However, a regulator might issue a cautionary finding or require enhanced supervisory procedures, noting that Charlene should have more thoroughly addressed the portfolio concentration risk that could arise from multiple put assignments in a small account, and should have flagged the credit card debt as a factor warranting additional discussion about whether the capital should be deployed differently. If a pattern of similar approvals with similar outcomes emerged across Charlene's book, the calculus could shift toward a violation.

Borderline Scenario 81

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2360(b)(16) (options account approval and suitability); F*

Fact Pattern

Marcus Reilly, age 34, works as a warehouse supervisor earning \$62,000 annually. He has a brokerage account with \$47,000 in assets, roughly half of his total liquid net worth. He has no college degree but has been actively trading stocks for about three years, primarily buying and holding large-cap technology names. In early 2022, Marcus approached his financial advisor, Diane Chow, and asked to be approved for options trading. He told Diane he had been watching YouTube videos about options strategies for six months and had paper-traded covered calls and cash-secured puts using a simulator app for about four months, showing her screenshots of his simulated performance. He said he wanted to generate additional monthly income by selling covered calls against his existing stock positions and occasionally selling cash-secured puts on stocks he already wanted to own at lower prices.

Diane reviewed Marcus's account application and his stated investment objectives, which listed 'growth and income' with a 'moderate' risk tolerance and a time horizon of 10-15 years. She interviewed him for approximately 25 minutes by phone, during which Marcus correctly described the mechanics of covered calls and cash-secured puts, including maximum profit, maximum loss, and breakeven calculations. He could not, however, clearly articulate the concept of implied volatility, the Greeks beyond delta, or the risks of early assignment. Diane noted in her file that Marcus demonstrated 'functional understanding of Level 2 strategies' but 'limited theoretical knowledge of options pricing.'

Diane approved Marcus for Level 2 options trading, which at their firm permits covered calls, cash-secured puts, and long calls and puts, but does not permit spreads, naked options, or any margin-based options strategies. She provided him the standardized options disclosure document before approval. Over the next 14 months, Marcus executed 31 covered call trades and 8 cash-secured put trades. He generated approximately \$4,700 in premium income. However, during a sharp market rally in Q1 2023, Marcus had shares called away on three positions that subsequently rose significantly, resulting in an estimated \$11,200 in foregone gains compared to simply holding the shares. Marcus also sold two cash-secured puts on a semiconductor stock that declined sharply; he was assigned and the position lost approximately \$6,800 in unrealized value before he sold it at a loss.

Marcus filed a complaint alleging that Diane should never have approved him for options trading given his lack of formal financial education, moderate risk tolerance, and relatively modest account size. He claimed the losses and missed gains totaled over \$18,000 and that the strategies were too complex for someone in his position. Diane's firm countered that Level 2 strategies are considered the most conservative tier of options trading, that Marcus specifically requested approval and demonstrated working knowledge, that the options disclosure document was delivered, and that all trades were self-directed after approval. The firm also noted that Marcus's covered call income partially offset his losses and that the assignment and decline scenarios are explicitly described risks in the options disclosure document he received.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Diane violated applicable standards: Marcus had no formal financial education and only modest self-directed experience. His inability to explain implied volatility, the Greeks, or early assignment risk suggests gaps in understanding material risks of the very strategies he was approved to use - early

assignment is precisely what caused some of his losses and missed gains. His \$47,000 account representing roughly half his liquid net worth means options losses could materially impair his financial position. A 'moderate' risk tolerance arguably conflicts with strategies that can result in significant opportunity cost or assignment losses. Regulators have increasingly scrutinized options account approvals, particularly for retail investors with limited experience, emphasizing that firms must exercise due diligence beyond simply accepting a customer's self-reported desire to trade. The 25-minute phone interview may be viewed as insufficient diligence for someone with no prior actual options trading experience. Some would argue the advisor had a duty to recommend against approval or to impose additional guardrails.

Arguments that Diane acted appropriately: Level 2 options authority - covered calls and cash-secured puts - is widely regarded as the most conservative options tier, frequently recommended by financial educators for income generation. Marcus was not approved for naked options, spreads, or leveraged strategies. He demonstrated functional mechanical understanding of the strategies, had relevant if informal self-education including four months of paper trading, and specifically requested approval. The options disclosure document was delivered as required. All 39 trades over 14 months were self-directed, suggesting Marcus was making his own informed decisions. The 'losses' are partly composed of foregone gains (shares called away during a rally), which is an inherent and well-documented feature of covered call writing, not a failure of suitability. The actual realized loss was on a cash-secured put assignment, and Marcus chose to sell at a loss rather than hold - again, a self-directed decision. His 10-15 year time horizon supports some tolerance for short-term volatility. The premium income of \$4,700 demonstrates the strategy was partially functioning as intended.

Why Borderline

This case sits in a genuine gray zone because the strategies approved are universally considered among the least risky options strategies, yet the customer had demonstrable knowledge gaps about mechanics that directly caused his losses (early assignment, volatility-driven pricing). The question of whether Level 2 options approval requires deep theoretical understanding or merely functional mechanical knowledge is genuinely contested among compliance professionals. Additionally, the customer both sought and self-directed the trading, but the gatekeeper function of account approval exists precisely to protect customers from their own enthusiasm. The losses are a mix of realized losses and opportunity costs, making the harm calculation itself debatable.

Borderline Factors

- Level 2 options (covered calls, cash-secured puts) are the most conservative options tier, arguably suitable for moderate-risk investors seeking income
- Customer demonstrated functional but not theoretical understanding of the strategies - could explain mechanics but not implied volatility or Greeks
- Customer specifically requested options approval and self-directed all trades over 14 months
- Account size of \$47,000 representing ~50% of liquid net worth creates meaningful concentration risk but is not trivially small
- Majority of claimed 'losses' are foregone gains from called-away shares, not realized trading losses
- Paper trading experience of four months provides some but arguably insufficient preparation for real market conditions
- Options disclosure document was delivered prior to approval as required
- The 25-minute phone interview may or may not constitute adequate due diligence depending on firm

standards and regulatory expectations

- Moderate risk tolerance can reasonably be read as either compatible or incompatible with options strategies that involve assignment risk

Likely Outcome

A regulator would most likely find no clear violation, though may criticize the adequacy of the due diligence process. The approval of Level 2 options for a customer who demonstrated functional understanding, specifically requested access, received the required disclosure document, and self-directed conservative strategies over an extended period is defensible. However, the regulator might issue observations about the firm's approval process, particularly the brevity of the suitability interview and the failure to document how Marcus's specific knowledge gaps (early assignment, volatility) were addressed before approval. The complaint would likely be resolved with no formal disciplinary action but possibly a supervisory reminder about documenting more thorough options knowledge assessments. The foregone gains argument is weak from a regulatory perspective, as covered call writers inherently accept capped upside. The cash-secured put loss is more concerning but falls within the described risks of an approved strategy.

Borderline Scenario 82

Topic: excessive_churning | Standard: FINRA Rule 2111 (Suitability, specifically quantitative suitability); Regulation Best Interest (Re

Fact Pattern

Marcus Henley, age 34, is a software engineer earning \$185,000 annually with a liquid net worth of approximately \$620,000. He opened an options trading account at Graystone Financial in February 2022 with an initial deposit of \$95,000. On his new account application, Henley listed his investment objective as "speculation" and his risk tolerance as "aggressive." He indicated three years of options trading experience through a self-directed mobile app and described himself as having intermediate knowledge of options strategies. His account was approved for Level 3 options trading, which permitted covered calls, cash-secured puts, spreads, and naked put writing.

Henley was assigned to financial advisor Derek Swanson. Over the 14-month period from February 2022 through March 2023, Swanson recommended 387 options transactions in Henley's account. The vast majority were short-dated weekly options on large-cap tech stocks (expiring within 5 trading days), primarily involving opening and closing vertical call spreads and put credit spreads on AAPL, TSLA, AMZN, and NVDA. The account generated approximately \$41,200 in commissions and fees during this period. The cost-to-equity ratio was approximately 43%, and the annualized turnover ratio was 11.2.

Henley's account value fluctuated significantly but ended the 14-month period at approximately \$78,500 - a net loss of \$16,500 before commissions and a total loss of \$57,700 after commissions and fees. Had the account been held in cash with no trading, the capital would have been preserved entirely.

Swanson argues several mitigating points: (1) Henley actively participated in selecting which tickers and strike prices to trade, frequently texting Swanson with ideas sourced from options trading forums and social media; (2) Henley never complained during the trading period and in fact urged Swanson on multiple occasions to increase position sizes; (3) the account represented roughly 15% of Henley's liquid net worth,

with the remainder held in index funds and a 401(k); (4) each individual spread had limited, defined risk with maximum losses capped at the width of the spread minus premium received; and (5) the high transaction count reflects the short-duration nature of weekly options, which by design expire and require re-establishment far more frequently than equity positions or monthly options.

However, internal emails show that in July 2022, Swanson told a colleague that Henley's account was "the gift that keeps on giving" in terms of commission production, and that he planned to "keep the train rolling as long as he's game." Swanson's branch manager reviewed the account in October 2022 during a routine supervisory review, noted the high transaction volume, but took no action beyond a file memo stating the activity appeared consistent with the customer's stated objectives and risk profile. Henley filed a complaint in June 2023 after reviewing his annual tax documents and realizing the cumulative cost of commissions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuinely contested question about whether high-frequency options trading in a speculative account constitutes churning when the customer actively participates and encourages the activity.

Arguments that Swanson violated applicable standards:

- The annualized turnover ratio of 11.2 substantially exceeds the threshold of 6 that regulators and arbitration panels have traditionally treated as presumptive evidence of excessive trading. A cost-to-equity ratio of 43% means the account needed to generate returns exceeding 43% annually just to break even after costs - an extraordinarily high hurdle.
- The internal email referring to the account as 'the gift that keeps on giving' in terms of commissions strongly suggests that Swanson's motivation was commission generation rather than serving the customer's financial interests. Under Reg BI's care obligation and FINRA's quantitative suitability requirements, an advisor must not place his own financial interest ahead of the customer's.
- FINRA Rule 2360 imposes heightened duties in options accounts, including ongoing diligence regarding the appropriateness of continued trading activity. FINRA RN 21-15 specifically highlights concerns about options account approval processes and ongoing supervision, particularly in the context of the surge in retail options trading.
- The supervisory review in October 2022 that resulted in only a file memo - despite obvious red flags in transaction volume and cost ratios - suggests a failure of the firm's supervisory system under FINRA Rule 2360(b)(5).
- Even though each individual trade had defined risk, the cumulative effect of 387 transactions with \$41,200 in commissions effectively transferred wealth from the customer to the firm.

Arguments that Swanson did not violate applicable standards:

- Henley explicitly requested a speculative account, listed aggressive risk tolerance, and had prior options experience. He actively co-directed the trading, suggested tickers and strikes, and urged larger positions. Under traditional churning analysis, the element of control is essential - if the customer is actively directing or co-directing activity, the advisor may not have exercised the requisite control over the account.
- The account represented only 15% of Henley's liquid net worth, meaning the speculative trading was

compartmentalized and did not jeopardize his overall financial health. His remaining assets were conservatively invested.

- Weekly options strategies inherently produce high turnover ratios because positions expire in days. Traditional turnover ratio benchmarks were developed for equity accounts and may overstate the degree of activity in a short-duration options account. A turnover ratio of 11.2 in a weekly options strategy may be structurally different from the same ratio in an equity account.
- Each spread had defined, capped risk - this is not a situation where the advisor exposed the client to catastrophic or unlimited losses through naked options writing.
- Henley did not complain at any point during 14 months of active trading, which undercuts the argument that the trading was unauthorized or contrary to his wishes.

The email evidence is the most damaging element for Swanson, as it demonstrates a commission-driven mindset. However, it does not alone establish control, and Henley's active participation complicates the analysis. The branch manager's passive supervisory response also raises firm-level liability questions under FINRA's supervisory obligations for options accounts.

Why Borderline

The case sits at the intersection of several genuinely contested issues: (1) whether traditional churning metrics (turnover ratio, cost-to-equity) should be mechanically applied to short-dated options strategies that inherently generate high transaction counts; (2) whether a customer who actively co-directs trading and encourages increased risk can later claim excessive activity; (3) the weight to give an internal email showing commission motivation versus the customer's own documented preferences; and (4) whether compartmentalizing speculative options trading to 15% of liquid net worth changes the suitability calculus. Reasonable practitioners and regulators disagree on each of these points, particularly in the post-2020 era of normalized retail options trading.

Borderline Factors

- Annualized turnover ratio of 11.2 exceeds traditional presumptive thresholds but may be structurally inflated by weekly options strategies
- Cost-to-equity ratio of 43% is extremely high but the customer chose a speculative objective
- Customer actively co-directed trading, suggested specific trades, and urged increased position sizes, complicating the 'control' element of churning
- Internal email suggests commission-driven motivation by the advisor
- Account represented only 15% of customer's liquid net worth with remainder conservatively invested
- Each individual trade had defined and limited risk through spread structures
- Branch manager reviewed and noted high volume but took no corrective action
- Customer had prior self-directed options experience but at a less sophisticated level
- Customer did not complain for 14 months during active trading period
- Traditional churning metrics were developed for equity accounts and their applicability to high-frequency options strategies is debated

Likely Outcome

A regulator would most likely find a violation, though the sanctions might be moderated by mitigating factors. The cost-to-equity ratio of 43% and turnover ratio of 11.2 - even accounting for some structural inflation from weekly options - are sufficiently extreme that they create a strong presumption of excessive

trading. The internal email undermines Swanson's defense by establishing a commission-driven motive. While Henley's active participation weakens the control element, regulators have increasingly held that an advisor's recommendations carry inherent influence even when the customer appears to acquiesce or participate, particularly under the Reg BI framework that imposes an affirmative obligation to act in the customer's best interest at the time of each recommendation. The firm would also likely face supervisory charges for the branch manager's failure to escalate or restrict the account after the October 2022 review. However, a panel might reduce damages given Henley's sophistication, active involvement, and the compartmentalized nature of the speculative account relative to his total wealth.

Borderline Scenario 83

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) requires member firms to exercise due diligence to ascertain the essence

Fact Pattern

Marcus Ellery, age 34, is a software engineer at a mid-size tech firm earning \$185,000 annually with a net worth of approximately \$620,000, about \$290,000 of which is in his brokerage account at Pinnacle Securities. He has no dependents, rents an apartment, and carries no debt other than a \$14,000 car loan. Marcus opened his brokerage account in early 2021 and began trading stocks actively. His account application indicated 3 years of equities trading experience, 1 year of options experience limited to buying calls and puts, a 'growth' investment objective, a 'moderate' risk tolerance, and a time horizon of 5-10 years. In March 2022, Marcus contacted his registered representative, Diana Chu, and requested approval for Level 3 options trading, which at Pinnacle Securities permits multi-leg spread strategies including credit spreads, iron condors, and calendar spreads but does not permit naked short options. Diana reviewed Marcus's account and noted that over the prior 12 months, Marcus had executed approximately 45 long call and long put trades, with an overall realized loss of \$18,000 on those positions (roughly 6% of his account value). In their recorded phone conversation, Marcus told Diana he had completed an online options trading course offered by a well-known financial education platform, had been paper-trading spread strategies for four months with 'solid results,' and wanted to generate income from credit spreads on large-cap technology stocks he already followed closely. He described wanting to sell put credit spreads on companies like Apple and Microsoft with defined risk, collecting \$200-\$500 in premium per trade with maximum losses capped at \$2,000-\$3,000 per position. Diana asked Marcus whether he understood that credit spreads still carry risk of total loss of the spread width, and Marcus replied, 'Absolutely-that's why I'm not asking for naked options. I want defined risk.' Diana also noted that Marcus's account had grown from \$240,000 to \$290,000 through additional deposits, and that his options losses were partially offset by gains in his equity positions. Diana approved the Level 3 upgrade and documented that Marcus had demonstrated understanding of spread mechanics, had relevant though limited options experience, and that defined-risk spread strategies were consistent with his growth objective and moderate risk tolerance. Over the next eight months, Marcus executed roughly 60 credit spread trades, predominantly bull put spreads on large-cap tech names. He made money in the first five months, netting approximately \$12,000 in premium income. However, during a sharp market selloff in September and October 2022, Marcus suffered losses of approximately \$38,000 when several of his spreads moved against him and he failed to close positions before expiration. His total options losses since account opening reached approximately \$44,000. Marcus filed a complaint alleging that Diana should not have approved him for Level 3 options

trading given his limited experience, that his 'moderate' risk tolerance was inconsistent with credit spread strategies, and that Diana failed to adequately explain the risks of concentrated short-premium strategies during volatile markets. Pinnacle Securities countered that Marcus was a high-income professional with no liquidity needs, that credit spreads are defined-risk strategies appropriate for moderately experienced investors seeking growth, that Diana conducted a thorough review and documented the approval, and that Marcus's losses stemmed from his own failure to manage positions during a broad market decline rather than any deficiency in the approval process.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Diana violated applicable standards: Marcus had only one year of options experience limited exclusively to long calls and puts—he had never actually executed a spread trade with real money before receiving Level 3 approval. His account application stated 'moderate' risk tolerance, and credit spreads, while defined-risk, involve short options positions and can produce rapid losses during market dislocations that may exceed what a moderate-risk investor anticipates. His prior options trading showed a net loss of \$18,000, which could suggest he had not yet mastered even basic directional options strategies before moving to more complex multi-leg trades. Paper trading, while educational, does not replicate the psychological and execution challenges of real trading, particularly during volatile markets. The concentrated nature of his subsequent strategy—predominantly bull put spreads on tech stocks—introduced sector concentration risk that was not adequately addressed during the approval process. Diana's documentation, while noting Marcus's stated understanding, may not have been sufficient to establish that Marcus genuinely comprehended the risk of simultaneous adverse moves across correlated positions.

Arguments that Diana acted appropriately: Marcus was a 34-year-old high-income professional with substantial liquid assets, no dependents, and minimal debt—a profile that can absorb meaningful options losses without financial hardship. Credit spreads with defined maximum losses of \$2,000-\$3,000 per position represented roughly 0.7%-1.0% of his account per trade, which is a reasonable position size. He had completed an educational course and had four months of paper trading specifically on spread strategies. Level 3 at Pinnacle Securities explicitly excludes naked options, meaning the most dangerous strategies were not available to him. Diana conducted a recorded conversation in which she confirmed Marcus's understanding of spread mechanics and risk. Marcus's initial five months of profitable trading suggest he did understand the strategy—his subsequent losses were attributable to a broad market selloff and his own position management failures, not to a fundamental misunderstanding of the product. The growth objective on his account is consistent with income-generating spread strategies. Furthermore, Marcus specifically requested and advocated for the upgrade, demonstrating initiative and self-directed decision-making typical of an informed investor.

The key tension is whether one year of long-only options experience with net losses is sufficient background for multi-leg strategies, even when those strategies have defined risk, and whether 'moderate' risk tolerance is inherently incompatible with short-premium strategies that can produce clustered losses during market stress.

Why Borderline

This scenario is genuinely ambiguous because credit spreads with defined risk occupy a middle ground in options complexity—they are meaningfully more sophisticated than buying calls and puts, but they are not the high-risk naked strategies that clearly require extensive experience. Marcus's financial profile easily supports the dollar amounts at risk, his educational efforts were documented, and his advisor conducted and recorded a substantive conversation. However, the gap between paper trading and real execution, the transition from exclusively long options to short-premium strategies, and the 'moderate' risk tolerance designation create legitimate questions about whether the approval was premature. Reasonable compliance professionals could disagree about whether the totality of circumstances—including a net-losing track record on simpler options—warranted denying or delaying the upgrade.

Borderline Factors

- One year of exclusively long-only options experience with net losses preceding approval for short-premium spread strategies
- Paper trading experience versus real-money execution as a basis for approval
- Account-stated 'moderate' risk tolerance versus the argument that defined-risk spreads are consistent with moderate risk
- Strong financial profile (high income, substantial assets, no dependents, minimal debt) that could absorb the losses
- Advisor conducted and recorded a substantive review conversation and documented the approval rationale
- Losses occurred during a broad market selloff affecting all equity-linked strategies, not from a misunderstood exotic product
- Concentration of spread trades in a single sector (technology) not specifically addressed during approval
- Customer-initiated upgrade request with self-directed educational efforts versus advisor gatekeeping obligation

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation. The defined-risk nature of the approved strategies, Marcus's financial capacity to absorb losses, Diana's documented review process including a recorded conversation, and the fact that losses resulted from a broad market event rather than product misunderstanding all weigh against a finding of unsuitability. However, the firm might receive a cautionary letter or examination comment regarding the adequacy of its options approval criteria—specifically, whether transitioning a customer from exclusively long options with a losing track record to multi-leg short-premium strategies warrants additional safeguards such as a probationary period, position limits, or mandatory follow-up reviews. If the firm's written supervisory procedures required specific minimum experience thresholds (e.g., two years of options experience for Level 3) that were not met, the outcome could shift toward a procedural violation even if the substantive suitability determination was defensible.

Borderline Scenario 84

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2360(b)(16) (options account approval and due diligence); FINRA Rule 23*

Fact Pattern

Marcus Reeves, age 34, opened a brokerage account with Pinnacle Securities in January 2023. On his new account form, Marcus listed his occupation as 'software engineer' with an annual income of \$185,000 and a net worth of approximately \$620,000, excluding his primary residence. He indicated 8 years of stock trading experience, 2 years of options trading experience, and described his investment objective as 'growth with some speculation.' His risk tolerance was marked as 'aggressive,' and his liquidity needs were listed as 'low' since he had a separate emergency fund and no dependents. He checked a box on the account application indicating he had 'self-educated' on options through online courses and YouTube tutorials but had never taken a formal course or held any securities industry license.

In February 2023, Marcus applied for options trading approval. On the options agreement, he described his prior options experience as consisting of approximately 40 covered call transactions and 15 cash-secured put transactions over the prior two years, conducted at another brokerage. He stated he understood the mechanics of spreads but had never executed one. He requested Level 3 approval, which at Pinnacle Securities permits buying and selling calls and puts, covered writing, and spread strategies including vertical, calendar, and diagonal spreads.

The branch manager, Denise Liu, reviewed the application. Pinnacle's internal options approval matrix suggested that Level 3 approval generally required a minimum of 3 years of options experience or completion of the firm's internal options education module. Marcus had only 2 years. However, Denise noted that Marcus's 40+ covered call and 15 cash-secured put trades demonstrated meaningful practical experience, his income and net worth were well above the firm's minimums for Level 3, and his stated risk tolerance and investment objectives aligned with spread strategies. Denise approved Marcus for Level 3 without requiring him to complete the firm's optional education module, writing in her approval notes: 'Applicant demonstrates sufficient practical knowledge through trading history. Income/NW well above thresholds. Aggressive growth objective consistent with Level 3 strategies.'

Over the next four months, Marcus executed 22 vertical spread trades on large-cap technology stocks. Most were bull call spreads and bear put spreads with defined risk, where his maximum loss on any single position ranged from \$800 to \$3,200. In aggregate, he lost approximately \$11,400 on these trades during a period of market volatility, representing roughly 1.8% of his stated net worth. Marcus never contacted the firm to complain about the losses. However, in July 2023, during a routine internal audit, a compliance reviewer flagged that Marcus had been approved for Level 3 despite not meeting the firm's stated 3-year experience threshold or completing the education module. The compliance reviewer escalated the matter, questioning whether Denise had conducted an adequate inquiry into Marcus's actual knowledge and experience before granting approval.

Notably, the firm's written supervisory procedures stated that the 3-year experience guideline 'may be waived at the branch manager's discretion where the applicant demonstrates equivalent knowledge through other means,' but the procedures did not specify what documentation or assessment would constitute 'equivalent knowledge.' Denise had not administered any quiz, test, or verbal assessment to Marcus - she relied solely on his self-reported trading history and the information on the account application. Marcus's prior brokerage records were never requested or verified.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises a genuine tension between the procedural adequacy of the options account approval process and the substantive outcome for the customer.

Arguments that a violation occurred:

Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn the essential facts about a customer before approving an options account. This includes verifying the customer's investment experience, knowledge, financial situation, and investment objectives. FINRA Regulatory Notice 21-15 specifically emphasized concerns about firms - particularly in the era of self-directed digital platforms - approving customers for complex options strategies based on self-reported information without meaningful verification or assessment. Denise approved Level 3 options authority based entirely on Marcus's self-reported experience without independently verifying his trading history at his prior brokerage, administering any knowledge assessment, or requiring completion of the firm's own education module. The firm's WSPs contemplated a waiver of the 3-year guideline but were silent on documentation standards, and Denise's approval notes, while substantive, did not reflect any interactive assessment of Marcus's actual understanding of spread mechanics, margin implications, or risk parameters. A regulator could argue this constitutes a failure to know the customer under FINRA Rule 2360 because the approval relied on unverified self-attestation. The OCC Options Disclosure Document must be delivered prior to account approval, and the firm's obligation goes beyond mere document delivery to ensuring the customer's profile genuinely supports the approved strategies.

Arguments that no violation occurred:

Marcus's financial profile - \$185,000 income, \$620,000 net worth, aggressive risk tolerance, low liquidity needs, no dependents - is squarely within the range that supports Level 3 options approval at most firms. His self-reported experience of 55+ options transactions over two years, including both covered calls and cash-secured puts, reflects meaningful practical engagement beyond casual speculation. The strategies he actually executed - vertical spreads with defined maximum loss - are among the more conservative multi-leg strategies and are precisely the type Level 3 is designed to accommodate. His aggregate losses of \$11,400 (1.8% of net worth) over four months during a volatile market are not outsized and suggest the strategies were within his financial capacity. Denise exercised judgment consistent with the WSPs, which explicitly permitted managerial discretion to waive the 3-year guideline. Under Reg BI's care obligation (17 CFR 240.15I-1), the analysis focuses on whether there was a reasonable basis to believe the account type matched the customer's profile, and the substantive alignment here is strong. The absence of any customer complaint or evidence of misunderstanding further supports that the approval was appropriate in substance even if procedurally imperfect.

The core question is whether a procedural shortcoming - failure to independently verify experience or administer a knowledge assessment - constitutes a violation when the substantive outcome (appropriate strategy alignment, manageable losses, no customer complaint) supports the approval decision.

Why Borderline

The case sits at the intersection of procedural compliance and substantive suitability. The customer's profile genuinely supports the approved options level, and the strategies he traded were appropriately risk-defined. However, the branch manager relied entirely on self-reported information without independent verification or knowledge testing, in an era where regulators have specifically flagged this practice as problematic. The firm's own WSPs were ambiguous about what constitutes sufficient alternative evidence of 'equivalent knowledge,' creating room for both the branch manager's exercise of discretion and a compliance reviewer's concern about inadequate documentation. Reasonable practitioners could disagree about whether the practical outcome validates the process or whether the process failure is independently actionable.

Borderline Factors

- Customer's financial profile and risk tolerance genuinely supported Level 3 options approval on a substantive basis
- Self-reported experience of 55+ options trades was plausible and relatively extensive but was never independently verified with prior brokerage records
- Firm's WSPs explicitly allowed managerial discretion to waive the 3-year experience guideline but provided no clear documentation standard for the waiver
- No knowledge assessment, quiz, or interactive evaluation was conducted - approval relied entirely on application paperwork
- Strategies actually executed (vertical spreads) were defined-risk and among the more conservative multi-leg approaches
- Aggregate losses of 1.8% of net worth were not outsized relative to stated aggressive risk tolerance
- FINRA RN 21-15 specifically flagged concerns about options approval processes relying on self-reported data without meaningful verification
- No customer complaint was filed, and the customer never expressed confusion or dissatisfaction
- The education module was described as 'optional' in the firm's procedures, creating ambiguity about whether its completion was truly required

Likely Outcome

A regulator would most likely find a technical or procedural deficiency in the options account approval process rather than a substantive suitability violation. Given the heightened scrutiny following FINRA Regulatory Notice 21-15 and the Robinhood-era enforcement wave, regulators have been particularly focused on the adequacy of options approval processes and the risks of rubber-stamping applications based on self-reported data. The branch manager's failure to verify trading history, administer any knowledge assessment, or require the education module - even if the WSPs technically permitted discretion - would likely be cited as an inadequate exercise of due diligence under FINRA Rule 2360(b)(16). However, because the customer's profile substantively supported the approval, the strategies were appropriate, and losses were modest, sanctions would likely be limited to a supervisory finding against the branch manager and a requirement that the firm tighten its WSPs around options approval waivers, rather than a finding of substantive unsuitability or customer harm requiring restitution.

Borderline Scenario 85

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2360(b)(16) requires member firms to exercise due diligence to learn esse*

Fact Pattern

Marcus Webb, age 24, opened a brokerage account at Pinnacle Securities in March 2023. On his new account form, Marcus listed his occupation as 'software engineer' with an annual income of \$115,000 and a net worth of \$180,000 (excluding his primary residence). He listed his liquid net worth as \$95,000 and his investment experience as '3-5 years,' selecting 'stocks' and 'options' from the experience categories. For investment objective, he selected 'growth' and 'speculation,' and for risk tolerance he marked 'aggressive.' His account application indicated he had traded options for '1-2 years' and had executed approximately 50-100 options trades in the prior 12 months at a previous broker. He did not provide details about which types of options strategies he had used.

His assigned advisor, Denise Kowalski, conducted a 20-minute phone call with Marcus during onboarding. During the call, Marcus told Denise he had been 'trading options on a mobile app for about a year and a half' and that he 'mostly bought calls and puts on tech stocks' and had 'done pretty well.' He said he wanted 'full access to options strategies' because he planned to start generating income from covered calls on his existing stock positions and also wanted to sell cash-secured puts. When Denise asked about his understanding of risk, Marcus said he understood he could lose his entire premium on purchased options and that selling puts meant he might have to buy the stock. He mentioned he had watched 'hundreds of hours' of YouTube tutorials on options strategies and followed several options trading communities on social media.

Denise approved Marcus for Level 3 options trading, which at Pinnacle Securities permits: buying calls and puts, covered call writing, cash-secured put writing, and also vertical spreads (both credit and debit), calendar spreads, and iron condors. Level 3 does not permit naked call writing or uncovered index options. Denise noted in her file that Marcus was 'young, high-income tech professional with demonstrated options experience and aggressive risk profile.' She did not ask Marcus to describe what a vertical spread, calendar spread, or iron condor was, nor did she ask about his specific profit/loss history from prior trading.

Over the next five months, Marcus executed 140 options trades, mostly buying calls and selling cash-secured puts, consistent with his stated experience. However, in September 2023, Marcus began executing iron condors on volatile meme stocks with narrow wings (strike widths of \$2-3 on stocks trading at \$15-\$25). Between September and November 2023, he lost \$34,000 on these iron condor trades - roughly 36% of his liquid net worth. Marcus filed a complaint alleging that Denise never confirmed he actually understood multi-leg strategies and that she should not have approved him for Level 3 without verifying his knowledge of complex spread strategies beyond simple calls and puts. He stated that his prior experience on the mobile app had been limited exclusively to buying single-leg calls and puts, and that he had never traded any spread strategy before receiving Level 3 approval at Pinnacle.

Denise countered that Marcus affirmatively represented options experience, selected aggressive/speculation objectives, had a strong income relative to his age, and specifically requested access to spread strategies including covered calls, cash-secured puts, and income generation - all of which are Level 3 strategies. She noted that Marcus successfully traded for five months before attempting iron condors and that the account agreement and options disclosure documents were provided and signed. Pinnacle's options principal had reviewed and co-approved the Level 3 designation based on the application and Denise's notes.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Denise violated applicable standards: The core issue is whether Denise's 20-minute phone call and reliance on Marcus's self-reported experience constituted a reasonable effort to 'know her customer' with respect to options approval. Marcus reported trading options for 1-2 years with 50-100 trades, but Denise never inquired about which specific strategies he had traded. Level 3 approval at Pinnacle includes multi-leg strategies (verticals, calendars, iron condors) that are substantially more complex than single-leg purchases. A reasonable advisor arguably should have probed whether a 24-year-old whose experience was on a gamified mobile platform - where multi-leg strategies may not have even been available during parts of his trading history - truly had experience with spread strategies. The gap between buying calls/puts and executing iron condors on volatile stocks is significant. Denise's failure to ask Marcus to articulate his understanding of specific multi-leg strategies, or to inquire about his P&L history, could be viewed as an inadequate investigation into his actual knowledge and experience. The fact that Marcus specifically mentioned 'buying calls and puts' and wanting to 'start' doing covered calls and cash-secured puts arguably should have signaled that his existing experience was limited to single-leg trades.

Arguments that Denise acted reasonably: Marcus was a high-income professional who self-reported 1-2 years of options experience with a substantial number of trades. He affirmatively selected 'aggressive' risk tolerance and 'speculation' as an objective. He specifically requested access to spread strategies, articulated a coherent plan (covered calls for income, cash-secured puts), and demonstrated understanding of basic options risk. Firms and advisors are entitled to rely on customer representations unless red flags suggest those representations are inaccurate. Marcus signed the options agreement and received the Options Disclosure Document. Denise conducted an onboarding call and documented her rationale. Level 3 at Pinnacle excluded the most dangerous strategies (naked calls, uncovered index options). Marcus's losses came five months after account opening, during which he traded successfully, suggesting the approval itself was not the proximate issue - rather, Marcus made a decision to attempt a strategy he was not experienced with. The losses, while significant, were within the risk parameters one might expect for an aggressive speculative account. Advisors are not guarantors of outcomes, and Marcus bore responsibility for choosing to trade iron condors on meme stocks with narrow wings.

Why Borderline

This scenario sits in a genuine gray area because the customer's profile - young, high-income, self-reported experienced, aggressive risk tolerance - facially supports Level 3 approval. However, the advisor's failure to distinguish between single-leg and multi-leg experience during onboarding raises legitimate questions about the depth of the know-your-customer inquiry. The customer's own representations were not clearly false but were ambiguous enough that a more probing inquiry could have revealed the gap in experience. Reasonable practitioners disagree about how granular an options knowledge assessment must be at the approval stage versus relying on signed disclosures and customer attestations. The five-month gap between approval and the problematic trades further complicates causation analysis.

Borderline Factors

- Customer self-reported 1-2 years of options experience with 50-100 trades, which facially supports

approval but was actually limited to single-leg strategies

- Advisor conducted an onboarding call but did not probe specifically into which types of options strategies the customer had actually executed
- Customer's stated plan (covered calls, cash-secured puts) was consistent with Level 3 but the approval also included complex multi-leg strategies the customer had never traded
- Prior mobile-app trading platform may not have offered multi-leg strategies during the customer's trading history, a fact the advisor did not investigate
- Customer selected aggressive risk tolerance and speculation objectives, supporting higher-level approval
- Five-month gap between account opening and the trades that generated losses complicates proximate cause analysis
- Losses of \$34,000 (36% of liquid net worth) are significant but not catastrophic for an aggressive speculative account
- Customer affirmatively requested access to spread strategies and signed all disclosure documents
- Firm's options principal also reviewed and co-approved the application

Likely Outcome

A regulator would likely find this to be a close call but would probably conclude that the advisor's know-your-customer inquiry was deficient with respect to the options approval. While the customer's profile superficially supported Level 3, the advisor had enough information from the onboarding call - where Marcus described his experience as 'buying calls and puts' and wanting to 'start' doing covered calls - to recognize that his actual experience might not extend to complex multi-leg strategies. A regulator applying current standards would likely expect the advisor to have asked targeted questions about the customer's familiarity with specific Level 3 strategies before approving that level. However, mitigating factors (customer representations, signed disclosures, options principal co-approval, five-month gap before losses) would likely result in a finding of a procedural deficiency rather than a willful violation, potentially leading to a cautionary action or modest fine rather than severe sanctions. The firm's supervisory procedures for options approval would also face scrutiny.

Borderline Scenario 86

Topic: options_unsuitable | Standard: FINRA Rule 2360(b)(16) (options account approval and supervision); FINRA Rule 2361 (option

Fact Pattern

Marcus Webb, age 34, opened a brokerage account in March 2022 at Trident Capital Partners, a mid-sized broker-dealer. Marcus works as a senior software engineer at a large tech company earning \$215,000 per year with a net worth of approximately \$1.1 million, of which roughly \$400,000 is in liquid investments. On his new account application, Marcus indicated his investment objective as 'growth with speculation,' his risk tolerance as 'aggressive,' and his investment time horizon as 5-10 years. Under options experience, Marcus checked 'limited - less than 1 year' and noted he had traded covered calls and cash-secured puts on a mobile trading app for about eight months prior to opening the Trident account. He described himself as 'very comfortable with options' in a written comment on the application.

His assigned advisor, Diana Castillo, reviewed the application and approved Marcus for Level 3 options

trading, which at Trident permits spreads, straddles, strangles, and uncovered put writing, but not naked call writing. Trident's internal guidelines state that Level 3 approval generally requires at least two years of options experience or documented evidence of equivalent knowledge, but allows a branch manager override with written justification. Diana submitted a brief override memo stating that Marcus's tech background, high income, aggressive risk tolerance, and self-described comfort level justified the elevated approval. The branch manager co-signed the memo without adding additional commentary.

Over the next six months, Marcus executed approximately 45 options trades, predominantly short iron condors and bull put spreads on large-cap tech stocks and ETFs. Most positions were sized between \$3,000 and \$8,000 in maximum risk per trade. He realized net gains of roughly \$18,000 during this period and appeared to understand the mechanics of the strategies based on email exchanges with Diana where he discussed Greeks, implied volatility levels, and expiration management.

In October 2022, Marcus shifted his approach. Over a three-week period, he sold uncovered puts on three mid-cap biotech stocks ahead of FDA decision dates, committing approximately \$120,000 in aggregate notional risk - representing roughly 30% of his liquid net worth concentrated in binary-event trades. Diana was aware of these positions because Marcus emailed her asking about margin requirements. Diana responded with the margin calculations but did not discuss the concentrated event-driven risk or suggest any hedging. Two of the three positions resulted in significant losses totaling \$74,000 when the FDA decisions were unfavorable. Marcus's account dropped from approximately \$385,000 to \$311,000 in value.

Marcus filed a complaint alleging that he should never have been approved for Level 3 options given his limited experience, and that Diana failed to intervene when he concentrated his account in high-risk event-driven trades. Trident responded that Marcus was a sophisticated, high-income professional who affirmatively chose aggressive strategies, demonstrated growing competence over six months of successful trading, and made independent decisions on the biotech trades without any recommendation from Diana. Trident also noted that Marcus never requested guidance or expressed concern before the losses, and that his account application clearly indicated speculative intent.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents two distinct issues: (1) the propriety of the initial Level 3 options approval, and (2) the advisor's response to the concentrated event-driven options positions in October 2022.

Regarding the initial approval, FINRA Rule 2360(b)(16) requires that a broker-dealer obtain background and financial information before approving options trading and must have a reasonable basis to believe the customer has sufficient knowledge, experience, and financial resources for the approved level. Marcus had only eight months of experience limited to covered calls and cash-secured puts - both Level 1 strategies - yet was approved for Level 3, which includes substantially more complex and risky strategies like uncovered put writing. Trident's own internal threshold of two years was not met. However, the firm had a documented override process, and the memo - while brief - identified specific factors (income, net worth, risk tolerance, professional background) supporting the elevated approval. The OCC Options Disclosure Document must be provided prior to approval, and there is no indication it was not. A regulator might view

the override as perfunctory given its brevity, but the existence of a formal process with branch manager sign-off weighs in the firm's favor.

The subsequent six months of successful and apparently well-understood trading complicates the experience question. By October 2022, Marcus had executed 45 spread and multi-leg trades, discussed Greeks and volatility intelligently, and generated profits - arguably demonstrating the competence the initial approval anticipated. This creates an argument that even if the initial approval was premature, the deficiency was effectively cured by the time the losses occurred.

Regarding the October trades, the critical question is whether these were 'recommended' transactions triggering the advisor's obligations under Reg BI, or unsolicited customer-directed trades. Marcus independently selected the biotech positions and emailed Diana only about margin mechanics. Under Reg BI's Care Obligation (17 CFR 240.15l-1), the obligation to act in the customer's best interest applies to recommendations. If the trades were truly unsolicited, the standard does not directly apply. However, FINRA Regulatory Notice 21-15 clarified that firms have heightened obligations around options account supervision, and that merely approving an account level creates ongoing supervisory responsibilities. Diana's awareness of the positions, combined with her failure to flag the concentrated, event-driven risk in her response, could be viewed as a supervisory failure even if no formal recommendation was made. A regulator could argue that responding to a margin question about specific positions without any risk discussion constitutes implicit acquiescence that falls within the firm's supervisory obligations under Rule 2360(b)(16)(B), which requires ongoing diligence.

Conversely, Trident has strong arguments: Marcus was financially capable of bearing the losses (the \$74,000 loss represented approximately 6.7% of his total net worth), his account application authorized speculation, he demonstrated months of competence, and the trades were entirely self-directed. Imposing a duty to intervene on unsolicited trades by a knowledgeable client risks paternalism that conflicts with the customer's stated autonomy and objectives.

Why Borderline

The case sits at the intersection of several genuinely contested questions: whether a documented but thin override of internal experience thresholds satisfies approval obligations; whether six months of successful post-approval trading can retroactively validate an arguably premature approval; whether an advisor who is aware of but did not recommend concentrated event-driven positions has an obligation to intervene or warn; and whether a high-income, technically sophisticated customer who affirmatively chose aggressive speculation can claim he was unsuitably approved. Reasonable practitioners disagree on where the line falls between legitimate customer autonomy and firm supervisory obligations for self-directed options traders.

Borderline Factors

- Marcus had only 8 months of limited options experience but was approved for Level 3, bypassing the firm's own 2-year guideline via a brief override memo
- Six months of successful, apparently sophisticated post-approval trading arguably demonstrated competence retroactively
- The biotech trades were entirely customer-initiated with no advisor recommendation, but the advisor was aware and responded only to margin questions without flagging concentrated event risk

- The \$74,000 loss was significant but represented only ~6.7% of total net worth for a high-income earner who selected speculative objectives
- The firm had a formal override process with branch manager co-signature, giving procedural legitimacy to the approval
- Marcus self-described as 'very comfortable with options' and demonstrated knowledge of Greeks and volatility in written communications
- The concentration of ~30% of liquid assets in binary-event trades represents a qualitative shift from prior disciplined spread trading that the advisor observed but did not address

Likely Outcome

A regulator would likely find a partial violation focused on the supervisory dimension rather than the initial approval. The initial Level 3 approval, while aggressive, was documented through a formal override process and was arguably validated by subsequent trading activity. However, a regulator would likely conclude that Diana's awareness of the concentrated event-driven positions triggered at minimum a supervisory obligation to document that she considered the risk, even if she ultimately deferred to the customer's autonomy. Her response addressing only margin mechanics without any acknowledgment of the concentrated binary-event risk would likely be viewed as a supervisory deficiency under the firm's ongoing options account oversight obligations. The outcome would most likely be a finding of inadequate supervision with a modest fine and a requirement for enhanced documentation procedures, rather than a finding that the trades themselves were unsuitable or that the initial approval was improper.

Borderline Scenario 87

Topic: senior_investor_exploitation | Standard: FINRA Rule 2360(b)(16) (options account approval requirements including evaluation)

Fact Pattern

Margaret Dalton, age 74, is a retired aerospace engineer with a PhD in applied mathematics. She has a net worth of approximately \$3.2 million, with \$1.8 million in retirement accounts, a \$600,000 brokerage account, and the remainder in real estate and cash. She receives \$4,200 per month in Social Security and a \$3,100 monthly pension. Her stated investment objective on her account application is 'growth with income,' and she listed her risk tolerance as 'moderate.' She has traded stocks actively for 22 years and has been trading covered calls and cash-secured puts for the past 8 years. She reported 15 options trades per year on average over the last three years. In January 2023, Margaret requested that her financial advisor, Kevin Briggs, at a mid-size broker-dealer, upgrade her options approval level from Level 2 (covered calls and cash-secured puts) to Level 4 (naked puts, spreads, and short strangles). She told Kevin she had been studying multi-leg options strategies extensively, had completed an online certificate program in derivatives from a well-known university extension, and wanted to generate additional income by selling credit spreads and iron condors on broad market ETFs. She explained she was frustrated that her current approval level limited her to strategies she considered 'capital-inefficient.' Kevin reviewed her account and noted that her existing covered call and cash-secured put trades had been consistently profitable, generating roughly \$38,000 in premium income over the prior 24 months with only two assignments, both of which she managed without complaint. Kevin submitted the upgrade request to his firm's options principal. The options principal initially flagged the request due to Margaret's age, noting the firm's internal guideline that customers over 70 requesting Level 4 or above require enhanced review and a documented phone

conversation. Kevin conducted a 40-minute recorded phone call with Margaret in which she articulated her understanding of maximum loss scenarios for short spreads, margin requirements, and the Greeks. She stated that she would allocate no more than 15% of her brokerage account (\$90,000) to these strategies. The options principal approved the upgrade. Over the next 10 months, Margaret executed 47 options trades - primarily iron condors and credit spreads on the S&P 500 ETF and the Nasdaq-100 ETF - generating approximately \$52,000 in net premium income with a peak unrealized loss on any single position of \$11,400, which she subsequently closed at a \$3,200 realized loss. Her total realized losses for the period were \$8,700 against \$52,000 in gains. In November 2023, Margaret suffered a mild stroke that temporarily impaired her cognitive function. Her daughter, who holds power of attorney, reviewed the account and filed a complaint alleging that Kevin and the firm never should have approved a 74-year-old retiree for advanced options strategies, that the 47 trades in 10 months represented excessive activity, and that the strategies exposed her mother to catastrophic risk inappropriate for someone her age. The daughter noted that Margaret's medical records showed early signs of mild cognitive decline diagnosed in mid-2022, approximately six months before the upgrade request, though Margaret had not disclosed this to Kevin or the firm, and Kevin had no knowledge of the diagnosis. The firm's records show that Kevin checked in with Margaret quarterly, that all trades were unsolicited and initiated by Margaret through the firm's online platform, and that Kevin did not receive transaction-based compensation on options trades - he was paid a flat advisory fee of 0.65% on the brokerage account assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario involves competing considerations that cut sharply in both directions. Arguments that Kevin and the firm violated applicable standards: (1) Margaret was 74 years old and a retiree, placing her in the category of senior investors who warrant heightened scrutiny under FINRA Rule 2165 and the firm's own internal enhanced review guidelines for customers over 70. (2) The upgrade to Level 4 options - which permits naked short positions and complex multi-leg strategies - carries theoretically unlimited or very substantial risk on certain strategies, and the account application listed 'moderate' risk tolerance, arguably inconsistent with Level 4 approval. (3) Under FINRA Rules 2360(b)(16) and 2361, the options principal must determine that the customer has sufficient knowledge, experience, and financial resources to bear the risks of the requested strategies. The 47 trades in 10 months could be viewed as a significant escalation from her historical 15 trades per year. (4) The pre-existing mild cognitive decline diagnosis, while unknown to Kevin, raises the question of whether the firm should have taken additional steps given her age, such as requesting a trusted contact person or probing more deeply into her health status. (5) Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making recommendations, and approving advanced options access could be considered a de facto recommendation of a strategy type. Arguments that Kevin and the firm acted reasonably: (1) Margaret had 22 years of active trading experience and 8 years of demonstrated, profitable options trading. She completed a derivatives certificate program and articulated sophisticated understanding during a recorded 40-minute call. This is far more due diligence than most firms conduct. (2) Under FINRA RN 21-15, which addresses options account opening and approval, firms are expected to collect and evaluate customer information including financial status, investment experience, and investment objectives. Margaret's financial profile - \$3.2 million net worth, \$600K brokerage account, steady pension and Social Security income - suggests she could absorb significant losses without jeopardizing her retirement security. (3) Her self-imposed 15% allocation limit

(\$90,000) was conservative relative to her total assets, and her actual trading results showed disciplined risk management with only \$8,700 in total realized losses against \$52,000 in gains. (4) All 47 trades were unsolicited and self-directed through the online platform, which weakens the argument that the advisor 'recommended' unsuitable activity. The advisor's role was limited to facilitating the account upgrade and periodic check-ins. (5) Kevin had no knowledge of the cognitive decline diagnosis, and Margaret was not legally incapacitated at the time of the upgrade. The firm cannot be expected to independently investigate medical records absent red flags. (6) The flat advisory fee structure eliminates the economic incentive concern that often underlies excessive trading allegations. (7) The OCC Options Disclosure Document was presumably delivered, and Margaret's demonstrated comprehension during the recorded call suggests informed consent. The daughter's complaint also conflates the stroke - which occurred 10 months after approval - with the approval decision, which must be evaluated based on information available at the time.

Why Borderline

This is genuinely ambiguous because the customer profile simultaneously presents classic senior investor vulnerability red flags (advanced age, retiree, undisclosed cognitive decline) alongside strong countervailing factors (exceptional education and experience, demonstrated profitable track record, conservative position sizing, all self-directed trades, no advisor economic incentive, thorough documented due diligence). The undisclosed cognitive decline is the most troubling factor, but the firm had no knowledge of it and Margaret appeared fully competent during the recorded assessment call. Reasonable regulators could disagree about whether age alone should have been a disqualifying factor when weighed against decades of demonstrated competence, or whether the firm's enhanced review procedures - which were followed - were sufficient.

Borderline Factors

- Customer was 74 with undisclosed early-stage cognitive decline, but appeared fully competent during a detailed 40-minute recorded assessment call
- Account application stated 'moderate' risk tolerance, which could be viewed as inconsistent with Level 4 options, though the actual strategies employed (iron condors, credit spreads) have defined maximum losses
- Trade frequency tripled from historical average (15/year to 47 in 10 months), but all trades were unsolicited and self-directed
- The firm followed its own enhanced review protocol for customers over 70, including a documented phone conversation
 - Margaret's financial resources (\$3.2M net worth, steady pension income) and self-imposed 15% allocation limit suggest she could absorb losses, but her age and retirement status heighten the consequences of catastrophic loss
 - Advisor was compensated via flat fee with no transaction-based incentive, eliminating typical churning motive
 - The complaint was triggered by a subsequent medical event (stroke) that post-dated the approval decision
 - Margaret had 8 years of profitable options experience and completed a university derivatives certificate, far exceeding typical retail investor sophistication

Likely Outcome

A regulator would most likely conclude that the account approval and subsequent trading did not constitute

a clear violation, but would scrutinize the apparent mismatch between the 'moderate' risk tolerance designation and Level 4 approval. The strongest defense is the comprehensive documented due diligence, the customer's exceptional qualifications, the self-directed nature of all trades, and the absence of any knowledge of cognitive impairment. However, the firm might receive a cautionary letter or deficiency finding regarding its procedures for reconciling stated risk tolerance with options approval levels, and potentially for not establishing a trusted contact person - which, while not mandatory for all accounts, is strongly encouraged for senior investors. The undisclosed cognitive decline would likely be viewed as information the firm could not reasonably have discovered. On balance, given the robust documentation, profitable track record, self-directed trading, and flat-fee compensation, an arbitration panel or regulatory examiner would more likely than not find in favor of the advisor and firm, though possibly with recommendations for procedural enhancements.

Borderline Scenario 88

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); FII

Fact Pattern

Marcus Whitfield, age 34, is a software engineer at a mid-size tech company earning \$185,000 per year. He has a net worth of approximately \$620,000, including \$210,000 in a brokerage account, \$195,000 in a 401(k), and \$215,000 in home equity. He has been actively trading equities for approximately six years and has made roughly 400 stock trades during that period, mostly in technology names. He has no prior options trading experience.

In February 2024, Whitfield opened an options account with Meridian Securities through his financial advisor, Denise Carver. During the account opening process, Carver conducted a 25-minute phone call with Whitfield to discuss his investment objectives, experience, and risk tolerance. Whitfield told Carver he had been reading extensively about options strategies for the past eight months, had completed two online options education courses offered by a well-known trading education platform, and had been paper-trading options in a simulator for approximately five months, during which he logged over 150 simulated trades including covered calls, cash-secured puts, vertical spreads, and iron condors. He stated his investment objective was "growth with income generation" and described his risk tolerance as "aggressive." He said he wanted to use options primarily for income generation on his existing stock positions and for defined-risk directional trades.

Carver approved Whitfield for Level 3 options trading, which at Meridian Securities permits covered calls, cash-secured puts, long calls and puts, debit spreads, credit spreads, iron condors, and iron butterflies. Level 3 does not permit naked short calls, naked short puts on margin, or ratio spreads. Carver documented Whitfield's educational background, paper trading experience, and stated objectives in the account approval form. She also noted that Whitfield's liquid net worth of approximately \$405,000 exceeded the firm's minimum threshold of \$75,000 for Level 3 approval.

Over the next four months, Whitfield executed 47 options trades. Thirty-one of these were covered calls and cash-secured puts on positions he already held. Twelve were vertical spreads on technology stocks

with defined maximum losses ranging from \$800 to \$3,200 per trade. Four were iron condors on broad market ETFs. His net profit and loss during this period was a loss of approximately \$4,700, or about 2.2% of his brokerage account.

In July 2024, Whitfield placed three losing credit spread trades in a single week on a volatile biotech stock that resulted in losses totaling \$11,400. Frustrated, he filed a complaint alleging that Carver should never have approved him for Level 3 options trading because he had zero actual options trading experience prior to account opening. He claimed the paper trading should not have counted toward experience and that his risk profile was actually moderate, not aggressive, since 60% of his net worth was in retirement savings and home equity. He also noted that Carver never provided him with the standardized options risk disclosure booklet prior to his first trade, though Meridian's records show an electronic acknowledgment was generated and Whitfield clicked "I acknowledge" during the online account opening workflow. Whitfield says he does not recall seeing or reading the document and that the acknowledgment was part of a sequence of multiple click-through screens he moved past quickly.

Carver maintains that Whitfield was well-informed, had demonstrated meaningful self-education, that his paper trading was substantively equivalent to experience for purposes of evaluating his readiness, and that his losses were within normal parameters for defined-risk strategies. She also points out that Whitfield never contacted her to express discomfort, ask questions about risk, or request a lower approval level during the four months of profitable and modestly losing trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises several intertwined issues regarding options account approval, risk profiling, and disclosure delivery.

****Arguments that Carver violated applicable standards:****

- **Options experience assessment:**** Under FINRA Rule 2360(b)(16), firms must obtain information about a customer's investment experience and knowledge before approving options trading, including specific options experience. Whitfield had zero live options trading experience. The question is whether paper trading and self-education constitute sufficient experience. FINRA Regulatory Notice 21-15 specifically addresses concerns about firms using automated or streamlined account approval processes that fail to conduct meaningful individualized assessment of customer experience and knowledge. A regulator could argue that 150 simulated trades do not equate to actual market experience because paper trading eliminates the psychological pressures of real capital at risk, execution risk, slippage, and the behavioral decision-making that distinguishes experienced traders.
- **Risk profile accuracy:**** Whitfield self-identified as aggressive, but a deeper analysis shows 60% of his net worth is illiquid (retirement and home equity). His liquid investable assets of \$210,000 in brokerage represent only about 34% of total net worth. An advisor exercising reasonable diligence under Reg BI's care obligation might have questioned whether an "aggressive" label was appropriate or at least documented why it was, particularly for a customer with no prior options experience whose aggressive

self-assessment may have reflected aspiration rather than genuine risk capacity.

3. **OCC Disclosure Document delivery:** FINRA Rule 2360(b)(11) requires that the OCC Options Disclosure Document be furnished to customers at or prior to the time their account is approved for options trading. While Meridian's system generated an electronic acknowledgment, the question is whether a click-through acknowledgment buried in a sequence of multiple screens constitutes meaningful delivery. FINRA has expressed concern about firms that treat compliance as a check-the-box exercise rather than ensuring customers actually receive and can review key disclosures. However, electronic delivery that meets the requirements of the E-Sign Act and SEC guidance on electronic delivery is generally permissible.

4. **Level 3 approval specifically:** Level 3 includes credit spreads, which carry risks that go beyond covered calls and long options. Approving a customer with no live experience directly at a level permitting multi-leg strategies with short option components could be viewed as insufficiently conservative.

Arguments that Carver acted appropriately:

1. **Substantive evaluation was conducted:** Carver spent 25 minutes discussing Whitfield's background, education, paper trading, and objectives. This is not a rubber-stamp automated approval. She documented her rationale. FINRA Rule 2360(b)(16) requires due diligence but does not prescribe that only live trading counts as experience.

2. **Paper trading as experience proxy:** There is no regulatory bright line stating paper trading cannot be considered. Whitfield's 150 simulated trades over five months, combined with two completed courses and eight months of self-study, represents a meaningful educational foundation. Many broker-dealers accept educational coursework and simulated trading as part of experience evaluation, particularly for defined-risk strategies.

3. **Defined-risk strategies only:** Level 3 at Meridian does not permit naked options or undefined-risk strategies. All strategies available to Whitfield had mathematically defined maximum losses. This significantly limits the catastrophic risk scenarios that options suitability rules are designed to prevent.

4. **Trading pattern was consistent with stated objectives:** For four months, Whitfield traded exactly as he described he would - mostly covered calls and cash-secured puts, with some defined-risk spreads. His aggregate losses were modest (2.2% of account). The complaint was triggered by three specific losing trades on a volatile biotech - a risk inherent in any options trading, not evidence of an unsuitable approval.

5. **Disclosure delivery:** Electronic acknowledgment systems are standard industry practice. The fact that Whitfield clicked through quickly is a common customer behavior that does not necessarily constitute a delivery failure by the firm. The firm's system generated and presented the document.

6. **Customer autonomy and self-directed choices:** Whitfield chose his own trades. Carver did not recommend specific options positions. Under Reg BI, the recommendation trigger is important - if the account approval itself is the recommendation, the analysis applies to the approval level, not individual trades. Whitfield's post-approval trading decisions were self-directed.

7. ****Losses were within normal range:**** An \$11,400 loss on a \$210,000 account (5.4%) from defined-risk trades is within the range of outcomes any options trader might experience and does not by itself indicate an unsuitable approval.

Why Borderline

The central tension is whether paper trading plus self-education constitutes sufficient 'experience' for options account approval at a level permitting multi-leg strategies including credit spreads. There is no explicit regulatory definition requiring live trading experience, yet the spirit of options suitability rules emphasizes ensuring customers understand real-market risks. Additionally, the electronic disclosure delivery was technically compliant but arguably not substantively meaningful. The customer's self-reported aggressive risk tolerance may have been accurate or may have reflected overconfidence from simulated success - a distinction that is genuinely difficult for an advisor to evaluate. The complaint was triggered by losses that, objectively, were within normal defined-risk parameters, raising the question of whether hindsight bias is driving the complaint rather than a genuine approval failure.

Borderline Factors

- No live options experience versus extensive paper trading and self-education - no regulatory bright line exists
- Self-reported aggressive risk tolerance versus actual asset allocation suggesting moderate risk capacity
 - Electronic click-through disclosure acknowledgment versus meaningful delivery and customer comprehension
- Level 3 approval includes credit spreads (short premium risk) for a first-time live options trader
- Four months of appropriate trading behavior before the complaint-triggering losses
- Losses were within defined-risk parameters and represented only 5.4% of brokerage account
 - 25-minute individualized phone evaluation versus potential for deeper probing of actual risk understanding
- Customer chose volatile biotech for credit spreads without consulting advisor - self-directed trade selection

Likely Outcome

A regulator would most likely find a partial violation focused on two areas: (1) the options disclosure delivery process, where a click-through acknowledgment embedded in a series of screens may not satisfy the requirement of meaningful delivery, warranting a finding of a technical but not egregious violation, and (2) a finding that the experience assessment, while documented, was insufficiently rigorous given the complete absence of live options trading and the direct approval at Level 3 rather than starting at Level 1 or 2. However, the regulator would likely view this as a supervisory and process deficiency rather than an intentional or reckless suitability violation, given Carver's documented evaluation, Whitfield's substantial self-education, the defined-risk nature of the approved strategies, and the modest scale of losses. The likely outcome would be a cautionary action or fine at the firm supervisory level with remedial training, rather than significant individual sanctions against Carver. The customer's damages claim would be weakened by his four months of appropriate trading, self-directed trade selection, and the objectively modest loss relative to account size.

Borderline Scenario 89

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2360(b)(16) (options account approval and due diligence requirements); F*

Fact Pattern

Marcus Hale, age 24, opened a brokerage account with Apex Digital Brokerage in March 2022. On his new account application, Marcus listed his occupation as 'software engineer' with an annual income of \$115,000, liquid net worth of \$85,000, and total net worth of \$140,000. He listed his investment experience as '2 years of stock trading' and selected 'growth' and 'speculation' as his investment objectives. He indicated moderate risk tolerance. He had no prior options experience listed on the application. When prompted by the platform's digital onboarding flow, Marcus completed a brief five-question options knowledge quiz, scoring 4 out of 5. The quiz covered basic concepts such as put/call definitions, expiration mechanics, and the concept of premium decay. Based on this quiz score and his stated income and objectives, the platform's automated approval algorithm granted Marcus Level 3 options approval, which permitted multi-leg spread strategies including vertical spreads, iron condors, and calendar spreads. No human review occurred at the time of approval; the firm's supervisory procedures allowed automated approval up to Level 3 for applicants meeting certain income, net worth, and quiz score thresholds. Marcus's registered representative, Janet Pryor, received an automated notification that Marcus had been approved for Level 3 options but did not separately contact Marcus or review the application beyond confirming it had been processed. Over the following four months, Marcus placed 47 options trades, primarily selling credit spreads on high-beta technology stocks. His early trades were profitable, generating approximately \$8,200 in gains. In July 2022, a sharp market downturn caused multiple spread positions to go against him simultaneously. Because Marcus had concentrated roughly 70% of his liquid net worth into margin requirements for these positions, the losses were substantial—approximately \$52,000 over a two-week period. Following the losses, Marcus complained to the firm, asserting that he should never have been approved for Level 3 options given that he had zero prior options trading experience and that nobody at the firm had ever spoken to him about the risks of multi-leg strategies. He also stated that his actual liquid net worth at account opening was closer to \$55,000—he had inflated the figure because the platform's interface suggested that higher net worth would 'unlock more investment tools.' The firm responded that Marcus had self-certified his financial information, passed the knowledge assessment, selected speculative objectives, and that all trades were self-directed with no recommendations made by the firm or by Janet Pryor. The firm also pointed to the electronic delivery of the Options Disclosure Document, which Marcus acknowledged receiving by clicking 'I agree' during onboarding. Janet Pryor's supervisor noted that Janet had a book of 640 accounts, approximately 180 of which were options-approved, and that the firm's procedures did not require her to conduct individualized outreach for automated approvals unless flagged by the system. The system had not flagged Marcus's account. Separately, internal records show that Marcus did call the firm's general support line in April 2022 to ask about the difference between 'buying a spread' and 'selling a spread,' and the support representative provided a general explanation but did not document the call or escalate it as an indication that Marcus might lack sufficient knowledge for his approval level.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises several intersecting issues regarding options account approval, supervisory responsibilities, and the know-your-customer obligation.

Arguments that a violation occurred:

1. Under FINRA Rule 2360(b)(16), a firm must exercise due diligence to learn essential facts about a customer before approving options trading. The approval process relied entirely on an automated algorithm and a five-question quiz. A customer with zero prior options experience was granted Level 3 approval-which includes complex multi-leg strategies-without any human conversation or individualized assessment. The industry has long recognized that options approval requires a meaningful evaluation, not merely a formulaic checklist.
2. The registered representative, Janet Pryor, had a duty to review and approve (or participate in the approval of) options accounts under her supervision. FINRA Rule 2360(b)(16)(B) requires a Registered Options Principal or designated supervisor to approve each options account. The fact that the system automated the approval does not relieve the firm or its associated persons of the obligation to ensure the approval was appropriate. Janet's passive acceptance of an automated notification may fall short of supervisory expectations.
3. The April 2022 support call-where Marcus asked a fundamental question distinguishing buying and selling spreads-was a red flag suggesting his knowledge was below what Level 3 approval contemplated. The failure to document or escalate this call represents a potential supervisory gap.
4. FINRA Regulatory Notice 21-15 specifically addressed concerns about options account approvals at firms with digital onboarding, emphasizing that automated systems must be reasonably designed to comply with options approval rules and that firms cannot rely solely on customer self-reported information when other indicators suggest the information may be unreliable.
5. Marcus's admission that he inflated his net worth, combined with the platform's interface language suggesting higher net worth would 'unlock more investment tools,' raises concerns about whether the firm's onboarding process effectively encouraged customers to misrepresent their financial profiles-a design issue that could be viewed as a systemic supervisory failure.

Arguments against a violation:

1. Marcus is a self-directed customer who affirmatively chose speculative investment objectives, voluntarily completed the options knowledge quiz with a strong score, electronically acknowledged receipt of the Options Disclosure Document, and independently placed all 47 trades. No individualized recommendation was ever made by Janet Pryor or any other firm representative.
2. The firm's automated approval system used objective criteria-income, net worth, quiz score, and stated objectives-that are facially reasonable. Many firms use similar systems, and regulators have not categorically prohibited automated options approval.
3. Marcus misrepresented his liquid net worth on the application. Firms are generally entitled to rely on customer-provided information absent red flags. The \$85,000 figure he provided was within a plausible range for someone with his stated income and age.
4. The concentration of 70% of liquid net worth into options margin was a result of Marcus's own trading decisions over four months, not a one-time event that the approval process could have foreseen. The firm might argue that ongoing position monitoring, while desirable, was not required for a self-directed account at this trading level.
5. The support call in April, while potentially a red flag, involved a general question that many

options-approved customers might ask. It does not necessarily indicate fundamental unsuitability for Level 3 approval.

The OCC Options Disclosure Document, which Marcus acknowledged, contains extensive risk warnings about multi-leg strategies and the potential for significant losses. This weighs in the firm's favor but does not by itself satisfy the independent approval obligation under FINRA Rule 2360.

Why Borderline

This is a genuine gray area because the customer voluntarily sought options access, selected speculative objectives, scored well on a knowledge assessment, and self-directed all trades-factors that typically weigh heavily against a suitability claim. However, the complete absence of human review for a zero-experience customer receiving complex options approval, combined with the undocumented support call revealing potential knowledge gaps and a platform design that arguably incentivized net worth inflation, creates legitimate regulatory concern. Reasonable practitioners disagree about whether automated approval systems can adequately substitute for human judgment in options account approval, especially post-2021 when regulators signaled heightened scrutiny of digital-first platforms. The customer's own misrepresentation complicates the analysis further, as it raises comparative fault issues that regulators weigh differently than courts.

Borderline Factors

- Customer had zero prior options experience but scored 4/5 on a knowledge quiz-does a short quiz adequately measure readiness for complex multi-leg strategies?
- Fully automated Level 3 approval with no human review-industry practice is evolving and not uniformly settled
- Customer self-reported inflated net worth, but the platform's interface language may have encouraged inflation
- Undocumented support call in April suggesting knowledge gaps that were never escalated or considered
- All 47 trades were self-directed with no recommendation from the representative or the firm
- Representative had 640 accounts and firm procedures did not require individualized outreach for automated approvals
- Customer selected 'speculation' as an objective and acknowledged the Options Disclosure Document electronically
- Concentration risk built up gradually through the customer's own trading activity over four months

Likely Outcome

A regulator would most likely find that the firm's options approval process was deficient, constituting a violation of the account approval requirements, but the individual representative's liability would be less clear. The complete absence of human review for a customer with no prior options experience receiving Level 3 approval would likely be deemed inconsistent with the due diligence requirements of FINRA Rule 2360(b)(16). The undocumented support call would be cited as evidence that the firm's supervisory system failed to identify and act on a red flag. However, the damages analysis would be complicated by Marcus's own misrepresentation of his net worth and his self-directed trading decisions. A regulator would likely impose a fine on the firm and require enhanced supervisory procedures for automated options approvals, but might reduce or decline restitution given the customer's contributory conduct. Janet Pryor might receive a cautionary letter or minor sanction rather than a significant individual penalty, given that she followed the

firm's established procedures.

Borderline Scenario 90

Topic: *excessive_churning* | Standard: *FINRA Rule 2111 (Suitability)*, including the quantitative suitability obligation prohibiting excessive trading

Fact Pattern

Margaret Hollins, age 58, is a retired school administrator with a \$620,000 IRA rollover account at Trident Securities. She has 12 years of investment experience, primarily in mutual funds and blue-chip equities, and lists her risk tolerance as 'moderate' on her new account form. Her stated objective is 'growth with income' to supplement her pension of \$4,200/month. In early 2023, her advisor, Ryan Decker, recommended she apply for options trading approval at Level 2, which would permit covered calls and cash-secured puts. Margaret was provided the standard options disclosure booklet and signed the options agreement. Decker explained that selling covered calls on her existing equity positions and writing cash-secured puts on stocks she was willing to own could generate \$2,000-\$3,000 per month in premium income, supplementing her pension. Over the next 14 months, Decker executed 247 options trades in the account. The vast majority were covered calls with 2-4 week expirations on her 11 core equity positions, and cash-secured puts on 6 additional blue-chip names. When calls were exercised and shares called away, Decker typically repurchased the same stock within days and re-established covered call positions. When puts were assigned, he would immediately begin writing covered calls on the newly acquired shares. The account generated \$31,400 in net premium income over the period. Total commissions and fees on the options trades were \$18,700, and commissions on the equity repurchases following call assignments totaled \$6,200, for combined costs of \$24,900. The annualized turnover ratio on the equity positions was 4.1, though the portfolio's core holdings remained substantially the same 11-17 names throughout the period. The cost-to-equity ratio was approximately 4.0%. Margaret's account value grew from \$620,000 to \$641,000 over the 14 months, reflecting net premium income, modest capital appreciation, and the drag of commissions. Margaret never complained during the period and confirmed in quarterly calls that she was satisfied with the premium income. Decker's branch manager reviewed the account at the 6-month mark and noted the high number of trades but concluded the strategy was consistent with income generation. After Margaret's son, a CPA, reviewed her year-end tax documents, he raised concerns about the volume of trading and the ratio of commissions to net income generated.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case sits at the intersection of options suitability, quantitative suitability (churning), and whether a fundamentally conservative strategy-covered calls and cash-secured puts on blue-chip equities-can constitute excessive trading when executed at high frequency.

Arguments that Decker violated applicable standards:

1. Quantitative indicators are elevated. The annualized turnover ratio of 4.1 exceeds the threshold of 6 that has traditionally been considered presumptive churning, but is well above the level of 2 that many

arbitration panels and regulators treat as raising a red flag requiring explanation. The cost-to-equity ratio of 4.0% is at or near the level that regulators have identified as potentially excessive, particularly for a moderate-risk retirement account.

2. The commission-to-income ratio is troubling. Margaret generated \$31,400 in gross premium income but paid \$24,900 in total commissions-meaning roughly 79% of the income generated was consumed by transaction costs. Under a best-interest framework (Regulation BI), the advisor must consider reasonably available alternatives. Many brokerages now offer options trading at \$0.65 per contract or less, and some platforms charge no base commission. If Decker's firm charged substantially higher commissions, he had an obligation to consider whether the strategy net of costs actually served Margaret's interest.

3. The pattern of shares being called away, repurchased, and immediately re-covered suggests a mechanical trading pattern that generated commissions on both the options and equity sides without meaningfully altering the portfolio. This 'wash-rinse-repeat' cycle is a recognized pattern in churning cases involving covered call strategies.

4. The account was an IRA-a retirement account with particular vulnerability to cost drag over time. The net benefit of approximately \$6,500 (\$31,400 minus \$24,900) over 14 months on a \$620,000 account represents roughly a 0.75% annualized return from the options activity, a modest contribution that must be weighed against the operational risk and tax complexity introduced.

Arguments that Decker did not violate applicable standards:

1. Covered calls and cash-secured puts are the most conservative options strategies available. They are approved at the lowest options trading levels and are widely recommended for income-oriented investors. The strategy was consistent with Margaret's stated objectives of growth with income.

2. The high trade count is partly an artifact of the short duration of the options written. Writing 2-4 week covered calls on 11-17 positions naturally generates 12-26 trades per position per year, which for 17 positions could reach 200+ trades annually without any improper intent. The turnover ratio may overstate the degree of speculative activity because the underlying portfolio composition remained stable.

3. The account grew by \$21,000 (3.4%) over 14 months, and Margaret received meaningful premium income that she used to supplement her pension. Without the options overlay, her equity portfolio alone might have appreciated similarly but would not have generated the cash flow she desired.

4. Margaret was informed about the strategy, received quarterly updates, expressed satisfaction, and had over a decade of investment experience. She understood she was selling calls against her holdings and was willing to have shares called away. Her consent, while not dispositive, weighs against a finding of churning, which traditionally requires that the advisor exercised control over trading decisions.

5. The branch manager reviewed the account at six months and approved the activity. While supervisory approval does not immunize the advisor, it suggests the strategy was within the firm's parameters for income-generating options programs.

6. The traditional churning framework was developed for scenarios involving speculative trading that destroys account value. Here, the core portfolio was preserved, and the options strategy-while expensive-did generate positive net income.

Why Borderline

The strategy itself (covered calls and cash-secured puts on blue-chip stocks) is fundamentally conservative and aligned with the client's income objectives, yet the quantitative metrics-particularly the commission-to-income ratio of nearly 80%-raise serious questions about whether the frequency of execution served the client's interest or primarily generated commissions. Reasonable professionals disagree about whether traditional churning metrics developed for speculative equity trading should apply with the same force to repetitive but conservative options strategies. The client's informed consent and satisfaction further complicate the analysis, as does the fact that the account showed a net gain.

Borderline Factors

- Turnover ratio of 4.1 falls in the ambiguous zone-above the 2.0 red flag but below the 6.0 presumptive churning threshold
- Cost-to-equity ratio of 4.0% is at the boundary of what regulators consider excessive
- Commission-to-income ratio of ~80% suggests most of the strategy's benefit accrued to the advisor, not the client
- The underlying strategy (covered calls/cash-secured puts) is the most conservative options approach and matched the client's stated income objective
- High trade count is partly a structural artifact of short-dated options on multiple positions, not necessarily indicative of speculative intent
- Core portfolio composition remained stable throughout-no evidence of speculative position changes
- Client was informed, experienced, expressed ongoing satisfaction, and did not complain until her son intervened
- Account was a retirement IRA, heightening the duty of care regarding cost drag
- Branch supervision reviewed and approved the activity mid-period
- Reasonably available lower-cost alternatives existed that could have delivered the same strategy at a fraction of the commission cost

Likely Outcome

A regulator would likely find a violation, but the case is closer than typical churning matters. The decisive factor would be the commission-to-income ratio: when 79% of the gross income generated by a strategy is consumed by commissions, the strategy as implemented does not serve the client's best interest regardless of the strategy's theoretical soundness. A regulator applying Regulation BI's care obligation would focus on whether Decker considered the cost of the recommendation-not just the strategy type but the specific execution frequency and commission structure-and whether reasonably available alternatives (such as a lower-cost platform, longer-dated options to reduce trade frequency, or a managed covered-call program with lower fees) could have achieved the same objective more efficiently. The traditional churning analysis under FINRA Rule 2111 and its quantitative suitability component would find the 4.1 turnover ratio concerning but not dispositive; however, combined with the cost-to-equity ratio and the commission-to-income ratio, most panels would conclude the trading was excessive. Mitigating factors-client consent, conservative strategy type, positive account performance, and supervisory

review-would likely reduce sanctions but not eliminate the finding.